

Garware Hi Tech (GRWRHITECH)

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Call: Jun 2023

GARWARE HI -TECH FILMS LIMITED
(FORMERLY KNOWN AS GARWARE POLYESTER LIMITED) CORPORATE OFFICE :
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June 02, 2023

The Compliance Manager

BSE Limited

Corporate Relationship Dept., Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai 400001. Scrip Code: 500655 The Manager,
Listing Department

National Stock Exchange of India Limited

Exchange Plaza, Plot No. C/1, G Block,

Bandra-Kurla Complex,

Bandra (East), Mumbai 400 051.

Trading Symbol:

GRWRHITECH

Dear Sir/Madam,

Subject: Transcript of Earnings Call, on Financial Results / Business Performance of the Company, held on June 01, 2023
Pursuant to Regulation 30 and 46 of the Securities and Exchange Board
of India (Listing Obligations and Disclosure Requirements) Regulations,
2015, please find enclosed the transcript of the earnings call, on
Financial Results / Business Performance of the Company, held on June
01, 2023, at 2:30 p.m. IST.

The above information is also available on the website of the Company:

<https://www.garwarehitechfilms.com>

This is for your information and records.

Thanking you,

Yours faithfully,

For Garware Hi-Tech Films Limited

(Formerly known as Garware Polyester Limited)

Awaneesh Srivastava

Company Secretary

FCS 8513

Encl: as stated above

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“Garware Hi-Tech Films Limited Q4 Earnings
Conference Call”

June 1, 2023

M

ANAGEMENT : M R. M.S. ADSUL – DIRECTOR (TECHNICAL),

GARWARE HI-TECH FILMS LIMITED

MR. DEEPAK JOSHI -- DIRECTOR (SALES &

MARKETING), GARWARE HI-TECH FILMS LIMITED

MR. PRADEEP MEHTA – CHIEF FINANCIAL OFFICER ,

GARWARE HI-TECH FILMS LIMITED

MR. SUNIL WADIKAR – PRESIDENT (CORPORATE

AFFAIRS & FINANCE), GARWARE HI-TECH FILMS

LIMITED
MR. HARI NAIR – SENIOR PRESIDENT (CORPORATE
AFFAIRS & FINANCE), GARWARE HI-TECH FILMS
LIMITED
MR. AWANEESH SRIVASTAVA -- COMPANY
SECRETARY , GARWARE HI-TECH FILMS LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to Garware Hi-Tech Films Limited Q4FY23 Earnings Conference Call.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star and zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Diwakar Pingle from E&Y. Thank you, and over to you, Mr. Pingle.

Diwakar Pingle: Thank you, Nirav. Good afternoon, ladies and gentlemen. Welcome to the Q4 and Financial Year Ending 2023 Earnings Call for Garware Hi-Tech Films Limited.

On behalf of the Company, I would like to express our gratitude to each of you joining the call today. To discuss the performance of the Company and to answer the questions, we have with us from the Company, Mr. M.S. Adsul – Director (Technical); Mr. Deepak Joshi – Director of Sales and Marketing; Mr. Pradeep Mehta – the Chief Financial Officer; Mr. Sunil Wadikar – President (Corporate Affairs & Finance); Mr. Hari Nair – Senior President (Corporate Affairs & Finance); and Mr. Awaneesh Srivastava – Company Secretary.

The “Presentation and the Press Release” containing the Company's Financial Approved Results have been uploaded with Stock Exchanges and also accessible for download on our official Company website. Before we begin, I would like to draw your attention to the fact that today's discussion may contain forward

looking statements that are subject to various risks, uncertainties and other factors, which will be beyond management control. We kindly request that you bear in mind there were uncertainties when interpreting such statements.

Please note that this conference is being recorded. We will now start the session with opening remarks from management team. Afterwards, we'll open the floor for interactive Q&A session. I would now like to invite Mr. Deepak Joshi – Director of Sales and Marketing, to make his opening remarks. Over to you, Deepak.

Deepak Joshi: Thank you, Diwakar, and thank you everyone for joining us today. And I would like to welcome to this earnings call of Garware Hi-Tech Films Limited. On behalf of the entire team, I extend a warm greeting to everyone. We are delighted to have you all here as we share our business performance and provide valuable insights to our business operations. Before we delve into financial outcomes and our overall performance, I would like to give a concise overview of the Company, its transformation, ensuring everybody gains thorough understanding of our organization, especially those who may not be familiar with us. We have already uploaded the presentation, so you may refer to that. But I would just like to give a brief of the Company. ~GARWARE ' \::!] HI-TECH FILMS
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So, I mean Garware Hi-Tech Films Limited is a high quality, high margin producing specialty films. They are mainly sun-control films, paint protection films, shrinkable films and low oligomer films. On all these products, we compete with global players. Even in the domestic market, we compete with global players whose products may be available in the market, but Garware's product portfolio is very unique if we compare with any of our peers in the domestic market. If we see our global reach, we are exporting now to 90 plus countries. And the geographical balance is quite even, I would say very balanced geographical presence with 33% being North America, almost 33% in India and 20% in Asia. I mean other than India. And rest 11% to Europe and other countries.

If we compare the transition of our Company from 2017 to 2023, in 2017, we were mainly polyester film manufacturing like our most years in industry. And in '23 now, we are highly value-added specialty film manufacturer. Our revenue from operation used to be Rs. 874 crore in 2017, which is now Rs. 1,438 crore. And our EBITDA margins were 9% in '17, which is now double to 18.7%. And similarly all financial indicators show that the performance has grossly

improved.

Now, if we talk of GHFL brand dominance. See, Global is our primary brand which is one of the most reputed brands in sun control and PPF in America market and European market. We have 23 trademarks registered, in many countries and exporting, as I said, more than 90 plus countries we are exporting. We are India's first Company to produce PCR grade shrink films and APR, which is American Plastic Recycler certified for ecofriendly shrink films. We have been Rank 1 in Tint Off last year in USA. We are the second largest global capacity of sun control films. And since last 34 years, we have been winner of Top Exporters Award from Flex Council of India.

In terms of our product portfolio, we have a very diversified product portfolio. In our consumer product division, we have automotive sun control films, paint protection films, safety films and architectural films. In industrial product division, we have shrinkable films, we have low oligomer films for electrical and electronic applications and we have released liners, PRU widely used in various applications of similar products. And we have some commodity products which are called thermal lamination, plain film, packaging and lidding films and metallizers.

If we talk specifically about Sun Control films, our films are 99% harmful UV rays rejection, they have the

property which does 99% of UV rejection. And in all global indexes, all quality parameters, we have been ranked at a top producer of uncontrolled films. If we see the market is around \$6.7 billion in this financial year and expected to grow at a CAGR of 5.8% to \$11.1 billion in FY 2032. So, there is a large scope of growth. There is an opportunity to grow. For

that, Garware has already invested in a new lamination line along with paint protection films, and we have provisions to grow further in that line if the market permits us in that way, which we are seeing and that will be decided in due course when the current line capacity goes full. ~GARWARE . :!! HI-TECH FILMS

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The key drivers for sun control is we are a Company which has a strength in terms of fully vertically integrated product portfolio. That means whatever product we produce, that's raw material and its components are produced in house, starting from petrochemicals of PTA and MEG, we produce our own pet resins. Then we produce our own metallized film, our own dye films and our own lamination. Similarly, these films are also used to produce all components of

paint protection film. So, we are fully vertically integrated. Our components are in-house manufactured to control the quality and consistency of the products.

We have second largest global capacity and third largest branded player in US and European markets. And recently we have expanded our capacity by 75%. So, now sun control capacity is 1,800 lakh square feet this year.

Now coming to paint protection film. We are the only manufacturer of paint protection film in India and probably only one of the few producers who have the dedicated paint protection line, which is a dedicated line. So, more than 70% of PPF is exported to the global market. We are the sole producers in India, so there is a high dominance of PPF in terms of Garware's capabilities. The key drivers are we have a 300 lakh square feet per annum capacity, which is

currently being utilized at 50%. But that was for the last year and we are seeing continuous growth in that business. So, that is growing. If we see the penetration rate in USA, so it is 10%.

So, every 100 cars sold, 10 cars are wrapped with PPF. We see the same volume in China. The estimates are 12% to 13%, whereas in India, it is less than 0.5%. So, we clearly see a big potential for growth in Indian market and we are taking steps to grow in Indian market as well.

So, currently, in order to increase the sales of paint protection film in India, we had a unique concept called Garware Application Studio, I mean we had an aim to open 200 studios in 2 years. So, we have already done 65 plus studios in India. And we are on the course to meet the target

of 200 in in 2 years' time. And we have currently OEM brands like dealers who sell our product directly at their dealership. We have 100 as of now and in 2 years we have the target to reach to 500 such players. Apart from that, we are doing continuous training to create more market for PPF. Just as a note to everyone that PPF was insignificant before Garware entered into this market. With all the efforts, we have created a market for paint protection film. We are doing

regular trainings for applicators to learn this application business, which was a key constraint to develop this market. Till date, we have trained more than 500 applicators and it is going on further. We are creating a tinting and applicator community where all of these people are joined under 1 roof and promoting Garware brands.

Now on shrink films. Garware is having a dedicated line for shrink films and we also have further capacity in a fungible line to produce more of that films. We have seen a big jump in last year in terms of with our efforts to grow the shrink film in Indian market. Because PET shrink film is recyclable material as compared to PVC. So, many of the P

VC producers, PVC consumers

are now shifting to PETG. We have converted some of the big names to grow the market and ~GARWARE . '::!! HI-TECH FILMS

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we have been successful in doing so. Currently, Garware occupies or Garware caters to 60% of such market, catering to almost all large converters in India.

And in order to increase the recyclability of the product, we have developed solid white with a pearl float, which is a floatable film while recycling. We have developed American Plastic Recycle certified product and as I said, post-consumer recycled waste on shrink film, we are the only one.

Now key drivers for shrink film. Estimate from Allied market research was \$4.7 billion global market, which is expected to go to \$8 billion with a CAGR of 5.4%. So, again, we see a lot of potential and Garware products are known for its quality, its consistency and end-to-end control on quality by making all components that is resin for this film. And another key growth driver is conversion of PVC to PET.

Now coming back to the marketing. Garware has its global presence in more than 90 countries. It has its sales offices and subsidiaries in USA, UK apart from India. It has 2 manufacturing locations, and its sales representation in China, Middle East, Far East, Russia and South America. Practically all over the global market has been covered by our sales team. We have 5,000 plus tinters across the globe who apply our product and promote Garware sun control and PPF. Now manufacturing footprints. As I said, we have 2 fully vertically integrated manufacturing locations which makes polyester chips plant for polyester lines, extrusion coating lines, thermal line, metalizers, sun control film plants for automobile, architectural, safety films and paint protection. So, we have a robust network of manufacturing facilities and full details have been given on the presentation.

In terms of the Company, Garware Hi-Tech Films Limited is committed for innovation driven R&D. In March 23, we have won Japanese Institute of Plant Management Award for TPM Excellence. We have 50 plus dedicated R&D team members. We have 23 registered trademarks in 168 branches. And as Garware is committed for high R&D, we are working for many new products, which includes we already produced PPF. We have recently developed the matte PPF, then recently developed the shrinkable pearl float that is floatable shrink film. Then we have recently launched decorative and designer films and some windshield protection films, so which are the examples of innovation by our R&D team.

In terms of sustainability, we have taken a target of 50% reduction of absolute emission by 2030.

We have targets of 3% to 5% of fuel consumption reduction in carbon emission. Again, as committed towards sustainability, we are producing 30% PCR content of shrink films, APR certified film, pearl float and so on, so forth. ~GARWARE . '::!! HI-TECH FILMS

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And in terms of our new initiatives, these are just the highlights of the presentation. We have appointed our Director, Technical, Mr. M.S. Adsul, who is an alumni of UDCD, Mumbai and he has more than 40 years of experience in plastic and polymers engineering. Already as I discussed, new product launches have been done. Then Garware Application Studios 60 plus has already been done. We have engaged Boston Consulting Group, BCG for sales and branding services to drive the CPD business, that is sun control and PPF business in domestic market. And we have started initiative to reduce cost and increasing productivity through major initiatives. And in terms of PPF, we have tied up with 2 major car manufacturers and in advanced talks of some more.

With this, I would like to invite Mr. Pradeep Mehta, the CFO, to take through the financial highlights of the Company. Thank you very much. Over

er to you Pradeep.

Pradeep Mehta : Thank you, Deepak. Good afternoon, ladies and gentlemen. I am pleased to inform you that our Company is in a strong financial position, which we are dedicated to maintaining for the future growth opportunities. Regarding our annual performance for FY23, we recorded a revenue of Rs. 1,438 crores, which is an increase of 10.4 % year on year. Furthermore, our EBITDA stood at Rs. 269 crores and the EBITDA margin stands at 18.7% for FY23. PAT stood at Rs. 166 crores and while the PAT margin is 11.6%.

Coming to the quarterly performance of Q4 FY23. We recorded a revenue of Rs. 349 crore. The EBITDA stood at Rs. 70 crores and the EBITDA margin stood at 20.2% for the quarter. The PAT stood at Rs. 43 crores and the PAT margin stood at 12.3%. So, if you look from FY18 to FY23, our unit has increased at a CAGR of around 12%, but at the same time, our PAT margin has improved by a CAGR of 38%.

The commissioning of 2 new lines that is 1 PPF and new lamination line now have started contributing share in the revenue of FY23. We are experiencing improved product mix, this capacity addition and healthy utilization to our growth trajectory. With the upcoming commencement of production at our new lamination line facility and the increasing traction of our margin accretive value-added product, we are confident in our favorable growth prospects. Over the years, we have made significant progress in reducing our total debt, and we currently stand at around Rs. 140 crores as on 31st March 23.

Furthermore, we have no plan for additional debt funded capital expenditure in the near future, indicating our responsible approach for managing financial risks. We will strive for superior and sustainable margins and our financial health is improving with healthy cash flow and negative net debt and impressive low collection day of only 8 days for FY23. This reflects our strong working capital management and the advance payment from customers and improved inventory level. So, we will continue to focus on enhancing our balance sheet and nurturing our financial position to seize some future opportunities. We appreciate the support of our stakeholders and look forward to delivering even greater value in the years ahead. ~GARWARE . '':!! HI-TECH FILMS

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Thank you. Now we open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Rahul Gupta from First Street Investment. Please go ahead.

Rahul Gupta : Congratulations on the good set of numbers. You have performed better than the peers with impressive quarter-on-quarter growth and a decent year-on-year performance. Could you please elaborate on the key factors or strategies that has contributed to this success?

Deepak Joshi: Thank you, and thanks a lot for your appreciation. See, on the performance, why we have been different is our focus on consumer products, which are key for us, which is sun control and paint protection films. And Garware's quality, consistency and control on its product components is the key for success. And we are not focused on anything which goes as a commodity which are filler for us. The real Company, Garware, is always focused on specialty products which is sun control and PPF. So, that is actually the key factor for our performance in over the years. And I have already shared that since 2017, when the Company decided a strategic move towards the specialty products and we have invested in that direction. So, that was the key for our success. And in the presentation, I have already showed that the efforts which we are doing in terms of creating Garware Application studios in terms of creating tinters and applicators community, and I mean we are trying to have data of the influencers in consumer products to have higher sales for the Company in the specialty and high mar

gin products. I hope I answered your question.

Rahul Gupta : Yes, sir. And my second question is, sir, with PPF being a focused product for the Company, what is the management outlook for the paint protection film markets in the upcoming years?

Could you please elaborate on the growth projections and the strategies in place to capture a larger market share in this segment?

Deepak Joshi: I mean, PPF volumes were non-existent before 2 years. So, we have created a market by campaigns on digital media, special drives for car dealers, and training for applicators to create a mass movement. So far, we have trained, as I said, around 500 applicators, who are actively promoting Garware brands in the market. Now in gas efforts, I have already mentioned that. So, largely I hope I answered the question in my presentation as well. But if these are the efforts which we have done in the domestic market, if we talk on the globally, we have been able to convert some big players to buy the material from us and the name of global brand has been there for last 20 years and it has been really performing well. And the products which are very unique in PPF which is like the width of the product which normally is 60 inches, but there are requirements for the bigger width in the market, like America, where 72 inches are required, so that also Garware produces. And we have recently started supplying the variant of matte PPF. So, with all our ability to produce high quality products and the products which are complete basket for PPF is supplied by Garware. So, that's all from my side. ~GARWARE . '':!! HI-TECH FILMS

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Moderator: Next question is from the line of Mihir Desai from Pendulum Investment Services. Please go ahead.

Mihir Desai : Sir, firstly I want to ask you on the demand front. So, how is the demand for sun control window films in domestic as well as in international market? And also, if you can provide some insight into how the Company is planning for expanding its sun control film business. Also, sir, what are the

key growth drivers and potential market opportunities that the Company is currently targeting?

Deepak Joshi: See, Garware in terms of sun control, we have 2 segments which one is automotive, another one is architectural. Garware has been a major player on automotive segment and the growth has been quite good in the past. But if we see since last 2 years, this is kind of stagnant growth because of high interest rates and kind of recessionary trends in main market like USA. And last year, after the geopolitical tension between Russia and Ukraine, the European market is also little bit down. So, in a way like, the market is stagnant, the volumes are not growing in automotive segment. So, we expect when this tension goes off, we perform really high on that. But the other architectural segment, we have launched a series of initiatives where we are developing many products in that segment to create an impact. In fact, some of the products like designer film, decorative film and some of the products which are in making, which I cannot name now, so with R&D and new product developments, we are working towards the goal of achieving that volume in architectural segment also. And once the market gets correction in Europe and USA, we'll definitely see a good jump in sun control automotive films as well. So, the key to that is our consistent quality and performance, and at the same time, R&D is helping to develop new products to go in those markets.

Mihir Desai : Sir, 1 more follow-up question on this like besides the sun control films and protection films, is the Company targeting any specific areas of interest or some other market segments or products that Company is currently exploring? And also, if you can provide some insights on Company strategy for any existing or new product and capturing new growth opportunities, which is

beyond the SEF and PPF?

Deepak Joshi: See, again, we have recently done these 2 expansions on PPF and sun control, and our first target is to fill those lines. But simultaneously, our R&D and new products are working on many new fronts. Some of them have already been achieved, like pearl float and matte. But other than that, there are designer films, decorative films, sun shield products, and again, there are 3-4 products in making, which we will announce in due course. But yes, we are continuously working our R&D and new product development team along with the market research team always work on those products. In fact, if I go a little further on that, the strength of Garware is always in-house manufacturing of all the components. While we have been doing good on paint protection film in advanced markets like America, many producers who got attracted towards the components of that films like liners, protection films and a lot. So, we have started supplying such products which are manufactured by Garware for our own in-house consumption. We have also started ~GARWARE . '::!! HI-TECH FILMS

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selling them to the market because they go to the segment other than these products like PPF and window films

Mihir Desai : Sir, lastly, I wanted to ask you if you can throw some light on Company's growth profile or growth strategy for next 3 to 5 years, which as an investor will help us, sir?

Deepak Joshi : We have been continuously growing on in terms of top line and bottom line. So, our next target is to fill PPF line and sun control line. So, that means if we calculate the capacity with those new lines, it would be somewhere between the top line between Rs. 2000 crore to Rs. 2500 crore. And we'll try to achieve that in a short span of time.

Moderator: Next question is from the line of Sanjay Shah from KSA Securities Private Limited. Please go ahead.

Sanjay Shah : First of all, congratulating on good numbers. Coming to con call and giving us some information is really helpful, sir. The presentation is good, sir, and it's really very informative, which is really helpful to us. Sir, my question was just to get some understanding about our sales strategy outside India and how are we able to compete global majors? And do we sell only through distributors or we have some direct sales also? And are these orders long term orders or custom base monthly or regular order base?

Deepak Joshi: Your question is specifically to the export market, right?

Sanjay Shah : Right.

Deepak Joshi : So, as you said, we have a very wide distributor network all over the world. Especially we cover all 52 states in USA, which is our primary market. So, other than that there are some direct customers also whose size is significantly bigger than a normal customer. So, we cater them directly, right, and we market our products through various initiatives, like as I said, we work a lot on brand recognition, brand recall. So, global with all the efforts is very well known. So, if you go to window film magazines, PPF magazines and all such forums, you will see global as a primary brand there. And then we participate in shows like Tint-Off, SEMA, which is the biggest show there, and plus Window Magazine and PPF Magazine, everywhere we are there. And once the brand recognition is there, the distributor network is there, so we get many outside efforts from our team who are on the ground to take these efforts to the next level. So, we have all strategies in place in terms of distributorship, in terms of sales and marketing promotions, in

terms of digital media and participation in the shows.

Sanjay Shah : So, the order is the long-term order we get from OEs or it's the regular orders placed by them?

Deepak Joshi: Not all orders are a long term, but there are many key customers, like they give a regular order plus a long-term commitment to us because there are man

y companies in the world who do not

manufacture and only sell the product, market the product under their brand name, right? So, it's ~GARWARE . '::~!! HI-TECH FILMS

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a mutual dependence on each other like they cannot go run away overnight to someone else to buy this product. Similarly, we also don't replace our product. So, these are commitments to each other for a long term as well. I mean it is not 100%, it is more than 50%, I can say where the commitments are on long term basis.

Sanjay Shah : So, my second question was regarding our competitors. Will it be possible to name a few of our competitors especially in paint protection film and other verticals and what is the price difference between us and their product?

Deepak Joshi: See, I will answer it this way, like I don't know legally, but we all know the players in the markets. But you can search them. There are comp etitors who are big comp anies that they have a segment in sun control film and paint protection fi lms. So, I mean I would li ke to answer it this way that even they manufacture their products, I mean, they buy 5 different components from different, different places, whereas Garware makes almost all of them. So, in terms of efficiency, we are at a very high rate of efficiency, production efficiency, quality efficiency and in terms of, I would say making the product commercially viable. And we are a very new entrant into the market. That means from last 3 years, we have been in the market and achieved the quality which these players have already done in the last 20 years, top 3 players, they were there for last 20 years. So, we have done that work in the last 3 years. So, to create the market and because of our efficiency in manufacturing, we gave some introductory prices, but still our margins are good and they are growing. So, I can answer in this way.

Sanjay Shah : Appreciate, but what could be the benchmark sales price difference between them and us? No need to quote any name.

Deepak Joshi: For example, there is a big competitor in India who gets 100 rolls of PPF and sells into the market, whereas Garware does 15 times of that. So, what happens is being a player in the domestic market, we have done those kind of efforts to keep a gap to push through our volume, and in terms of sales, we sell 10 times more volume than that person. So, there is a gap and we have intentionally kept growing our market there. And if you ask the same question in the international market, we are at par with everyone. I mean, if you talk of that same supplier in America, same supplier like ours in America, almost same. There will be hardly any 4%, 5% difference if it is there.

Moderator: The next question is from the land of Vandit Shah from Abakkus Asset. Please go ahead.

Vandit Shah: Two questions. Can you give us some light on the current order book position and our future outlook? And are the margins sustainable?

Deepak Joshi: Your question is for a specific product?

Vandit Shah: No, sir, overall, your current order book position. ~GARWARE . '::~!! HI-TECH FILMS

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Deepak Joshi: So, overall, we have many product segments. So, I can say on like starting from PPF which is the newest product, we have a very good order book. So, that's why we are expecting the line to be fully utilized within this year or by the end of the year. And on sun controls, these orders are, there are commitments and contracts like I was talking. So, every month, these repeat orders come. So, they are usually month-long orders and before the month ends, we get the orders. So, there are contracts and we have a quite fair idea of order book for the whole year, I mean depending on like a little bit on seasonality, but yes, there are projections and forecasts which are running through for the whole year for sun control as well as PPF. If you talk of th

e products

like industrial product division, so there we have like shrink film orders going for 2 months, 2 1/2 months orders on hand. Whereas all other products come on a same monthly basis where we have contracts with our customers and they keep on repeating every month end for the next month orders.

Vandit Shah: And are the margins sustainable?

Deepak Joshi : Yes. I mean like again, the stress of Garware, I think many people are asking the same questions because seeing the kind of results our peers are posting. So, strategically and categorically I can

say that our margins are intact, our product portfolio is very different and we are a high-quality specialty product and should not be, I mean, compared on that basis, like the market ups and downs, because our product prices do not change unless there is a drastic change on the raw material in specialty products, which is because all components are produced by us. So, we know how much time is taken to change the raw material cost on that. Whereas there are some products where the prices change which we pass on. So, it is sustainable I mean to answer your question, yes, it is, it is sustainable. Margins are sustainable.

Moderator: Next question is from the line of Sudhir Bheda from Right Time Private Limited. Please go ahead.

Sudhir Bheda : Hearty congratulation on good set of numbers in the given circumstances. Sir, I have 2 questions. So, as you said in the previous question that your turnover in the existing capacity would go to like Rs. 2000 crore, Rs. 2500 crore. And now I think most of the capacity has been put in the place. So, can we expect the Rs. 2,000 crores of figure in FY24 itself or it will take some time? That is question #1.

Deepak Joshi: So, I would not like to put forward that way, but I can tell you that there will be a growth like we have seen in the past. It might be little more or it might be little less, but the growth pattern will continue to that direction. And in 1 or 2 years' time, definitely we'll achieve that. I mean, FY24 guidelines, I cannot give that because we all know the world is suffering for so many things. In fact, we have seen the kind of recessionary trends from Europe and all. But despite all those things, I'm confident that we are moving in the right direction and growing. ~GARWARE . '!! HI-TECH FILMS
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Sudhir Bheda : And sir, my second question is pertaining to property at Parla. What is the status and when this will be put for the sale?

Deepak Joshi: I think Hari Nair would be better if you can comment on that.

Hari Nair : See, what we are doing is we are trying to explore multiple options to monetize this particular asset. Now this is a decently valued asset. Currently, we have some offers but it doesn't capture the full value, which ought to come to the Company. So, we are waiting for the right option to come to us. And also, there are certain what you call documentary work, which is pending and those kind of things which we need to complete so that the value add can be a little better than what it is. So, it's not the right time. It's not a right time to sell or do any incremental work on the property.

Sudhir Bheda : The process is on, that much we can say.

Hari Nair : Yes, sure. See, the Company is cognizant of the fact that this is a valuable asset and it's something which we need to monetize. And if we can add value to it by doing certain things regulatorily, we are doing it.

Moderator: Next question is from the line of Rahil Shah from Crown Capital Partners. Please go ahead.

Rahil Shah : Firstly, thank you for conducting this call, we have been looking forward to it. And congratulations on good numbers. So, a couple of months back, I heard there was some issues like you mentioned in the US market, there was some destocking going on. So, has it now returned to normalcy? And so what is the scenario there in the US m

arket?

Deepak Joshi: In the US market, yes, it is now almost the correction has been completed. I mean I can say still only 10% remaining. But in the last year, if we all remember that there was a lot of supply chain issues and because owing to COVID to some countries, there some of the manufacturers were down, not producing. So, there were a lot of expected order flow, I mean order book was quite heavy and people were not able to cater, including us also. So, at that time, there was a lot of buying happened and it continued for many months. And at the same time, the supply chain went really at its worst by not supplying material to westward including Europe and America so leading to a very high inventory situation in those countries, which has been corrected in I would say Q4 and to some extent it will complete in this quarter. So, it has not 100% been completed, but I can say that during this quarter it will be over.

Rahil Shah : So, benefit should like come in FY24, things are looking good there.

Deepak Joshi: Yes.

Rahil Shah : What percentage of exports are to us out of total? ~GARWARE . '!! HI-TECH FILMS
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Deepak Joshi: We have shared that in the presentation, it's 30% to be precise.

Rahil Shah : Right. And what's the raw material scenario right now?

Deepak Joshi: Again, you are talking of raw material for entire Company or particular products?

Rahil Shah : Yes, overall, in general.

Deepak Joshi: Overall, this raw material is on the lower side. If I can say it all because we are vertically integrated, I would say backward integrated from sun control, PPF towards this everything, I mean till petrochemicals. So,

petrochemical prices are dependent on Naphtha and ultimately on crude oil, which we believe is at a lower level right now and it should remain in that territory for some time. So, I mean there are other raw materials other than these petrochemicals, but they all are at a lower level at this moment.

Moderator: Next question is from the line of Kashyap Karthik from Table Tree Capital. Please go ahead.

Kashyap Karthik : So, my question, 2 questions. First one on the PPF side. So, PPF we are around Rs. 70 crore, Rs. 75 crore for this year. Even basis the last year con call, it was around the same number. So, a, have we not grown in PPF this year? B, how much of that is domestic and how much of that is export? And Expel, Avery Dennison, Lumar, everybody are talking about an explosion in the

PPF market in terms of the demand scenarios because of multiple car accessories. And we're still probably Rs. 70 crore, Rs. 75 crore with 50%, which essentially means for 100% utilization,

we've got Rs. 150 crore, Rs. 170 crore. So, I'm just a little surprised that management is not very gung-ho on PPF in terms of growing fairly quickly on a much, much lower base. So, if you can just tell me the export and domestic split. Domestic, you've got a great brand name, you're known for value for money, you've done market research. So, just try to understand your thoughts around the PPF market please, both on the export side and the domestic side.

Deepak Joshi : So, first question, as you said last year when we said, the capacity were very low utilized at that time, I mean, the previous year I would say, FY21. So, that time, as we said, this is a fungible asset where we were producing some sun control components there to keep it utilized. That's why we are not seeing any growth as compared to '21 to '23. However, I can assure you that the volumes of PPF, I mean the PPF line from PPF has grown quite a bit and especially in Q4. And right now, the trends and the order book and everything shows a robust growth. So, management, I mean, I won't use the word gung-ho, but very, very positive on that and our investment is paying right way for us. And in terms of the domestic market, as I said, I mean the numbers are outstanding. If we compare 2

years prior versus now, I can say there is a 10 times growth. But since the base was low, that's why we are not promoting that a great deal. Our aim is to grow, I mean, if I say in terms of plant capacity so 25% is the target to be in the domestic market, 25%, 30%. And 70% is the export market. And we might think of further expansion if everything goes well in this direction and that will come out during this financial year only. ~GARWARE . '::!! HI-TECH FILMS

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Kashyap Karthik : Got it. And a 2-part question. One, are the PPF margins double of the sun control films? I mean, I don't want exact margins, but are they 2x sun control films or the margins are very similar from an EBITDA perspective? And two, there's a lot of stuff around processing charges in the annual report that last time as well, and I'm sure this will come this time as well. So, any commentary around the processing charges with Garware Industries?

Deepak Joshi : See, so margins are in the same range because this is a very high value product. So, I mean, it cannot be double that, but it's almost the same. What was your second question, sorry, commentary about?

Kashyap Karthik : Sir, I mean last year's annual report spoke about processing charges to Garware Industries, about Rs. 30 crore, Rs. 35 crore. And this year also it looks very similar. So, is there a structured arrangement between us and Garware Industries for processing?

Deepak Joshi : Hari, would you like to take that?

Hari Nair: See, this particular processing of window films, there is a particular arrangement with industries since couple of like, almost nearly a decade. So, that continues. So, there is no change vis-à-vis that particular transaction.

Kashyap Karthik : So, it's going to continue, it's going to be a recurring charge every year for the next foreseeable future?

Hari Nair : Yes. And also see this particular PPF when we said that the total capacity, if you translate into rupee crore, it comes to Rs. 300 crore to Rs. 400 crore range, I put a number to it depending on where the value lies. But that is the total volume if you get the value in order. It's not Rs. 150 crore, it's more than that.

Kashyap Karthik : No, sir, the reason why I said Rs. 150 crore is 50% utilization as said in the presentation, and if you work out the number, it's coming to about Rs. 70 crore, Rs. 75 crore in PPF for this year.

So, if 50% utilization is Rs. 75 crore, then 100% utilization my understanding was 150 crore.

Hari Nair : If you see the note also, there is an asterisk. We have used that particular plant also for clearing the backlog. See, we had lot of backlog of Window film processing which has to be done. So, we used the same machine to complete that backlog for which reason the capacity utilization has been factored based on what you call window film processing also. But now, we use PPF machine purely for PPF purposes. And the final capacity 300 or less will give us about Rs. 300 crore to Rs. 400 crore. So, that's the number. You can take that number.

Moderator: Next question is from the line of Harsh Mulchandani from KRIIS Portfolio. Please go ahead. ~GARWARE . '::!! HI-TECH FILMS

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Harsh Mulchandani : Congratulations on a good set of numbers. I wanted to understand the current segment wise split like for sun control, PPF, shrink films and the other set of films? So, because I could find only 2-3 segments in the PPT, it's my first question and I will come to the second.

Hari Nair: Let me just grasp your question. You're basically trying to split the broader numbers. We normally don't give, but just can you explain your question, please?

Harsh Mulchandani : Yes. I want to understand out of the total revenue, what revenue came from sun control, shrink films, PPF? So, want to get that split of all products. you want to get that split? Of

our all products.

Hari Nair : So, see from a CPD, now we will put together sun control as well as PPF. It's almost like 51%, 52% comes from sun control and PPF. And off the commodity now, roughly say 50:50, sun control plus PPF is 50% and 50% comes from the industrial products. Of industrial products, approximately half of that comes from special and shrink products. So, this is the broader mix. If you look at our presentation, it's there, broadly it is given there. And commodity gives us about 20 odd percentage. As we grow our CPD business, which is sun control, shrink as well as our IPD, this percentage will keep on changing. You see over a period of time from 40 odd percent, 50 odd percent, it has come to almost 80 odd per cent. So, there will be a little bit change in the mix going forward and we are not increasing the capacity of the commodity business per se in the Company. So, the mix will continue to be skewed toward CPD and what you call PPF business.

Deepak Joshi : Just one comment on that. As Hari explained, CPD is 50%, then other value-added products are roughly 30%. So, 80% comes from value added products and with more capacity utilization of PPF and then sun control, this number is further going to increase on value added because all the expansions, all the drive to grow the business is towards that segment only.

Harsh Mulchandani : And second is the new lines which we started, lamination and for PPF, what is the current utilization? And say for example, we go for a new capacity addition. So, what is the time to add that line from drawing board to actual installation? Just wanted to get that timeline also.

Deepak Joshi : PPF, we have already discussed, like the current utilization which we declared was like 50% to 60%. But looking forward, I mean we have a target to complete full utilization by the end of this financial year. So, we are on track in terms of PPF. Whereas on sun control, it started in December '22 only. So, it's 4-5 months. So, it takes and the market scenario is still not what it used to be. So, it is at the rate of around 20% currently. PPF, we are on track. On sun control, as per the current situation, it is around 20%, but it will grow very fast. And in case of any better correction comes from Europe and USA, then it will quickly jump into utilization. And in terms of new addition to the capacities, see, our direction is for these kind of consumer products for future. So, we have made provisions of space, building, utilities and everything for further ~GARWARE . '!! HI-TECH FILMS
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expansion. As soon as we trigger that for the new line, within a year that will be installed because groundwork and everything is ready.

Harsh Mulchandani : So, should we plan for PPF assuming we get full utilization this year, so for next year, we can have some lines being planned in this quarter and at full capacity, so that we can go beyond Rs. 2000 crore, Rs. 2500 crore of revenue.

Deepak Joshi : Yes. We are certainly looking in that direction, but the decision has not yet been made. We are in discussion in line what you're asking. So, the direction is quite clear. But we are just seeing some factors because we also want to be sure to put the CAPEX, which will give us good returns. So, we are evaluating that. And we have envisaged that kind of growth. That's why our direction in the last 3-4 years has been towards these kind of consumer products. And that's why we have built, I mean the basic infrastructure to go for expansion in a quick, I mean span of time.

Moderator: The next question is from the line of Shrinjana from RatnaTraya Capital. Please go ahead.

Shrinjana : I firstly really appreciate the detailed presentation. So, my first question is on for this particular quarter, sir. We saved about Rs. 15 crores on the other expenses side because of which we could control the drop at the EBITDA level. So,

I just wanted to understand what led to those savings?

That would be my first question.

Hari Nair: See some of the savings is on account of what you call cost measures as well as on account of volume change as well as it includes freight also. So, freight prices have come down. So, it's a mix of it, not one particular factor and primarily these are the factors which have led to the reduction.

Shrinjana: So, should we assume that that will continue like this kind of in terms of expenses as a percentage of sales the OPEX?

Hari Nair: OPEX will continue. Also, if you look at one of the slides which we have given, we are also trying to genuinely reduce the fixed cost also because ultimately we'll have to keep control over

cost also. So, we are like trying to lower the ratio now. At what timeframe we will be able to do, we will have to see because there are multiple issues we need to navigate, but that's something which we are trying to do. So, ratio will be, you can assume this number, but our idea internally is also to look at it a little more closely, trying to bring it a little lower if not much lower than the existing level.

Shrinjana: My second question is, we have two subsidiaries in the US and UK, right. So, do we also keep inventory there in order to sell in those markets? And if yes, like what would be the typical inventory holding period?

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Deepak Joshi: Yes, we do not keep anything in the UK subsidiary. We keep at USA because that market is quite big for us and the orders we need to cater, we need to compete with our peers there. So, the typical period is 30 days, I mean almost 30 days sales volume usually we keep there.

Shrinjana : And has it increased lately or is it the same inventory cycle?

Deepak Joshi: There were some patterns when there was inventory last year when the supply chain was slow and material then suddenly picked up. So, that was the 2-3 months period where it went a little high, but I mean somebody else asked the same question, so it has been mostly corrected and slight correction is happening. Now we are seeing that correction. So, it will be complete now.

Shrinjana : Just one more question, if I can ask. Regarding the demand side, since we have exposure to the US and UK market and exports in the US and UK, there is some weakness. So, are you also seeing that kind of weakness?

Deepak Joshi: So, if your question is are we also seeing demand slowdown towards US and Europe, right?

Participant : Correct, yes.

Deepak Joshi: Yes, actually, I mean I would say on sun control side, yes, we have seen that because there was a lot of stagnant growth in US because of low car sales last year and then because of high inflation, there was a lower trend for sun control films, but at the same time, the similar volumes have been picked up in PPF. So, PPF has increased quite substantially, whereas there is a slight drop on the sun control side.

Moderator: Thank you. Next question is from the line of Dhwanil Desai from Turtle Capital. Please go ahead.

Dhwanil Desai: So, my first question is on sun control. So, you mentioned that we are primarily focused on the automotive side and we are working on the architectural side. So, if you can give us some sense as to our total revenue of 600 something crore? What is the automotive and the distribution channel for architectural, sun control would be very different. So, even though we are introducing a new product, how do we want to scale it up and will it be kind of help us take that sun control to grow at 20% kind of a number going forward, how do you guys look at it?

Deepak Joshi: Yes, actually, if you see the nature of both films in window films, in architectural as well as automotive is different. And the distribution network is also quite different. It's not that the same distributors do not do, but there are people who are expert

in, they are especially focused on architectural segment. So, to answer your question like for us we have appointed new distributors in the USA who are actually working mainly on architectural segment. So, if I say the films which we are talking now, designer film, decorative films and some specialty films in architectural segment. So, we have hired distributors who have got that kind of penetration into the market that is one way and then we are also creating that kind of similar value or market ~GARWARE . '::!! HI-TECH FILMS

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creation in European market as well, where we have hired some new talent, who have been working in similar field and similar products. So, that is number two. So, hiring the new distributors in that territory, appointing them and then hiring new talent. And also, the focus since last one year have been like the products which are especially made for Europe market, which is mainly after this energy crisis, there has been a big pickup on architectural segment, so that opportunity also been tapped and some of the products which I said we are developing are in that segment.

Dhwanil Desai: Out of current revenue on sun control, is it safe to assume that large part is only automobile and architecture is a very small number?

Deepak Joshi: Yes. Till date it is roughly 80 -20, 80% automotive and 20% architectural. I will have to also look into that. But our target is to at least go 30%-35% on architectural segment and balance on automotive. So, having said that, automotive won't drop, it will continue to increase after this, whatever the short-term issues are going on, but at the same time architectural segment, we have done as I said, the efforts have been put, new product, new territories and new distributors and new talent in sales. So, this is the strategy to grow the architectural segment.

Dhwanil Desai : And my second question is on PPF. So, we have mentioned that the global market is around

\$300 million and I assume that the US will be a large part of that and we have our ambition to take 8% to 10% market share. So, is it like we are looking at a \$10-\$12 million kind of a revenue in PAT and when we say 10% market share and to tie this in, if you look at companies like XPEL or others, they've all grown at 20%-25% this year, so our numbers on growth side have been stopped. So, do you think that going forward, we will catch up and grow at much faster rate to get this market share?

Deepak Joshi : Yes, because the basic difference is, as I said, these players are there for the last 15-20 years where we have started our drive for the last 3 years. But the basic difference between them and us is that we are a strong manufacturing company having our own R&D, our own components. So, we are already catching up. So, definitely as I said, the target once again saying to complete full utilization by end of this year. So, that means our volumes will be quite different and quite strong going forward on PPF.

Moderator: Next follow up question is from the line of Kashyap Karthik from Table Tree Capital. Please go ahead.

Kashyap Karthik: Sir, the brand Global brand Garware, everything is owned by the listed entity, right? No other entity owns it.

Deepak Joshi: Yes, it's owned by Garware Hi-Tech Films Limited.

Kashyap Karthik: So, Global Garware and anything related to Garware Hi Tech Films is owned by Garware Hi Tech Films essentially, right? No other private company. ~GARWARE . '::~II HI-TECH FILMS

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Moderator: Thank you. Next question is from the line of Anshuman Sharma from Control Print Limited.

Please go ahead.

Anshuman Sharma : I have only one question. I want to know that as we know our company has huge freehold land, so is there any plans to monetize it?

Hari Nair: So, see, there are 2 sorts of land. One is this Vile Parle property where we have

corporate office

which I have discussed about just few minutes back. Then we have some property in Nashik where we had some factory which we are trying to monetize. From a monetization perspective,

we will take up Nashik Plot first and then of course look at Bombay also closely. Anyway, we are working on Bombay. And in respect of Aurangabad, we have two freehold properties, both we are utilizing for manufacturing purposes. So, as of now we will continue with the manufacturing process. So, monetization part, we'll have to look at Nashik as well as Mumbai Parle area.

Anshuman Sharma : So, Sir, by when we can expect this monetization complete?

Hari Nair: Nashik, Mr. Deepak Joshi is working on it. Now see, when you go and talk to the market players, there are multiple prices which we do get. Now it has to come to the range where we believe it is market rate. We don't want to like there is no exigency in the company that we need to sell immediately or something, so we want the right price to come at a right. Nashik is clear sale.

There is no development. It is clean, we can just sell it off. We are waiting for a good price to come, we believe. We have kept a stiff price. If we get the price, we will sell it off. Bombay, there are a little more what we call angles to look at. So, maybe it will and both are of similar value for that matter. It's not that Nashik is a smaller value property. Both are of similar value property and also we don't want to short sell anything, everything has to come with the company proper value, everything has to come it has to be right, so we are working on it.

Moderator: Thank you. Next question is from the line of Naitik Mohata from Sequent Investments. Please go ahead.

Naitik Mohata: Sir, I just want some clearance regarding the PPF line that we had set up. So, I have an understanding that the peak revenue capacity of this line was somewhere around 300 crores. And in your June 2022 quarter call itself, you had mentioned that we have generated somewhere around 80 to 100 crores from the PPF segment. So, at 50% capacity, I believe there has been no growth since the last one year. So, is my understanding correct?

Deepak Joshi: No, actually, we explained, even Hari also explained some time back that last year we had lot of backlogs of sun control films because there were issues in the market owing to supply chain situation and many producers going out of market. So, this line is a fungible line. So, we used some components of sun control film to produce to clear the backlog that's why that utilization was high, but that was not 100% PPF line for PPF product. Whereas if you compare now this ~GARWARE . '::~II HI-TECH FILMS

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year and going forward, now everything is in that line because we have new lamination line anyways in place which has got capacity. So, now we are utilizing PPF for PPF purpose only.

So, that's why the numbers are looking like that . But again, the full capacity as you rightly mentioned, you can take 300 crore and that these kind of numbers we have a target to fully utilize the line by end of this financial year.

Hari Nair: See if you look at PPF-PPF previous year to current year, the growth has been 300% in volume terms and so the growth is huge and we believe that this what you call full utilization of capacity we are targeting. Now there are other market factors also we need to look at, but this is something this growth what we call increase in volume growth is some thing which we are working on.

Naitik Mohata: Right sir, that is quite understandable. So, definitely we were getting good margins when we were making sun controls films rather than PPF line. So, my second question would be so regarding PPF and sun control films, so do we have any deals or tie-ups with the car manufacturers itself that we sell these things right when the car is purchased from a dealer or all of the

se have to be purchased by the customer after they purchased the car?

Deepak Joshi: See, we have arrangements with two manufacturers already and there are more discussions on to have that. At the same time, we have around 100 dealerships who buy directly from us. So, there are two things. One is a car manufacturing company directly asking for this product. So, we have two such companies already and there are more in discussion and other than that we have 100 dealers where we directly supply the material. So, that is another way and we have a target we have shown in the presentation to reach that kind of number to 500 and of course the maximum number of manufacturers, we will try to go directly with them. So, to answer your question, it's both.

Naitik Mohata: So, these tie-ups, are these exclusively for India or exclusively for US or something like that?

Deepak Joshi: So, no, I'm talking as of now for India only. For US market, yes, there are in fact for Sun control also or PPF also, there are distributors and there are some customers who have directly tied up with the manufacturers there because in India we are doing everything to increase the volumes and all. In the US, we have a very strong presence by our distributors who are local people there and they have got good connect. So, in that market, they are doing this tie ups and we are directly supplying from here, here means from global in USA. So, the answer holds true for both of them. But in India, the Garware directly doing all those things. In the USA, the distributors are doing that.

Moderator: Thank you. Next question is from the line of Shubham Agarwal from Aequitas Investments. Please go ahead.

Shubham Agarwal: Sir, I had one question regarding the margin. So, if we observe the last 10-12 quarters, our EBITDA margin has been kind of going down significantly from almost 27% to now 15%. Now ~GARWARE . '!!!I HI-TECH FILMS

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given that we are into specialty and we expect the margin to remain slightly stable. So, what is the reason for such a massive fall and how do we expect the margin or what is the level that we expect the margin to stabilize?

Hari Nair: Shubham, see we need to look at 2 segments separately, one is in relation to CPD products, margins are stable. In fact, we are able to do as well as we have been doing earlier. Now there are certain commodity products, which we do sell, earlier it was around 20 odd percentage. The margins do come down at that particular segment. Last quarter was not that good. Maybe the whole year was not that good. So, the average has come down primarily because of this particular aspect. Anyway, that's not something which we are what we call focusing on, because our idea is to increase volume and value vis-à-vis value-add products. So, as it goes up and the percentage will stabilize. So, Deepak, maybe you can add.

Deepak Joshi: So, again, as Hari explained, so that 20% which margins were rock bottom, but we assume that has reached to its lowest possible and the only sign from there is it can go slightly up, but our focus is not that. Again, our focus is to PPF and sun control, which we value and there these margins will be stable and the volumes will pick up. So, overall average EBITDA margin should increase going forward, I am saying stable to strong.

Shubham Agarwal: No, but the margin at what level should it stabilize like any number that you have in mind?

Hari Nair: See couple of factors we need to look at dynamically. We can say that current levels is a good number to look at from an extrapolation perspective, but we are also looking at what we call PPF growth. Luckily PPF as well as sun control, we are at a similar level. Shrink margins may vary. So, overall current levels you can consider as a stable number now under the market forces change dramatically on IPD or something, current level should hold good. PPF, also, we

will be

able to hold good, I think broadly it looks like these numbers we can like this can be managed.

Deepak Joshi: Offline we can't calculate right now, but the thought process is more volumes of specialty and then percentage of commodities is already very low. It will go further down to making that EBITDA percentage stable or better.

Shubham Agarwal: Understood. Fair enough, sir. And lastly, one second question on this PPF. So, what is the total CAPEX required for adding a new line if we decide to do that?

Hari Nair: So, see most of the infrastructure has been completed. We need to just acquire the equipment now. Currently, we believe whatever was the number which we had spent out last year about 30%-40% was for the infrastructure that we did not do it again, so we will the CAPEX of say 100 crore around that level. We don't know, of course put a caveat we don't have any agreement. We have not signed any papers with the supplier etc., but this looks to be a rough number which we can think about. ~GARWARE . '::~I HI-TECH FILMS
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Shubham Agarwal: So, this will basically on 100 crores, we can at most double our revenue potential, which is currently 300 to 600. If I assume correctly, right?

Hari Nair: Correct.

Shubham Agarwal: And is this the same case with the sun control film?

Hari Nair: Sun control, investment is little higher, so the basics remained same. The infrastructure has already been put for the new sun control line also. We need to only acquire the equipment. Of course, the value of equipment is on the higher side.

Deepak Joshi: Because it just we have commissioned the line 4-5 months back, so that will take a little longer in that process, but on PPF, we will be working fast in reviewing the numbers.

Moderator: Thank you. Next question is from the line of Keshav Garg from Counter-Cyclical. Please go ahead.

Keshav Garg: Sir, I just wanted to understand one thing. Sir, our EBITDA last year was 230 crore and our sister concern Garware Technical Fibres, their EBITDA was also 230 crore, so both companies are debt free. So, how come their market capitalization is almost 4 times our company?

Hari Nair: So, Keshav, see, we don't want to comment on the market cap or share price. I think we will rather focus on selling PPF and sun control and then be happy with that. Now of course, people markets look at variously. In fact, one of the complaints have been we have not even had a call for last one year. So, there are multiple smaller factors and many people have clubbed us with the commodity market. Now if you talk to many people, the investors, they were thinking as more like a commodity player, not as a though we have been telling earlier also it's not first time we have been saying all these things, but that's the scenario. From a market cap perspective or share price perspective, we would not get into that kind of thought process. Let us complete the process of selling as much sun control and PPF as possible.

Deepak Joshi: Yes. So, again, I'm just complementing what Hari said that the company once again it's a R&D driven new product development, high quality consistency having 90 plus countries exports, so our focus will remain there to fill the line of PPF fully used, then sun control fully used and think of further expansions and all. So, all those things will be in our mind. And again, we are a company which makes product which nobody makes in India. So, our peers and ours, there is no comparison. So, we will set the tone like that. We will do our work and that market to its own course of actions.

Keshav Garg: Sir, the thing is that Garware Technical Fibres has done 5 share buybacks, whereas sir, we are just sitting on 250 crore of net cash. We have over 200 crore of operating cash flow every year, which is more than sufficient for any CAPEX that might come in future. But sir, still neither its ~GARWARE . '::~I

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dividend going up nor is there any share buyback. So, there is a limit to how much you can top down your stock?

Hari Nair: Firstly, we do not want to top down our stock for sure. See the cash will be required, in our humble opinion, maybe in the near term. Of course, expansion is something which we are looking at. See we have to build the whole infrastructure. We need to only buy the equipment to double our capacity for PPF and not exactly double, but at least 30%-40% increase in the whole sun control area space. And if we can do without that, why not do it. So, cash is something which is required. Anyway, having said that, the cash is not some, we will have more cash because we may at some point of time selling our Nashik land. We will do something with that. So, the cash will come up. The idea is to build a good balance sheet, get good technologies. Maybe if we get some good cut technologies to acquire, we will do that. We don't know it. Currently, a lot of things are uncertain. We don't want to comment on future course of action. Immediate one and half year goal fill up the existing capacity which we have and as we reach the capacity utilization as we are able to foresee a position where we are able to fill up our capacity, we will surely use the existing cash to what we call build new line s because all those things take time. You give money. It takes time. So, all these monies are required. It's not like we broadly do believe the money will be issued, but if we think otherwise, of course we will come back.

Deepak Joshi: And just to add on Hari's thing, when he said that we have built, so this new line we have made replica of the building, I mean the building can accommodate 2 lines. I mean one has been

operational. Another thing is fully ready with all the utilities; building, everything is ready. We just have to put the equipment whenever needed. So, we know that the market is going in the right direction. So, we will utilize our cash into that area.

Keshav Garg: Sir now the apprehension is not the cash. Cash will surely increase on the balance sheet, but whether that cash will reach the shareholders, that is the main apprehension. So, anyway you have addressed that question. So, now the second thing is that we are trying to see...

Hari Nair: Cash is for shareholders. See Keshav, let us set it right. Cash is for shareholders. So, there is no question. There is no question how will we use the cash. Cash is purely used for what we call, we have kept it primarily for expansion purposes, no other purpose.

Keshav Garg: Thing is, we are trying to sell our PPF in the domestic market under the name of Garware Application Studio. Now, sir, the point is that nobody will put PPF in a Maruti or Mahindra car. They will put in an imported brand BMW, Mercedes and so on. So, now if someone is buying a foreign branded car of let's say 50 lakh or 1 crore or above. So, they will go for 3M, which is a foreign brand, and their main pitch is that we are a foreign brand and whereas we are trying to sell it under Garware Application Studio. So, why aren't we trying to sell it under the Global Film brand? ~GARWARE . ::|| HI-TECH FILMS

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Hari Nair: Keshav, primarily we are targeting as much as export market as we can. So, last year, just to give a rough estimate, 70% of our PPF was used by the USA. So, it is that much which we have sold in US market, we are talking of 30%-40%-50% utilization going forward in India and Garware is a brand which is a very strong brand. 3M is not even what you call manufacturer of their own product. We do not want to top down any other thing, but broadly we believe in our manufacturing capacity, we believe in our product capacity, and we will grow on that basis.

Deepak Joshi: Yes, I will tell you the numbers like we keep track

of this thing, as I said, if we compare two years back, India sale is now 10 times of PPF we are selling in India market. That is number one.

Second is not true that people do not put on low and I won't name Maruti and all, but the higher selling are the Harriers and Scorpio and XUVs and all. So, we have all the records and everything and we are seeing the growth is going on all those segment, right. And the second thing is whenever we go to the market, we have a very strong survey of the market. Our team is on the ground and we do surveys as a third person, and we understand that Garware brand is quite strong on sun control and now same kind of perception on PPF also. So, we are doing really good on that and these are data proven scientific research which we have to support our arguments.

Moderator: Ladies and gentlemen, due to time constraint, we'll take that as the last question. I now hand the conference over to the management for closing comments.

Deepak Joshi: Yes, I would like to express our sincere gratitude to all the participants for joining us today and contributing to this engaging discussion. Your presence and insightful questions have been valuable to us. We remain committed to pursuing our business strategies and overcoming obstacles with determination. We are grateful for your continued support and trust in our company. Should you have any further question or require additional information, please do not

hesitate to reach out to us or our IR team at Ernst & Young LLP. On behalf of the management, we once again extend our heartfelt thanks for your time and participation, take care. Good bye. Thank you.

Moderator: Thank you very much. On behalf of Garware Hi-Tech Films Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you. ~GARWARE . ::|| HI-TECH FILMS

Call: Aug 2023

GARWARE HI-TECH FILMS LIMITED
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August 25, 2023

The Compliance Manager BSE Limited Corporate Relationship Dept., Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai 400001. Scrip Code: 500655
The Manager, Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra-Kurla Complex,
Bandra (East), Mumbai 400 051.
Trading Symbol: GRWRHITECH

Dear Sir/Madam, Subject: Transcript of the Earnings Conference Call - Quarter ended June 30, 2023 held on August 22, 2023.

Pursuant to Regulation 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call - Quarter ended June 30, 2023 held, on August 22, 2023, at 2:00 p.m. IST.

The above information is also available on the website of the Company:
<https://www.garwarehitechfilms.com>.

This is for your information and records.
Thanking you, Yours faithfully, For Garware Hi-Tech Films Limited
(Formerly known as Garware Polyester Limited)

Encl: as stated above

Awaneesh Srivastava Company Secretary FCS 8513

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"Garware Hi-Tech Films Limited Q1 FY '24 Earnings
Conference Call"

August 22, 2023

MANAGEMENT : M R. M.S. ADSUL – DIRECTOR , TECHNICAL
MR. DEEPAK JOSHI – DIRECTOR , SALES &
MARKETING

MR. PRADEEP MEHTA – CHIEF FINANCIAL OFFICER
MR. SUNIL WADIKAR – PRESIDENT , CORPORATE
AFFAIRS & FINANCE
MR. HARI NAIR – SENIOR PRESIDENT , CORPORATE
AFFAIRS & FINANCE

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Moderator: Good day, and welcome to the Garware Hi-Tech Films Limited Q1 FY '24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing "*" and then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikas Verma from E&Y. Thank you, sir, and over to you.

Vikas Verma: Good afternoon, everyone. Welcome to the Quarter 1 FY '24 Earnings Call for Garware Hi-Tech Films Limited. On behalf of the company, I would like to express our gratitude to each of you joining the call today.

To discuss the performance of the Company and to answer the questions, we have with us from the Company, Mr. M. S. Adsul – Director (Technical); Mr. Deepak Joshi – Director of Sales and Marketing; Mr. Pradeep Mehta – the Chief Financial Officer; Mr. Sunil Wadikar – President (Corporate Affairs & Finance); Mr. Hari Nair – Senior President (Corporate Affairs & Finance).

Before we begin, I would like to draw your attention to the fact that today's discussion may contain forward-looking statements that are subject to various risks, uncertainties and other factors, which will be beyond management control. We kindly request that you bear in mind there may be uncertainties when interpreting such statements. Please note that this conference is being recorded.

We will now start the session with opening remarks from the management team. Afterwards, we will open the floor for an interactive Q&A session. I would now like to invite Mr. Deepak Joshi – Director of Sales and Marketing, to make his opening remarks. Over to you, Deepak.

Deepak Joshi: Thank you very much and good afternoon to all dear investors. We started the financial year with a strong performance despite difficulties in the industry, such as global economic issues and oversupply. Our total revenue in Q1 FY '24 was Rs. 380 crores, which is a 2.70% increase from Q1 FY '23. Additionally, our EBITDA increased by 2.9% to Rs. 72.7 crores, and our PAT remained stable at Rs. 44 crores.

These achievements are due to our focus on producing specialty films, which accounted for 83% of our total revenues in Q1 FY '24. That is up from 80% in Q1 FY '23. Approximately, 70% of the income is generated from exporting goods, with 35% of the figure coming from North America and 20.3% from Asia excluding India, around 15% from rest of the world which includes Europe, and 30.60% domestic market, that is India.

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Our exceptional performance was due to surge in quantity of paint protection film in our home and overseas markets but was dampened by weak demand for solar control films in significant markets, mainly caused by economic, geopolitical and de-stocking factors.

Let me explain briefly about our main product lines. So, on the consumer product line, this turnover of these consumer product lines mainly consists of sun control films and paint protection films. So, the turnover increased by more than 20% in Q1 compared to the same period last year.

We have reintroduced the safety glazing window film in the domestic market due to high latent demand. Our safety glazing films improve fuel efficiency, high UV rejections, protecting passengers from skin cancer, more crucially injuries caused by shattering glasses. So, it's a combination of safety as well as sun control properties.

We are in the process of creating our sales and distribution network in India to meet the domestic demand, and we anticipate that our efforts will be reflected in our bottom line in the coming quarters.

Our key export market, the U.S., fares better than projected due

to macroeconomic

improvements leading to higher volumes, especially in the premium segment during Q1 FY '24 as compared to Q4 FY '23.

This momentum is expected to continue in the coming quarters.

Sales of our solar control films remained stable. Our original production lines for solar control films are running full. Our efforts are to have the new line which started in December '22, that is around six, seven months back. I mean, our aim is to fully utilize it in the next two financial years.

The unutilized capacity of the sun control films is an additional headroom of Rs. 500 to 550 crores, and our marketing efforts will be to capture these revenues. One aspect that we are closely watching is the demand for solar control films in electric vehicles, which typically takes more films than normal vehicles.

Let me talk about paint protection films. PPF sales increased by almost 7x in Q1 FY '24. Our domestic business has grown significantly owing largely to its increased distribution network and asset-allied application studios, which have been supplemented by efficient marketing campaigns. Nearly, 35 to 40 lakh cars are sold annually in India, and nearly 40% is SUV and

luxury car segment, which is essentially the target segment for PPF in India.

We also see there is a robust demand in international because PPF is still a commodity which is increasing its penetration world over. The advanced countries like USA and China, they are at the rate of 10% to 12% of penetration, and India is at the rate of less than 0.5% penetration.

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So, the headroom in India is huge, but at the same time, the growth continues in these advanced markets where PPF is a sought-after commodity. That is also increasing. So, we see there is a robust demand outlook for this product.

In Q1 FY '24, we had about 50% capacity utilization, which is purely dedicated to PPF, but as of now, as we speak, capacity is going full, and we believe to have enough demand led traction to ensure full capacity in the coming quarters.

In fact, we have some fungible lines, fungible capacities which can be utilized to produce more of PPF, and at the same time, if this trend continues, and which we are seeing right now, we may look for further expansion in this segment.

Now let me take you to our industrial product division. The turnover of industrial product division is going down. In fact, it has dropped by around 15% to 20%. India has a surplus capacity as of now, and the demand is also going low.

This lower demand is primarily because of the seasonality where we are seeing lot of rains and undistributed, I mean, I can say the season has been very turbulent this year with lot of rains and unexpected rains, and at the same time, as I mentioned, there is a huge over capacity into the market. Margins have gone down. We understand that the other peers in the commodity business have also lost volumes and incurred losses, or their margins have dropped.

Similarly, our volumes are down too as we avoid loss making sales in the industrial product division, but our shrink film is doing stable, and other specialty products like low oligomer are also stable. The sales revenue and as well as the bottom line is also stable there, but the concern is the commodity product, which anyways we are avoiding and growing more and more into specialized segments, and focus is on to consumer product division.

Pearl float and solid white shrink, which we produced and took trial in last couple of months are now commercialized. So, this is the update on industrial product division.

Now I would like Mr. Mehta to touch face little bit about the finance.

Pradeep Mehta: Thank you, Deepak. Deepak already has given a key financial number. In addition to that, we have paid around 50 crores debt in this financial year which is resulting in a current outstanding term loan balance at

73 crores as on 31st July.

We are also able to achieve a solid ROCE of around 20%, which indicates an optimum utilization of funds generated in the business. Our robust working capital management practices have improved our working capital cycle to just 17 days during this Q1 FY '24.

So, we have already published our earning numbers and an "Investor Presentation" is uploaded.

So, now I think we can proceed to the Q&A session.

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Deepak Joshi: Yes. We hope that you will have gone through the presentation, which has been uploaded. So, we are not going through the presentation, but if any questions arises from the presentation, we will be happy to take them during the question-and-answer session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rahul Jain from Credence Wealth. Please go ahead. The current participant seems to have dropped from the queue. We will proceed with the next question, which is from the line of Chirag Singhal from First Water Fund. Please go ahead.

Chirag Singhal: Sir, firstly, I wanted to understand or get some validation on the company's growth pace for the next five, six years. So, based on the current expansions and you also spoke about some new products during the last quarter. Do you expect to at least see a growth rate of, let's say, 15% kind of number or you see it as too ambitious?

Deepak Joshi: I mean, you are talking of the growth numbers on revenue and bottom line or general market?

Sorry, I was not clear on the question.

Chirag Singhal: No, not the industry either. I am talking about your company's revenue and bottom line CAGR.

Deepak Joshi: I can say, as we said, we have a capacity which was commissioned in December '22 for Sun control films which is now being utilized in stepwise manner. So, we are seeing good growth there. And at the same time, paint protection film utilization is also going towards full. So, with these two, we are expecting the growth to happen inline, or I mean, we expect quite good growth in that. The only challenge was from the other side which is industrial product, but put together, these growth would definitely make up for whatever downturn or whatever we are seeing on industrial product. So, in net-net, I am sure we will achieve that numbers which you are saying, 15% or 20%.

Chirag Singhal: Now my second question is on the contribution from the backward integration that you have. So, you are present across the value chain right from PTA, MEG to the final value-added product. So, how much would backward integration contribute to your sustainable EBITDA margins?

Deepak Joshi: Actually, I mean, difficult to quantify, but there are some key factors which help us to make consistent quality and the new product development and consistent quality. These are definitely which we are always ahead with the competitors. And recently, in the last couple of, I mean, I can say since last two, three years, our focus has always been to launch the new products like we did PPF and we did on floatable shrink and solid white shrink and all those things. So, these are all coming because of our capability to make the raw materials for our products. So, when we talk of, as, again, our, if you see the numbers of the peers where they have been, it is going continuously down, but for in our case and we have been able to maintain our new product line and continuous growth because of this.

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So, whenever there is a better market for commodity side, then you would have seen a much, much better numbers than our numbers we have shown currently. So, in other words, that helps us a lot, and that will, in fact, give us higher EBITDA margins in going forward whenever we, I mean, continuously innovate our components.

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Chirag Singhal: And even on a blended basis, I think, the numbers should be higher than 70%, 80%, right? Because currently, if I look at your sales mix, 20% comes from the commodity films. So, once we see normalized margins in the commodity films as well, the blended number should be slightly higher than what we are doing currently. Is that the right understanding?

Deepak Joshi: Yes. Actually, the margins, again, depend on the product mix, and understanding is really correct, because if you see, commodity market has been going down. So, we are also selling less and less, but still our revenue and the bottom line are increasing. That is only because of the specialty products we are increasing and commodities we are reducing. So, I mean, in net net, EBITDA margins should increase from there.

Chirag Singhal: That was really helpful. So, you also mentioned those new products. So, could you please share the products as well as the market size based on which products are likely to hit the markets first? Sorry, I mean, the products and their market size.

Deepak Joshi: I think we have given clearly into the presentation where we have shown like three key products which is our sun control film, and then their market is currently \$6 billion, and then paint protection film.

Chirag Singhal: I was talking about the new products actually, the new products that you are currently working on. During the last Concall, you spoke about three to four products that might be at the R&D level and some of the products. So, I am just talking about the products that are likely to hit the markets first from your new product categories. Which products would they be? And what is their market size?

Deepak Joshi: There are many products, but because of the competitive edge and everything, we would rather not declare unless it comes to market, like we have declared this pearl float which is towards the sustainability of shrink films. So, that product, once it came into fore and now commercialized that we declared that that has come. We have a list of, we walk on the priority basis. So, our R&D team led by Mr. Adsul and the new product development team, they have their target products which are at least 10 products, top 10 products, which we are currently working on, and each quarter you will see at least two to three products coming out to the market, and then we are going to announce. We cannot do it right now to, I mean, for our, as I said, because this is for the competition sake, we can't declare them.

Chirag Singhal: And sir, just one last question before I go back into the queue. If you can please provide a roadmap for the next phase of expansions in PCS as well as the sun control films and other product categories? Also, are you running at full capacity utilization for the shrink films?

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Deepak Joshi: Yes. On shrink films also we are running full, but we have some fungible capacities where we used to sell shrink film also, and these fungible capacities are not being utilized. So, there is a dedicated line for shrink which runs full, but there is another fungible capacity which we used to run when the market was peak. So, I can say, the market, when it used to like last year when the summer was really good, that time we were using the fungible capacities as well, but this year we are not because of lower than the expected demand on shrink films.

Chirag Singhal: And if you can please comment on the road map for the next phase of expansions in PPF as well as sun control films?

Deepak Joshi: Roadmap on that, as I said, we have some unutilized capacities on the new lamination line which was commissioned six, eight months back. So, there we have some fungible benefits where we can utilize it to increase. We cannot fully utilize, but we can utilize some portion to increase the productivity on PPF which we will first

do, or we are in the process of doing.

In the meantime, also making these plans, which we will announce shortly. I mean, we are working on that direction. And on sun control, we have added around 70% recently. So, we are seeing the response which will be finalized in the next three, two months, six months' time. So, we will update accordingly.

Moderator: The next question is from the line of Rahul Jain from Credence Wealth. Please go ahead.

Rahul Jain: So, sir, firstly, with regards to the reintroduction of the safety glaze film, so what kind of market do we see? What kind of scale up we are looking forward? And what kind of traction till now we have been seeing in this product after the change of rules and reintroduction of this product?

Deepak Joshi: We have launched that product during this month only. That was 10th of the August, and we published that widely on digital and social media, and our team ran the projects, specific projects targeting the detailing centers and showrooms. I mean, we have done more than 300 showrooms in India, in Mumbai itself. So, we are doing such kind of projects right now in the Bangalore and Pune market.

So, we are seeing the response really good. I mean, that this response is really good, and we have started, I mean, we started only on 10th August, and as we speak, we started getting orders also.

So, we are getting good traction, and people are really caring for that. So, our only, I mean, plan is to as per the government regulation 50% and 70% visualized transmission we are proposing, and with that, we are getting very good traction, and we started getting orders also, and that's a really good sign of this product.

Rahul Jain: Sir, typically, what is the potential part? What is the potential of revenues in with regards to this?

Deepak Joshi: Potential revenue, if I say, domestic market is roughly, I can say, around 80 to 90 Cr per annum, say 100 Cr per annum. That is potential. I mean, we don't know as of now when we can reach

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there and around, I mean, you can assume based on that what EBITDA level would be around 20 Cr.

Rahul Jain: That's helpful. Secondly, sir, on the PPF, am I missing something? In the quarter one, we utilized almost roughly around 47%, 48%, our PPF utilization. And based on the numbers which are there in presentation, what I understand is we have done our sales of around 60 crores in quarter

one. So, typically, at peak utilization, it looks like we can probably go beyond 450 crores for PPF. Is that a correct understanding?

Deepak Joshi: Just a second. No, the line was a little unclear. So, can you just repeat the question? Rest I understood, like our utilization was close to 50%. And what you would like to know on that?

Rahul Jain: So, back working the numbers, our PPF sales should around 60 crores in quarter one at around 50% utilization. So, typically, that means at peak we can reach around 450, 500 crores of revenue. Is that correct?

Deepak Joshi: Correct. That is correct. Yes.

Rahul Jain: And your presentation also mentioned that currently we are working at maximum utilization.

So, does that mean we are roughly working today at around utilization of somewhere beyond 85%, 90% to the tune of 80 to 100 crores somewhere or more?

Deepak Joshi: Yes. So, indication is in the same line, but since we are in the quarter, I would avoid talking exact numbers. But yes, broadly, if we can say the guidelines, it is in that direction. Yes.

Rahul Jain: That's quite helpful because I think that means for PPF, it looks like now we are going to achieve much higher turnover than what we were visualizing some quarters back. Lastly, sir, on the export side, you have mentioned in your initial commentary and also the presentation about some amount of recovery on the U.S. side and some challenges in Europe and UK. So, typically, and also you mentioned in the presentation that we have increased resources in international markets.

So, just to get a sense, what exactly we are doing on the international markets in terms of

additional resources, what are we trying to do? And is the recovery in U.S. continuing to improve on a month-to-month basis?

Deepak Joshi: Yes, we are seeing actually right now it's a season in USA. That means summer is going on. So, with that, we are seeing the numbers, there is a good increase in numbers from U.S. market, and we expect that because if you really see, if you recall last nine months, that is second half of last financial year and first quarter of this financial year, there was actually lot of there was like high interest rates and high inflation were causing the sales a little bit down because of that affected the overall scenario into the market and plus there was a geopolitical tension which is going on right now in next to Europe.

So, because of that, I would say, the environment was not that good, and we were seeing the numbers also similarly towards a little lower than what we expected as a growth. But right now

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we are seeing these kind of fears are going down and the order flow from the rest of the world has increased. At the same time, it has also gone up from USA, and when we talked to the big customers in USA, and we have team who does survey for us.

So, these kind of fears or kind of people were expecting little bit down the previous year since like last nine months. So, these kinds of fears have been now swayed away. I mean, they, people are talking better than what it is. So, which are, I mean, evident from the numbers also. So, we expect similar things to go in the going forward this year.

And what we are doing? So, we are again, we are doing lot of marketing activities. We have recently done some we have done some kind of rallies where Global brand was a primary brand sponsoring them, but at the same time digital media, social media presence is going well. At the same time, we have added a top-level head count from very reputed companies in Singapore for

Far Eastern Market, then in UK for European market and on the process for a similar one high talent in Middle East Market.

We already have our presence all over the world, and like North America we have, as you know, we have subsidiary in UK and in USA. So, in both places we have local employees who are native to those countries, and we have in South America. Then we have people in Africa and Russia also, as we speak, we have still continued Russia for Russia and CS countries. Then

Europe we have a team. Then the Far East, Middle East, everywhere we have people present.

Even China. Sorry. Yes. So, all the places we have our team which are continuously into the market looking for prospects. So, our brand recall is quite a strong Global in these markets, and Garware in the rest of the markets.

Rahul Jain: One last question if I can squeeze in. With increasing proportion of PPF from this quarter itself and also considering that the utilizations have gone up to optimum and improvement in Sun control in the coming quarters, can we expect margins to be higher than the current margins and probably that could be around 100 to 200 bps higher than what we are clocking in the current quarter?

Deepak Joshi: I don't think, I mean, this question, it is like a very forward-looking statement, like how we are doing. I am saying we are doing better, but exact numbers we can't discuss.

Moderator: Thank you. We have the next question from the line of Sanjay Shah from KSA Shares & Securities Private Limited Please go ahead.

Sanjay Shah: So, first of all, very nice presentation, very self-explanatory. Sir, my question was regarding shrink films. As you have portrayed a global demand which is coming for that segment, which is growing at a good CAGR, so is the competition. And

I think in India also, we have got many manufacturers, many brands who are competing on this side. So, how we see what, how Garware will be doing and competing and maintaining and returning the margins and market share on this segment?

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Deepak Joshi: Thanks for your compliments. So, Garware, I mean, if we can go little bit on the history like we have a very strong theme of R&D, and there is a work more than 20 years put into these special products. So manufacturing these films is not easy, and many of our peers have tried in the past, and till date hardly anybody is there into the market to compete.

But, of course, even if the competitor comes, we are selling to more than 90 countries in the world, and that includes North America, South America and Europe being one of the primary markets for us.

So, we have like these products, we are continuously increasing our portfolio by giving exact requirements as per the product line of the customers. Like each, I would say, the bottle or each product is very different in nature, and Garware has capability to meet the shrinkage of them.

So, we make high shrink, low shrink, medium shrink, all kind of shrinks, and we have developed a step ahead when we go to the advanced markets like USA where dairy products are used with the solid white shrinks to avoid the UV rays falling into the dairy products. So, we have that developed, and we have like advanced markets are the customer for these products.

And then for environmental sustainability, we are the only ones who are certified by Association of Plastic Recyclers, that is APR in USA and Europe. So, our, the level which we talk is nobody is near to what Garware does.

And at the same time, I would also like to mention here that Garware also make its own resin.

We do our own petrochemical to make our own resin. Wherever whoever has tried in India or making in India are using the imported resins from China, Taiwan or Korea. We have all the Intelligence on that, but Garware's unique proposition with their own in-house capabilities, and that's why our products are very consistent in quality and always best in class.

So, as of now, we don't see any such competition which is at par with the quality of Garware, and even the best of our competitors in USA, they respect the brand Garware for its quality.

Sanjay Shah: That's really very helpful, sir. Sir, my second question was regarding PPF. We have right now 300 LSF capacity, and that is also we are increasing from here. So, how that will satisfy the growing demand geography wise? Because I suppose now, we are penetrating and opening new sales office across the globe from U.S. to China everywhere and India is also growing. So, can you highlight in, let us make it bit clear that how the vertical will share the turnover percentage-wise?

Deepak Joshi: So, we have, as we said, the capacity is 300 LSF annually, and then we have some capacities which we will use as a fungible capacity, like I explained in shrink also. We have discussed in the past on Sun control also. So, the capacities where we feel the demand is little low, there we have facilities to utilize those fungible capacities.

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So, we have a quite big headroom beyond 300 LSF and we will use those capacities to cater the demand which has been created by a wonderful job from by our sales and marketing team and our new product team which has always been giving added products, value added products

beyond each of them, like in shrink film also, like in paint protection film also. So, we will cater in this way.

And at the same time, we are also considering expansion, which will be announced once things fall in line, and we have, just to update the forum, that we have recently launched Matte PPF and a further two new variants are in process of manufacturing.

ufacturing.

Sanjay Shah: Sir, my last question was regarding this current heat wave going on in the other regions like Europe and other countries. Do we see any advantage for our product growing their demand side moving on especially Europe?

Deepak Joshi: Yes. Actually, as I said, the demand from Europe has gone up. So, one of the reason is the same what you are saying, but paint protection film is unaffected anyhow because it does not...

Sanjay Shah: No, sun control films. My question was regarding Sun control films.

Deepak Joshi: Regarding?

Sanjay Shah: Sun control films.

Deepak Joshi: Yes. So, Sun control, definitely yes, wherever we feel, whenever there is a high temperature and all these factors come in, so Sun control demand goes up. Your understanding is right, sir.

Moderator: Thank you. The next question is from the line of Harsh M from Kriis PMS. Please go ahead.

Harsh M: Wanted to check on a couple of things. One is, we have hired consultants recently. So, wanted to understand what value they have been added? And when can we see the value addition flowing down to our P&L in terms of revenue and PAT?

Deepak Joshi: Yes. On the consultants, they are working really good, and their job is to create market for us in the domestic market. So, I mean, the Garware Application Studio, as we shared in our presentation, from current numbers to 200 numbers, we have reached. Then we have to make them as per our corporate identity. So, that is there.

Then putting OEMs like manufacturers with us is another responsibility plus adding distributors and right channel partners everywhere pan India based on a number of cars sold, number of luxury cars sold, who are the competitors, how to get our business from, create the business from nowhere, and how to get the business from our peers by showing our quality and making it clear that we are the best choice for our consumers.

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So, this all is their responsibility, whereas if we talk of the, how it will help us in bottom line, so, again, quantification of that will happen a little later, but this will help us, company for next, I would say, from now to next

three to five years, because that is a brand creation and that is a creation of network where we were not present. And another way is like we have resources all around, but putting so much resources in India is, I mean, we are doing that, but at the same time, the consultants have huge resources. So, in terms of their understanding of the market by their other, by their experience of so many years to penetrate the market faster and get the results faster. So, that is another way they will be helpful to us.

Harsh M: And in your opening remarks, you mentioned that you have lost some volume in the commodity business. So, just wanted to understand if you could share the volume numbers also even for PPF not just at the revenue level? So, if we can see the traction which is coming in volume terms because price movements could impact revenue. So, if you could share that, it would be helpful. Maybe now or later in the next investor presentation.

Deepak Joshi: Yes, we can do that, but what I meant, I think we all understood. Just to make clear, when we are talking on commodities, we were talking on industrial products like packaging segment which we have been continuously reducing over many years the percentage of our commodity segment. So, there we lost volume, and we don't, in fact, not very much after that because our main focus is the specialty business.

So, whenever we talk of the label business or simple packaging business in PET there we have lost volume, and these volumes, and that's why, I mean, we have added more and more volumes on specialty, especially from PPF and now Sun control and on the shrink and everything. So, we will try to make up from there.

But commodities, of course, is not a sought-after

commodity for us, and point noted, and we

can, I mean, put some kind of numbers going forward like what dropped to how much dropped for commodity sector.

Harsh M: And just last question wanted to check. I understand that you said that you are working on the CAPEX plans, but

assuming that we have a good year, and we are more than 80% utilized this year, so we will be able to add new lines in first half of next year. Would that be feasible or there is a lead time to get those machines and then build the infrastructure and get it started? Because the way we have been discussing in the call, it seems that the demand is very good, and we would need a new line probably sooner than we had expected before.

Deepak Joshi: Yes, typical timeline for adding a line is one year because Garware has already like when we have a dedicated PPF line, and we have a space for another line to be added up with all things being available. At the same time, on Sun control also, we always make provision for the next expansion. So, we have done those provisions in both PPF and Sun control whenever they come. That means building another utility, utilities or near buildings is ready. We just have to call

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machine and put utilities to do that. So, we are on advanced level of doing all those things. So, that's all I can update. So, within a year, that's quite possible to add another line.

Moderator: Thank you. The next question is from the line of Ankit Gupta from Bamboo Capital. Please go ahead.

Ankit Gupta: First question was on the PPF. You know, this quarter itself we have done almost 58, 60 crores kind of revenue from PPF, and last year we had done somewhere around 75 crores. So, what is driving this growth? Is it our Indian business is doing well, our U.S. business is doing well or our third party manufacturing for other players? So, what is driving growth to such an extent?

Even this quarter we are saying that we have reached the optimal capacity utilization.

Deepak Joshi: So, I mean, first of all, thank you very much for your compliment, and the factor behind the growth is the work which we have been doing in last three years to establish the product because it is a product takes typically at least a year from scratch to qualify that, and it's a very tricky and complicated product in terms of quality, because many things can go wrong.

There are five components in PPF, and all are very, very critical for its manufacturing. So, it takes lot of time, and we have been putting hard work to get these things done. So, as we discussed on Garware Application Studio in India, another effort is in India, I will just explain you. When we started, some people wanted to put PPF in their top end cars, but we were not able to get the applicators for the same.

So, we started a drive to train the applicators, and we are now doing 50 applicators every month or two days training, and we also doing refreshers for them, and our team is going to wherever they are like even in Bhubaneswar, Kolkata, the Kochi or any, Lucknow, Kanpur, any cities in India, we have applicators on our role, and we are promising these people like they should be started doing the PPF, and our team will be there to give the initial support even after giving the trainings and refresher training.

So, that kind of huge network or huge work is going on to create the momentum on the ground. So, we have seen, this is only one of the difficulty I am sharing, but we have been able to do that. That's why we have seen a 10x growth on year-to-year from last year to this year on PPF, right? This is one.

And at the same time, we have customers who buy from us like window films all across the world, and we have very strong channel networks where we sell these products to them. So, it was like, again, not easy to get qualified because many of them were not doing PPF, and many of them were using very advanced products which, I mean, we were very new to the market. But over a period of three years' time, we have been able to get all this into our basket, and so that's paying for us.

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Ankit Gupta: On sun control films, we saw a degrowth in the Q1, but as per your initial commentary, and as mentioned in the presentation, our growth for sun control films is also improving. So, on a year-on-year basis for the full year, do we expect sun control films to at least grow by 10%, 15%?

So, on sun control films, our outlook seems to be improving despite de-growth that we have seen in quarter one of this year. So, for the full year, can we expect at least 10%, 15% kind of growth in sun control films?

Deepak Joshi: See, numbers are not, I mean, I can't give here because I have to do all those things, but definitely, as I said, the growth, I mean, demand is back. And one of the reasons also which I was talking previously, I would like to add that one was, one another factor was last year, there were a lot of inventory was kept by our distributors or to perceive this was true everywhere. Even Wal-Mart and Costco and all those people also got lot of inventory in first half of 2022 because the growth demand after COVID suddenly surged, and at the same time shipping challenges were there. But second half of last year, suddenly everything went down with the expectations of the recessionary trends and again high inflation everywhere in Europe and USA. So, there were inventory which was there for eight, nine months without being sold by our distributors and the channel partners world over. So, that correction, inventory correction has also been completed during I understand in last eight to nine months. So, that's why this is another factor on top of the good seasons in Europe and U.S.

Ankit Gupta: Sir, last question was on any update on land sales at Nasik and Aurangabad and we have a net cash of almost 300 crores by end of this quarter. And hopefully, this will further increase given our low working capital requirements as well as hardly any CAPEX required at least in the near term. So one request to the management was to increase the dividend payout. That will help us like at least distributing more dividend to the shareholders.

Hari Nair: So, there are the things also in pipeline, capacities in pipeline. Other things are there. We will look into this matter also.

Ankit Gupta: Any update on land sale of Nasik and Aurangabad?

Hari Nair: Aurangabad, we are not going to sell, no. See, Aurangabad is the factory premises. We will not sell. Nasik, we are in the process of getting favorable orders.

Ankit Gupta: And can we expect some news on that by the end of this year?

Hari Nair: Should hopefully, if market holds everything like good price comes, we will be able to do it.

Moderator: Thank you. The next question is from the line of Dhwanil Desai from Turtle Capital. Please go ahead.

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Dhwanil Desai: Sir, my first question is on the PPF side. So, in the current quarter, what would be the mix between the private label or white label and the brand? And going forward, the growth that we are seeing from 50% utilization to very high utilization in next two, three quarters. So, incremental growth, will it come largely from the white label because we understand you have started increasing supply to one of the leading players in overseas market? So some sense on that how the mix will play out over next nine months to two years?

Deepak Joshi: So, the typical mix what we do is like it can be 60% to 70% on brand and 30% on white label.

The reason of that we are holding one of the biggest facilities of Sun control producing Sun control films, and one of the biggest or biggest dedicated paint protection film line. So, that's why there are some good business

propositions which we always work, and I mean, so we have to do both kind of businesses, and we see which makes more sense for us. It's a business decision we keep on taking from time to time. So, sorry, what was your question after that?

Dhwanil Desai: Sir, my question was that as we go forward, will this mix change more towards white label? Because we understand we are increasingly supplying more to the leading PPF guy in the U.S. market. So is that mix going to change more towards white label? And does it have any impact on the margins?

Deepak Joshi: No, actually, this thing, in fact, not one. I mean, to be precise, we have many such suppliers on our portfolio and that so our trend has always been to cater both ways, because we also compete with them. Our Global brand and Garware brand compete with all of them, but it won't change

much. I mean, whatever we have been maintaining, because strategically also, we keep that under check where we have a strategy to do 60% to 70% on our brands and 30% on white label.

Dhwanil Desai: Just a follow up on that. So, going by that, if we are seeing such a strong growth on the PPF side in the next two, three quarters, does it mean that our brand sales also is going equally strongly? Or are we expecting that kind of growth in our own branded sales also?

Deepak Joshi: You are talking about our brand.

Dhwanil Desai: Yes. Your own brand.

Deepak Joshi: Yes. There was a question like about the consultant also. So, what we are doing is, we are creating, first of all, the demand for the product. And at the same time, we are creating a strong brand recall for our brand in domestic market as well as world over, and already we have a very strong brand in U.S. for Global, and for South America Garware. And in India and neighboring countries, we have a very strong brand Garware. So, we are continuously putting efforts to increase the brand presence and brand recall, and that's why we have hired external agencies also and social media agencies also we keep on going to the best in the world.

Dhwanil Desai: And sir, second question is on the sun control side especially in the U.S. market. So, if we look at even the recent result of XPEL, they have grown sun control at more than 30%, and their increasingly more revenue new share is coming from sun control. So, any threats in terms of our Garware Hi-Tech Films Limited
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market position in competitive landscape, and how we are competing, what incentive we have to give to keep market share? Any color on that?

Deepak Joshi: See, actually, if we really see the expansion on the productivity, there is hardly, I mean, in USA and Europe market, their production capabilities or new manufacturing is not increasing. Whatever is increasing is into the China and Korea and Taiwan, these kinds of countries.

Now, the advantage of Garware is Garware makes them under deep dyed polyester technology, which is available to only Eastman Group and to Garware, right? So, there may be a lot of competition in the market, but the real product quality comes from deep dyed polyester, deep dyed window films where the product quality remains very stable. It does not fade away, and many other properties come like rejections and all those things are quite good. And lastly, the aesthetic is also quite different.

So, with this, I mean, with our brand recall, and at the same time, the partners who are working with us world over, with that support, I think would be to be, in fact, we will continuously to grow, and we keep a strong track of all those things through third party agencies also, like how the market is going, what is our market share, is there any threat or something. So, there is always whoever is coming new into the market, they are always trying to cater to the very lower end market which our presence is very minimal, because we are a high quality high-end products. So, if I give y

ou an example, in India also, if you want to do a car, you can also do in 1,000, 2,000 versus our brand is around 20,000 top end products. So, our range is very different from the competitors, and that is continuously stable or growing into the rest of the world.

Moderator: Thank you. The next question is from the line of Shrinjana Mittal from Ratnatraya. Please go ahead.

Shrinjana Mittal: Just two quick questions. One is like one on the PPF line at like full utilization, what is the revenue potential that we see?

Deepak Joshi: So, actually, we have declared 300 crores, but now looking into that, it might go even beyond 400 crores. So, that's annual that can go into that line.

Shrinjana Mittal: Also, the second is like a bookkeeping question. If you can provide the mix of between the Sun control films and PPF films shared in the last quarter, Q4 FY '23?

Deepak Joshi: Percentage of Sun control and this?

Shrinjana Mittal: Yes.

Deepak Joshi: It would be roughly, if I give you in the last quarter included revenue wise, it's like 65% to 70% of Sun control and 30% of PPF. So, yes, actually, what we are doing to increase the productivity
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of PPF, we are using that in a fungible set of this thing. So, it would be but still, I mean, 70%, 30% as of now, and with the growth that might increase, 70% of Sun control and 30% of PPF.

Shrinjana Mittal: Out of the total CPD division, right, so what would be that share? Like, we don't know that as well.

Deepak Joshi: See, actually, as we said, CPD, all the facilities we count together. So, giving that exact breakup will take some time. I don't have numbers in my hand. So, my finance will and...

Shrinjana Mittal: I'll take that offline.

Moderator: Thank you. The next question is from the line of Yogansh Jeswani from Mittal Analytics. Please

go ahead.

Yogansh Jeswani: A couple of questions on your PPF business. So, if my understanding is correct, your Sun control films is quite strong because of the backward integration that we have, while in the PPF we still aren't very backward integrated. We are still importing couple of films and adhesives and then working on it in our facility. So, if you could share what is the technical expertise that we have in PPF, how much is the value addition that we are doing, and how confident are we in terms of being able to make margin similar to how we have in SCF given the limitation that we have in terms of backward integration?

Deepak Joshi: So, on PPF, this is relatively a fairly new business for us. So, to stabilize the quality, we have used some top of the class products to start with, but we have actually almost all the components developed except one major film, which is a different segment which is not a polyester film. So, apart from that, all the components and adhesives and everything have been developed by our in-house team, and it will take some time. Your understanding it, I would say, outstanding. So, in going I can say six months to one year's time, we will be, I mean, we have developed everything, but once the product is stabilized, we have taken three years of hard work to penetrate into the market. So, before going to market with changes into the product, we always be doubly sure or triply sure, and we do our own aging test, accelerated weathering tests and lot of other tests before we put any minor change also takes a big, I mean, a long time period of validation process whichever R&D and NPD team does that. So, Mr. Adsul, if you would like to add anything on that?

M. S. Adsul: In fact, this whole development process starts from the laboratory, and we are fairly close to commercialized some of the raw material required for that PPF, finished PPF. It really takes even for developing one component like adhesives, it takes almost a year to develop like from laboratory to plant scale. So, it's a long way journey. I would

say, not even six months, but at

least commercializing all these products may take around one to one-and-a-half year time to fully convert in-house for that.

Deepak Joshi: Yes. But in all said, what Mr. Adsul said has already explained, but as he said, we have developed or we are in the final process of that, but it could take some time to come to put into

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the market very slowly, and it will go there. So, it will be exactly like what we do 100% in-house components for Sun control of more than 100 SKUs. Similarly, it will also happen in PPF. In fact, some of the products are already coming with our components already.

Yogansh Jeswani: So, safe to assume say for next one or two years till the time we develop a lot of these raw materials in-house and then we do the quality check and whatever the requirement is, so next one or two years, as the business scales up, we could be somewhere mid teens EBITDA margin business, the PPF segment I am talking about, and once we get all those things stabilized, then it can gradually move to 20% above EBITDA margin?

Deepak Joshi: Perfect.

Yogansh Jeswani: Sir, secondly, again, on the PPF side, just to get a bit more understanding on the U.S. side of our business. So, given that one of our largest customers is also having their own brand, and we are doing contract manufacturing for them, and we also have a vision to establish our own brand, not just in U.S., but in India and other markets also, so, typically, we have seen that such kind of dynamics don't play out quite well. So, how you as a management think about it? Or what kind of discussions have we had with the customer? How comfortable are they with us bringing our own brand? So, if you could just talk a little bit more on that?

Deepak Joshi: No, I didn't understand that question. I mean, you were talking on the contract manufacturing of some of the...

Yogansh Jeswani: Yes. So, we are doing contract manufacturing and also our own brand. So, this typically becomes a conflict beyond the point. Once we scale, then it becomes a challenge.

Deepak Joshi: No, actually what happens we are doing for many manufacturers for USA, right. There are many. In fact, there are, some of them are themselves manufacturers means they produce many Sun control films and paint protection films, but still, we make for them because sometimes it makes sense because we have a large facility which continuously produces very highly efficient product, good quality products, right?

And as I said, we have one of the largest facilities. So, we have to do that to continuously run, but at the same time, they compete against us because the market is quite big, and the product range is quite there are many, many varieties, more than 100 SKUs in different colors, different VLTs, different IR rejections and all those things.

So, in that way, we co-exist with them, and this has been not only in for USA. There are some parts of Europe also it is true, but that goes really well with the understanding that it is very confidential like who we supply to, and they also maintain that because it's a win-win for both of us.

Yogansh Jeswani: Sir, last question from my end. In terms of our overall percentage PPF sales, how much do we expect the contract manufacturing to contribute in say next one to two years?

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Deepak Joshi: I think we discussed, I mean, repetition of that. So, overall, it's like I am saying, we always control 60% to 70% on our brand and around 30% on the contract.

Moderator: Thank you. The next question is from the line of Subham Agarwal from Aequitas Investments.

Please go ahead.

Subham Agarwal: Most of my questions are answered, but I do have a few clarifications. So, firstly, on the last year annual report, in the related party transaction, we see that 50 crores ha

s been given to

Garware Industry Private Limited as processing charges. So, I just wanted to understand what is the nature of this expense, and if you can elaborate on the same?

Hari Nair: Basically, the processing charges which has been paid. The dyeing work is done at GIPL. So, this has been a regular feature. It's the same thing.

Subham Agarwal: So, if you can just elaborate what is exactly that is getting processed for our understanding?

Hari Nair: Deepak, you would like Mr. Adsul to look at it. So, Subham, just to give a highlight, the dying process, the deep dye technology which we have, deep dye technology in a generic manner without going to specific, Mr. Adsul will explain. This particular technology is not available normally with other manufacturers. In India we have one and one is in USA. So, only two manufacturers who use this technology. That helps us do dying, deep dying of our films which gives us a long lasting quality of our sun control films. So, like, comparatively, there are multiple other way of getting sun control films done, glue technology and multiple other things which others can explain, but in comparison, much more robust and much more long, what you call, long standing kind of feature is available with our products primarily because of the technology or the processes which is being given by GIPS.

So, this has been a symbiotic kind of relationship has been there since almost a decade or more, and that's what is there.

Maybe if you want to have a little more high-level knowledge on the technology front, our technical team can explain, but this is a broader, and it's primarily done on a volume basis, completely much cheaper than what we get in market. So, it's not if you go and try to obtain it abroad, if we are able to get it, it will be much costlier. We are getting it done at a very good price. So, from that perspective, this is something which the relationship has continued for years. It has been successful.

Subham Agarwal: Given the materiality of the expense, can't we do it in-house?

Hari Nair: We can do it. It's not that we can't do it. Then we will have to see, then there are couple of things we will have to look at. We will have to either merge the company with the private public listed company merger. So, there are other things which, of course, we are not as of now thought through because we are in the process of adding different product lines etc. We have not looked at this particular aspect that how to in-house this home product. Maybe at some appropriate point

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maybe we will look at it, but we have not really thought over this particular aspect, but acquiring the process et cetera maybe we can try.

See, one point is we can always try. Currently, GHFL does have ability to try, but then we will have to at some point of time run a parallel process, invest that much amount of money, and then also possibility of what you call, getting it right, incorrect, and then running with the other contract also.

So, we are continuing with the existing contract as is various basis and the product lines are running fine. Profitability is coming from that particular product line. So, it's being run in that fashion, but going forward, maybe depending on time and circumstances, if necessary, of course, everything will have to be looked at. This also will be looked at.

Subham Agarwal: And sir, secondly, my question was related to the PPF division. So, earlier in the call, you mentioned that at an appropriate time we may look to add one more line given the demand. So, what would be the typical CAPEX for adding one more line, if you can highlight that?

Deepak Joshi: This would be roughly, I mean, in the range of 8,200 crores.

Subham Agarwal: And sir, is it also okay if you can share what is the typical margin at PPF division that we are getting currently?

Deepak Joshi: Tha

t actually, roughly, yes, it's a competitive information. So, we would like to avoid. I am sorry for that.

Subham Agarwal: No problem. Fair enough.

Moderator: Thank you. The next question is from the line of Aman Vij from Astute Investment Management. Please go ahead.

Aman Vij: Sir, my question was on Consumer Product Division based out of India. So, if you can talk about what is the number for today, as of today, and where do you see this number in the next two to three years given now we will also be launching, we have already launched sun control films also for India? So, if you can talk about this?

Deepak Joshi: So, Consumer Product Division has two products. One is PPF. One is Sun control. So, PPF, we have done remarkably well in the growth has been quite substantial as compared to last year, and it was almost a nascent market when we started from almost no base, and we have created the market, and now we are creating branding along with the market. So, both things are really doing good.

On Sun control films, we have done safety glazing material as per the government rules of VLTs, and at the same time as per the BIS standards, that Bureau of Indian Standards, the rule is IS 2553, where it mentions like what kind of film it should be. So, the conformity has also been

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tested. So, we have launched that product, and we have already started getting good traction and getting orders for that. So, in all likelihood, as I said, if you ask for a timeline of two to three years, I can foresee around 8200 Cr of top line and around 1820 Cr of bottom line.

Aman Vij: No, sir, that you explained. I was talking about the whole India business combined PPF plus SCF.

Deepak Joshi: PPF plus sun control?

Aman Vij: Yes. For India only specifically, where do you see this business in the next three years?

Deepak Joshi: So, I will address both separately then, because there has been different dynamics on that. So, PPF, as I said, we have done quite good growth in last one year, and that has been an increase on month-on-month basis. So, we expect somewhere around, I can say, another roughly six to seven lakh square feet which we are targeting in a year's time. So, that roughly translates into, again, 100 odd crores only on PPF.

And sun control, it all depends of how because there nothing is, I mean, we are really doing well on PPF. So, I can safely assume that this is the revenue we can generate from PPF. When we go to Sun control, again, I can see similar numbers, but there are some insane words like how it is, how receptive the market is, because earlier we were doing a big volume and Garware's sun control was a name, a big brand. I am sure we will be able to do the same like what we are doing in PPF, but it is yet to be seen.

As I said, we just launched a product on 10th of August. So, we will see the response. Then I will be able to comment like how fast and where we can go. Though we have the target, but the possibility of achieving them, we will like to take some time before we announce anything on that.

Aman Vij: So, on PPF, when we talk about full utilization of 400, 450 crores sales, only 100 crores will come from domestic. Is my understanding correct?

Deepak Joshi: Yes, it's a domestic we are talking. So, overall, we will expect more than 400 world over, and out of that, 100 might come from our domestic market.

Aman Vij: And this domestic will be 100% our own brand, right?

Deepak Joshi: Yes, domestic 100% Garware brand.

Aman Vij: So, white label whatever we do is for exports only?

Deepak Joshi: on the exports. India, so the reason also I explained very clearly, because the lines, our line capacity is very big, and at the same time we do a lot of branding efforts, but if you see in America, branding means sometimes even more expensive than producing something. So, we

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have to make that combination a win-win combination for growth of the company and the sustainability as well.

Aman Vij: On sun control films, sir, you have talked about because of the inflation and the recession talks last nine months we weren't able to grow. At the same time, sir, among the other competitors, this very strong player in PPF was growing quite well in sun control film also. So, did we by any chance lose some market share to them? If you can talk about the same?

Deepak Joshi: No, in fact, not. Only one player because we watch the competitors' performance very closely.

Now, there was one, only one guy who really did well. The reason for him doing is that he has been, if you really see, he bought many chains. That means he went; he changed his model actually from supplying to distributors to dealers. So, he went directly to the end customer. So, he bought lot of chains of detailing centers and invested heavily on that.

So, if you really consider his performance, we also have to see how much investment he has done to acquire the smaller players into the market, and he actually went against another

competitor who was actually supplying to them. So, the share has been shifted from these two American giants because of one buying this downstream detailing center and other was supplying to them. So, the demand has come from inorganic way which was like created, which has taken by from another guy.

Aman Vij: That helps. My final question is on the architecture film. So, globally, this is a much bigger market than the other kind of films, and we are still a very small player. So, if you can talk about the consultants we have deployed, is it only for the domestic auto film market or also for the architecture film market? And if you can talk about in the next three to four years, do you see this becoming much bigger? Can we reach, let's say, 500 crores, which is still a negligible global market share, but is the management thinking in that way in the next maybe five, seven years? Can they scale considerably for us?

Deepak Joshi: Yes. Actually, that is one of the major agenda on our new product list right now. So, traditionally, what happened is, we are actually very strong on automotive, but last two years, our capacities were almost full automotive segment, especially last year and previous to that.

So, the total focus was on the automotive because it was, we had capacities which were falling short of the demand into the market, whereas on architectural segment, if you see, the products are little different. It's not exactly the same product which go into architectural segment, and we always have been a stronger player on automotive segment.

So, we have started under the leadership of Mr. Adsul looking into the products. Around 8, 10 product line we have already identified, and there we are actually taking trials, and some of the commercialization also happened recently for the European market. So, in that direction we are really working hard, and there are some more products which are into decorative and designer kind of space. There also we are working.

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So, in going six months to one year, some of the products will come in to the market, and our share on architectural will increase, but on a longer time span, two to three years, definitely that business, the new line capacity, I expect like 30%, 40% might go to architectural as well.

Aman Vij: Sorry, you missed that part. Can this become like a 300, 500 crores business for us over the next five years?

Deepak Joshi: That may become. I can't give you exact numbers. Yes, but the way we have been putting in efforts and our distributors have shown the kind of product they are looking to penetrate the market, we can in three years' time span we can definitely touch 300 crores business.

Moderator: Thank you. The

next question is from the line of Chirag Fialoke from Ratnatraya. Please go ahead.

Chirag Fialoke: I had two questions from my side. One is resin manufacturing. Correct me if I am wrong, but that's typically not for competitors or for anyone else in the market, which is something unique for us. Would you talk to us a little bit more about how did we do this? And historically, additionally, what kind of a cost advantage, if you can broadly quantify it, does this provide us by actually manufacturing the resin ourselves? So, that's the first question.

Deepak Joshi: See, the margins, I mean, your question is for shrink films or for all products?

Chirag Fialoke: For all products.

Deepak Joshi: So, our backward integration from petrochemical to resins to polyester films to thermal lamination to dying of the same and then going to metalizing and finally lamination and also some of the part of PPF. So, it really gives us a very good, I mean, I would say realization as compared to the competitors. Even if the top of the line in USA, they buy their adhesives or they buy their codes or they buy their material, base material from outside, whereas in Sun control, we do most or almost everything by ourselves.

So, that gives us a very good competitive advantage both in terms of pricing and at the same time on quality and consistency of the product, whereas on paint protection films, we have not been able to use our components 100%. So, most of them are ready with us, but it will be a process of six months to one year where we will be able to penetrate all whatever we manufacture the component to put into the PPF and their margins will also significantly improve EBITDA margin on PPF side also.

Now, if you ask me to quantify that advantage, it would be difficult often to quantify like what my competitor would be doing and earning versus what I am doing and earning, but definitely, it's a clear advantage even on very simple of this is shrink films where all the competitors are buying a resin which is like Rs. 30, Rs. 40 more expensive than what we produce. So, these all advantages go to us, whereas now this clarity is, I mean, if I talk only on industrial products, so definitely this is a big advantage for us.

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Moderator: Thank you. The next question is from the line of Yash Dantewadia from Dante Equity Research. Please go ahead.

Yash Dantewadia: I just wanted to get some idea on the balance sheet. You guys have around 300 crores of net cash, right? Just wanted some ideas on the balance sheet. You guys have 300 crores of net cash, right?

Deepak Joshi: You are saying balance sheet is on net cash?

Yash Dantewadia: Yes. I am asking your balance sheet, it was 300 crores net cash, right?

Pradeep Mehta: Yes.

Yash Dantewadia: Yes. So, with whatever expansions you have planned maybe for the next one or two years, do you have enough cash to do it through internal accruals?

Pradeep Mehta: Correct. So, we regularly do our cash balance as well as the CAPEX and all the revision continuously. So, this quarter also we paid some of the term loan around 50 crores in this current financial year, and we have sufficient cash for expansion also in future.

Yash Dantewadia: And also regarding the land sale, Nashik is on for land sale or it's not for land sale? I didn't catch that actually.

Deepak Joshi: It is under evaluation as Mr. Hari Nair was explaining. So, we are waiting for the right pricing or right opportunity to monetize that.

Yash Dantewadia: Approximately, what would be the land value? You are looking at the Nashik value.

Hari Nair: Yes. See, currently, the book value is around 80 odd crores. We will have some pop on that particular number. All depends on the, of course, there will be a tax element and those kinds of things will be a minus to that, but there will be a reasonable amount of this is a revalued number

86 or 80, 90 odd crores is the revalued number in the balance sheet. I think we will get better than that, but of course, taxes we go to net amount will be little lower than the gross amount.

Yash Dantewadia: Did you say 890 crores?

Hari Nair: Yes, 80, 90. 80 to 90 crores.

Moderator: The current participant in the queue seems to have dropped from the queue. We will proceed with the next question which is from the line of Gunit Singh from CCIPL. Please go ahead.

Gunit Singh: So, as you mentioned that the conditions abroad are improving and we are expecting 100% capacity utilization for PPF films and also with the new product launch in August, so, I mean, in PPF we have been clocking around 60 Cr quarterly revenues, and with full capacity utilization

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you mentioned around 40 to 50 Cr more in that. So, I mean, as your run rate for the coming quarters, can we expect it to be like upwards of 410 Cr, I mean, quarterly in terms of top line realistically?

Deepak Joshi: Yes. Annual revenue of more than 400 crores is quite possible. Yes.

Gunit Singh: No, I am talking about overall. Not PPF. Overall quarterly revenue. I mean, can we expect a run rate of about 410 crores?

Deepak Joshi: Yes. It is quite possible, yes. We are moving in that direction.

Gunit Singh: And I want to understand if, I mean, we can use the IPD capacity for PPF?

Deepak Joshi: No, not possible.

Pradeep Mehta: That's not correct.

Deepak Joshi: That's a very different line. IPDs are a very different line. So, the only concern which we had is the IPD capacities versus these, but we have the fundable capacities to increase the productivity of PPF which we are in the process of doing.

Pradeep Mehta: Yes, but IPD capacity will be utilized for some of the raw material.

Deepak Joshi: Yes. So, IPD capacities are being utilized or under process for the components of PPF, not for manufacturing the PPF.

Pradeep Mehta: But Sun control line can be utilized for PPF. Some of the intermediate processes can be done.

Gunit Singh: So, sir, directionally, I mean, we can say that we can safely expect around 1600 Cr revenue this year looking at 400 Cr plus run rate and I mean, better margins because of the things that you have mentioned. Is my understanding correct?

Deepak Joshi: I can assure you that it is going to increase. It is going in the right direction, but exact numbers we can't give, but definitely, I mean, understand is correct. Business is growing. So, the top line will increase.

Gunit Singh: I have my last remark to make. So, I mean, since we are sitting on net cash, why don't we do share buybacks instead of hefty dividends that will pay out as share buybacks are more tax efficient and they are also EPS accretive in the long term? So, I mean, the long-term investors who are holding the shares for a long time will be awarded more with the buyback rather than doing hefty dividends. So, I just want you to please consider doing a share buyback in future.

Pradeep Mehta: Your suggestion is noted.

Moderator: Thank you. The next question is from the line of Yash, an individual investor. Please go ahead.

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Yash: As the last caller has mentioned, even I was of the opinion of the buyback should be it will reduce the equity as well and also regarding the Sun control films, so we are mostly export oriented. 90% is exported. Because of the new regulation that happened in India in a market,

how the mix is going to change? How is the mix going to change? Sir, earlier 90% is export oriented. So, now because there is a market in India now, so how the mix is going to change?

Deepak Joshi: See, as we said, first of all, that will be the incremental business for us because our new lamination lining yet to be utilized, fully utilized, or it is in the nascent stage of utilization, because i

t's only six-month-old. So, whatever business will be added, that will be like a additional business for us for Sun control. And since this is a very new initiative which we have taken since 10th of August only, so we will rather wait, prefer to wait to see the responses, but definitely we are expecting good response, and this all-additional business will come to us. So, it will not change any product mix.

Yash: Definitely, sir.

Moderator: Thank you. The next question is from the line of Naysar Parikh with Native Capital. Please go ahead.

Naysar Parikh: I want to understand how you see the domestic market shaping for PPF and if you can just talk a bit about that? My question is about the PPF business within India and how do you see that growing? And also, you talked about GF. So, if you could talk a bit about that?

Deepak Joshi: So, I mean, unfortunately your voice was not clear, but if I understood it correctly, we say yes, that you want to know the growth of PPF in India and how the Garware APPLICATION STUDIO (GAS) is growing, right? So, is it your question?

Naysar Parikh: Yes.

Deepak Joshi: So, actually, as we said, the growth for PPF has been quite good. If we compared, in fact, three years back, there was hardly anybody understanding the PPF, and whenever anybody wanted to apply it, that time there was hardly any studios or applicators who can do that job. It is highly skilled labor is required to do that. And in the USA and rest of the world, people are, I mean, there are institutes who teach these kinds of techniques.

So, to looking into the create the market, we started that initiative, and we are happy to announce that we have already crossed 500 applicators in India, trained applicators in India, and the rate is around now we do like earlier there were we were doing 20, 25 applicators a month. Now, since last six months, we have doubled them. So, roughly 50 applicators a month we are training, either fresh or refreshers. So, we are creating momentum so that their, I mean, employment created in terms of applicators.

And at the same time the business grows because if applicators are available in the BTR, CTR cities, even the lower to them, so the business is getting increased there. And to facilitate the Garware Hi-Tech Films Limited

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business, we started a unique initiative called Garware Application Studios. So, far we have around 80 studios in place, and we have a target to make 200 of them.

So, we have lot of requests coming for to allow the Garware Application Studio to allocate them, but our team is evaluating them in terms of like geographic reach is correct, the financial position is correct, and the demand for PPF which makes sense for that. So, these all studies are in

progress, but we have a target to reach 200 Garware Application Studios which we will do. And with all those efforts, we have a target to reach around 80 to 100 crores of revenue from PPF in the domestic market.

Moderator: Thank you. The line of Parshwa Gala, an individual investor. Please go ahead.

Parshwa Gala: Two quick questions. Maybe get an update on your current plan in Mumbai situated in Vile Parle as to how it's being utilized or there are some kind of talks going on regarding the sale of the land?

I just wanted to get an update on the current land, which is situated in Vile Parle, Mumbai, and so how it's been utilized or there are some kind of talks going on regarding the sale of the land?

Deepak Joshi: See, as of now, we are not in a, what you call, we are not interested in selling. We have some offers for joint development. We are actively looking at it. As of now, the way the offers are, it doesn't, we believe that it could be much better. So, that is the current position. Currently, it is our Headquarters Corporate Office and plus we have one Garware Application Studio which is in this same premise. So, we are utilizing it in a op

timal manner as of now.

But going forward, maybe over the long horizon, we will do some kind of development in this property, and we will without be investing much money from the company perspective. The Company is investing money in real estate doesn't make much of a sense from a shareholder

perspective or from an investor perspective. So, we will not do that, but we will take some kind of a JDA or so it will depend on the market and the offers which come into table. That's the current position.

Parshwa Gala: And my last question was, do you think the coming election and the political agendas that follows the election could impact the numbers of the company in the recent maybe the coming quarters of the year? Are we seeing that these things are practically indifferent to the growth of the company?

Hari Nair: I got the question. See, most of the products are sold abroad, especially the consumer products are sold abroad. We are trying to make a headway in India, and it's not dependent on political scenario. Economic, of course, everything is ultimately dependent on the economic, the way economy works either in India or abroad. So, there will be some amount of linkages.

Everybody is sitting in an interconnected world. So, there will be some interconnection maybe second order effect or third order effect, but beyond that, directly, there is nothing which we

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need to look at say, consumer products, we have decent enough brand traction. So, that will continue.

Industrial product, there will be some challenges coming out of excess capacity. Of course, at some point of time, that will also the demand will mitigate the excess capacity, but there is no immediate, there is no interlinkage between the political horizon and business horizon from our perspective.

Parshwa Gala: And you have already invested heavy in R&D. So, do you plan to invest more in the coming months? Or are you good for now?

Hari Nair: What kind of investment? Sorry.

Parshwa Gala: Investments in R&D?

Hari Nair: Mr. Adsul can explain, but R&D is a continuous process. So, we have a department which runs on it, runs R&D process. So, let Mr. Adsul speak. He is expert in this matter.

M. S. Adsul: We have government recognized R&D centers. We have internal two R&D centers recognized by Government of India, and we have dedicated 50 plus staff working in R&D. Their job is only to do new product development. So, that whole staff is dedicated. We have very well-set equipment for testing, so very well developed laboratories. We have a pilot plant for manufacturing raw material. We have pilot plant for processing film. We have pilot coaters, and we have pilot facility to do polymerization. So, very, very well-equipped R&D Center is there. So, continuously, people work on developing a new product or upgrading existing product as well as they work on reducing the cost of the existing product. And continuously we do the benchmarking of our products vis-à-vis competition throughout the world, and we always try to upgrade our products or develop new products. So, we also work with our overseas customers and as per their request, we develop some products. So, we continuously work in R&D and several different ways, we develop new products.

Moderator: Thank you. Ladies and gentlemen, that was the last question. On behalf of Garware Hi-Tech Films Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2023

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November 11, 2023

The Compliance Manager

BSE Limited Corporate Relationship Dept., Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai 400001.

Scrip Code: 500655

The Manager, Listing Department

National Stock Exchange of India Ltd Exchange Plaza, Plot No. C/1, G Block,

Bandra-Kurla Complex,

Bandra (East), Mumbai 400 051.

Trading Symbol: GRWRHITECH

Dear Sir/Madam, Subject: Transcript of the Earnings Conference Call - Quarter ended
September 30, 2023, held on November 10, 2023.

Pursuant to Regulation 30 and 46 of the Securities and Exchange Board of
India (Listing Obligations and Disclosure Requirements) Regulations, 2015,
please find enclosed the transcript of the Earnings Conference Call, held on
November 10, 2023 at 1:30 p.m. IST.

The above information is also available on the website of the Company:

<https://www.garwarehitechfilms.com>.

This is for your information and records.

Thanking you, Yours faithfully, For Garware Hi-Tech Films Limited

Awaneesh Srivastava Company Secretary FCS 8513

Encl. as stated above.

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"Garware Hi-Tech Films Limited

Q2 FY '24 Earnings Conference Call"

November 10, 2023

MANAGEMENT : M R. M.S. ADSUL -- DIRECTOR , TECHNICAL --

GARWARE HI-TECH FILMS LIMITED

M R. DEEPAK JOSHI -- DIRECTOR , SALES AND

MARKETING -- GARWARE HI-TECH FILMS LIMITED

M R. PRADEEP MEHTA -- CHIEF FINANCIAL OFFICER --

GARWARE HI-TECH FILMS LIMITED

M R. HARI NAIR -- SENIOR PRESIDENT , CORPORATE

AFFAIRS AND FINANCE -- GARWARE HI-TECH FILMS

LIMITED

MODERATOR : M R. VIKAS VERMA – E&Y

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Moderator: Ladies and gentlemen, good day and welcome to the Garware Hi-Tech Films Limited Q2 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be no opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikas Varma from E&Y. Thank you and over to you, sir.

Vikas Varma: Thank you, Lizann. Good afternoon, everyone. Welcome to the Q2 and H1 FY '24 Earnings Call of Garware Hi-Tech Films Limited. On behalf of the company, I would like to express our gratitude to each of you joining the call today. To discuss the performance of the company and to answer the questions we have with us from the company, Mr. M.S. Adsul, Director, Technical; Mr. Deepak Joshi, Director, Sales and Marketing; Mr. Pradeep Mehta, the Chief Financial Officer; Mr. Hari Nair, Senior President, Corporate Affairs & Finance.

Before we begin, I would like to draw your attention to the fact that today's discussion may contain forward-looking statements that are subject to various risks, uncertainties and other factors, which will be beyond management control. We kindly request that you bear in mind there may be uncertainties when interpreting such statements.

Please note that this conference is being recorded. We will now start the session with opening remarks from the management team. Afterwards, we will open the floor for an interactive Q&A session.

I would now like to invite Mr. Deepak Joshi, Director of Sales and Marketing, to make his opening remarks. Over to you, sir.

Deepak Joshi: Yes, thank you very much and ladies and gentlemen, good afternoon and thank you for joining us today to discuss Garware Hi-Tech Films Limited financial performance for the quarter and half year ended on September 30th, 2023. Let me start by highlighting the key financial figures. Our consolidated revenues for Q2 FY '24 remained steady at INR397 crores and our profit after tax, PAT, stood at INR46 crores, underlining our stability and resilience in a challenging market. The PPA business maintained its growth trajectory and Sun Control Film Business reported volume recovery.

However, the IPD business experienced a decline in growth. The company's specialty film contributed around 90% of its revenues, positioning it for the superior growth compared to the polyester film industry, which is currently facing overcapacity challenges. Additionally, our EBITDA stood at INR74 crores, primarily driven by increased PPF and Sun Control Film volumes. However, EBITDA affected by margin pressure from IPD products and impacted by strategic investments in marketing and sales initiatives.

Although marketing costs may continue in the short run to medium term, these investments are important for our growth strategy and are expected to fortify our market presence in the long run. In Q2 FY '24, the CPD segment saw a revenue growth of 53% in revenue compared to the

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corresponding quarter last year, while the IPD segment reported a decline of 32% in revenue during the same period. Approximately 78% of income is generated from exporting goods, with 43% of that figure coming from North America, around 20% from Asia, excluding India. 22%

of revenue is generated domestically and remaining 15% comes from other countries worldwide.

Let me briefly explain our main product lines. Talking about Paint Protection Film, in Q2 FY '24, the PPF revenue has increased by over two-fold compared to Q1 FY '24. The robust growth was mainly due to increased demand from distributors in the United States, in addition to our

renew

ed focus on the domestic market.

We have expanded our local distribution network and effective marketing strategies in the domestic market. For the quarter, the PPF plant operated at high, around 118% capacity utilization, as we effectively managed capacity constraints by utilizing the available fungible capacity from the new Sun control film lamination line. Additionally, the company successfully achieved its target of acquiring 500 OEM brand dealerships ahead of the planned schedule.

It now aims to expand further by setting up a new goal of reaching 900 dealers within the next two years. Additionally, the company has made substantial progress securing partnerships with almost 100 PPF studios and channel partners, that is nearly half of its target. We have signed

agreement and commence delivery with Mahindra Automobiles as the OE supplier for the PPF.

Additionally, negotiations are going with three other major automotive OEMs. Now, I would like to talk about Solar control films. In Q2 FY '24, Sun control film business reported a recovery of 8% in revenue when compared to Q1 FY '24. The domestic Sun control film business had an encouraging start by capitalizing on the untapped Indian market, the relaunch of safety glazing

window films, and implementing robust branding and marketing strategies.

We expect domestic Sun control film business to contribute around 6% to 8% of total revenue in next 3-4 years. At the same time, our export business experienced an upturn driven by improved macroeconomic conditions and rising automotive sales, resulting in a recovery in Sun control film business volume over the last 2-3 quarters.

Additionally, our strategic expansion into complementary architectural film segments has been evident through the successful commercialization of decorative films in USA and spectrally selective films in European market. We anticipate a substantial revenue stream from the decorative film segment over the medium term. Lastly, the company has acquired a patent for an innovative adhesive system for window films, highlighting a significant technological advancement.

And some more points from architectural segment is that we are now taking our current architectural film portfolio aggressively to the domestic market. We are looking on three key aspects – building consumer awareness, direct partnership with large hotels and commercial office parks, IT companies, banks, and further network expansion by onboarding new distributors. The initial response across the three streams has been promising.

Our digital campaign coupled with physical and on-ground marketing at the residential complexes has been well received. Our direct partnership approach has already given us few

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solid openings, which we hope will fructify over the next few quarters. All in all, we believe that this segment will become a strong growth engine for us in the next 3-4 years.

Now, I would like to take your attention to industrial product business. The revenue share from our IPD business decreased to 34% in Q2 FY '24 from 54% in Q2 FY '23. Due to a strategic focus on expanding our CPD business and challenges in IPD business.

For this quarter, capacity utilization of IPD was 78%, a decrease from 99% in the corresponding quarter of the previous year. A revival in this segment presents an opportunity to optimize the profitability and volume recovery. Within the IPD business, our specialty films, including low-oligomer, release liners, and other intermediates demonstrated consistent growth.

We have successfully obtained patents for our low-oligomer products, with more patents currently in the pipeline for IPD business. While the shrink film segment faced a decline to lower demand, however, commercial agreements with major US customers indicate growth opportunities and challenges persist in commodity-based IPD films due to oversupply in the

polyester film industry, a trend we foresee reversing in the upcoming quarters, or we can see that there will be a good growth on shrink film business, especially from the North American market.

Let me briefly talk about our finances. An achievement we are particularly proud of is the full repayment of our term loans, resulting in a gross debt balance of zero. Additionally, our cash reserves stood at INR350 crores, affirming our strong financial standing.

We were able to achieve a solid ROCE of around 20.68% and a ROE of 15.42%, excluding the effect of revaluation reserves, indicating an optimum utilization of funds generated in the business. While our inventory turnover rate remained stable at 6.5%, our robust working capital

management practices have improved our working cycle days to about four days in H1FY '24.

In conclusion, Garware Hi-Tech Films Limited remains dedicated to fostering innovation, meeting market demands, and solidifying our market position in the global value-added film industry. We are confident in our growth trajectory and remain committed to delivering value to our stakeholders. We have already uploaded the presentation into the Exchanges, so hope it has been seen by most of you.

With that, let us now proceed to the question and answer session you have on our running numbers. Thank you very much and the floor is now open to Q&A session.

Moderator: Thank you. Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is on the line of Rahul Jain from Credence Wealth.

Rahul Jain: Sure. So first of all, sir, congratulations on again a very wonderful presentation. We do appreciate the every quarter our presentation has been having some kind of improvement with regards to much more details about the business and also more granular data points which are quite helpful. So thank you for that and hoping that the same will continue going ahead.

And congratulations on achieving more than 100% utilization in PPS, which is one of the products which we just introduced about five quarters back and we have reached that kind of

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utilization. Coming to my question, sir, first of all, as per your press release and also the presentation, you have mentioned with regards to the incremental marketing initiative expenses which have been one of the reasons for the EBITDA margin not moving up.

So typically, how has the marketing expenses, the initiatives moved up in last three, four quarters? What have been the amounts for last three, four quarters and what do we expect to go ahead?

Deepak Joshi: Yes. So, I mean, in the presentation, we have already shown like the kind of expenses we are doing into the marketing. So, I mean, I will just explain like what it is giving us and then Mr. Mehta or Hari Nair can explain like the numbers what we are doing. So, first of all, we have substantially increased as compared to what we used to do in the past and what it has got to us is like I explained on the architectural segment, which is like the next growth engine for us, where we were able to reach like many commercial office parks, large hotels, IT companies, banks and so on and so forth.

And at the same time, many residential complexes where we have run the campaign which is focused on the areas which are like facing to the sun where architectural film is really required. So, such kind of granular, small, small marketing efforts, digital marketing efforts has been suggested by the agencies.

And second thing in like dealership and network expansion in PPF has been great and the volumes we have like the numbers are not, you know, cannot be presented as compared to last year because they are even tenfold sometimes. Whereas if we talk of quarter to quarter growth in the domestic market also is quite strong and we expect in another six months' time the domestic PPF volume will be almost

double from the current level. So, there has been a very strong support from digital media and the external agencies to help us to grow the business.

And in the idea of launching safety glazing film in India is also doing great and for that very aggressive marketing campaign has been done with the digital as well as on the ground kind of initiatives. So, these were and this is in Indian perspective and at the same time, I am just back from SEMA show and where we were visited by more than 200 dealers and customers from USA, South America, Europe and Middle East.

So, we have done an outreach to everywhere like what we are doing, our digital media and our on ground supports from the agencies has been so good that this kind of response is like very overwhelming for us and we have done dealer meets there where 125 dealers from all around the world were present and we awarded them like for their appreciation of the work with us and then we launched many products like spectrally selective film, safety films, matte film which is in 75, 72 inches which is rarity into the world and many different products like front windshield, etcetera.

And we oversee because of such good marketing initiative, we could see like many major manufacturers were inclined to work with us because after we published a big article on window film magazine and PPF magazine which is world's most read in this segment that we are the world's largest factory for manufacturing of Suncut or window films and PPF. So, all those

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initiatives were really, really great for us and I mean I hope I answered your question. If you have, I mean if you want to know on the numbers, Mr. Mehta can help you with that.

Rahul Jain: Yes, I surely want to know the numbers sir because it is mentioned in a separate press series also with regards to the amount. So, to understand typically will this amount continue to stay at this level till what time and incremental what expenses further could be done. And also your presentation mentioned that probably this also includes some fee for a consultancy. So, what kind of consultancy fee we are supposed to pay? Is it one off or is it going to be there going ahead?

Deepak Joshi: See, since the start of this campaign which started in May, I mean we were doing lot of social media, digital media initiatives but with the consultants we started in the month of May and initially we have planned for a year program which is really going well. Like I said, so many initiatives we have done and the results has been come. So, in all together that was the strategy to do for at least one year and then we can take a call 3-4 months prior to that and the percentage numbers or the comparative numbers. Mr. Mehta you can help them – help me with that please.

Pradeep Mehta: Rahul, if you can look at slide number 34.

Rahul Jain: Yes sir, I have seen that slide sir.

Pradeep Mehta: Yes, so if you look at the 0.8 is the total number which we have spent for this particular initiative, the India initiative which Deepak has just mentioned and the expenses is primarily on consultancy, most of the expenses is captured there. We have put it in P&L, we have expensed it out and if you see we have given a highlight of what has been done over a period of last, like

incremental revenue which has come from this particular exercise. Now, we are at about INR47 odd crores, India CPD business is INR47 odd crores which was 26 about a year back and may be a year prior to that it was much, much, much lower, very minuscule.

Now, it is about 47 in half year and we expect this number to grow because of PPF and because of window film, sun control film and going forward hopefully the way Deepak has explained on the architectural segment. So...

Rahul Jain: Sir, I do understand the benefits of marketing and I do understand it is always important and imper

ative to do certain marketing expenses and incur brand promotion exercise. Just that this is an incremental number and also if I take this as a quarterly number then overall it looks to be on a higher percentage with regards to our profits which is why I am trying to understand the sustainability or what th is number could look like going forward also?

Deepak Joshi: See, the initiative is not only for India though it is focused in India because there are lot of initiatives we are doing. There is Middle East and there is another agency which we are working for the other markets including USA. So, the number which we have shown is paid to the consultant or consulting agency but there are further initiatives in terms of which is always an expense on digital media and all which is on top of this. So, I mean I understood your question. So, the particular is INR7.8 crores what we have shown here.

Rahul Jain: And this will remain on a quarterly basis going ahead?

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Deepak Joshi: Then I explain you this is something till April 24 and after that we will take a call because we have still two quarters to go. So, we will decide like the incremental benefit versus the expense which we are incurring that the call will be taken in due course.

Rahul Jain: Sure, that's helpful Deepak. So, with regards to the value of the VAT contribution we have done really well in terms of increasing our VAT contribution over the last 2-3 years and in fact in the last three quarters it has moved up from almost 80% to 90%. And the CPD which is SPF and PPF which are the higher margin products has moved up roughly from 47% to 66% up by almost an absolute amount of INR100 crores.

But probably sir the margin improvement doesn't seem to be commensurate with the improvement on the value-added products. So, am I missing something or possibly if you could share what exactly were in spite of the higher contribution of the value-added products both SPF and PPF the margin improvement is somewhere probably below what it could have been?

Deepak Joshi: See, even in the last call we explained you like the benefits, more benefits or percentage going up it will take another year or year and a half because we are working on alternative components for PPF, right? So, that will definitely improve the margins. So, all whatever we are trying to do is a long term and why in this quarter we are seeing little not improvement despite CPD business first time going beyond 50% of the revenue is the, I mean on IPD side even we have done the specialty business but because of the market especially on North America market went really low in terms of demand.

I think lot of geopolitical tension and everything led to a lower demand from the North American market which is the highest profitable business in terms of percentage for us in IPD business, right? So, that was really low. So, that's why this IPD component you are seeing an absolute number that it has gone down but the percentage also gone down because of its lower profitability because it was North American component was really low but I mean we are well on track to reverse this trend going forward.

Rahul Jain: Sure, last question sir, on string films. So, string films has practically from June 22 quarter till March 23 quarter for a period of four quarters it remains somewhere around INR50 crores, INR55 crores. One quarter it slipped but then it was back to INR55 crores. Suppose that in last 2 quarters it has come down from 55 to 45 and in the current quarter INR28 crores. Two parts to that. What has led to this sharp downfall on the string films and also you mentioned in your initial commentary as well as the presentation about some agreements with two major customers in US for string films. So, can you highlight what is the potential of this particular contract or this particular agreement with these two customers an

d when does it start commercial and what time it could take to ramp it up?

Deepak Joshi: Yes, so as I explained like North American market went really low on commodity but especially not on commodity I mean on the specialty business. So, we have seen a decline in Q2 for the volumes overall in domestic export and especially on the North American market. So, there were like we were serving I mean if you really see 2 years back we are hardly there in North American market.

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Last year we did really well to get some customers there but two biggest customers in USA they have qualified art products and commercial agreements has already been done with them. So, these two will start kicking us from Q3 and probably in another quarter we can see a full value and we expect around I mean I can say overall North American market or US market on overall IPD profitability can be around 25% of IPD margins. I mean on margin wise they are really good. So, we can say like these numbers 20% to 25% addition can happen on IPD because of that.

Moderator: Thank you. The next question is from the line of Priyank Agarwal from Equirus Wealth Private Limited. Please go ahead.

Priyank Agarwal: Sir, two quick questions with regards to the SCF and PPF segment. So, if you see the SCF segment can you provide us with the revenue mix within the segment like between architectural and safety related things? Also sir as you mentioned in the

Deepak Joshi: Sorry, the question I mean it was voice was little dull, so I could not understand the question please.

Priyank Agarwal: Sir, now it is clear?

Deepak Joshi: Yes.

Priyank Agarwal: Sir, I just wanted to ask the revenue mix within the SCF segment. So, we have architectural and safety related things also it was mentioned in the presentation that architectural film is really going to take off from here. So, sir how do you look at this segment architectural space specifically? And so, I was observing that SCF segment although it is mentioned that it is increasing volumetrically however, if you see the Y-o-Y, the revenue has declined by 14%. So, what is the reason and how do you foresee this segment particularly going ahead?

Deepak Joshi: So, first question was clear. Second question is about architectural segment. First question is clear. Let me answer the first question. Like additionally I explained in the previous calls as well. So, our technology and our I mean the business model for many years in the past has been to automotive segment of the window film.

So, with addition of PPF that became very robust for us. Then there is lot of ups and downs especially in the US market or even in India market the car sales dropped last year and before that because of the chip shortage. And currently because of high interest rates in USA the sales though the economy is going up but still car sales is on a lower side because of high interest rates which was like almost 4% has increased over 2 years.

So, that's why the car sales is little down. So, I mean then company thought around 1.5 years back to have a strong presence to increase its presence in architectural segment. So, that's why we started promoting that segment and that segment requires many new products that I explained you like we have launched a product called Spectrally Selective Films in European market and Decorative Films in US market and the rest of the markets and plus certain safety films which are required to strengthen this segment.

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So, all these things like product quality, product identification they are mapping against like what market requires and to some extent to the competitors what they are offering. So, we have made a strong portfolio of these products over last 6 months and we are seeing lot of good doors opened for commercial as well as residential segment

on architectural business. So, if you see percentage wise that was really low in domestic market but overall world business it was around 15%-20% which we expect to strengthen and without affecting the growth which we are experiencing in the automotive segment.

Deepak Joshi: Yes, I am not able to hear properly.

Moderator: We request that you return to the queue your audio is breaking up. We will move on to the next question that is on the line of Harsh Mulchandani from Kriis PMS. Please go ahead.

Harsh Mulchandani: Yes, thank you for the opportunity. Congratulations Deepak on good set of numbers considering the challenging environment. I had two, three questions. One is, can you share the experience of winning Mahindra as an OEM for us? How did the process go through and what was the discussion which led us to win this contest? And how long the duration is and the potential volumes which could come from this contest?

Deepak Joshi: Yes, see, typically we can't discuss what was the process and all those things but I can tell you typically it's a nine month to a year process where product qualification is done, that it is tested for different conditions environmental conditions and there are weathering has been done to check whether this product goes -- changes colors or it is not working well or kind of scratches and dust attraction. So many factors are there to validate the quality for an OE. So they were the

first one with whom we started and we got qualification. So it was typically a nine month to a year period.

And similarly, immediately after that eight months, nine months back, we started another initiative. So out of that three are almost in the closing stages after the testing and everything has been done and commercials are also almost finalized. So we expect more to join this group in another quarter or so. Right, so that's what. And we are working almost to all big OEs in India, car manufacturers in India and we hope to lock with most of them. I mean this is my wish.

But surely, we will jump into many of them going forward that's the thing.

And in terms of volumes, like again, this volume will be like quite good incremental business for us, I cannot exactly give the number. Though, we have some forecast but definitely I assure you that this will be a good addition to the volumes in domestic market, which I said, in another six months period, by end of this financial year, we are expecting to double the volume of PPS in the domestic market.

Harsh Mulchandani: Got it. Perfect. And the second question I had was around the IPV business. So do we expect the volumes and the demand to recover anytime soon or it would take some longer considering the entire macro scenario as per your estimate?

Deepak Joshi: See, I can assure you one thing that our Garware Hi-Tech is never a player which focuses on increasing the volume. So you can always see the less of revenues coming from that segment especially commodity because we decline the orders which are not profitable to us, right. So
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now, I can tell you that the first two quarters last year versus we are comparing this first two quarters I mean the first half.

So that has been, there was a good demand and good market for IPV last year versus this quarter 3 last year started the decline on the margins and volumes for IPV business. So going from here, I think it's already bottomed out. And we have been able to -- so our problem was little different as compared to the other competitors into the market, peers into the market that North American market especially on shrink as I explained we went to some turbulence because of geopolitical tensions. So -- and we are expecting them to back and the good initiative that we have now have arrangements with two biggest American customers and that is the additional one from what we have.

So we expect the margins to come back to a

reasonable level. Though, the volumes may not

come to fully into this segment, they can come back. I mean we don't know because right now, I can understand from the peers that they are there are some stress -- big stress sales and all those things were there for last one year now that I started, I mean that started Q3 last year. So this year it completed a year where people, I mean the product started losing money. So there may be some kind of closers or something who are new players or a very low volume kind of players, right. So the specialty business we definitely do good so it is already bottomed out. So I can expect only better from here, stable or better from here. So in terms of Y-o-Y, and definitely, we are going to do better than what we did previous years.

Harsh Mulchandani: Got it. Perfect. And I'll just fit in last question on capex. Have you made any announcement or any further progress in the plan versus the previous call?

Deepak Joshi: No. We have not yet made any new announcement because we were using some capacities for PPF like we achieved 118%. And we expect further growth by using the fungible capacities to grow further to that, right. And we are working on things and any such decision will be made public. I mean we cannot directly comment as of now on that.

Harsh Mulchandani: Okay. Fine, perfect. Thank you so much, best of luck.

Deepak Joshi: Thank you.

Moderator: Thank you. The next question is from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.

Mahesh Bendre: Hi sir, thank you so much for the opportunity. Sir, you mentioned that we have spent around INR6 crores for BCG, so isn't it this number is high for a company like us? And how long this will continue?

Moderator: Sorry to interrupt Mr. Bendre. Sir, can you speak a bit louder, sounding very sorry slow.

Deepak Joshi: But fortunately, I could hear, so I can answer. So yes. Thank you Mahesh. See, the decision I don't think is like high or low depending on the companies like it is I believe the decision is how much gain can we do and how the companies brand recall goes into the market for years to come, right. So our decision is to not only the branding, it includes branding, network expansion

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distributor addition, dealer addition new OEs and taking our presence to every corners of the country.

Like we are doing this initiative with wherever, how much car is sold in a small, small regions, like even we consider Raipur, we consider like any small city in the country. So based on what we have mapped out the agency has helped us to map out even the smallest of detailing centers, who are capable of doing digitalizing or PPF which they are not doing such kind of identification has also happened because of that.

So this agency is helping us to increase our footprint to all over India and plus some countries outside India. And that is not limited to digital and I mean this is like a big network making for the company for years to come which will leave its impact. So it's definitely a very good initiative and it's giving us its returns.

Mahesh Bendre: Sir how long this will continue? The cost is one-time or it will keep recurring?

Deepak Joshi: So I think, we have -- I answered the question that we made a program for first one year. And looking into its growth, we are quite happy with that and once we see that it is now the growth pattern has stabilized and the network channels has been opened and our brand recall has been quite permanent and we will take a call on that. As of now it's a one year program.

Mahesh Bendre: Sure, sir. And sir, so many I mean expansion plans have taken place across the product lines? Any new customers we are talking about? So are we still holding our guidance of achieving INR2,500 crores of revenue in FY 24?

Deepak Joshi: Yes, sure. We are doing that because we are like our new lamination line yet to go

full. Plus, we

are also I mean as I said, in due course, we will announce whatever it takes for us. But yes, definitely, the guidance is right and we are on our path to reach there.

Mahesh Bendre: Thank you so much sir.

Deepak Joshi: Thank you.

Moderator: Thank you. The next question is from Sudhir Bheda from Bheda family office. Please go ahead.

Sudhir Bheda: Yes, good afternoon sir. And season's greeting happy Dhanteras to you sir.

Deepak Joshi: Thank you very much.

Sudhir Bheda: Just two days back I have become your customer and I am very happy with your service for PPF.

Deepak Joshi: Okay. That's really good to know, sir.

Sudhir Bheda: Sir, my questions are like as we are discussing with other participants that there are lot of tailwind in terms of PPF and also with the agreement of with the two customers that also will give flip to the IPD business. And [Window Films 0:40:36] also now back on the track doing well in India as well. So is it right understanding that H2 would be much better than H1 in this fiscal?

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Deepak Joshi: I think that would be a very forward-looking statement to answer that question. But as I said, I can only tell the initiatives what we are doing and the results are really good of that, right. And especially on IPD side, so I mean I would say, like we are on course to achieve as per in line

with what we plan, right. So as I explained you just now about SEMA show like, which is the biggest show in the world. And where we could reach out the customers which were like, I mean we have been able to get back to many of them whom we were planning to do in the past. So 200-plus like dealers and customers this is a big thing and we are working with them. And then, many new products has been launched then architectural segment has been something which we are really working hard and further there is further upside on PPF. With all those things, we are quite confident to make a good show for us.

Sudhir Bheda: Sure sir. And sir, for the next fiscal, the growth driver would be PPF and the growth will be led by PPF or how we should look at the '24- '25 years?

Deepak Joshi: So on going forward, there is one aspect as I said biggest growth driver is going to be architectural segment, which we will use for our new lamination line, which is yet to be fully filled up. Because that was commissioned in December '22, so it's almost eight months, nine months since that is there. And we are using the capacity as a fungible one for the PPF but there is lot to do on that particular thing. So we have yet to go, like fully utilize that. So there is lot of potential of growth. So the growth driver is going to be architectural segment, then PPF there is further upside possible with the fungible capacity maybe around 30%, 40% more to that. And then, the company will take I mean, if the growth trajectory continues like this then we have further plans to continue with that.

Sudhir Bheda: Sure, sir. And lastly, what I heard was INR2,600 crores of turnover for FY '26, right?

Deepak Joshi: Yes, INR2,500 crores has been I mean that has been the plan and the guidance which we will achieve that.

Sudhir Bheda: Fair enough, sir. Thank you sir, thank you for the opportunity and all the best.

Deepak Joshi: Thank you very much.

Moderator: Thank you. The next question is from the line of Dhwanil Desai from Total Capital please go ahead.

Dhwanil Desai: Hi, good afternoon team. So Mr. Deepka, first question is I think in your presentation, you have mentioned that the new sun control capacity of 1,800 lakhs will get utilized by FY '25 and basically INR500 crores of additional revenue can be generated. So I understand some utilization would be happening currently. So what is that number? And going forward to get to that number, are you relying more in terms of this tangible capacity getting utilized by PPF that is what you

are factoring in?

Deepak Joshi: Yes, on new lamination line for window films I can say that is being utilized around 15%, 20%. Because it does not directly be incremental because these lines are quite efficient lines. So wherever we find high margin and good the product which is giving good margins, we produce there. And rest of that is being used for fungible capacities. But company is also fungible

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capacity for PPF. So there is lot to go on that we can even debottleneck some of other capacities which we are using currently for this some other lines.

So we will ensure, I mean this is currently now usually the winter season is the low season for window films, right. And quarter 1, which starts -- sorry, quarter 4 which is the one which gives like American market they start planning and European market they start planning for the summer. So that is the -- that is where the real test of the capacity will happen. But we are quite confident and currently we are working on the plans for with our customers, like how do we want to take this capacity further.

And plus, at the same time working with our distributors and channel partners for the new products which we have recently launched. So with all those things on Q4 there will be like the utilization will be good but how much we will come to know. And all the capacities remaining for that we will use as a fungible capacity for PPF. If this line is fully filled up with architectural and other window film products, automotive products, so we have other plans which we are currently working out to use some other lines as a fungible line as a backup to PPF line. So these are all integrated but definitely, this all is going to so any other volume coming from the market will be catered by us for at least till we reach INR2,000 crores to INR2,500 crores.

Dhwanil Desai: Right. Because the only question is that you are seeing strong demand in so many areas, domestic also we intend to grow very fast. So will we not end up in a situation whereby will fall short of capacity, if everything materializes? So that's the broad question.

Deepak Joshi: No. We have that in mind as I mean the Garware management also takes care of that. So we have everything on our radars on our plans, so it will not be I mean we can assure you that. No business will be turned back because of no capacity available.

Dhwanil Desai: Got it. And second question sir, in the US one of the larger PPF player -- one of the largest PPF player, he is kind of what we are understanding is that he is reorienting supply chain and one of the major supplier that agreement got renegotiated and it's diversifying. So are we likely to be a major beneficiary of that how those volumes are ramping-up and will ramp-up? Any colour on that?

Deepak Joshi: Yes. I mean there are many such opportunities. I won't go into any particular of that but I mean we are quite strong in that market. And we have not only that we have further opportunities available, like which you may not have heard that there are some plants in Israel which got closed down and we eyed on the supplier.

I mean the customers of them and plus there are certain more customers who are not happy with their current supply lines. So we have many more in pipeline, many manufacturers they would like us to serve them. So these negotiations are on. So we are aware of each and every details into that market. You are right, and that is a big buzz about this particular thing in market and we are like we are cognizant of the facts and we are taking according action.

Dhwanil Desai: And last question sir, I think this what are our CPD division has done extremely well and for whatever reasons IPD challenges and everything the margin impact is not visible. But directionally, when things normalizes is it safe to assume that if our CPD division grows faster

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and increases its share in overall revenue mix? The margin profile will increase, is that a right hypothesis to work with?

Deepak Joshi: Yes. See, there are -- as I said, on certain components which we are working on alternatives because the primary -- the company focus is always quality products to the market. And so the quality of PPF has been quite well established and stabilized. So now, as I explained many more manufacturers, they are in line to work with us. So at the same time, we as a continuous development program more alternative components are being discussed and under development for PPF. So going forward in one year, 1.5 years there will be a better realization owing to these new developments.

And on IPD side, definitely the business whatever will grow will grow on a very speciality, like shrink kind of business, like new initiatives on North America and all those business. So with this I mean, we can expect your answer I think last quarter also we understood we answered the same question about the margin improvements. So this is the plan basically to improve the margins.

Dhwanil Desai: Okay. Thank you. All the best.

Deepak Joshi: Thank you.

Moderator: Thank you. The next question is from the line of Shrinjana from RatnaTraya Capital. Please go ahead.

Shrinjana: Yes, hi. Thank you for the opportunity. So I have two questions. One just a follow-up on the earlier discussion. So regarding the capacity utilization in the second line of Sun films, right? Mostly the fungibility between the Sun films and the same production film, is that correct?

Deepak Joshi: I mean the line was little unclear. I mean the new lamination line is basically, primarily designed for window films, sun control films which are both automotive and architectural. And we use that line as well for component or component planning for PPF as a fungible capacity. So whatever available, we are using that to produce some components of PPF.

Shrinjana: Correct. And we are not planning to do any additional capex on the PPF line unless we use this line first, is that correct? Because we are currently at full capacity still...

Deepak Joshi: This assumption, as I said, we are working, like how much capacity is available for coming time because capex typically takes nine months to one year to fully utilize. Since the time, we do that I mean we start working on that. So in that line, there are certain debottlenecking for making some components rather than not from the new line but from some existing lines which are not being used. I mean we are doing capex and some improvements in those lines to use them for further expansion on PPF line.

In case of any new line, which is a brand new big capex that will be announced to the market. I cannot comment on that right now but again, the capacity and the way the PPF business is increasing and in the season to come for sun control there will be a lot of demand which will be
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catered. We have the capacities available or we are debottlenecking to meet those demands in going into the next quarter.

Shrinjana: Understood. Thank you. Just one more question is on the patents. These patents which you had mentioned in the presentation, are these registered in US or in India?

Deepak Joshi: Mr. Adsul, would you like to reply on that? Our Technical Director Mr. Adsul can reply on that.

Okay. He is in US, may not be in the call. These are for India market as a start because these are product patents, they are for special manufacturing in India market.

Shrinjana: Okay. Understood, sir. Thank you.

Deepak Joshi: They can be expanded to the market so that also work is being done.

Shrinjana: Right, okay. Thank you.

Moderator: Thank you. The next question from the line of Karthi from Suyash Advisors. Please go ahead.

Karthi: Sir good afternoon and compliments on a very impressive

performance under challenging

circumstances. I am just going back to the point about profitability in a slightly different way, which is last year when IPD was a much larger percentage of your revenues, your gross margins were higher. Whereas this year with much higher contribution from PPD and some improvement in SCF, your gross margins are still lower. Clearly PPD is what pulls down your gross margins?

Say, 18 months down the line when let's say, you have integrated backwards, so if you have to give us a perspective on gross margins across three broad categories, which is SCF, PPF and shrink film, could you give us a range? And how this should evolve over a period of time?

Deepak Joshi: See, if we talk on per unit margins that on unitary basis it's PPF, sun control and then IPD which is on kilograms, whereas these two are on square feet. But if we talk of percentage one, there are a big basket of sun control films. It always depends on the product basket. When the demand seasonal goes up for example, I am talking of Q4 that time the high end products like IR range goes very high because of the summer season and all. So that season like window film margins and the mix becomes very strong for us, right.

But going forward, there is a lot of possibility like where IPD is the backbone of CPD and lot of new products are being developed for CPD division. So there the margins for CPD as well as IPD may improve. But that is

again, as I have given a guideline for minimum one year, 1.5 years because it also depends these are the plans and they should be -- there is a process on this business where stabilization happens like you take trials, then you take internal trials, lab trials internal trials and market trials so the process is quite long. It is typically six months to a year like I explained for validation of OEs also.

So that's why this process sometime looks slow but they are very steady and they give us a long term return. Like once something is stabilized then it goes on for many years, right. So expect some of these things may be from one year or 1.5 year down the line, where from the components we can, the margins may improve.

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Karthi: I was asking you more from a FY '26 point of view, sir?

Deepak Joshi: FY '26, okay. With that perspective, I think I mean if you compare our past performance again it's a mix of many products where the margins are really good in where high technology is involved like IR products, whereas on PPF, it typically depends kind of the development of the components. Per unit basis, it's doing to be good on PPF and then window films and in that architectural segment seems to be quite good because lot of I mean high end products are there and of course then it comes the shrink film on IPD.

Karthi: Great. Sir one quick question, there is some confusion therefore I am asking this. Earlier when you referred to the guidance of INR2,500 crores we are talking about FY '25, right?

Deepak Joshi: Yes.

Karthi: Okay, great. Thanks very much and very good wishes, sir.

Deepak Joshi: Thank you. Thank you very much.

Moderator: Thank you. The next question is from the line of Vivek Gautam from GS Investment. Please go ahead.

Vivek Gautam: Yes. Sir, my question is in spite of PPT running full utilization, why haven't the margins expanded Sir? Are we lacking the presence power or the competition intensity is too much?

That's the first one.

And second is about the expected growth rate over next three years to five years, any capex plan? And lastly, there are price earnings always earnings retained at a low side, legacy concerns on RPTs and land sale profit will not be being received by the minority shareholder that's the doubt we are having the public is having perception issue you can say, so if you would like to address that also? Thank you.

Deepak Joshi: Yes, so one-by-one, first of all like capacities

are not utilized full like we said, if you see IPD

from 99% to it has gone down to 78% because we do not take many orders which do not make profit for us. That is specially on the commodity segment. If you see the peers on polyester industry, their margins compared to last year, they are not even 50%. I have seen most of the numbers from the industry. We avoid the commodity as much as possible. That is the concern but we expect we are working towards more of special products like low oligomers specially on shrink that's what the guidance we have given and some new developments from the customers from America so that will definitely improve that is number one.

Second thing is PPF, definitely it has gone beyond 100% and we have further scope that we will continue to grow, so that's number two. And number three on sun control as compared to last year, the volumes were lower though not significant but still they were lower because last year, there was a big demand after COVID for the first half in FY '23 as compared to FY '24, where the interest rates are higher and car sales are affected because of that.

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And plus, as I have just come from USA with the long meetings with around 200 customers. We understand that demand has gone back to the market, that's why there are some concern on high interest rate in USA because of geopolitical tensions and all. But things look much better and brighter in that.

So these things on sun control, I gave you three perspective like, first is IPD, second is on PPF, which has been outshining and third is on window film, where we are doing reasonably well but there are more opportunities there especially architectural coming into the picture, So that's why you are seeing there is on margins because IPD margins like as compared to last year, they have gone down really low.

Even on the specialty segment, there has been low demand, though margins were not affected but demand in North America because of these geopolitical tensions has been low, which is showing signs of recovery. So that's what on the plant performance and on second part, Hari

would you like to address on the second part.

Hari Nair: See on the related party transactions, we had explained earlier also, as the transactions are -- of course the volume of transactions is high but all are as per market standards and on an arm length basis and it's approved by the audit committee, etcetera. But without going into it, we would see

-- the point is there is a value-add which is coming from the business, where we are taking the process -- getting our films processed from the entity GIPL entity. So till that benefit is there, it's advisable to continue with that kind of processing and...

Deepak Joshi: Anyway on thanks for your answer Hari and then his question was, I think land bank utilization and all. So in that, we can say that, there are lot of opportunities available for us and we are, as I said there are many manufacturers who are inclined to work with us. So with that, we may look for further expansion or something which is not yet decided but company will consider all its options available before moving ahead.

Moderator: Thank you. The next question is from Ankit Gupta from Bambo Capital. Please go ahead.

Ankit Gupta: Thank you for the opportunity and good to see the significant ramp up on the PPF side. So the first question is on the PPF side, like this quarter, we have crossed INR100 crores of quarterly revenues and almost reaching INR120 crores per quarter. So, what exactly is driving this growth, is it our white labelling partnership that we have done with the players in the US market. So, what exactly is driving that and given the base, we have of, let's say INR120 crores kind of PPF run rate in this quarter. Do you think, this has now become the base and will grow from here or is this one off quarter phenomena and PPF

sales might come down in the coming two quarters?

Deepak Joshi: Not really I mean it has been consistent effort from our side and consistent business because if you really see, it has started last year, the percentage of PPF. If you have seen on the slides were only 2%- 3% on the revenue, whereas in Q4 FY '23, it has started coming to slight better numbers which were roughly, I think close to 10%. Then if you see in quarter 1 was around 16%, Q2 it had gone to 30%. So you can see a substantial but I won't say stable. It's a substantial growth, which has been there and coming whatever we have, what we foresee, these kind of trends should continue.

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Ankit Gupta: So like, what exactly is driving this...

Deepak Joshi: Yes okay, so what is driving is, there are three- four factors. One is, we have continuously grown on the domestic market. Like if you really see the numbers, which were non-existing last year, this year we have gone to substantial numbers and of course, we have another six months by end of this financial year, we have further plans to double that in the domestic market, so that is doing good for us.

Then in the market, which are other and USA market where we have some manufacturers, we have tied up with them. So some of the volume additional coming from there and lastly, we call the third thing is rest of the world. Like our sales are like that, domestic, USA and the ROW, which is rest of the world. There we have got a very, very good volumes from countries like Russia Middle East and all, where this is like Middle East this is a PPF crazy market like USA, so there the real value comes.

So it's a combination of all geographies and efforts in all geographies. So that kind of -- it's from everywhere, I can see. Even the countries like which I have never heard, I can't name them but they are the countries we have not heard in the normal business, there also we have got orders for 500 roll plus single orders kind of numbers we have seen. So the growth has been really phenomenal. Even each and smaller part of the world.

Ankit Gupta: And you expect the growth momentum to continue going forward also?

Deepak Joshi: I expect with all the efforts and everything, it will continue, yes.

Ankit Gupta: And on the sun control films, especially on the architecture film, as you had discussed in earlier call that this is contributing to roughly around 15% of our overall sun control film sales. So roughly around INR100 crores- INR110 crores, kind of revenue which are coming from this and we have launched lot of new products in this segment now. And we expect that growth in this in SPF will and architecture films will be a large contributor to our growth SPF.

So this INR100 crores number, how do you think this number will be growing over the next two years- three years. Like, when you say sun control films, the new line will get fully utilized by, let's say FY '25 when? So this will be largely driven by the architecture films and how has been the uptake or how has been the acceptance of our products in the market since we launched this product in exports market now?

Deepak Joshi: So, as I said the range company thought three years or rather two years back, when we saw there may be a kind of saturation on the auto industry because that time it happened because of the chip shortage and then it happened because of interest rate higher but architectural segment, which is a unique segment, where people live with or without such kind of architectural films.

Where this adds to lot of aesthetics, if you give the real perception and I would say awareness of this product is really low into the market. Right even in the place like -- I am just giving example to the forum, like the way we think on that. Like we are at Aurangabad, there also some high rise building I can see. The sun hits directly there. So people really feel these curtains

and all those things are not enough because that completely blackens out the space.

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So the knowledge awareness which we and our partner, agencies have created into the market especially on residential and commercial as well. So these kind of things have been really well taken because if I know personally many people to 15- 20 people even with after my talking, people have understood the value of high quality sun control films, which reject up to 99% of harmful UV rays at the same time, it reject 30%- 40% of heat, which is coming there and at the same time giving you a perfect panoramic view without putting curtains and all those things. So this is something which is a very high value product and for that, we have created campaigns on digital media which are related to localize approaches where people see sun is coming, sun facing kind of buildings and then we have done lot of door-to-door and big society campaigns, where our team is there, outsource team along with our partners going there and having their small camps in societies and making people aware of that. This is a long process but we are getting really, really good returns.

And lastly, we have done many big hotel chains and IT companies, where their spaces are quite big. We have been there and our team, our outsource team has explained all those benefits and we are getting really, really good response of them. In Indian market and similarly, in the market like USA, where we are now quite aggressive with our distributors and dealers.

We are presenting new products. They like, these people always look for new products, where we have made this unique and very high end products, which are accepted well. So the approach is very different on each market and then you go to European market, it's a completely different market, where people do not allow people to enter their house to put the film.

So their exterior films is a big phenomena, which is a very high end product because it comes directly into the contact of sunlight. So there also, we have launched a product which is for the exterior application. So all three different geographies, which are major, we have a different approach but we got a very good response of this. So that's why we are quite aggressive, that this number should be anywhere 2x or even 3x in next two years to three years.

Ankit Gupta: Sure. And one clarification on your guidance of INR2,500 crores, this is for FY '26 and not next year, right?

Deepak Joshi: This is actually, I'll have to see. Mr. Mehta can you just see the guidelines, it was for FY '26, right? INR2500 crores.

Pradeep Mehta: There is a confusion because multiple people asked about this. Basically two years to three years, we will achieve this target.

Ankit Gupta: Sure. Thanks.

Deepak Joshi: We might achieve even earlier and all those things but yes, there is a guidance of achieving in two years to three years, which we will do. INR2,500 crores, yes.

Ankit Gupta: And broadly, if you can indicate, let's say two years to three years, whenever we achieve INR2,500 crores. Broad breakup of which segments will be contributing, how much as per your

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estimate. Let's say, PPF will contribute, how much will SPF contribute. How much will, let's say IPD or let's say largely value added product, IPD will contribute in this?

Deepak Joshi: Yes, I think roughly to that, we can reach around 35% to 40% on total would be like PPF and similar number, maybe 40% to 45% because architectural will be added to that, so that will be on window film side and sun control side. And balance will be IPD because IPD will also because it has now almost a year, where we have started rebounding our sales especially on the shrink fields and low oligomers. So there also, there will be some growth possible but broadly these would be

the numbers. So 40%, 35%, 25% these kind of things, I expect. This is a broad number. Things might change depending on the situation but this is what we feel like.

Ankit Gupta: Sure. And this last question on current year performance. We like first quarter had -- first two quarters or the first half has largely been flat primarily driven by SPF challenges on the SPF and as well and more films on the IPD film. So, given the kind of visibility you have for the second half, can we expect 10%- 15% growth for the overall revenue in the full year or that looks a bit challenging in FY '24?

Deepak Joshi: I expect to be better than what it was last year. The simple reason is, this is the quarter where IPD went really low, so we have now in first half, whatever we were losing or going down on IPD was made up by consistent growth of PPF. Now, if PPF growth as I said will continue stable to continue further, right? And I mean, if you see comparison with IPD, definitely it is going to be stable or going to be better and on Q4, when the season comes for Sun Control, so in all, I expect good going forward.

Ankit Gupta: Sure, sir. Thank you.

Deepak Joshi: The real reason which I am trying to explain is, the IPD last year when the decline started, so we are already there. So nothing more compensate for that, it can all be the additional.

Ankit Gupta: That will now become at least the base given, how the market is.

Deepak Joshi: Yes.

Ankit Gupta: Thank you. Wish you all the best.

Moderator: Thank you. The next question is on the line of Aman Vij from Astute Investment Management. Please go ahead.

Aman Vij: My first question is on the Sun Control Film side. So the new line, which is 1800 LSF, at full utilization, what kind of mix do you expect from this line between architectural film, the normal Sun Control Film and may be some PPF components?

Deepak Joshi: See ideally, what we would likely said, we have some plan. Again these are very granular plans, inside the factory where we would -- we have now done some of the other facilities to use as a fungible for PPF. So that going forward, when the high season comes, the new line would be more or less available for architectural and normal window film, high end products side. So, our aim because till that time, it was quite fast.

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We were rushing and we were able to get such outstanding order book for PPF, right? So that's why, we use that but in the meantime we have taken our time and stabilized another fungible line to support the PPF line. So there, we are good. We will try to produce more of PPF from somewhere else. So having said that, the growth of architectural will be like I said, we are expecting in two years to three years, double or triple the volume. So that volume will come from new lamination line. And finally with the season most of the product high end products will be made on a new sun control line.

Aman Vij: So, sir, the mix between for 1800 SPF line will be like 60%?

Deepak Joshi: No, we will try to go somewhere around roughly as I said 20% to 30% on architectural but that is two years down the line and around 50% to 60% on the automotive segment and balance, if required only 10% to 20% on PPF because we are making some other arrangements, where we do not lose any capacity, when the demand peaks up, right? So that's why we have internally made arrangements to debottle neck for the usage of PPF.

Aman Vij: Sure, sir, this helps. My second question is on the margin side. So, I understand that, each segment, for example, Sun Control Film have various types of films and even in quarter -- some quarter like Q4 may there will be mix of high end Sun Control Film, so the margins might be higher.

So not talking about quarterly basis but on yearly basis, as of this year, if you have to give the order in terms of margin among the four products categories, which is Sun C

ontrol Film, the

architectural film, the PPF and Shrink film, where it is today, as of now. And with the -- we have talked about PPF, we will be doing some backward integration more component in-house, so after doing that, where will the order -- what will the order look like?

Deepak Joshi: Yes, see the top one again would be like high end, higher products or safety glazing kits on number one. And then, it would be PPF, then second category of window films and then Shrink film. That is now and it will remain similar even after we change this thing because there are certain in-house patented technology on Sun Control, so the top end products will still remain top end but very close to PPF.

Aman Vij: You are saying, PPF will reduce the gap between itself and the top end for Sun Control Film, this is what you are saying?

Deepak Joshi: See it is again as I said window film or architecture because I didn't mention architecture here because architectural products are like very high-end products and there, I mean the technology and all those things is quite high but still as I said in the current scenario and the future the top end products which are high end products of sun control they are number one then PPF then

other products which are like not high value edited of window film and then shrink film. Now shrink film for again there are category like if you really see the Indian margins and rest of the world and USA. There USA margins are quite good.

Again, they might come above the sun control lower end products. So it's like a big combination.

But you can understand even on the shrink film there are very high contributing regions whereas in window film it's mainly on the product whereas in shrink market is mainly on the geography.

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But again, this up and down can happen but broad guidance I have given it to you. Because there are, even sun control there are maybe 50 plus SKUs depending on the different profitability.

Aman Vij: Yes, but on an average, it will always be better than the PPF margins.

Deepak Joshi: Yes definitely. Again, if you talk of entire basket because, it is a new business for us sun control sorry PPF. And sun control we have lot of things like we are only few customers few manufacturers in the world who supply very high end products which are deep tied and all. So N plus IR is a very unique phenomena which we do. And the process which we do is again very high end and the quality is 25 years in making.

Whereas in PPF it's more of a business where we have achieved all those things in three four years, maybe in a very long term phenomena that PPF might even go up like on mat PPF. Definitely the margins are going to be much higher than this one. So there are possibility everywhere and, we keep an eye like where we can increase the margins and all. But this is guidelines is what I told you.

Aman Vij: Sure, sir that helps. My next question is on the domestic PPF business.

Moderator: In order to the management be able to address all the questions I will request you to please rejoin the queue. Thank you.

Aman Vij: Sure

Moderator: The next question is from the line of Ankit Chawla from Subhkam Ventures. Please go ahead.

Sachet Jain: Hi this is Sachet here. So couple of questions from my side. So in your Q4 FY'22 call you had mentioned that, you had given a revenue guidance of about INR1800 to INR900 crores. Just you know I understand that there has been some stress at the IPD division. So what kind of revenue run rate would you have for the next couple of quarters?

Deepak Joshi: Yes. I think going up because of ups and downs in that particular segment on IPD and some of the business as I said we do not entertain because of the margin pressure. So I still feel I mean, there may be 10% here and there. But we hope that we will be able to grow on BPS business and with Q4 being like the full-fledged dem

and season for us. So we will be able to maintain that.

Sachet Jain: Okay, perfect. And my second question was actually to understand your IPD unit if that can be utilized for production of PPS?

Deepak Joshi: See again, there are many components. But yes, some of them are being utilized.

Sachet Jain: Because what I actually wanted to understand since you were running, on full capacity for the PPS and you were also kind of using the FPF capacity as well for the production. I mean, like would you be going for capex of INR8200 crores for the line of additional PPS or would you wait for it?

Deepak Joshi: You mean IPD capacity to be used for PPS?

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Sachet Jain: Correct because you are running in 100%

Deepak Joshi: See we use some of the products already for PPS, and of course for sun control. But what we have done is a strategic move, I cannot go into very detail but just for the information of the forum. What we do is we have now focused on many products, which actually directly made from IPD and some value addition on CPD. And these are part of some new product developments for us.

And some of one of the product actually we started getting good orders also, means, the products which are like very high end products from CPD, but mostly it is made on IPD, like, some products are there we identified. So we make the base in IPD and then transfer it to consumer product division, and then we do some value addition there and then it goes from there too, to continue if you really see the nightmare what is happening in the polyester industry is so that is a well thought of plan where we have converted into this kind of business. And PPF it will take as I said one 1.5 years there will be many components or almost everything whatever is required from polyester will go from here.

Sachet Jain: Okay. And your capex for FY'24 and '25. If you could just help me out with that number?

Deepak Joshi: 24, 25.

Sachet Jain: Yes.

Deepak Joshi: See again this is a development process. I cannot guarantee or something that it will happen or not happen. But yes, the aim is that, we will achieve that by that time.

Sachet Jain: Okay that's it from my side. Thank you.

Deepak Joshi: Yes. Thank you.

Moderator: Thank you. The next question is from the line of Priyank Agarwal from Equirus Wealth Pvt Ltd. Please go ahead.

Priyank Agarwal: Good afternoon, sir. Yes sir. So my question to you is with respect to the PPF business. So like as you mentioned that SPF domestic sales conversion to the total sales would be around 6% to 8%. So, I want to understand what would be the PPF scenario for the domestic market? In terms of percentage if you can specify?

And also, sir I want to understand, as you mentioned the last con call that at peak utilization PPF revenue contribution would be in the range of INR450 crores. So sir are this, is my understanding correct about this revenue contribution about PPF?

Deepak Joshi: Yes, with the current rate we are growing because as I explained that this Q, I mean there has been Q4 '23 where the real PPF started coming into the picture and which has around 10% of total revenues. Whereas in Q1 we did around 16% and then in Q2 this year we did around 30%. So if we annualize with this, we will I think easily cross that thing. We can even go to, I mean with this rate we can even cross 400.

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Priyank Agarwal: Right and sir what about the domestic market like what kind of mix we are looking forward.

Like in terms of total sales as you mentioned that we will be going forward in the next two to three years, as you said that PPF will be contributing at around 35% to 40% to the total sales.

But what would be the domestic scenario? I want to understand that?

Deepak Joshi: So on domestic if I see with this it's like domestic would be it's like 20% of the PPF.

Priya

nk Agarwal: Right, answer one last question.

Deepak Joshi: PPF just recap that the penetration in India is only 0.4%, 0.5% so we have an aim to take it to I mean at least 2%, 3% whereas the China rate is around 10% and US is around similar into 10% range. So looking into this market and looking we were almost 0.1% two years back. So we have which is now around 0.4% to 0.5%. We can at least take it to three to four times. So in immediate six month time of we can do it to at least a percentage 0.8% to 1%. So that growth itself is will double our number and we will reach around 20% of the capacity on domestic market.

Priyank Agarwal: Right, answer one last question, quick question with regards to the margin. So how does the PPF margin differ across the sales channels, as we are expanding into like we have tie up with Mahindra, right, into the OEM segment, and also, we have been aggressive in opening the Garhwali Application Studios. So how does the margin differ in this across this sales channels?

Deepak Joshi: See it's a very I think standard marketing practice that wherever we go through Garhwali Application Studio definitely their margins will be higher because lot of efforts are required our marketing campaigns, digital marketing campaigns all are aligned towards to get that kind of growth right. So when we go to big OE's, definitely there will be like a volume commitment from there so there will be some advantages to them. But again it is well all those things is being averaged out and giving good returns to us.

I mean, exact nitty gritty on numbers we can't discuss but definitely. And as I said, our aim is to build a long-term brand recall for Garhwali into domestic market as well, where our major aim is to penetrate the brand across, all across India, all corners of India and all through network channels right. So we are well set on that direction. Wherever we do like alternative component developments and everything this will give automatically increase our margins with that.

Priyank Agarwal: Thank you sir that's it from my side.

Deepak Joshi: Okay thank you very much. Thank you.

Moderator: The next question is from the line of Aman from Astute Investment Management. Please go ahead.

Aman: Yes, with the domestic business. So, we have now 500 dealers and we plan to take it up to around 900 dealers, sir?

Deepak Joshi: Yes.

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Aman: So on an average so obviously there will be some little bit low utilization at some at medium and some at high. But on an average at peak kind of sales from 900 or should we assume like we can do like INR300, INR400 crores kind of domestic business? Whenever it happens, no timelines but what number should we assume with say 900 2000 dealers, what kind of peak domestic sales we can do?

Deepak Joshi: See, you are talking only on PPF or PPF plus?

Aman: No, no PPF only.

Deepak Joshi: Okay, only on PPF as I said I am expecting around 20% of the business from I mean by the end of this year. So, I am because that will not be that will be annualized for next financial year. So with that you can assume like if we have that kind of volumes. So, I can assume that will be like around INR150 crores kind of business with that.

And this is like I said from 0.1 we have reached to a level of 0.5 and the numbers which are talking is like kind of around 1% so you are 100% right, if we go -- if we add -- if we further grow next year from 1% to 2% right, so that number is going to be around INR250 to INR300 crores. It is possible but it might take two years or three years to reach there. So domestic business that with this can go up to INR250 to INR300 crores.

Aman: Sure sir, that helps. And on an average say for a dealer normally the mix between the business he gets from sun control film versus PPF film is the mix like PPF might be like 60%, 70% given the volume required sorry the value required

is more what is the current mix and what is the normalized mix for a dealer?

Deepak Joshi: It is very premature to talk on this level the reason is all the PPF is very new into this segment and it is growing very fast, right. Definitely PPF component would be more, but if you really see sun control per say is much higher penetration, which is roughly 30% penetration as compared to 0.5% of PPF. So and there are much more channel, because we have been very seasoned player on sun control.

So we have a very wider network of sun control sales in India and as well as over the world right. So PPF channel is just started. So exact comparison I don't have because, it is too early to do that. When we stabilize our volumes to like I told you INR250-INR300 crores that would be like the area to understand like. It doesn't help us anyway how much is PPF or sun control percentage. It helps us by increasing the penetration, both sun control and PPF.

Sun control is quite strong and standard and stabilizing for us whereas PPF we are continuously growing. So we are not stopping for all those things. And there are many distributors which are like focused only on PPF there are many distributors and dealers who are only doing sun control.

So it is not apple to apple to many distributors.

Aman: What is the number of dealers who are doing sun control for us in India?

Deepak Joshi: For sun control, we have sorry 100 plus. There are 100 plus dealers because my team is here so they are saying 100 plus dealer's distributors those who are doing for us that. But and for that

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we don't need to reach like we are doing in PPF. Because the business is high value business and we had to create, we had to use a different strategy by creating market or secondary sales channel and creating demand or push from the secondary market to help us distributor to sell PPF.

Because when we started, we just started giving PPF to people they were not able to sell.

So we had to create we had to make a field for these people to sell the product. So PPF we have done lot of work to create the market. So that our dealer distributor can sell the market and that's why we reached directly to OE's and dealership which are 500 in reach and gas which are like 100 in our port. So on PPF it's a different strategy where on sun control it is very different strategy

Aman: Sure, sir. That helps. Just to complete this point on the PPF side, sir. So you have talked about previously, I think that say if you have to do it average car might cost around INR1 to INR2 lakhs depending on what kind of film and all those things. But I think, my understanding is most cars still only use it say on a one part of the car. And average realization per car might be around 23,000 plus minus something. I can be wrong this is my assumption.

So if you can talk about have you seen this usage increase in terms of last few months or quarters, once we have started marketing maybe, we have created so many SAU's. So does the use per car is also increasing, one is obviously you can get more customers, but in the cars in the people who are trying to use this product is the value per car also increasing?

Deepak Joshi: See, whatever says there are component, people who are using components are really low. It looks like there will be more people, even we also thought. But with the experience, we can clearly see, the people who are doing full cars are much more than people who are doing partial, right, to just make you the forum more understandable is that we are also doing on many bikes. We are doing big events with big manufacturers of bikes.

In fact, we are participating in a show by invitation in Goa during this month. So even bikes and -- even bikes and certain other smaller bikes e-bikes are also using our products. So these are small, small applications. But the volumes are really low, whereas when you talk

ed about the prices like INR1 lakh to INR1.2 lakh, we have many big distributors high end -- not distributors many dealers they are doing high end cars they are doing at a price of INR3 lakh also INR3 lakh plus. So they are very different channels and we give them very different branded products. So we

have strategic moves there we just don't disclose all those things like only INR1 lakh INR1.2 lakh because our PPF is also being done at a very high brand for INR3 lakh also those people who are directly buying from us in India, right. So there are I can say 10 different channels where we are selling depending on like we are also doing to e-bikes to other bigger bikes to part of the car to then full cars. So there are 10 different methods where we are selling but every strategy to sell all those things is well defined and we are using those to increase the presence and margins for the company.

Aman: Yes

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Moderator: Thank you. That is a last question for today. I would now like to hand the conference over to the management for the closing comment.

Deepak Joshi: So, I mean on behalf of Garware Hi-Tech Films, I would like to thank all the participants of this call, all the investors and people who joined us. And thanks for the patience of listening us. And we assure you that, we are doing every bit to make to create the high value for all stakeholders.

Thank you very much. Thank you.

Moderator: Thank you. On behalf of Garware Hi-Tech Films Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your line.

Call: Feb 2024

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February 13, 2024

The Compliance Manager

BSE Limited Corporate Relationship Dept., Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai 400001.

Scrip Code: 500655

The Manager, Listing Department

National Stock Exchange of India Ltd Exchange Plaza, Plot No. C/1, G Block,

Bandra-Kurla Complex,

Bandra (East), Mumbai 400 051.

Trading Symbol: GRWRHITECH

Dear Sir/Madam, Subject: Transcript of the Earnings Conference Call - Quarter ended
December 31, 2023, held on February 09, 2024.

Pursuant to Regulation 30 and 46 of the Securities and Exchange Board of
India (Listing Obligations and Disclosure Requirements) Regulations, 2015,
please find enclosed the transcript of the Earnings Conference Call, held on
February 09, 2024 at 4:00 p.m. IST.

The above information is also available on the website of the Company:

<https://www.garwarehitechfilms.com>.

This is for your information and records.

Thanking you, Yours faithfully, For Garware Hi-Tech Films Limited

Awaneesh Srivastava Company Secretary FCS 8513

Encl. as stated above.

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Q3 FY '24 Earnings Conference Call"

February 09, 2024

MANAGEMENT : M R. M. S. ADSUL – DIRECTOR TECHNICAL

M R. DEEPAK JOSHI – DIRECTOR SALES AND MARKETING

M R. PRADEEP MEHTA – CHIEF FINANCIAL OFFICER

M

R. SUNIL WADIKAR – PRESIDENT OF CORPORATE AFFAIRS AND
FINANCE

M

MODERATOR : M R. VIKASH VERMA – E&Y

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Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY '24 Conference Call of Garware Hi-Tech Films Limited. As a reminder, all participants will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vikas Verma from E&Y. Thank you and over to you, sir.

Vikas Verma: Thank you. Good afternoon, everyone. Welcome to the Q3 FY'24 Earnings Call for Garware Hi-Tech Films Limited. On behalf of the company, I would like to express our gratitude to each of you joining the call today.

To discuss the performance of the company and to answer the questions, we have with us from the company, Mr. M.S. Adsul, Director Technical, Mr. Deepak Joshi, Director of Sales and Marketing, Mr. Pradeep Mehta, the Chief Financial Officer, Mr. Sunil Wadikar, President of Corporate Affairs and Finance.

Before we begin, I would like to draw your attention to the fact that today's discussion may contain forward-looking statements that are subject to various risks, uncertainties and other factors which will be beyond management's control. We kindly request that you bear in mind there may be uncertainties when interpreting such statements. Please note that this conference is being recorded.

We will now start the session with opening remarks from the management team; afterwards we will open the floor for an interactive Q&A session. I would now like to invite Mr. Deepak Joshi to make his opening remarks. Over to you, Deepak.

Deepak Joshi: Thank you, Mr. Verma. Ladies and gentlemen, good afternoon and thank you for joining us to discuss Garware Hi-Tech Films Limited financial performance for the quarter and 9-month ended on December 31, 2023. Let me start by providing a brief overview of our financial standing. We are excited to share GHFL's exceptional Q3 FY '24 results, showcasing our commitment to growth and profitability.

We have reported the highest-ever revenue of INR455.54 crores and highest-ever path of INR56 crores for the quarter. The key driver of this success was our PPF and SCF businesses, which witnessed a stunning growth of 80% Y-o-Y, which was partially offset by the IPD segment, resulted in a slight decline by 9%, which is due to excessive capacity in the industry.

Let me briefly explain our main product lines. First of all, I would like to talk about Paint Protection Films. Our PPF business experienced a remarkable 35% sequential quarterly growth in revenues versus Q2 FY '24. We experienced a strong demand from key customers in various geographies like USA, Middle East and India. Our recent launch of ceramic coating over our PPF complements our PPF product line and we expect further growth potential on that.

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We have now a complete package of matte PPF, black PPF and white PPF, which is on top of the range from our transparent PPF. Our PPF business now contributes more than one-third of the total revenues. Our lines are currently operating at an optimal capacity with intermediary process supported on other lines. We are quite confident of continuous growth and making provisions accordingly by certain debottlenecking and considering further growth plans. Now I would like to talk about Solar Control Films. On the SCF business front, we experienced 10% sequential quarterly growth in revenues. This is attributed to growing automobile sales worldwide. We expect the positive trend to continue, further supported by introduction of rooftop series for auto sector and new grades into architectural and decorative film segments.

We received significant interest

at the recent A-Tech Expo in Hyderabad, indicating strong potential in this new market. SCF constitutes around 35% of our total quarterly revenue. The recent launch of our rooftop series at Auto Mechanika Expo demonstrates our commitment to catering to India's market-specific needs.

Now, lastly, I would like to talk about industrial products business. The IPD segment phase has been during the quarter, we remain committed to its future in the value-added segment. We are focusing on expanding our specialty segment and improving capacity utilization and we believe these strategic initiatives will strengthen our market presence and drive future profitability for the IPD business.

Lastly, we have aggressively worked on resource addition from across the world, participation on most of the relevant shows and worked on digital media presence increase worldwide. I am happy to announce that our digital media footprint has touched a number of 120 million in total.

With this, I will now request Mr. Pradeep Mehta, our CFO to take us through the highlights of financial performance. Over to you, Mr. Mehta.

Pradeep Mehta: Thank you, Deepak. And a warm welcome to everyone joining us today. I am delighted to report this quarter with the highest ever revenue and robust operational performance. Our company reported record consolidated revenue from operation of INR454 crores with 40% year-on-year growth and highest ever PAT of INR56 crores in a quarter. It's an impressive 84% increase when compared to the corresponding quarter last year.

Around 83% of our revenue has come from export in Q3 FY '24. Also around 91% of our revenue has come from the value-added field in this Q3 FY '24. This is positioning us for superior growth within the industry. And despite industry headwinds like the Red Sea crisis, supply chain disruption and excess supply, delivered a stellar EBITDA performance in Q3 FY '24. Our EBITDA jumped 61.2% year-on-year to INR85 crores with margin expanding to 18.7% compared to 16.2% in the corresponding quarter last year.

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This impressive growth was driven by surging demand of PPF in both domestic and international markets and solid rebound in our SCF business and effective shipping and logistics management by the company.

Other than the strong growth reported for the quarter, our balance sheet remained exceptionally robust with zero debt and cash surplus. And this healthy financial standing allows us to invest in future growth opportunity and with confidence.

We have also seen a significant improvement in key financial ratio. In the first nine months of FY '24, we achieved an impressive ROCE of 21.12% and an ROE of 15.86% excluding the effect of revolutionary zone. These figures demonstrate our efficient utilization of funds generated from the business.

Furthermore, our inventory turnover rate also decreased to 6.5%, while our effective working capital management practice have maintained our working capital cycle delay days to just 7 days in 9 months FY '24. This improvement reflects our commitment to operational excellence and efficient cash flow management.

In conclusion, we at Garware Hi-Tech Films remain dedicated to manufacture and deliver superior quality products and meet market demands worldwide and solidify our position in the value-added film industry globally. We are confident to continue the growth momentum and remain committed to deliver value to our shareholders.

Thank you. Thank you for your continued support. Let us now proceed to Q&A session. I hope you have our running numbers as well as the investor presentation. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Ankit Gupta from Bamboo Capital.

Ankit Gupta: Thanks for the opportunity and congratulations for a great set of numbers. Sir my first question was on the

PPF. We have seen stupendous growth in the segment, not just Y-o-Y, but Q-o-Q also. This has reached almost INR163 crores of revenue in quarter 3 and do you think this rate of around INR160 crores is sustainable or was this just a one-off quarter?

Deepak Joshi: Thank you very much. And yes, actually, the business on PPF is really, we have been able to do good and with many contracts and sales growing all around, like I said in USA, Middle East, India and in fact from other markets also. So we are quite confident that this momentum will continue like what it is. It may grow even further from here.

Ankit Gupta: That's good to hear. Sir, since more than 90% of our PPF sales is exports, how much of that will be for white labelling and how much will be sold through our own brands like Global?

Deepak Joshi: Strategically, we keep it both 50-50 for our brands, which include Garware Global and White Label. But sometimes because of market demand, this is slightly 55%-60% on White Label and balance on our brand.

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Ankit Gupta: Sure, sir. And sir, on PPF, since our PPF plant is fully occupied and we are using the Sun Control Films line for intermediate process, any plans, we were thinking about further putting another line for PPF, so anything which has been decided by the management and the Board?

Deepak Joshi: Yes, we are cognizant of the fact that the PPF is continuously growing business for us and we are putting a lot of efforts which is like participating in more shows and digital campaigns and finally reaching out to many OEs directly. So with this, we expect the momentum to continue. And management is fully aware of the fact of the capacity which is being utilized right now

from sun control films.

So we have enough capacity available in sun control films as of now. And as a strategic support to PPF, we have debottlenecked one of the line to make one of the component of PPF so that the capacity constraint won't be there in next one year. In the meantime, we are in the advanced stage of finalization of some of the advanced kind of machinery for us which will be highly automated line. So if that proposal comes out well and if Board approves that thing, we will come out announcement of such lines soon.

Ankit Gupta: On sun control films also, we have seen some improvement in the quarter, in this quarter on a Q-o-Q basis. So do you think this growth is sustainable? And we are also putting trust on architecture of sun control films. So how do you see the outlook for sun control films going ahead?

Deepak Joshi: Sun control films has been a very strategic and very niche business and Garware has been present on the top of the table or top of the pyramid if we see the uses and the pricing. So with that, and that is a very important business for us.

And last year as I explained in my previous invest or calls, there were lot of inventory issues in key markets like USA and Europe which has gone down. We discussed that during the last investor call. So that pressure was gone.

So now we expect the growth to continue in the coming quarters as well. And second thing is with the season where summers, we are moving towards summers and in preparation of that, we expect this growth to continue.

And lastly about architectural, so we have put lot of efforts. We have hired resources into that and we have participated into like recently ACE Tech kind of exhibitions and we are doing that kind of campaigns with the increased energy into that segment. So that will also lead to a further growth of sun control business for the company.

Ankit Gupta: On the overall profitability, if we look at, we have seen a significant uptake in our revenues.

But despite that, there wasn't any advantage of operating leverage coming into our gross margins and our EBITDA margins especially. In fact, our gross margins have declined sequentially. So, let's say, how

do you see the operating margins going ahead and what has been the reason for maintaining the similar EBITDA margin despite significant increase in scale of operations?

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Deepak Joshi: Yes, see, the margins actually are a product of product mixes. So we have wide range of product mixes in IPD, and then on sun control also there are wide ranges and then in PPM. So if you put together, that range is always 1% to 1.5% of EBITDA percentages. But this IPD

business which has gone to some rough patches in last two, three quarters, we are seeing that it's kind of bottomed out. So any margin improvement there would definitely lead to this EBITDA margin improvement. That's number one.

And second thing, as we are focusing more of the specialty segments, including architecture where IR films would be a key for our growth drivers. So we expect this to go higher. And lastly, we have penetrated the market quite aggressively into the market. So as the guideline given by the management in the last quarterly calls, that in one, one and a half years' time, on a little medium to long term kind of horizon, we expect these to increase. I hope I answered your questions.

Moderator: Thank you. The next question is from the line of Dhwanil Desai from Turtle Capital.

Dhwanil Desai: Hi. Good afternoon, everyone and congratulations for a very good set of numbers. So all the hard work that you have done is paying off. So my question Deepak is, I think in the presentation there are two or three new products that we are talking about. One is the roof, you know, sun control film. And the second is the ceramic part.

So ceramic coating, you know, if you can talk a bit about, are we only launching this product in India or for international markets also? And if so, are we competing with the same players? What is the market size? Is the idea more to target the mass market? If you can walk us through that.

Deepak Joshi: Yes. So you raised two points. One is the rooftop series. So rooftop series has been launched just to interest of the audience. So rooftop series includes all kind of roofs, whether it is sunroof, moonroof, or the painted roof, without any kind of sunroof or moonroof. So these three different categories of films have been launched to reduce the solar heat which attacks the car from the top, from the rooftop.

So the special point here is without glass also, like on the painted surface also, we have developed this film which will help the lower end cars to efficiently save their energy cost by reflecting the heat from there. So that product, we got a very good response from our latest launch in Automechanika, New Delhi. It was widely covered by media and we got very robust response from social media on that.

So we are really happy to share all what happened there. And after that, the next point you

talked about, ceramic coatings. So the current ceramic coating which we are talking, we are doing that only because we want to penetrate our product much deeper into the channels. And we have an existing channel of our dealers, distributors, Garware application studios and retail houses, I mean, detailing centres. So people who are using our PPF, we are giving this, to start with, we have kept it as a kind of introductory prices and we are receiving good response on that. So that helps to keep the car shining till the warranty period of 10 years.

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So the major advantage of this ceramic coating is to keep your car new and shiny for over 10 years period time. And we are using our existing network of Garware application studios and detailing centres. Now, we are also planning to give this product to our export market also, where they are exclusively using Garware products. And with this, we will be doing more of the products to make our chain robust and sustainable. Mayb

e some more products, toolkits and other things will soon be coming into the list. So we have aggressive plans to use the existing channels to penetrate more into the detailing market with this.

M.S. Adsul: Yes, just one thing to add...

Ankit Gupta: Mr. Adsul is also commenting on that.

M.S. Adsul: See, this is not a regular ceramic product, which is different. So this is on top of a PPF. This is a complementary product for the PPF.

Dhwanil Desai: Okay. So it is not the same product that when you buy a new car, if you want to go on the lower price point, you apply ceramic coatings. Are we talking about the same product?

Deepak Joshi: No. This PPF we have mentioned, it is for the PPF surface, which is being used by many big companies in USA also. We don't apply that on direct painted surface, because that does not last more. I mean, the life of that product remains three to six months. So that's why we recommend that to use on top of PPF and which are giving very good results. And this has been successfully being used by some of the top USA brands as well.

Dhwanil Desai: My second question is, from whatever commentary that you have given till now, apparently everything seems to be good and the growth is in tact and solar growth also is likely to come back. PPF also is looking good. So the only question now is that we are exiting this quarter with INR450 crores revenue.

So we are looking at INR1,800 crores, INR1,900 crores kind of a run rate plus next year, we'll grow at 15%, 20%, whatever. So we are surely constrained for capacity because in our earlier call, we have said that we can go up to INR2,300 crores, INR2,400 crores top line. So what is the reason why we are taking our own time in terms of new capex decision? Are we not sure about the market side or is it that we are taking more time in terms of finalizing the contours? If you can give some more idea about that.

Deepak Joshi: See, if you really see the growth targets, what we have been trying to achieve, we have achieved that. In fact, we really continuously achieve the growth. Like you also mentioned, we have declared, given the guidelines in previous investor calls as well.

So traditionally, we have been very firm on our investments in terms of the quality of the investment and in terms of something which is unique and should not be, you know, just repeat or copy, it can be copied by the market participants, sorry, our competitors or anybody who wants to indulge into that. So that idea of putting another line is trying to make investment

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which will be very unique in its manufacturing process and plus it will add a lot of value over what we are currently producing.

So in this line, we are working and soon once this is finalized, we will come up. We will not hold any capacity or any order back because of that. That we assure you. That assurance has been given in the past also. At the same time, as you must be aware that we have enough capacity on sun control side.

We have five lamination lines, which are, one of them is the highest one, which we, one year back, we have commissioned that. So with that, we will be able to use that for PPF going forward for 12 to 15 months. By that time, if everything goes well, we will have a new line in place.

Dhwanil Desai: Okay, got it. I have more questions, I'll come back in the queue.

Moderator: Thank you. The next question is from Axay Shah, Kriis PMS. Please go ahead.

Axay Shah: Hello? Am I audible?

Ankit Gupta: Yes.

Axay Shah: Congratulations on a good set of numbers. I wanted to just understand a couple of things. One is when we, what is exactly leading to the growth which we are seeing right now? I think one of the pointers which you mentioned was, you have some contracts in hand. So that is giving you confidence that this growth would continue. Any other factors which

you are seeing that we see this growth would continue going forward?

Deepak Joshi: Sir the most important thing is the study of the market, the quality of the product and like when we compare Indian market as compared to US market and China market, if you really see, all of them have grown very well in PPF, right? Like you would have heard about Tesla trying to do so many PPF on the assembly lines and all. So we are actually, we are aware of the fact that PPF is a product which really adds value to the car, especially to the high-end cars.

So with this confidence, we started two years back into the Indian market and we are now a couple of, how can I say, multi-folds, close to 10 times from where we started. So this kind of awareness of the market and confidence in our quality, we are sure that the growth, I mean this growth will continue. So that is where the growth actually coming from.

And second thing is, last year was a year when there were a lot of inventory piled up into window film segment, in the water also, when the transit time went very high. And at the same time, after COVID, there was a sudden drop in demand and a lot of material was, because we supply all over the world. So what happens is, a lot of inventory remained unsold at that time.

We sold, but it was remained in to the channel. So all that is over, which we discussed in the last quarter, and the things, it has cleared whatever obstacles were there. So we are growing into that. And as we see, we are quite confident growth on Suncontrol market also. So the

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growth is coming from PPF, with our confidence, quality, and the market penetration, which we believe we can do, and from the Suncontrol business. And architectural segment as well.

So the growth is coming from these areas.

Ankit Gupta: Got it, perfect. And one more question, I have this around, what would be the proposed amount for these new equipment's, which are under pipeline? And even after that, I believe, over the next one year, we would still have some surplus funds, even after the capex, right?

Deepak Joshi: Yes. See, I would like to comment on that, once we announce all those things, once board approves that, because these information, nowadays, we are seeing a lot of downturn in the industry, similar, and we are the ones who are actually on the steady growth path. So we don't want to share the information, which are very sensitive in nature, right?

So that's why I would request, I would excuse myself on diverging this. But once again, the commitment from the management is, we are working in the right direction, and the growth path would continue. Like somebody asked me, are we not confident of the fact that we would continue to do good?

So I, once again, would like to reiterate that we are quite confident of the performance, and we will do whatever is needed to keep this growth momentum alive.

Ankit Gupta: Okay, perfect. Thank you so much.

Moderator: Thank you. The next question is from Chirag Fialoke, Ratnatraya Capital. Please go ahead.

Chirag Fialoke: Hi, good afternoon. Thank you for the opportunity. I have two quick questions and another question. So a quick question on the cash. Last quarter, if I'm not wrong, our cash position was around INR350 crores, INR354 crores precisely. And this quarter, we have ended at INR311 crores despite a very strong result. I just was wondering whether my numbers are wrong or if there's something that I've not understood.

Deepak Joshi: We have made the loan payments, prepayments. So right now, company is completely debt-free. Mr. Mehta, would you like to add?

Pradeep Mehta: That's perfectly right, Deepak. We have repaid all the entire loan, term loan and whatever is due. So now it's a debt-free company. So that's why the numbers are, whatever you are saying is correct.

Chirag Fialoke: Sorry, sir, but last quarter itself, our long-term deb

t was already zero, right?

Pradeep Mehta: Some of the payments were pending. So we paid in this October month.

Chirag Fialoke: Okay, understood. Understood. So that has been done this way. Okay. The second question, sir, I actually have on gross margins. I think there was a participant who alluded to the same thing. Our proportion of PPF has gone up and I'm comparing only between September and December, just last quarter and this quarter. And the IPD proportion has gone down. Despite that, sequentially the gross margin seems to have gone down a little bit.

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And there's a significant improvement in the mix, even in these two quarters. I was wondering if there's any light that you can throw on that.

Deepak Joshi: Yes. Like I explained, it is not direct proportion, like IPD proportion has gone down. But whatever products are there, their margins are almost at a very, very low level. So that is one of the reasons. But we saw that, I mean, kind of coming back. But at the same time, when there is a high proportion of Suncontrol goes into the product mix with IR products and all, this margin tends to generally increase. And second thing is, we have done a lot of introductory offers to increase the penetration of the PPF for obvious reasons, because we are only four years old in PPF market against our world competitors who are there for last 20 years. So to do that, we started some initiatives on that, which will go away in the next one year or one and a half year. So we expect the margins to improve on that behalf.

Chirag Fialoke: Understood. And for this quarter also, we would have spent around the same amount as last quarter, INR 7.8 crores on our consulting and the partners that we work with for the marketing side. Is that right?

Deepak Joshi: No, it was not that much. Actually, it is less than 60 hours. So that will continue because they have been giving us good light on the market scenario and helping us to grow digital footprints and marketing efforts and new geography penetration and all those things. And mainly also working on OEs, OE developments.

Chirag Fialoke: Understood. Fair enough. So last question on the Suncontrol side, what proportion of the Suncontrol revenues today are from architecture films or is there almost nothing from architecture films right now in this quarter?

Deepak Joshi: If we see a total around 35%, numbers are there in the presentation, but I think 35% comes from Suncontrol division, window film division. Out of that 35%, around 20% of that 35% comes from architecture segment.

Chirag Fialoke: Understood. Sorry, sir. I missed that. Thank you so much.

Deepak Joshi: Thank you very much.

Moderator: Thank you. The next question is from the line of Aditya Rathi from Equitas Investments. Please go ahead.

Aditya Rathi: Yes, thank you for the opportunity and first of all, congratulate the entire team for a great set of numbers. So my question was related to the IPD division. We wanted your guidance in terms of how the outlook of this division is looking currently and when can we expect some kind of turnaround?

Deepak Joshi: See, industrial product division is currently facing a lot of headwinds and all of us are cognizant of the fact that all the peers in the industry who are mainly focused on commodity and packaging business segment, so all of them, including us, in that particular small segment

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are struggling. That is happening primarily because of overcapacity. And secondly, I mean, I think a lot of world over geopolitical tensions also created a lot of barriers in terms of trade and this basically leading to a very low margin scenario currently.

And this has been ongoing for the last 15 months, if I am very particular, if I may say. On that scenario, we expect to continue maybe another six months to a year. But w

hat we have done,

like 15 months back since today, we have changed a lot of product lines where we still, we continued to make margins on that and rest wherever we were not feeling confident of the current market scenario, these products we have dropped.

So we will maintain the current flow for next six months to a year. That is unfortunate, but this will continue like that. But then we expect some of the participants, market participants may not like to continue because some of them are fully dependent on these kind of business lines only.

So, and Garware is a company which has got experience in these kind of products for over 40 years. So those specialty products are still doing the same, but their total portion of the business in IPD around 50%. So 50% of the products where the experience, quality, everything matter, we are still doing good.

Rest of the 50% where there is a lot of competition, we are not doing that good. Nobody is doing good on that. And we expect this scenario to continue for six months to a year time. But our overall performance, if you see, will be like similar lines because we will be more focusing on consumer product divisions.

Aditya Rathi: Got it. And so what would be our capacity utilization currently at IPD?

Deepak Joshi: 71%. We have given that to the presentation. 71%.

Aditya Rathi: Okay, okay. And lastly, I wanted to ask a question related to the PPF division. So earlier you mentioned that given the capacity constraint, we will do some kind of debottlenecking and we'll also utilize...

Deepak Joshi: We have done that.

Aditya Rathi: Yes. So this will basically not lead to any capacity constraint for the next one year, right?

Deepak Joshi: Yes, yes.

Aditya Rathi: So I wanted to understand what is the total amount that in terms of revenue that we can extract out of such initiatives going forward?

Deepak Joshi: So I think if we use all the debottlenecked capacity with the current one, so it can go as high as INR600 crores per annum kind of numbers from PPF.

Aditya Rathi: INR600 crores. So if we look at this quarter, it is close to INR130 crores-INR140 crores. So we are almost at that level. Is it fair to assume that?

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Deepak Joshi: We still have a headroom of around 20% to go. And plus, as I said, we have done some debottlenecking, but we have total five lines where we can use all those things. So we can do further such initiatives for a year.

We have made internal plans like for next one year, 12 to 15 months plan is already there, where looking into 15%, 20% growth from the current level also would be catered.

Aditya Rathi: Got it. Fair enough. So I'll come back in the queue.

Deepak Joshi: Thank you.

Moderator: Thank you. The next question is from the line of Mahesh Bendre from LICMF. Please go ahead.

Mahesh Bendre: Hi, sir. Thank you so much for the opportunity. So business-wise, we are doing really well in terms of growth and margins and cash flows, balance sheet, everything is fine. Only thing is that our return on equity is in the single digit, probably near to 10%. It's simply because we are totally capital-employed in the business. Around 70% of that is from the net block.

So I'm just trying to understand out of the net block, how much is actually we are using for the business purpose, which is actually contributing to the top line and bottom line of the company, how much maybe spare land or spare gross block, which is not adding any to the numbers I searched.

Management: Yes. I'll answer this. Basically, we have four significant land parcels acquired somewhere around 40, 45 years back.

And this was revalued by 765 for a few years back. Two of the land parcels are at Aurangabad, Valonjan, Chikalthana, and one is at Nasik and one is at Mumbai. With regards to Nasik, we are evaluating potential buyers to sell this plant.

And for Mumbai property, we have no such

plans to sell this Mumbai property. We have made a Garware application studio where we do installation of PPF and everything. And the development of this property is restricted due to, there are some restrictions of height because of that we cannot develop and it is not viable.

So if we compare only because of the INR765 crores revaluation, our asset owner and other issues are getting impacted. This land is bought 40, 45 years back.

Mahesh Bendre: No, but if we remove that part of the total net block, then how much net block will that actually compensate?

Management: That way only Nasik plant is not in use. But the value will be around INR85 crores.

Deepak Joshi: Yes. If you really see the land parcels, we have Chikalthana in Aurangabad where the plants are running, right? And Waluj where we are continuously growing, which is the biggest land parcel, right? So there that total is around 135 acres.

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There it is, I mean, many plants are running there. And we are continuously on the growth path and we expect to put more lines there in Waluj. So Aurangabad, it is more or less utilized.

Now the only area which remains where we can do some kind of development is either

Mumbai, where we are looking for, right time where the investment makes more sense, attractive. When there is airport, funnel zone or some kind of restriction, they may change the regulation based on that. That can be an attractive proposal.

So that property, we may only think of the development, not for the sale purpose. So the last one remaining is Nasik, where we have got offers to sell that property. But still we are negotiating, going, we are, I mean, the results are not at the desired level, means we wanted the amount which is not as yet been achieved. So we are continuously working on that.

Mahesh Bendre: Sure, And, sir, any plans of merging Garware Industry Pilot Limited in the near future?

Management: Yes, Sashnil, can you explain on that? No, actually, we currently don't foresee any plan.

Basically, the deep dyeing and thermostatic intermediate process for sun control plant is done by Garware Industries, which is one of our related parties.

Now, two decades ago, Garware Industries had set up a manufacturing facility just to support Garware high-tech film. The technological process is patented one and is closely guarded to protect our product recipe and restrict competition. The facility, Garware Industries have upgraded time to time, this is our Garware high-tech's demand.

And these transactions, what we reported, are currently at very competitive rate and are at arm's length. At the same time, it is cost-beneficial to Garware high-tech films. And as such, we currently don't have any plan to merge this entity with the listed entity.

Mahesh Bendre: Yes. Sure, sir. Thank you so much, sir.

Deepak Joshi: Thank you. Thank you very much.

Moderator: Thank you. The next question is from the line of Parv Jain from Niveshaay Investment Advisory. Please go ahead.

Parv Jain: Hello, sir. Congratulations on good set of numbers. So, my first question would be on your IPD division.

If we see Shrink Films business, it has been, I mean, marginally, it has been remained constant and our market share has also remained constant over the quarters. Can you give a broad outlook on how that side of business is and how is it growing or what is the outlook ahead for that business?

Deepak Joshi: Now, on Shrink Films, we are continuously growing despite a lot of challenges into the market because the season last year was not that great in India. But the growth has continued, growth has been there and our key markets in, which is USA, there the growth, we are still witnessing good growth there. So, overall, the business is doing good.

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But Shrink is only, we produce in one dedicated line

and on another line, it's like campaign runs. So, both these lines are running full.

Parv Jain: Okay, sir. So, approximately, what is the capacity for Shrink Films that we have and what is the utilization for that part?

Deepak Joshi: We have, as I said, two kinds of capacities. One is a dedicated line, which is roughly around 5,000 tons a year. So, that is fully utilized, that is 100% utilized.

And another facility there, we can make around 3,000 to 4,000 tons, which is a fungible capacity. And that we are utilizing around 70% to 80%. That is not a dedicated line because that line we use for our other products, which are kind of backward integrated products for our CPD division.

Parv Jain: Okay. sir. So, this IPD division, the unutilized capacity, what are our plans to maybe bring that capacity to optimum utilization levels? And do we plan to improve the share of Shrink Films? Or how do we see that IPD division performing better?

Deepak Joshi: On the Shrink Films division, definitely we are working hard to increase the share of Shrink Films. But the dedicated line is fully running on that. And the other line also, because there are so many products that are manufactured on the other line, which some of them are key components for the CPD division. But there are other products, other than Shrink also, where we are working.

And we are doing good business in the recent times. Last two, three months, we have started good volumes of a particular product. So, we will continue to work on such products, which are away from general commodity segment. So, that's how we plan to increase our capacity utilization.

At the same time, this business is, if we have seen historically, there is always a cyclic trend in that. So, currently, it is going through a cyclic low. If you really see one year, 1.5 year back, I mean, this segment has made a lot of money for all of the participants. So, right now, it is going through a cyclic low where a lot of capacities are there. But as I'm happy to announce that the OEs and all those things, whatever the expansion were, like pre-planned for last one year or so, we are hearing that they all are going away. They have put off the plans to, they have ceased to order new lines. And whatever, there are even, there are some participants who are not going ahead with their planned expansions.

So, in that way, it looks that there will be a time in a year or so when the growth is already there. So, that will keep matching with the production. So, that kind of equilibrium will arrive into that segment.

Parv Jain: Okay, sir. So, the second question would be on the ceramic kit line, ceramic kit product line that we have recently introduced. So, what are our plans in this segment? Are we also planning to introduce a standalone ceramic kit product which will be applicable on the direct metallic

body?

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And second, what will be the capacity that we'll be using for this? Is it being manufactured internally? Are we rebranding some products? How does this new product line work? Can you throw some more light on that? Deepak Joshi: See, on that, we have plans. But again, because this is highly competitive in nature, so we are working on that. And not only that particular product, ceramic coating, we are also working on other products where we can empower our proven channel sales of PPF. So, there we will be utilizing new products to make them, I mean, sustainable business lines for our channel partners. So, in that direction, we are working. And we will announce all those things at the right time. Because as of now, it will be like, it is like I would say for competition's sake, we are avoiding any comments as of now.

Parv Jain: Okay, sir. So, a broad estimate of the market size that we, I mean, I think we are not using our manufacturing capacities for the ceramics. So, this is going to be an add-on to our e

xisting

revenue potential that we can do.

Deepak Joshi: I'm saying there are some things which, I mean, which makes us, you know, this is very confidential information. So, I won't be able to answer this right now.

Parv Jain: Okay, sir. Sir, congrats on the good set of numbers. Thank you.

Deepak Joshi: Thank you very much. Thank you.

Moderator: Thank you. The next question is from the line of Vivek Gautam from GS Investment. Please go ahead.

Vivek Gautam: Sir, congratulations on a very good set of numbers. Especially under the leadership of Mr. Deepak Joshi. And just wanted to know, sir, should we, our company, I feel, is very much undervalued. And so, our higher management should make an effort to meet, to participate in the various investor conference and meet the foreign institutions and others. Because it's a unique sort of business. And if you can highlight the differentiators and the USP for the benefit of the, everyone who joined in the call, where do we score? So, don't you think that price earning at least can increase if we increase our...

Deepak Joshi: Sir, I think the line is not that clear. If you can say a little slowly, we can understand.

Vivek Gautam: Yes. So, what I was trying to say is that I, we feel that the visibility of our company is still very low. And if we can meet the different analysts and participate in the various investor conference, meet the various foreign institutions and the mutual funds to increase the visibility of our company, then it will be very beneficial. Because the, and the second thing is, if you want to highlight the differentiator in the USP of our company, vis-a-vis competition worldwide in India and also the opportunity size for different products, architecture, solar, PPT, the expected growth rate, sir.

Deepak Joshi: Yes. On, there are two aspects. One, we are really working on all aspects, the products, like we are participating. So, in terms of marketing and branding of the product, we are working on all fronts, right? We are participating in shows, digital media and on the resources world over. We

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are working on that and we are getting very good results. Like I said, even the digital footprints have crossed 120 million, right?

Now, on the second part, like, I mean, we have our partners, Ernst & Young, who are doing all those activities. Maybe we'll take, I mean, a good note of this and we'll see. Anybody has to say anything on that, right? So, sir, anything else you would like to know on that?

Vivek Gautam: Yes, I just wanted to know about the opportunity size of our architectural films, solar films, PPT and the expected growth rate in these segments, sir.

Deepak Joshi: Yes, see, on, like, PPF, we have given the entire, like, the product range. We had, like, we were in transparent, then we launched matte, black and white PPF, which are actually, the lines are running beyond capacity on that. Sun control film is continuously increasing. And when you talk of architectural film, we have growth quite, like I said, around 20% revenue has started coming from architectural segment. And we expect that to grow. I mean, we expect that entire around growth of 20% to 25% on window film segment and same around 25%, 30% growth on architectural segment as well.

Vivek Gautam: And any competition scenario for these films, sir? What is the competition intensity like, both in India and abroad?

Deepak Joshi: There are around more than 50 companies who make window films world around, right? If you really see, there are a lot of competition, if you really see. But the real point here is, sir, the

quality of the product, right? So our products are deep-tied products, which are manufactured only two places in the world, mainly. So that is a big qualitative advantage, which we are having on sun control films.

And another aspect are like kind of IR ejection Garware Film gives. Tha

t's a very unique and

of high quality. So these two are like a significant points where we are very different from our competitors. So the quality is one of the key factors where we say competition hardly affects us because we have been here for last 40 years and continuously growing. So any competition, if they are like coming from the glue-dyed or chip-dyed and all those kind of things, they are coated products. They do not stand in front of the quality of Garware.

Vivek Gautam: What was the second point you mentioned? First was the deep-dyed, the second point I could not hear, sir.

Deepak Joshi: The kind of IR ejection, heat rejection on the Garware Films.

Vivek Gautam: Okay, the UV protection you mean to say.

Deepak Joshi: Yes, there is a nano-dispersion facility with nano-technology, which is a very unique product line by Garware.

Vivek Gautam: Very nice, sir. Keep up the good work, sir. Thank you very much, sir.

Deepak Joshi: Thank you very much, sir. Thank you.

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Moderator: Thank you. The next question is from the line of Prit Nagersheth from Wealth Finvisor. Please go ahead.

Prit Nagersheth: Thank you. Sir, I wanted some clarity on the kind of turnovers that we can expect for the forthcoming year. The reason I am saying that is in some earlier calls, we were going with a INR300 crores annual run rate for PPF, which I think now because of bottlenecking and utilizing other capacity, it could become INR600 crores or more. So could you give some light on if you were to combine PPF, sun control films, and your IPD decision, cumulatively what kind of run rate will you see for FY '25 and maybe for FY '26?

Deepak Joshi: Sir, in our guidelines, we have said FY '26 will complete INR2,500 crores. We will maintain that.

Prit Nagersheth: So you look to be on track for that. But given the current upsurge in demand and the sustainability that you see, and maybe the new lines you will put up, do you see a chance of surpassing that or?

Deepak Joshi: We may see further growth, but let's keep that guideline of INR2,500 crores. We will definitely try to surpass that because these things like keep coming with our efforts and everything, we may achieve higher than that. But as a guideline, I would request to keep from all management sides INR2,500 crores for FY '26.

Prit Nagersheth: Wonderful. That's all I had. Thank you so much.

Deepak Joshi: Thank you very much. Thank you.

Moderator: Thank you. The next question is from the line of Aman Vij from Astute Investment Management. Please go ahead.

Aman Vij: Good evening, sir. My first question is on the PPF division. So two parts to that. First is, we have talked in earlier calls about we are, as of now, importing most of the raw materials. And because we haven't achieved the scale and maybe the [inaudible]. So when do you expect the indigenization of the raw materials like we have for SCF? Similar thing for PPF, if you can talk about that part?

Deepak Joshi: Yes. Actually, in our last calls, we said that because of fast penetration and everything, we did all those things. But most of the items we are ready and we are using in some of the material already using. But that will go slowly and slowly. Maybe in another six months to a year timeline, it will, everything will go as, I mean, other than one major component, rest all will go as a captive consumption.

Aman Vij: And this will lead to the margin increasing or this will only happen once that major component also is indigenized?

Deepak Joshi: Yes, there will be a margin improvement. That's what I said when we talked about EBITDA increase. So these all, there are a couple of points. So this will also be definitely in a margin increase. This will definitely increase the margins as well, yes.

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Aman Vij: Yes. On the domestic business side, both on PPF and

d SCF, given a lot of the new products,

especially in non-films, including roofs, sun control and all those things, plus in PPF, we are seeing the mid-range cars also now slowly getting right from the start, getting this PPF film.

So how big do you think this domestic PPF plus SCF business can be for us in the next two years, three years? Do you think it will be now much bigger than we were earlier anticipating?

Deepak Joshi: See, these things, everything was planned. We discussed only at the right time because there are, like Mr. Adsul is here, he is working maybe 10 different products as of now. But we, to avoid the secrecy out, we announce when everything is done and finally we are lost to the market, right? So we are working on many such products and we have been working even when we were doing the past conference calls, we were having idea like what we are going to do. So with all those things, we are already prepared for future, I mean, whatever is coming into the future. So as I said, as a guideline, we'll definitely try to do better than what we have already said.

But the growth, whatever is coming, is coming from these products only. Like IPD is more or less stagnant, though worst is over, but it's still at a lower level. From there, these products which fall under Sun Control Films for automotive, architectural and PPF, and these new PPF variants which are matte, black and white, they will definitely add value to that.

And all the new products take some time, sir. It takes two years to three years. Like if you remember four years back when we started PPF, first two years we hardly saw any revenues.

So these all are the market creation, a lot of initiatives are required in terms of marketing, digital media campaigns and a lot of dealer-distributor penetration. So all those things take time, but definitely all these are seeds for the future growth of the company.

Aman Vij: Sorry, just again some numbers, sir. So today, what is the domestic business size and in the next two years to three years, where do you see domestic PPF-plus Sun Control Films going to?

Deepak Joshi: We have actually a target to do double. If the numbers are, Mr. Mehta, can you just tell the numbers because I don't have in front of me?

Pradeep Mehta: I think if I'm correct, Mr. Aman is asking the projections for next two years to three years in terms of PPF and window film in the domestic market. Projection he is looking for? Am I correct, Mr. Aman?

Aman Vij: Yes, and even what is the current business? In FY'24, we ended at what, INR100 crores, INR150 crores? What is the number? What is the base?

Deepak Joshi: We have given INR100 crores guideline on that.

Aman Vij: INR100 crores in two years to three years or INR100 crores as of today?

Deepak Joshi: No, we said in one year's time frame because we said that six months back. So in another one year's time now, from now by end of FY '25, it will be more than INR100 crores business.

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Aman Vij: Sir, you are including both PPF and Sun Control Films and all the variants.

Deepak Joshi: Just give me a second.

Aman Vij: I was asking overall domestic business.

Deepak Joshi: Overall domestic business would be roughly around INR200 crores in two years' time frame for both window film and PPF from the current level. So it will be like almost double what we are doing currently.

Aman Vij: Sure, sir. That helps. My question is on the architectural film. We are currently doing around INR100 crores, INR120 crores of yearly run rate. And given this opportunity is much bigger than PPF, SCF. Is there a potential of tying-up with someone in say white labelling or something of that sort so that this business, like PPF, has now become like a INR500 crores, INR600 crores business, [inaudible] business? Is there a potential to do something similar in architecture so that...

Deepak Joshi: See, sir, your voice

has gone too low.

Aman Vij: Yes, sir. Let me repeat my question. I was saying like in PPF, we have been able to scale to INR500 crores, INR600 crores number on an annual basis with the help of tie-ups, white label.

Is it possible to do something similar for architectural things where we can tie-up or do white labelling so that this also scales faster? So organically, yes, you can grow 15%, 20%, 25%, but to make it INR300 crores, INR500 crores business versus INR100 crores.

Deepak Joshi: Understood. So we have already done that. We have done with a big partner in Europe doing these kind of activities. And similarly, we are finding some similar partner in USA. So that is already on the list. So we have done one big partnership in that. And another one we are doing with a big distribution is like supplying to direct to many buildings and all those things that network in USA. That is already under discussion. So hopefully that will also be closed in one month's time or so. So we are doing that, white labelling and doing inorganic growth in architectural segment.

Aman Vij: And do you see this segment in next three years to five years becoming like INR300 crores to INR500 crores business or do you think the growth will be more?

Deepak Joshi: So we can't hear you. See, the voice has gone low, but I understood the question. So definitely what we are thinking in that particular segment with the new line in place, the idea of that business to grow quite fast. But that's a very subsegment of sun control business. And we are targeting, as I said earlier, around 30% annual growth. That is what we are targeting on that business.

So that will be like similar lines. What you are saying, INR300 crores, INR400 crores kind of number, because there are many products which are similar in both automotive and this. So that's why the bifurcation becomes a very thin line. But if you talk of the growth of that particular product, we'll be in the range of 30%, 35%. And at the same time, it is in line with the company's growth targets.

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Aman Vij: Sure, sir. Thank you. That's helpful.

Deepak Joshi: Thank you.

Moderator: Thank you. The next question is from the line of Priyank Agarwal from Equirus Wealth Private Limited. Please go ahead.

Priyank Agarwal: First of all, congratulations for the good set of numbers, sir. Sir my question is with regards to the segment like SCF and shrink, both the products are flat Y-o-Y. But if you see the special IPD, that is 12% up. So can you throw some light on special IPD? What is the plan? How do we see the growth over here?

Deepak Joshi: Yes. On IPD, as I said, there are two things. One, we have a special product on shrink films, which has done good. All right. And another thing, we developed a new product and special some markets like South America that the business has increased. So and third thing is on some of the leading film business also did good on IPD where we saw little growth. So these areas where, as I said, we are trying to avoid any industrial product business when margins are not there. So that's what the growth is coming from industrial product division.

Priyank Agarwal: I have another question. I was going to the presentation. There I found out that you have mentioned that companies falling into two segments of PPF. So how can you throw some light? Because if you see the tool market in India, it is around 16 million units as of FY '23. So how you see this segment growing particularly?

Deepak Joshi: This segment is actually we have very unique way of working in that segment. So there are two OEs who are almost on the verge of, I mean, closer with our product. So we will be, I mean, that will be like direct buys by those two wheeler companies from us. But if you talk of the volume on two wheelers is really low. I mean, I'll be very candid here. The volumes are not that big because

if you see in the bike, there is only that fuel tank and a little bit on the sides.

The rest, it is, it cannot be applied because it's not required.

Whereas if you see the car, a big car takes 250 square feet and 200 square feet, 200 square feet to 250 square feet. Whereas the bike applications can be done into 50 square feet. Bike, some 10 square feet to 12 square feet only. So that's what I'm saying. We can be very big in number of bikes, but the volume is not that great. But since the business is directly from the OEs, so still it will contribute to significant numbers for us.

Priyank Agarwal: Right. Got your point, sir. Thank you.

Deepak Joshi: Thank you.

Moderator: Thank you. The next question is from the line of Parikshit Kabra from Pkeday Advisors LLP. Please go ahead.

Parikshit Kabra: Hi, thanks for the chance. I wanted to understand, someone had earlier also asked about how your product is differentiated from others. And I wanted to understand that more specifically from the PPF perspective. You're obviously storming the market. Is it just that your product is

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the best in the market so far? Or is it a combination of product differentiate, the quality of product as well as pricing? Or is it a game of distribution? What is making you win so far?

Deepak Joshi: See, I'll tell you what are the bottlenecks. So that's how we can see what are the challenges.

First of all, I mean, if you really see, we are the kind of last entrant into the market, which is four years only, as compared to world's biggest producers who are there for last 20 years. So in

four years short time span, if we talk about quality, it is like I can say it is the best quality at par with any quality in the world. That was number one.

Second thing is in a short period of four years, we are now supplying to many countries. I mean, it is going everywhere in the world, be it North America, South America, Middle East, Russia, Europe, and of course in India. And we are also supplying to China. So despite so many people present in Chinese

market, we are still able to export into Chinese market.

So that is a statement of the quality of our company. So first of all, when we are done in four years, such a fast expansion and lines are almost more than 100% running, and which is one of the biggest lines in the world. So that shows that we were able to penetrate the market quite quickly.

Second thing is, since we are supplying in a short period of time, so many countries in the world. So that also says the quality of the product. And third, since we have a big advantage of our quality products in Sun Control, which has helped to use our existing network to penetrate marketing deeper. So I hope I answered your question.

Parikshit Kabra: Just one quick check. When we say we are the best in quality, are we also priced as premium?

Or are we undercutting our best closest competitor in terms of quality, in terms of price?

Deepak Joshi: We are not the highest price for sure, but we are also not priced at the lower. So we have two products, which is plus and premium. And then the matte and black, which are obviously at the highest price. Then comes the premium and plus. So when we talk of the top range, we are slightly lower than the imported products. Because we want to pay, it's our market, it's Indian market, we want to grow the market.

Because when these guys were highest price, if you want to understand, they were selling like 100 to 200 cars in a month. When we entered the market, these guys were selling at a very high price. And the total penetration in Indian market were hardly 200 cars of PPF in a month.

As we speak, we are doing more than 2,000 ourselves. So you can see how the market can be created in a fast track mode.

So that's why we have priced, we call our products as a value

proposition, with good quality at the right price.

Parikshit Kabra:

Got it. And the SCF market is also, I'm now talking about the US market, for the car, if I understand correctly, both the PPF and the SCF are basically used in the automotive industry, right? So how come there was no excess inventory build-up in the channels for PPF, but it was there for SCF? What was the difference there?

Deepak Joshi: Yes, okay. So now, if we talk of the selling points for Garware, for PPF, we had hardly any inventory because it was being sold on a lot of products because we entered the market late. So

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our penetration, if you talk of sun control, the number of variants are quite high. If you talk of SKUs of sun control, they are more than 100, or maybe more than 200, right? So you have a minimum quantity of everything which is going on the sea.

Whereas if you talk of PPF, there was hardly one variant at that time, now we have four variants. So when you supply four variants, you know how much is stuck into the market, so you don't replace that with that. Whereas in sun control, the requirement keeps on changing because it's a very 200 SKUs, different, different colours.

And the distribution network is also quite big, where distributors, dealers, and then retailers, there are a lot of long chains. Whereas in PPF, some of the direct customers are there, and with single SKU, and many of the products, which I can say, is in direct sales. So that's why there was no stuck-up on the inventory.

Parikshit Kabra: Perfect. Thank you so much. I will get back.

Deepak Joshi: Thank you.

Moderator: Thank you. The next question is from line of Tasyap Karthik from Table Tree Capital. Please go ahead.

Tasyap Karthik: Thank you, sir. I had a simple question. So we have about INR300 crores, INR310 crores of cash. This year, we'll probably add another INR200 crores of cash given the quarterly run rate, right? So we'll end up with about INR500 crores by this time next year. Still not able to understand the capital allocation policy here.

Are we, I mean, we have spent about INR7 crores per quarter in this quarter in marketing, right? So we're not going very aggressive on marketing. So we'll probably spend about INR7 crores to INR10 crores. So that's about INR40 crores. We already have done a lot of capex over the past couple of years.

So with INR500 crores cash, could you just elaborate? I know we've been very, very conservative, and this is becoming on the border of conservative. In terms of dividends, buyback, or any other aggressive marketing plans, any aggressive capex plans, or are you looking for inorganic opportunities? What is the thought process? Because INR500 crores cash, I'm still not able to understand, given that we are throwing out cash flows like no other, and we are paid off debt. Thank you.

Deepak Joshi: Mr. Mehta, would you be speaking on this?

Pradeep Mehta: Definitely. Thank you, Mr. Tasyap, for asking this question. See, we are continuously working on the growth opportunities, whether it is organic or inorganic. And like Deepak also explained in previous questions, that a lot of R&D development activities are going on, where Mr. Adsul is heading for a

number of products for development and all those things. So it's not only the cash that we are holding it. We are working continuously for the business growth.
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So we are assessing our requirements, and then we are working out. Like last quarter, we paid fully all the loans. We know that keeping cash in the balance sheet, as well as getting the loan is not a good position. So we repaid last quarter all the loans. Now we are working on some approvals on some biggest plans, whether inside of new developments of the product, some of the organic growth, some of the inorganic growth. So all the projects are going on. It's still not crystallized. Once the right time come

s, we'll put up to the board for approvals.

And we are working on that. And definitely we'll look on the other options also, from the dividend side also. So other alternatives, whatever is possible, time-to-time we'll go for approvals and then announce in the future.

Pradeep Mehta: I would just add one thing, Mr. Mehta, here. So actually, we evaluated some, to be precise, around three opportunities, where we wanted to grow inorganically. But unfortunately, during the period of COVID and after that, the situation did not allow us to go for that. But we are still evaluating some areas where we want to become a local manufacturer in certain geographies. So we will be working continuously on those proposals and come up with some solution on that.

Tasyap Karthik: Okay, sir. Thank you.

Moderator: Thank you. The next question is from line of Praveen Reddt from Individual Investor. Please go ahead.

Praveen Reddt: Sir, congratulations for the good set of numbers.

Deepak Joshi: Thank you.

Praveen Reddt: My question is, so I want to know about your land assets revaluation. When was it last done? In which year?

Deepak Joshi: Sorry, can you repeat again?

Praveen Reddt: When was the last land asset revaluation was done?

Management: 2017, 2018 something.

Praveen Reddt: So when can we expect the next revaluation in the upcoming years?

Management: As a part of our accounting and everything, we evaluate basis. If there is any major thing, then only we evaluate. But we will surely consider this part. Currently, there are no such plan, it depends on the fair valuation.

Praveen Reddt: Okay. Thank you.

Management: So since it is recently done, we don't foresee currently to re-evaluate.

Praveen Reddt: Okay.

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Deepak Joshi: Thank you.

Moderator: Thank you. The next question is from line of Apur Jain from Individual Investor. Please go ahead.

Apur Jain: Thank you, sir, for the opportunity. Sir, have we decided monetizing Mumbai, Andheri property?

Management: Already answered.

Deepak Joshi: Yes, we have answered that. Not yet decided because that property is mainly what we are thinking of for development rather than sell it off. And because of some constraints of no funnel zone, the proposition is not making it attractive to invest on that as of now. But we are working on that as soon as it becomes an attractive proposal. So we will go ahead with that.

Apur Jain: Can you name few major competitors in this business?

Deepak Joshi: Our competitors?

Apur Jain: Yes.

Deepak Joshi: Which segment? Actually, we have three different lines of business. So there are three business...

Apur Jain: Yes, in PPF and SCFs.

Deepak Joshi: So on PPF, I mean, we won't like to name, but they are very, quite obvious. You can search and you can get it. Who are the international players, yes.

Apur Jain: Okay, thank you.

Deepak Joshi: Thank you very much. Thank you.

Moderator: Thank you. The next question is from line of Parv Jain from Niveshaay Investment Advisory. Please go ahead.

Parv Jain: Hello. Sir, just a follow-up. Sir, the launch of Safety Glass, can you throw some light on that

part?

Deepak Joshi: Safety Glazing glass. Yes, so that product was launched in the month of August '23. So this was launched in accordance with the Central Motor Vehicle Rule 100. And according to BIS standards. So, I mean the film complies to all the specifications mentioned in the rule law. Which says around 70% of visual light transmission should be there on front and back. And 50% visual light transmission on side glasses.

So based on that, we launched those kits which are specific to market requirement as per the compliance. So, since then the business has started and going on well. And as explained, every business takes some time. It has got always a time of one year to three years when it goes and

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penetrated properly into the market. So the product is doing good and going well in that direction.

Parv Jain: Sir, what was the revenue contribution from particularly Safety Glazing material in India?

Deepak Joshi: As of now, I would say, it's only 10% or so. But that is helping us to grow the business overall.

Because as I said, it's three months, four months old only. So that's why market is just evaluating. And we are seeing a month-on-month growth on that. But the numbers are still not that big. But we expect that will grow. Like I gave you the example of PPF also. It took two years just to start. But here the Safety Glazing has already contributed 10% of the revenue. So it is continuously growing high-and-high from there.

Parv Jain: Okay sir. Thank you.

Deepak Joshi: Thank you.

Moderator: Thank you. The next question is from Line of Rohan. Please go ahead.

Rohan: In last call, there was some development going on shrink business side in America with two companies. So can you just update what's going on right now?

Deepak Joshi: Yes. So there was a special development of Solid White which we discussed in last call that business has already been commercialized and doing good. And now we have launched two quarters back floatable shrink film which we call it a pearl float. That business has also commercialized. But that will take some time to go to the level of other shrink films. So in all, the North America business on shrink is growing and doing good.

Rohan: Okay. That was from North America.

Deepak Joshi: Thank you. Thank you very much.

Moderator: Thank you. The next question is from the line of Shiva from Purnartha Investment Advisors. Please go ahead.

Shiva: Hello. Good evening team. Congratulations on a strong set of numbers. My question is this. I was trying to understand the market size of PPF. And when I see in your presentation, it says that there is 350 million which comes to around INR2,800 crores. I was looking at your numbers which is INR600-odd crores and XPEL numbers which is INR1,600 crores. That alone sits at 75%. So is this calculation right or is it way bigger or are we missing something in here? If you could just clarify on that?

Deepak Joshi: Actually, we could not hear it properly. Can you clarify your question please?

Shiva: Yes. I was trying to understand the PPF market size. And if I see in your presentation, it says 350 million as of FY '24 which comes to around INR2,800 crores. And if I see your numbers and XPEL which is another big player, which is INR1,500 crores to INR1,600 crores and yours is INR500-odd crores. This alone sits at upwards of 70%. So is this, having been in the

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market, do you feel this is the market or is it something, is it way bigger or is the calculation wrong, on this number?

Deepak Joshi: See, I could hardly understand the question. But if it is related to the market, global market, this depends on the source. If we think market is much bigger than what this future market insights have given, we will correct that in future. Because I don't think, and there is another way of looking at it that when you talk of the PPF market...

Shiva: If you could help us how to understand how big is the size of the market?

Deepak Joshi: No, actually that is what I am explaining that sometimes this market is like B2B sales. Like the manufacturer is selling to distributors that is recorded as direct sales. And whereas when we talk of the PPF market which is published by PPF magazine and all, that includes the end customers prices, taxes, application charges and everything that kind of business earns to an

entity. That is why that size is really big as compared to what is shown here as INR500

million. So the market is much bigger in terms of overall numbers.

Shiva: Okay, helpful. Just if I could squeeze one more. If I just look at your Indian numbers quarter-

on-quarter, it looks like on quarter-on-quarter you have been decreasing. If you could let us know what is the reason behind it?

Deepak Joshi: In domestic market?

Shiva: Yes, it was INR116 crores and INR87 crores and this quarter it is INR63 crores.

Deepak Joshi: Where did you get the number? Can we just recheck on that?

Shiva: I just calculated using the 9M geographical numbers that you have given and I calculated using the quarterly numbers for Q..

Deepak Joshi: Okay, one second. It is geography from the geography. In fact our domestic market numbers are increasing continuously. One second, let me just understand.

Shiva: If I just see your presentation, it says 21% in 9M geographical revenues. That conserves full 9M revenues and in 1Q you had 30% for India and 2Q you had 22%. If I just put those numbers and subtract it, you are getting a...

Deepak Joshi: See, what happened is the number, I think the numbers from USA has increased substantially. So that's why the number percentage is looking low. So the real drop if you are talking is on the industrial product side. Because these are the company numbers, right? You are talking of the company numbers, right?

Shiva: Yes, your 9M number is 21.7%.

Deepak Joshi: The company numbers, the real, real setback is on the IPD side. CPD side we are continuously growing. On IPD side, there was lot of domestic sales other than shrink films. Shrink film was still doing good. But other than shrink films, there are lot of sales dropped in the domestic market from IPD side. CPD side it has been continuously growing and it is robust now.

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Shiva: Okay, helpful. And just one more. With respect to your inventory turnover, you said that the inventory is very less per PPF. But if I just look at the cost of your inventory turnover, it has been decreasing over the years. And now it is way lower. So could you just let us know, and your competition days have improved. If you just let us know what is the thing behind this?

Deepak Joshi: Mr. Mehta, you would like to comment on this?

Pradeep Mehta: Voice is not audible. Can you repeat the question? You are asking something on inventory turnover.

Deepak Joshi: Inventory turnaround ratio, how it is going down. Can you put some light on that?

Shiva: Because your percentage of PPF has improved drastically, which has low inventory. But your inventory turnover does not show up. And you have improved your collection days, which is good. But I just wanted to know, is it because of the value-added products?

Pradeep Mehta: Not clear, you are missing. But you are asking something on the company level working capital. Inventory has gone down. But you are correlating with PPF.

Shiva: Inventory turnover has gone down, which shows that your inventory has picked-up. Your inventory has moved up. But your PPF has gone up. So the other product's inventory has shot up drastically.

Pradeep Mehta: That is definitely compensating this. If I am correctly understanding your question.

Shiva: What is the reason? Because you had...

Pradeep Mehta: Voice is not audible. So Ashish, can you take his question and we can revert to him separately.

Ashish Pawar: Okay.

Deepak Joshi: Sir, you can write to our IR, Mr. Ashish Samal. He can answer because it is difficult to do the calculation. And the voice is also not properly audible.

Shiva: Sure, I will do that. Thank you. Thank you for that.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Deepak Joshi: Dear all participants, on behalf of Garware Hi-Tech Management team, I would like to thank you for your valuable time. We hope that all of your questions were answered well. And in case you have any further queries, you may contact our IR team. Thank you once again for your valuable time.

Moderator: Thank you. On behalf of Garware H

i-Tech Films Limited, that concludes this conference.

Thank you for joining us and you may now disconnect your lines.

*Note: The above transcript has been edited for readability purposes

Call: Jun 2024

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CHH ATRAPATI SAMBHAJI NAGAR – 431 133 (INDIA) June 01, 2024
The Compliance Manager
BSE Limited
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Listing Department

National Stock Exchange of India Ltd
Exchange Plaza, Plot No. C/1, G Block,
Bandra-Kurla Complex,
Bandra (East), Mumbai 400 051.
Trading Symbol: GRWRHITECH
Dear Sir/Madam,

Subject: Transcript of
the Earnings Conference Call - Quarter & Year
ended March 31, 2024, held on May 30, 2024.
Pursuant to Regulation 30 and 46 of the Securities and Exchange Board of
India (Listing Obligations and Disclosure Requirements) Regulations, 2015,
please find enclosed the transcript of the Earnings Conference Call held on
May 30, 2024, at 11:00 a.m. IST.

The above information is also available on the website of the Company:

<https://www.garwarehitechfilms.com>.

This is for your information and records.

Thanking you,

Yours faithfully,

For Garware Hi-Tech Films Limited

Awaneesh Srivastava
Company Secretary
FCS 8513

Encl. as stated above.

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arware Hi -Tech Films Limited Q4 FY24 Earnings
Conference Call"

May 30, 2024

MANAGEMENT : M R. M. S. ADSUL – DIRECTOR (TECHNICAL)

MR. DEEPAK JOSHI – DIRECTOR (SALES &
MARKETING)

MR. A. VENKATARAMAN – SENIOR PRESIDENT
(CORPORATE AFFAIRS & FINANCE)

MR. PRADEEP MEHTA – CHIEF FINANCIAL OFFICER

MR. SUNIL WADIKAR – PRESIDENT (CORPORATE
AFFAIRS & FINANCE)

G arware Hi -Tech Films Limited

May 30, 2024

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Moderator : Ladies and gentlemen , good day and welcome to Garware Hi -Tech Films Limited Q4 FY '24
Earnings Conference Call .

As a reminder, all participant lines will be in the listen -only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance
during t his conference call, please signal an operator by pressing "*" then "0" on your touchtone
phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikas h Verma from E&Y LLP Investor Relations . Thank
you, and over to you, sir.

Vikash Verma: Nirav. Good morning, everyone. Welcome to the Quarter 4 and FY '24 Earnings Call of Garware
Hi-Tech Films Limited. On behalf of the Company , I would like to express our gratitude to each

of you joining the call today.

To discuss the performance of the Company and to answer the questions, we have with us from the Company, Mr. M.S. Adsul – Director (Technical), Mr. Deepak Joshi – Director of Sales and Marketing, Mr. A. Venkataraman – Senior President (Corporate Affairs & Finance), Mr. Pradeep Mehta – the Chief Financial Officer, and Mr. Sunil Wadikar – President of Corporate Affairs and Finance.

Before we begin, I would like to draw your attention to the fact that today's discussion may contain forward-looking statements that are subject to various risks, uncertainties and other factors which will be beyond management's control. We kindly request that you bear in mind there may be uncertainties when interpreting such statements. Please note that this conference is being recorded.

We will now start the session with Opening Remarks from the Management Team. Afterwards we will open the floor for an interactive Q&A session.

I would now like to invite Mr. Deepak Joshi for the Opening Remarks. Over to you, Mr. Deepak.

Deepak Joshi: Thank you, Vikas h. Ladies and Gentlemen, good morning, and thank you for joining us today to discuss Garware Hi-Tech Films, that is GHFL Financial Performance for the Quarter and Full Year Ended March 31, 2024.

Let me start by providing a brief overview of our financial standing:

We are excited to share GHFL's exceptional results, showcasing our commitment to growth and profitability. We have reported the highest ever revenue of Rs. 1,677 crores for the full year and a record high PAT of Rs. 203.3 crores, surpassing the Rs. 200 crore milestone. The key driver of this success was our PPF and SCF businesses, which experienced remarkable growth, which is slightly offset by the IPD segment due to industry-wide excess capacity.

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Let me briefly explain the performance of our main product lines:

First of all, I would like to talk about Paint Protection Films:

PPF continues to deliver robust performance, operating at optimal capacity. The PPF business achieved 3x revenue growth in Q4 FY '24 compared to Q4 FY '23. We foresee strong traction in both international and domestic markets.

To meet future demand, the board has approved Rs. 125 crore in capital expenditure to establish a new PPF line with a capacity of 300 lakh square feet per annum, which is expected to commence commercial production by Q2 FY '26. The decision to take this line was primarily because our lines were running at optimal capacity and we have introduced complete range of products like PPF Plus, Premium, Titanium, Matte, Black and White. This is to cater all segments of customers.

With this CAPEX plan and de-bottlenecking and the introduction of a full range of products, which we just discussed catering to all customers, we are confident in maintaining this growth momentum for PPF business.

Let me talk about solar control films:

Our SCF business surged by 67% in Q4 FY '24 compared to last year,

fueled by a combination

of factors, favorable global economic conditions, expansion into new markets and the introduction of innovative products like Spectra Pro, DecoVista and Rooftop series. All contributed to this growth. We are also actively driving the sales through increased participation in exhibitions and distributor conferences, along with a strong focus on digital media penetration. Looking ahead, we anticipate robust demand growth for both automotive and architectural film segment on a global scale. As a special mention, we have created a new business segment with the new team to take architectural business to the highest possible levels. We have strengthened our team in various geographical locations as well.

Let me talk about industrial product business, where shrink film and other specialty IPD products exhibited steady growth, partially offsetting the decrease in commodity and packaging business. At Garware Hi-Tech Films, we remain dedicated to manufacturing superior quality products backed by strong R&D and improving our distribution network worldwide and solidifying our position in the global value-added film industry. We are confident in continuing this growth momentum and remain committed to delivering strong top and bottom-line results.

With this, I now request Mr. Pradeep Mehta – our CFO, to take us through the highlights of the financial performance. Over to you, Mr. Mehta.

Pradeep Mehta: Thank you, Deepak, and a warm welcome to everyone joining us today.

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I am delighted to report this quarter with the highest ever profit and robust operational performance. For the full year, revenue stood at Rs. 1,677 crore, increased by 16.6% year-on-

year, supported by continuous growth momentum in the PPF and SCF business.

The Company is doing good in terms of PPF . A significant jump has seen in the PPF business. The deployment of additional sales force in new geography territory contributed to revenue increase in the SCF business. The IPD business showed sign of recovery in the last quarter and is expected to continue this trend going forward.

For the full year, EBITDA stood at Rs. 321.1 crore, up by 19.2% year-on-year basis. However, this growth was partially offset by lower volume and margin pressure in the IPD business. Along with this increased sales and marketing expenses, PAT stood at the historically high of Rs. 203.3 crore, that is up by 22.4% year-on-year basis.

For Quarter 4 , revenue stood at Rs. 446.6 crore, recording a sharp increase by 28% year -on-year . Strong sales and marketing efforts led to a substantial increase in PPF business. The architecture segment of SCF witnessed high growth with the introduction of new products.

For the quarter, despite increased sales and marketing and other expenses, EBIT DA stood at Rs. 89.7 crore, up by 27.5% year-on-year and PAT stood at Rs. 57.8 crore, up by 34.2% year-on-year. Approximately 78% of our revenue in FY '2 4 came from export and around 89% from value -added films. This positioning us for superior growth within the industry.

I am pleased to report that beyond our impressive quarterly growth, we have maintained an exceptionally strong financial position, our balance sheet w as zero net debt and a healthy cash reserve of Rs. 388 crore. The robust financial standing allow us to confidently invest in future growth opportunity, such as upcoming capital expenditure for the new PPF line.

Furthermore, we have witnessed significant improvement in key financial metrics as well. This year, we achieved an impressive ROCE of 21.08% and ROE of 15.87%, excluding the revaluation reserve. These figures demonstrate our efficient utilization of funds generated by our business operations.

Additionally, our effective working capital management practices have kept our working cycle at just 8 days for FY

'24. This reflects our ongoing commitment to operational excellence and efficient cash flow management.

In conclusion, at Garware Hi -Tech Films, we are committed to offering value-added products with a customer -centric approach and a strong product line which have driven our PAT above Rs. 200 crore for the year for the very first time. Now we are confident in continuing this growth momentum and remain dedicated to delivering value to our shareholders.

Thank you for your continued support.

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Let us now proceed for Q&A session. And I hope you have seen our earning numbers as well as the Investor Presentation , which is uploaded on the Stock Exchange . Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from Rahul Jain from Credence Wealth. Please go ahead.

Rahul Jain: Congratulations team for a wonderful set of numbers and post a wonderful Quarter 3 , we have done much better in this quarter with improved margins. Sir, my first question is with regards to the growth driver in this quarter, which has been the SCF . So, SCF, we have reported almost about Rs. 185-190 crores of sales in this quarter, and this is the highest in last 8 quarters. We generally had a run rate of about Rs. 150-155 crores. So, this quarter , this has really jumped up sharply. So, one, what has led to this growth? And based on this quarter, how do we look at the next 12 months to come? Can we maintain this so -called Rs. 180-190 crores of quarterly run rate or how do we grow further from here? This is my first question.

Deepak Joshi: Thank you , Mr. Rahul. See, as we discussed in last couple of investor calls that the growth of PPF, growth of sun control, there was an issue of inventory which was like after COVID , it went too high. And then there was a time in last 8, last almost 3 quarters to like, you know , that got streamlined, that got offset. And we always gave guidance that this business is number one business for us which we are like world leader in this business. And our growth in this will continue to happen.

So, now this Quarter 4 , we have seen all the demands which was there. I mean , we are tracking the secondary sales as well. So, that was at a good pace in the last full year. And Q4 , like, when the inventory got rationalized, that partially started coming back from Q3. And Q4 , it was fully recovered. So , we continued this growth momentum because now the excess inventory, the phenomena which was there is not there. So, we have like, and we are seeing this growth from all around USA, Europe, Russia, China, Far East, Middle East, everywhere the growth is coming. And we expect a good show going forward from here.

Rahul Jain: So, can we expect this run rate of Rs. 180-190 crores on a quarterly basis to remain and probably grow further from there in the coming quarters?

Deepak Joshi: Yes, I can't exactly give that number like is it going to be Rs. 180-190 or something. But the steady growth will be there from here. So, that is we are seeing our commitment and our efforts in that direction. And we are fully aligned that our customers are also aligned to these kind of

order books from going forward.

Rahul Jain: And on PPF, we have done exceptionally well in this year clocking almost Rs. 450 crores of sales. So, going forward from here, because your presentation mentioned that the PPF business has stabilized in Quarter 4 or by Quarter 4. So, Quarter 3 we had a substantial Rs. 160 crores of top line, which is in Q4 is around Rs. 110 crores. Obviously, it is not right to look on a quarterly basis for the business. So, my question is basically from Rs. 450 crores annual basis, what could further drive the growth going ahead in the PPF segment?

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Dr. Ak Joshi: See, PPF, the growth if you see world over, the people are really appreciating the PPF business. And there is lot of enthusiasm for further penetration which is like 10% to 12% in advanced countries, primarily because it is increasing the aesthetics and it reduces the maintenance of the car. So, if you see those markets that's growing, that is expected to grow at a CAGR of 6.5% from 2024 to 2030. So, we expect a strong growth in overall PPF business.

And if we talk of India, when we started, the market was like penetration was 0.5% only. As we speak, it has crossed 1.5%. So, I mean, I can say that all the efforts which we have put in sales and marketing and participation and customer awareness along with the digital media support, we have been able to achieve this kind of growth in India, which is primarily driven by, as we proudly say, is by Garware Hi-Tech Films, right.

So, now when we talk about our Company in terms of participation, this growth drivers, which is going to happen in world over and Indian market, we are like in advanced level of discussions with many new customers and we hope that the kind of growth we have seen, it will continue, right. And so line is optimally loaded as of now and plus for further growth till the new line comes on stream, we have planned like de-bottlenecking of one of our existing line, which is we have the bottleneck to cater the market demand going forward.

Rahul Jain: On the domestic front, both SCF and PPF, as we mentioned, we have worked very hard more so in the marketing side, creating awareness also for the new sun resistant film for auto size and architectural films. So, sir, given also that the number of GAS channel partners from March '23 of about 65 stores, today we are at 126 stores. So, domestic business, where do you see this going? What is it currently both SCF and PPF put together for FY '24 and say, next one to two years, where do you see this moving?

Deepak Joshi: Domestic, actually, if I bifurcate the growth story, so there are three segments. So, I will speak first, like overall growth, which the maximum growth we are expecting from architectural segment, as we mentioned that we have made a separate dedicated teams and made separate products for architectural segment, because we have been in the past always been viewed as a Company which is fully dedicated to automotive segment.

With our efforts since last two, three years working, now we have full team, which is dedicated to architectural segment and we have launched many new products in that, which is DecoVista series and Spectra Pro series and some of the Rooftop is also being applied in that segment. So, with this, we expect a very good growth, almost double the growth on architectural segment. That's one we are committed to deliver in that way.

Second is we expect a very good multiple growth in PPF as well. Of course, the run rate will come down now because the base rate was pretty low over the past few years. We have done like 6x, 10x jump on like quarterly basis and annual performance always has been multiple fold. So, now the growth will be like 30%, 40%. Still, it will continue for two years and after that it will go to 20%. So, that's a very natural phenomena because when the base was low, we really jumped very fast. So, the number two growth will come from PPF segment.

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And lastly, on the kits which are allowed as per CMVR rule 100, we are quite committed to sell the volumes based on the conformity of the government rules. But that business also has seen a quite good jump, which I can say 20%, 30% growth is coming from that segment also. So, overall, we can put a very strong show, which we have done in last year and continued for next two, three years. This will continue. This will be maintained.

Rahul Jain: So, just to

understand these GAS channel partners, I was looking more towards that. 65 stores existed on March '23. So, probably some of those stores are more than two years old and with enough marketing done and awareness created. Could you give a range typically for the oldest stores or the stores which are more than two years old? What kind of revenue a particular one store could be generating? And typically, a one-year-old store, how much that could be generating on a yearly basis?

Deepak Joshi: Sir, I think the model there is little understanding required on this model. This model, these GAS are not owned by Garware, right? They are the franchisee models where we just support them to grow, to stand on their own feet. So, like to give them more support because GAS was like, you know, they need much more to do to survive on its own. So, we have done a product launch, which is called Titanium, which is a top range of the product. So, that Titanium product is only available to Garware Application Studio.

So, even the Company has changed some kind of strategies to, actually, our model was, if you know that we sell to distributors, and they sell to dealers and then they used to sell to GAS or low, I mean, direct detailing centers. So, to support Garware Application Studios, we have launched a product, Titanium, which is top of the top rolls, but only given to GAS. So, whatever requirement 1, 2, 5 rolls are being done by them, we are directly servicing them. So, that has, like the sale of that product has done really good. And it's like a product which you can compete with the best of the best.

I am saying if you talk of the market prices, starting from Rs. 2 lakhs, Rs. 1.5 lakhs to Rs. 3 lakhs. So, these kind of the products are really good and the value to GAS owners are really good. So, we support them by giving such kind of special schemes, right? Product at a different pricing, special product to them, which is not available in the market, so on and so forth. So, we are committed to making them successful. However, they are not owned by Garware. So, we do not look into their P&L.

Moderator: Thank you. The next question is from the line of Ankit Gupta from Bamboo Capital. Please go ahead.

Ankit Gupta: So, my first question was on the PPF front. You know, we have seen that the market leader in the segment Xpel has actually reduced its guidance for the current financial year. And they have been talking about some headwinds that they are facing on the U.S. market as well as on the China market front. So, what are your views? And how do you see this impacting us? And are we confident of PPF growing at 30%, 40% in FY '24 as well, FY '25 as well?

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Deepak Joshi: So, to answer your first question, like guidance given by a particular Company is for a particular market and their results, I believe, are impacted by that. But if you compare our results was because we are talking of the same quarters. So, you can see the difference that we are not at all affected by whatever is given by a particular Company. Right. So, we have like, we have a very distributed sales.

Even in U.S., we have like multiple channels of sales and our growth comes from other regions as well, quite strongly. So, in all likelihood, we are not affected by particularly a particular guidance given by that Company. So, that is one.

Second thing is on PPF, definitely we expect the growth of guidance. Actually, that is not very firm because of so many like factors going up and down. But we will continue our growth momentum, which is with the new line, we have got some kind of, I would say, projections given by customers and by our team and which we will cater. Before the new line comes, we will cater to our old lines and some fungible lines, which has been the bottleneck to make the market

t

requirements. So, our growth story will not be impacted by that and as clearly evident by the results of the same quarter for both the companies.

Ankit Gupta: My second question was on your guidance of Rs. 2,500 crore that you had given in terms of revenues in FY '26, I suppose. So, that guidance remains, or any change is there?

Deepak Joshi: Yes, we are on track towards that.

Ankit Gupta: And the last question was on the sun control films front. You know, after a long time, we have crossed Rs. 160 crore kind of revenue run rate in the current quarter. And as you are saying, the industry for sun control films or the demand for sun control films has turned around. So, given we are a very large player in the segment, do you think we can have a 20%, 30% kind of growth in FY '25 for sun control films over FY '24?

Deepak Joshi: Yes, over FY '24 definitely, as I said, there has been an impact of inventory which has gone and plus our efforts, as I said, like from all around and we have added team everywhere including some new geographies. We have added expats into the team, and they are leading it to the further territories. So, we are actually reaching out to new customers and new territories and the growth seems to be, the focus seems to be quite good. So, we are confident of achieving that.

Ankit Gupta: And any outlook on the IPD segment? The shrink segment has bounced back in the current quarter after the impact that we have seen in the last two quarters. So, we have come back to a run rate of around Rs. 55-60 crore in this quarter. So, how do you see growth in this segment?

Deepak Joshi: So, growth on, first of all, it's a little seasonal business, shrink business. So, during the peak heat, it will definitely go to the top of the level, but the countries where we sell a lot of products for the dairy segments and to North America and Europe. So, that growth will continue. And over the years, many players tried to enter into that business, but our position has been reaffirmed by

the market participants because of the quality and the continued consistency in our quality. So, that momentum will continue in that.

And overall, on IPD segment also, we are expecting a bounce back, but not as strong like it will jump from, but definitely from the level of FY '24, this year we are seeing a good momentum as we go on into that business. So, that business because there are a lot of rationalization happening into the market, so we expect with our product line, which is a specialty segment including shrink, we are seeing a good bounce back. And overall, though we do not participate in packaging or commodity business, we expect that that is also getting stabilized and slightly showing upward movement.

Moderator: Thank you very much. Next question is from the line of Sanjay Shah from KSA Securities. Please go ahead.

Sanjay Shah: I would not hesitate to even appreciate the presentation which you have shared. It's very nice, sir. Very detailed and very helpful, sir. Just to elaborate my understanding, we are putting a new capacity in PPF with the CAPEX of around Rs. 125 crore. So, what asset turn we can expect? Can it be around 3, 3.5 times as per our understanding?

A. Venkataraman: Yes, you can see, as on date we have asset turnover is around two times excluding the revaluation reserves. This would slightly move up in the coming year depending on the sales what we are projecting in '24-'25. So, to answer your questions, yes, we expect some increase in the asset turnover ratio in the coming years.

Sanjay Shah: Sir, our new launch of Titanium PPF, how is that product? Have we launched that internationally? And what response we are getting into it? And also, the question on PPF was regarding our entry into tier two cities. What is the response from there?

Deepak Joshi: So, like as a strategic growth in PPF, our base was pretty low. So, first two years we did a sale into a segment which was mid-range segment. Then we entered into a little economic kind of section with a Plus variant. So, initially it was a premium which is running really well, which is the major market share. And then we launched Plus, which is a variant where people cannot afford somewhere like lakh rupees or so. And then after that with the market demand because our quality runs really well on the countries like USA and like Europe, so then we made this product which is very different from the other products which is like there is, actually, it's a bit technical, but I can explain that. It's like it is much whiter or cleaner, I can say. You can see the gloss of the car increasing pretty quickly. Its application stretchability is wonderful. It's kind of non-yellowing, and it has got a lifetime warranty.

So, with these basis like top of the top products which comes with all competitor, so with launch of this product, we have a complete range from the very basic level to the top of the top range. And all products have been categorized in terms of their technical capability, their specification.

And of course, they have warranties, which is like starting 3-year, 5-year, 8 year and lifetime.

So, based on that, this has been launched.

So, this was launched very recently. I can say it's not even 2 months. And we are getting very good response because this is a GAS specific product. That is only Garware. It is sold through our application studios only. So, that's why it's kind of a limited version at the beginning. The reason not to distribute it, we just wanted to segregate our position. It's a branding product basically, which is being sold to create brand awareness of Garware, not create competition amongst our participants, that's the dealer, distributor and everyone.

So, that's why it's very unique in its nature and it's growing very good. And after its launch, when we said it's a lifetime warranty, we got inquiries from South America, Europe and some inquiries from USA. We have not yet launched into that market, but we will soon think of doing that.

Sanjay Shah: And sir, response from tier 2 cities in India.

Deepak Joshi: So, to answer that question, we have like 2 weeks back, if I am not wrong, we launched, we made 4 Garware Application Studios, 3 in Lucknow, 1 in Kanpur, and in next 2 months there is a plan to open 6 to 8 Garware Application Studios. These studios, as I said, is not owned by Garware. This is like people who want to be associated with Garware brand. They are requesting us. We are doing an evaluation, and we are seeing the potential, and based on that we are awarding these studios to them. So, with the response of Lucknow, Kanpur and all those kind of tier 2 cities, we are getting a very good response. And the growth, next line of growth will come from there.

Sanjay Shah: Sir, my last question was regarding our new product of DecoVista series. Can you give us some highlight on that?

Deepak Joshi: So, DecoVista series is a decorative product, which is used by commercial and residential where

it is interior partitions are required. So, yesterday night , we had a conference of our regional like south , sorry , best regions ' dealer and distributor meet which was like headed by our architectural head in India. So, I was also present. So, we showcase d these products . So, what we are doing now with it in first Delhi , then Chennai , now in Mumbai , and we will go all around to showcase the product and its properties live demonstration on that.

So, these products are, as I explained , these are decorative films , but they come with lot of options with that . I mean , there is a safe

ty film involved in that. So, that is being used by many

hotels and in shower cubicles and all , which they have seen in the past kind of accidents when they open.

You go to a 5-star hotel and when you open a shower cubicle , it goes very fast . It touches the wall and breaks . And that is harmful for the guests in the hotel. So, all those things , I mean , this is only one example I am giving, how deep we go , but there are many such things which our team is going and promoting, and people are liking these products. So, this like comes with a decoration and safety in one product. So, that series is called DecoVista, that is decorative.

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Moderator: Thank you. Next question is from the line of Rohan from Turtle Capital Management. Please go ahead.

Rohan: As we can see that our G AS studio s, the network has increased like twice and as well as OEM network has been increased. So , can you give us an explanation regarding what kind of consumer behavior change we are seeing , because now we have sufficient reach ? So, are people willing to spend behind PPF or window films?

Deepak Joshi: Yes, see a window film, if I go to their category, they are very different. Window film is not that expensive in a way , like it's a very premium product, our products are, but the cost if you talk is very different. Whereas PPF is in the multiple and it can go into a lakh rupees for a car, right.

So, for PPF, there is a different kind of efforts are required and people are appreciating that. Like GAS is basically an area where mainly PPF is promoted, right.

So, with the increase of our strateg y is now, as I said, we were like, we went into a middle segment then to a lower segment , now completely on the top. We completely made products as per the market requirements, which is catering to all kinds of customer segments, right. To add it to that, we have like Matte PPF, we have Black PPF, we have White PPF, and that will go continuously like our R&D team is continuously working to give a great experience to our customers.

Now, when we talk, there are many people who are very passionate about their cars. So , there it's like maintenance and aesthetic value increases. I can't name the celebrities, but we have done like almost, I mean, in Bollywood and like in sports and everything, we have done like multiple people using the product and giving a very, very great feedback to us. So, that's one.

And when we talk in the tier two cities, like I gave example, I am sticking to that example because I can't name every city. So , like Lucknow and Kanpur, we are these kinds of cities. This is an example. We can take Raipur, we can take Nagpur and all those cities. Like we are putting a lot of efforts and people are really appreciating and giving value to that.

Because if you talk of how the pattern has changed, like I said, when we started, it was 0.1%, 0.2% penetration. Only like 300, 400 cars were being done in India. As we speak, the number has increased to 1.5 % to 2% and in car terms, I think it has gone to multiple thousand levels, right .

So, the pattern has changed with sustained marketing efforts and keeping people's mind that this product is something which is a value for its money, right . I mean, the scratches in the mall or anywhere, wherever you get these kinds of things, and you can get rid of these kinds of things by putting a PPF, which comes with a great name like Garware kind of quality.

And second thing on sun control, we have been like a very strong player, but our focus was because of capacity constraint two, three years back, we were mainly focused on automotive.

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Now the shift has changed like automotive, definitely we are doing great and we will continue to do so.

But we have put another effort t

oward architectural segment, like I just explained with the

introduction of new products, that market is growing. But at the same time, it gives a lot of value to many malls, commercial spaces where energy saving is there. So , you can see we have energy calculators . Whenever we talk to like those decision makers in big malls and commercial

buildings, they are really excited to know that there is a product which is Make in India, which can compete with the number one, number two who have ever been there in the world stage. And our quality definitely is either at par or better than that.

So, our value propositions are really great and that is being populated to market. And we are quite confident that it is going because we have seen the results in last two years that we have been growing, but with the sustained efforts, like our team addition world over and an entirely new team created in India, so that is making a big impact.

Rohan: And another question is regarding what kind of revenue we are doing for GAS to like we are supplying to them. So, what kind of revenue we are doing for GAS and as well as for OEM dealership ?

Deepak Joshi: So, when we talk of like there are two segment per OEM as we have like it seems more like the GAS partners are continuously increasing , but as we said , we don't go into each and every P&L because if you talk of 200 people , then it's not in the interest of because it's their stores , we are just providing them support from our side . But the overall that gives , I mean , we can see the numbers since beginning. Now the numbers are almost doubled on all the GAS es which are there for a couple of months and Titanium is giving them a big edge . So, their earning is increasing , but specific number , I mean , we have not yet done because this is not into our, you know, this is their GAS, and it is not owned by us . So, we don't go into their statistics.

Rohan: No, I get that. I am not asking from their point of view . I am asking amount of what you are selling to them.

Deepak Joshi: Yes, so if you talk of our, I mean, when they started like the older ones, when they were buying like in a month, they were able to do 4- 5 cars. All of them are jumped kind of like 15-20 cars a month, right? So, if you see like 200 people, then you multiply with all those numbers, that numbers is quite increasing. That's our strategy actually to grow . I mean, we are creating our market by creating a secondary market. We are not pushing our dealer distributor, but we are creating a market from the ground. So, that's why we are seeing these kind of results.

Rohan: So, this was for the GAS , the 4 -5 cars to 15- 20 that you are doing right now for a month ?

Deepak Joshi: Yes.

Rohan: And what's for the OEM? Like if you can share some ballpoint number?

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Deepak Joshi: See, for OEM, I think it's a kind of, like I would say, it's some information which is very strategic and confidential in nature. Because we have seen, I will just give, it's quite open that like the Company is really doing good overall. And there are like our peers, competitors who are coming out with lenses like what we are doing great, what can be done. So, that's why we are restricting our strategies to top level only, right? But I can assure you like OEs, like we have the one which has like, if they were buying like 100 -200 to start with, they are again 400- 500 kind of numbers and that numbers will increase. And we have now more OEs with us, but again, we can't share the names because of the confidentiality.

Rohan: Completely understand. That was from my side.

Moderator: Thank you. Next question is from the line of Punit Mittal from Fort Capital. Please go ahead.

Punit Mittal: First, a data point. What was your overall growth in the SCF category this year?

Deepak Joshi: We have sh

ared in the presentation. Just a second. I mean, to be precise, we are just looking at the presentation. We know that. Yes.

Pradeep Mehta: Growth in SCF ?

Deepak Joshi: SCF, yes 67%, I think.

Pradeep Mehta: You are talking about quarter on quarter?

Deepak Joshi: Yes, you are talking of Q -on-Q basis, right?

Punit Mittal: No, no, I am talking of full year.

Deepak Joshi: Full year?

Punit Mittal: Yes.

Pradeep Mehta: Yes, 67%.

Deepak Joshi: It was 67%.

Pradeep Mehta: The full year growth is around 3% on sun control film business. And e arlier number was quarter -on-quarter means if you compare on Q4, FY '24 versus Q4, '23, there is a significant growth.

Deepak Joshi: The reason I will just explain . As we said, we are back. Q3, the inventory impact went away.

And Q4, we are back with what we expected. So, that's why we have seen a 67% big jump into quarter versus last year quarter, right? And overall, it shows around 3% in the annual basis .

Punit Mittal: But that means that we are in the traditional like our older products of sun control film, we are still down because we have introduced new products this year and that has also contributed to

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some revenues . So, our traditional SCF business is probably still down. Is my understanding

correct ?

Deepak Joshi: No. So, that's what I was trying to explain, that if you see the Q1 and Q2 last year, it was really down on sun control, mainly because the inventories which we supplied the previous year, they were like almost 1.5 to 1.8 times what it was required by the market. That impact you will have to go to kind of COVID areas when, COVID times when there was like shipping times from India to U.S. went as high as 75 days from current 35 days, right? So, a lot of inventory was on waters and there was a scarcity of the product. So, people ordered much more.

This phenomena not only happened to us, it happened to Walmart, Costco and everyone because everything was same, like everybody ordered from India, China and the shipping time went as high as 75, 80 days, and that there was a scarcity of material. So, people ordered more. And as soon as the situation got corrected, there was sudden burst of material which was like 40 days net inventory which was on water, it landed there.

At the same time, they ordered more in expectation of high demand, and at the same time of low supply from the supplier, everything went there, and that, actually, the last first two quarters went away to liquidate those kind of inventories. So, that's why the order flow from our side remained low by the customers. So, this situation kind of went corrected in Q3 and it came back with the full force in Q4. So, that was the situation. Otherwise, the kind of like sales we have seen it has returned and it will continue in the same territories.

Punit Mittal: Now the second question is that if you look at Xpel, they were traditionally a technology Company and their biggest advantage still today is the software that they have, which has the exact dimension and model of every car out there. And they are able to cut the PPF to the exact dimension for the car, which essentially is also why a lot of applicators use them.

So, Garware, since we are also selling our own brand name overseas and within India, in terms of this software or technology of how to use the PPF or cut the PPF to exact dimension, what are we doing? Do we have in-house technology or we are outsourcing from somebody? If you can just explain a little bit there would be helpful.

Deepak Joshi: So, we have tie ups with certain companies in USA because USA almost all the application are done with the plotter software, right? So, that's why we have a tie up with the Company. So, we sell our product with those software. So, they have got almost the simi

lar features what the

Company Xpel has. So, similar features, but the revenues of course is whatever Xpel is doing, that is with their software world around and we have seen those revenues, right? So, Garware also, I mean, we are working on couple of things in that. So, in coming quarters, we will be able to give a detail on that. We have the software and we are using that to our advantage.

Punit Mittal: And you are using the same software in India? I am just asking the same, whether using the same software in India as well.

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Deepak Joshi: So, we are using some of the pre-cuts for some of the markets, some of the particular vendors in India, and it will be commercialized very soon. I mean, full, it's on a low scale, but we are doing because pre-cuts help us to reduce the time and the cost of the product.

Moderator: Thank you very much. Next question is from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.

Mahesh Bendre: Sir, we are planning to spend, I think, Rs. 125 crores on the new PPF line. So, what kind of revenue we are anticipating that, whenever that come up at optimum level?

Deepak Joshi: Yes, it is the same capacity, same line. So, we expect the same revenues of Rs. 350 crores, but that takes like first year it goes with a certain kind of capacity utilization, and two to three years it will go to full. So, that's what the expectation is. So, full scale, it will go to around Rs. 450 crore.

Mahesh Bendre: Sir, even if you assume Rs. 350 crores of revenue from that whenever it stabilizes and 20% kind of margin, so ROCE will be in excess of 50% to 60% in this new venture. Sir, we are spending around Rs. 150 crores and we are going to generate Rs. 350 crores of revenue, maybe whenever 2-3 year down the line. So, if we assume 20% kind of margin in that since it's a high value-added product, so the ROCE will be what? I mean, in excess of 50%.

Pradeep Mehta: No, no, it will not be like that. We will not comment on the margin side, but it will be not 50%.

Mahesh Bendre: Sir, out of Rs. 350 crores of whenever revenue, even if we assume 20% of margin, Rs. 70 crores of revenue profit, EBITDA level with Rs. 150 crores of investments, like almost 50%?

Deepak Joshi: Yes, it will be, but going forward, yes.

Mahesh Bendre: Yes, going forward. I am not saying right now. Whenever that will happen, maybe 2-3 year down the line will stabilize the situation, but incrementally the ROCE will be very high in that case.

Deepak Joshi: Yes, later on it will be high. You are correct actually.

Mahesh Bendre: And sir, one question. I mean, last time also we discussed. Our numbers and profitability growth has been, all things have been fine. Only our return ratios are depressed simply because gross

block is high because of revaluation and all this stuff. So, is there any way we are planning to do anything to improve the return ratios going forward?

A. Venkataraman : See, one is, as you rightly observed, the revaluation results is nearly, I think last call also we explained, is almost Rs. 765 crores. So, that is why if you can take it, the turnover ratio has come down quite a bit because of that. But considering profitability, considering the new investments that is coming up, we foresee a very good improvement in turnover ratio as well as returns. But it will take some time. As explained previously, the PPF full utilization may take 2 to 3 years.

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So, once these new investments start fetching returns, we could see a considerable improvement on returns as well as on the asset turnover ratios.

Mahesh Bendre: And last question from my end. Sir, based on current capacities, sun control films and PPF, what kind of revenue we can generate from the existing setup?

Deepak Joshi: Sir,

we have given the guideline on full utilization basis. It's Rs. 500 crores from the new investment and when it goes full, so it is almost running towards that. So, we are expecting like overall to go, to cross like Rs. 2,000 crores for sure and the guidance about FY '26 which we maintain around Rs. 2,500 crores.

Moderator: Thank you. Next question is from the line of Shrinjana Mittal from RatnaTraya Capital. Please go ahead.

Shrinjana Mittal: So, I had two questions. One was on the PPF side. So, if we see this quarter's run rate, sir, it's about Rs. 110 odd crores, which has come down a little bit from the last quarter's run rate, which was around Rs. 160 odd crores. So, can you explain the reason for the drop? Like, is there some seasonality or is it because initially we were adding some distributors, so the effect of which has now reduced? Can you just throw some light as to what would be the stabilized run rate and what was the reason for the drop?

Deepak Joshi: So, actually in PPF, like everything, I think, when we talk of these numbers, quarter-on-quarter, it's not the right judgment. See, what happens sometimes, more inventory goes. I mean, the orders are there for coming months.

So, if it happens like it got dispatched because of urgency and all those things, they make a little difference on that. But if you see like there was, of course, Q3 has been very strong on PPF and Q4 sun control has done outstanding by growing 67%. This is a balance between these two because some fungible capacities are being used for PPF.

Now we need full sun control. So, we have shifted to other capacities, which will start kicking in from the next quarter. I mean, with all likelihood, we are saying we don't lose any orders because of capacity, but there is always adjustment on a quarter-on-quarter basis, like which business goes more, and there is this balance is there.

And in PPF typically we have seen Q2 and Q3, people tend to buy more because then the focus shifts towards PPF. And in Q1 and Q2, the focus shifts towards sun control. The reason is sun control is a seasonal business whereas PPF is all around, but the efforts and energy and the money which is put on PPF goes more towards Q3, Q2, Q3 towards. Because this is basically handled by similar people, like the distributor are same. So, they have to plan their inventory.

Like, if I talk of our distributor in India, so they tend to buy too much of sun control during peak season because it is like the hottest selling product, whereas all the money or whatever resources they use, they use for sun control. When it goes little down because of the seasonality, like rainy

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season it will definitely go down. During that period, people tend to buy more of PPF and stock them.

Shrinjana Mittal: So, there is some element of seasonality also. Understood.

Deepak Joshi: Yes.

Shrinjana Mittal: And the second question I had was on the architectural series also, currently what are the sales that we are doing? In this year particularly how much was the sales that we were able to clock?

Deepak Joshi: See, we are trying to now restrict like for the competitive advantage, I mean, we have, we do not want to go into like these segments in a very particular way because as I said, I mean, the information is being like closely watched by competitors and peers. So, I can say that this we have grown like around 25% to 30% in FY '24, but this year we are taking a target of more than 50% growth in architectural segment. We have budgeted it that way. So, overall, you will see a jump in sun control business and that will be the portion of that will be from architectural segment. That was untapped for us. So, we are trying to put, we are putting all efforts towards that direction.

Moderator: Thank you very much. Next question is from the li

ne of Aman Saifee from iWealth Management .

Please go ahead.

Aman Saifee: Sir, I just want to understand from the capacity utilization front. When you say that your new capacity will be commissioned in FY '26 and you are already at an optimum capacity utilization with the current capacity , sir, is it that this year there won't be any growth in PPF or is it that your capacity is fungible across SCF and PPF?

Deepak Joshi: Yes, so our capacity is fungible not everywhere but under certain lines. So , till the new line is commissioned , we have debottlenecked one line which is able to produce beyond capacity of PPF. So, the kind of order flow will be there , it will be catered from there, and there is an impact of seasonality also when like sun control , like I just explained in the previous call.

So, that will be like it's a combination of both because the selling point mostly are common. So, that element works here. So, we will be able to cater the demand whatever comes from the market by fungible capacity and looking into the current flow of sun -control films , we will be like till in the season , people will be more focused towards sun-control films .

Aman Saifee: And sir, just one last question. As our majority of the business is on the export side, almost 70 % to 80% of our business is export , are we experiencing any issue from the Red Sea impact, long delivery times or anything on the freight cost?

Deepak Joshi: There is a freight cost increase, but that is very minimal. It is not like we experienced in 2021 - 22 when COVID was there. So , there is a marginal increase and lead time has increased by 10 to 15 days because people are avoiding to go from Egypt and Red Sea or something. They are

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crossing the sea and going there. So, that has an impact of around 10 to 15 days. But that we proactively gave guidelines as soon as it started to our customers that you may experience a delay of 15 days because of that and slight price increase , which has been taken care of.

So, if you ask me the impact, I will say no impact for financial performance. Of course, there is a lead time increase, which we have taken care of. So , we have proactively started supplying to the customers so that they do not go out of the product.

Moderator: Thank you. The next question is from the line of Bharat Mani from Moneybee Investment Advisors Private Limited. Please go ahead.

Bharat Mani: So, my first question is on the TPU side. So , TPU , which is a major cost for the films, which costs around 25 % of the films , so are you doing some kind of R&D for making it in -house for further backward integration?

Deepak Joshi: This is very sensitive information because , you know , we have long -term contracts with our suppliers and all. Any such kind of information may lead to, I mean, it's again very sensitive information which we will not be able to diverge at this moment.

Bharat Mani: So, my other question would be, can you just tell me this quarter how much was the white level in the own brand mix?

Deepak Joshi: White level versus our brands. Right?

Bharat Mani: Yes.

Deepak Joshi: Typically , we keep it 50 -50, but we saw a big jump from some big players. So , we can say it's a 60-40. Like 60% towards white box and 40% towards us.

Bharat Mani: And can you still give the capacity utilization of the new lamination line that you have?

Deepak Joshi: So, new lamination line of like if you talk of recent months , that is close to , I can say , 60% to 80% it's going.

Moderator: Thank you. The next question is from the line of Shreya Jain from Niveshaay Investment Advisory. Please go ahead.

Shreya Jain: First of all, congratulations on a great year. I wanted to know more about the GAS business model. Like, how does Garware gain from GAS sales? Like, is it a fixed percentage or a f

ixed

amount that we get? As you said , it was a franchise model. So , how do we gain from every new store opening?

Deepak Joshi: So, first of all , how do we get benefit is like recently whatever GAS es we have opened , so we get orders from them which, I mean , city like I will tell you from the background , like how we

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were able to penetrate in India market. So, the story was there were hardly any applicator in the market and there were like 200 -300 rolls being sold by the top manufacturers in India. So, practically there were no place where PPF can be done. If you want to do a PPF in your car , how much you can afford is secondary. First of all , there should be a facility where you can do your PPF in an environment which is dust free , right, with clean room as we call it .

And second thing is , there has to be an applicator , which is very important because such an expensive product . And when we do that , you need the third parameter , which is , if the car is

not coming straight out of the showroom , then you have to remove like your handles , you have to remove some headlights and all those things . So, this is very highly skilled job, right ?

So, all three things make it a very difficult proposition if you talk of the operation purpose . So, what Garware did is , we have trained in over a period of time 700 applicators who are like our army into the market . Now about the space and all , how do we do ?

So, that's the advantage when it comes from GA S, like we have opened in the city like , for example, X city. So, there is no application studio, there is no applicator and there is no facility of doing the third thing which is removal and fitment , right? And there is buffing, polishing, everything, cleaning is also involved.

So, GAS is a perfect location where we give our corporate identities and designs like what they need to do. And we also provide trained people like that salaries and everything is taken care by them. But we provide full support, and this model is increasing our sales to secondary and tertiary cities in a great way.

Shreya Jain: My second question was regarding PP G. So, PPG has launched a technology last year which would integrate paint protection layer directly into the paint , and they will sell it to OEMs for automobiles. And it has been getting a good response. So, I just wanted to know do you see this as a threat to our product ? Will this eliminate the use of PPF entirely in future maybe?

Deepak Joshi: Yes, but , I mean , you have said it has got a good response . May I know what kind of good response it has got? Means had it been implemented.

Shreya Jain: Yes, so according to PP G, they have been getting a good response . I just went through their website. So, I just wanted to know that...

Deepak Joshi: I am sorry to say that , because this was actually, there was a clarification and I meet many people. I am in U .S. for next whole month, and I meet like everywhere, go everywhere, meet people.

And as per the market information , there is no such thing like a layer of paint which can be , in fact, if you know , PPG also has a PPF plant which they produce and trying to sell more and more. So, as of now , there is no paint technology which can be directly applied to that. So, there was some , like, I would say , as of now it is not clarified by the sources like what it is. I mean , the current status is , there is no such product in the market.

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Moderator: Thank you. The next question is from the line of Sudhir Bheda from Bheda Family Office. Please go ahead.

Sudhir Bheda: And I must say that I am a customer also and shareholder also. The products are very, very fine and very useful. And also, this Company is now becoming a kind of F MCG Company , I believe.

Deepa

Deepak Joshi: Thank you for your appreciation .

Sudhir Bheda: So, almost all the questions are answered I think in our previous all the questions. But the one question that I would like to know, so is it the correct understanding that by FY '26 we are going to reach a Rs. 2,500 crore and more or less kind of EBITDA what we have locked in right now , that will also be , you know , we will be able to achieve? Is it the right understanding?

Deepak Joshi: Yes, we continue , we maintain that guideline for FY ' 26, and also the margins , I mean , EBITDA margins are going to be stable at that number. We will try to improve , in fact , as a Company .

Moderator: Thank you. The next question is from the line of Prit Nagersheth from Wealth Finvisor . Please go ahead.

Prit Nagersheth: I think most of the questions have been answered. But one remaining question , sir, is, there seems to be a lot of cash on the books and with the kind of money the business is throwing annually, that cash only will continue to grow. The dividend that got declared is again very small amount relatively speaking. So, what are the plans for distributing this cash on the books? Are we looking at any kind of buyback down the road?

A. Venkataraman: Sir, actually what you said is right. We have cash of Rs. 388 crores on hand. So, what we are planning is we have this CAPEX plan what we discuss PPF almost Rs. 125 crores. This year we need to spend, ' 24-'25. And as of now , we don't have any plans for buybacks , and also any dividend hikes in the immediate term.

Deepak Joshi: Yes, but just to add to Mr. Venkat is that we are continuously, like we said , maintained last time that we are really committed to maximizing shareholder value. So , for that , we are seeing a lot of opportunities with the efforts we are doing like Mr. Bheda prior to this , your call , he mentioned that we are trying to become a F MCG. Actually , the idea is to penetrate every nooks and corners of India and make a kind of world factory with world -class products for the world, for the global market. So , in line with that, we are again continuously looking for opportunities , like the one which we have announced now. And similarly , we will be continuously looking to expand ourselves , but with a proper due diligence and studies . So, we are committed to that . So, these all will be utilized in that way.

Prit Nagersheth: Sir, I agree with the growth that you are projecting here , but my point being that the business itself is now going to generate Rs. 250-260 crores of cash every year and that's only going to grow. So , that would be sufficient to take care of the expansion plan that you outlined at present.

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My only point being that the cash that we have on books would be better utilized by sharing it with the shareholders. That's the only point I am making.

Deepak Joshi: No, we are actually on that, like I said, we are evaluating opportunities also in the market and we are ready for that. So, we are actually, as we speak, we are evaluating many opportunities where we can grow, like we can be inorganic. We can show inorganic growth also from the current set of what we have.

Moderator: Thank you. The next question is from the line of Rahul Jain from Credence Wealth Advisors LLP. Please go ahead.

Rahul Jain: Sir, with regards to this marketing expense, so basically you are mentioning our presentation, there is a nice slide with regards to the EBITDA bridge. So, for FY '24, there is a Rs. 28 crores incremental which has gone in the marketing side, sales and marketing. So, two parts to it. One is, so total, the absolute number if you can share, what number we have spent on sales and marketing for FY '24? And what are the expectations or typically for the coming year FY '25 and FY '26, what is the budget with regards to the marketing

spend? Sales and marketing spend?

Deepak Joshi: So, sales and marketing expense, like in the EBITDA bridge, it's quite clear that we have spent Rs. 28.3 crore, right. So, that is the absolute number which we have spent and on that, there was an advisory Company who did a great job working with us, right. So, as we speak, I mean, the services are, I mean, till last quarter, till the quarter Q4, they were there. Now we are evaluating on that. So, as a budgeted number, we have kept the same because we are trying as I explained previously.

So, that kind of awareness, people are now viewing a Company which is Make In India, but on certain segments we were not visible, like, say, for example, architectural segment, there was this kind of issue. So, we formed like every month we are doing one or two big meets there. We are participating on kind of architectural meets. Then we are putting our ads into digital media plus some home decor books also. So, we are creating a lot of buzz there. So, that's why we have kept our aggressive sales and marketing budget for this year.

Another thing is whatever GAS we open, we do aggressive campaign in their support localized digital media support we give to them. So, there are a lot of, I am saying there are hundreds of events which we are planning to do. So, that's why sales and marketing is a big enabler for our growth and we have kept the same numbers for this year as well.

Rahul Jain: Just to clarify, so, Rs. 28, 29 crores is the number for sales and marketing for FY '24 and we will be somewhere at Rs. 28, 30 crores for the next year also. Correct?

Deepak Joshi: Yes.

Rahul Jain: And sir, the second question is on the IPD division. So, for the last 4, 5 quarters, IPD division has not done well, and the margins or the losses over there probably have dented the overall

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margins of the Company in spite of a very exceptional growth on the specialty side. So, if you can share in IPD division, typically, what were the peak margins and what have been the somewhere probably this Quarter 4 or the previous Quarter 3 where it was at the worst level, if you can share some kind of ballpark range or which can have some understanding for us? And what are the normalized IPD margins?

Deepak Joshi: I am sure, I mean, I know where you are coming from, but you know what happens is for a Company which is mainly into commodity or packaging, there it's very easy to give the absolute number, right. But for us, since our product mix keeps on changing month-on-month basis, so there was actually, if I talk on absolute number for FY '23, it was 18.48. So, on an operations basis, like gross margin was around 18.48%, which dropped to 17.88% in FY '24, right? But that is like a mix of product mix makes lot of changes in that. But what we have done, we have added, like changed some products and we got some new avenues for us in North and South America and where we are expecting this margin to improve even from the '23 level. So, it is going better as we speak.

Rahul Jain: So, you are saying it was somewhere around 18.8% in FY '23, the gross margins in IPD division, right? Is that what you mentioned and which fell down by about a 100 basis point in FY '24?

Deepak Joshi: The thing is, because the numbers are quite mixed here, so let us not go into that particular...

Rahul Jain: No, no, I do not understand. I am just trying to understand. So, at peak level, say in FY '21, when Company had an overall EBITDA margins of around 22% in FY '21 and 18.5% in FY '22 operating margins for the Company level. At that point of time, IPD was doing well and specialty proportion was much lesser. So, at that point of time, IPD must be doing what, 20% plus gross margin, is that a correct understanding?

Deepak Joshi: Yes, it was

doing that level because across the industry it was there. But this, if you see, particularly it was not good in FY '24 level because of a very used overcapacity.

Rahul Jain: No, no, I get that. My question was basically, going ahead, assuming, of course we don't know, but assuming say maybe in FY '25 in the second half or say FY '26 as a whole, the gross margins of IPD go back to say, move up by around 2.5% or 3%. Then will the overall Company margins also move up in the tandem or will you use that additional profits from IPD division to probably increase your marketing spend and branding spend?

Deepak Joshi: No, no, actually in marketing spend, we have already kind of budgeted. So, whatever gain from IPD side will add to the value or directly to the Company.

Moderator: Thank you. The next question is from the line of Harsh Mulchandani from Kriis Portfolio Private Limited. Please go ahead.

Harsh Mulchandani: Most of the questions are already answered. I just have one question on capacity utilization. You mentioned that we are at optimum capacity utilization and for PPF basis the previous quarters

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we were already at a higher level and now seeing SCF also picking up, we will still have an opportunity to debottleneck and manage the growth for the coming year because FY '26, we will see the CAPEX for PPF. So, just want to understand that we have sufficient capacities to grow 20%, 30% for the coming year.

Deepak Joshi: Yes, we have headroom. Like we said, like in the peak season, currently we are running 60% to 80% on new lamination line. So, there are many, like we have five lamination lines, and those lines are utilized based on the kind of product, right. So, we have like as per our estimates, we have headroom to grow both in PPF and sun control before the new line, until the time the new PPF line is commissioned.

Moderator: Thank you. The next question is from the line of Karthi Keyan from Suyash Advisors. Please go ahead.

Karthi Keyan: Couple of clarifications, sir. Partly you answered this, but I just would like some elaboration on this. You know, when we launched the PPF film, you talked about relatively low backward integration, and you talked about several initiatives to improve on that score progressively over a period of time. So, if I may ask you, where you have reached on that path? You talked about integrating several components in-house. So, some comments on that would be interesting.

Deepak Joshi: I apologize that this information is again we are holding back for some time, but as we speak, we are on that path and we like a Company, as we said, like 100% of the components of sun control are manufactured by us from top, bottom because we are there for last 30 years, right. In PPF, we are doing lot of, again, this will be pretty sensitive for our customers also. So, I won't be able to answer in this forum.

Karthi Keyan: But you are making progress. Is that qualitatively if you are able to comment on that?

Deepak Joshi: We have a team of 50 people in R&D who continuously work on all kind of things and there the leadership is very strong under Mr. Adsul and the entire team that there is a very strong momentum in terms of new products. R&D for each and every product, we have many variants for and we keep on doing that. And this is a testament like last year we launched so many products. Like, six, seven products we launched successfully in the market and getting a good response. So, this is one of the key area which we can't divulge like how much and till what we can do that.

Karthi Keyan: I appreciate that. Just another question, sir. You have under the two broad umbrellas of PPF and SCF, you have launched several categories of products, and the presentation is extremely elaborate in terms of the details.

Just one thing. Would you say near term diversification be under the same umbrellas or are you also considering a completely new vertical, if I may use that term?

Deepak Joshi: See, one thing as guidance and the Company legacy under Dr. Garware, we are committed for backward and forward integration and that too will be very much, you know, that will be, I would

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say, in our core areas only, right? So, we won't go into something which is not related to our polyester business or PPF business.

So, yes, we are looking all in a way so to make it like I keep on explaining this thing, that we are not probably actually the only Company in the world which is fully backward integrated means we buy petrochemicals. Then we make our own resin. Then we make our own films. These films then can be thermally laminated, can be metalized, can be deep dyed, can be go to different kind of laminating processes and can go to like many liners, these things plus our

coatings are top coats everywhere and everything we manufacture .

Even in the countries , advanced countries like USA and in China, you will find people buying all those components from outside. So, Garware is the complete package, which is end -to-end manufacturing in -house, right? That gives us a very strategic advantage as compared to our competitors and very high quality because we can monitor and control whatever is required by our esteemed customers.

Moderator: Thank you. The next question is from the line of Parikshit Kabra from Pkeday Advisors LLP. Please go ahead.

Parikshit Kabra: Just one quick question. The growth particularly in PPF but also in SCF , are you expecting that to be majorly volume driven or a mixture of volume and price?

Deepak Joshi: For growth is a mix of both because let me tell you very frankly, we can sell the product , we can full the line anytime with all the products , but when you talk of sun control , there are very basic single ply product means you just make a product and do like adhesive and small kind of coatings and then sell into the market whereas you find the Garware products, they come with lot of value addition to that. There are nano particles on that. There are many different kind of scratch resistant and all those coatings. So, the quality of the product, we pride in our value additions in the product.

So, we always try to focus and educate customers to use the products which are having high quality heat rejections and best -in-class light transmissions like without affecting any transitions and having the lowest possible absorption into the film. So, these are the parameters which we try to focus. So, of course , the more sales and marketing efforts are towards like the quality products which actually enhance the experience of the customer.

Parikshit Kabra: Will it be possible for you to give some kind of a breakup as to how much of the 30% growth would come from price versus volume?

Deepak Joshi: See, definitely it will be a volume only because we can't change our current mix with increase of the prices. So, there will be a mix of that. What I am trying to say is the volume will increase, but that will increase only in the high end products. That's what I meant to say.

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Pradeep Mehta: Product mix.

Deepak Joshi: Product mix. We will do better product mix .

Parikshit Kabra: Overall price will be higher, right? Because the products are selling more.

Deepak Joshi: Product mix will be higher.

Moderator: Thank you. The next question is from the line of Ankush Agrawal from Surge Capital Limited. Please go ahead.

Ankush Agrawal: So, just one quick question. So, for the full year FY '24, can you share how much of our PPF business was white label?

Deepak Joshi: You are talki

ng specifically to PP F?

Ankush Agrawal: Yes.

Deepak Joshi: See, we maintain that number to 50 -50 for us and the market. Like, there is some plus /minus 10% always happens. So, that is in line with that, like 60 -40 or 50 -50 or 40- 60 in that case. We intentionally try to maintain our branding along with our big capacities which are the world's largest facilities to maintain our growth.

Ankush Agrawal: So, would you be able to qualify say on the white label side , the majority of the business is coming from say , how many customers, like 4 customers, 5 customers, 10 customers?

Obviously , there would be a long tail of customers , but the majority would be driven by a limited set of customers, right?

Deepak Joshi: So, there would be a long tail of customers , but if I say like equally or distribution will be like around 10 customers who will be like pretty with the volumes, with the higher volumes.

Moderator: Thank you. The next question is from the line of Kashap Kartik from TableTree Capital . Please go ahead.

Kashap Kartik: I think most of my questions have been answered. The only question that I had, sir, was one of your global supplier cum competitor cum customer, recently had very bearish comments on the U.S. economy and the growth they are seeing in the U .S. and obviously China as well, right?

And I am very pleasantly surprised to hear that you continue to maintain Rs. 2,500 crore guidance by FY '26 which basically implies a 20% growth, year -on-year growth, year -on-year from this year on.

So, from a U .S. perspective then, are you seeing the global brand or global brand sales or any white labeling sales that's slowing down or it's just the commentary from that particular player alone and we don't see any impact?

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Deepak Joshi: See, when we talk, if we compare the numbers for the same quarter, which was his quarter one versus our quarter four, means Jan to March, you can see our performance has been robust and that will continue. However, there were concerns on, I could see even the Tesla's commentary, and then Xpel commentary, then some other people have these things, but the good thing about us like we are a very wide range of products and they make up for one another. So, that's how we are maintaining our guidelines to be stable and the original guideline of Rs. 2,500 crore to be met by FY '26.

So, that is the reason, like we have a very wide variety, and we are seeing good growth on some segments. Intentionally put a lot of efforts to us as I mentioned about architectural segment and this thing. So, even on PPF, when I saw the guideline, there was a big drop in Q1 numbers from that particular customer, but they have given 8% to 10% guideline for the rest of the year. That means the growth is still coming to them. I just went to that guideline and that was also positive. Only thing is, they reduced it from 15% to 8% to 10%. Despite a big drop in Q1, they are still maintaining that 8% to 10% guideline for the year.

Kashap Kartik: And one last comment, sir. I know you have answered it before, but we have about Rs. 400 crore cash. Another Rs. 200, 220 crore or Rs. 240 crore will get added this year. So, you will end up at around Rs. 640 minus about Rs. 120 of CAPEX, right? So, you probably have more than excess of Rs. 500 crore cash at the end of next year. Request the board and the management to consciously think. I know there are a lot of sales, marketing and product development expense, but we continue to give Rs. 10 dividend year on year for many years, but our profits are double or triple, right. So, request the management and the board to consciously increase the dividend paying rate from Rs. 10 to at least Rs. 20 because you have Rs. 500 crore cash at the end of next year.

Deepak Joshi: Yes.

A. Venkataraman: We have

noted your point, sir. We will come back to you.

Moderator: Thank you. The next question is from the line of Parv Jain from Niveshaay Investment Advisory. Please go ahead.

Parv Jain: Sir, just to clarify, you mentioned that we are dividing our department into architectural films and automobile films. So, within the consumer products division, we will be seeing that as three separate divisions like automotive films, architecture films and the PPF. Is that a fair understanding?

Deepak Joshi: Honestly, this is an internal division to create a big focus towards architectural segment. Like I said, we had yesterday also one conference of the West region. So, you know, because the business and SKUs are so big on architectural segment as well. So, we have divided the team to put dedicated efforts towards sales and marketing of architectural segment.

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So, we will continue to show CPD and IPD, but we will let you know the performance like how that is doing, but absolute numbers won't be, I mean, we can't give absolute numbers. Again, there are a lot of information which we will try to keep for it's a good value for you guys also that we will continue to grow without giving our competitive advantage away from us.

Moderator: Thank you. The next question is from the line of Aman Vij from Astute Investment Management Private Limited. Please go ahead.

Aman Vij: My first question is on PPF domestic business. So, given now we have this Titanium range, and this will be now available for full year, what kind of growth do we see for PPF domestic this year?

Deepak Joshi: So, PPF growth, if you compare, we are keeping it at around 20% like the general guideline for all the, I mean, that will be in line with other product. Initially, there was a big jump because the base was low. Now we see around 20% growth with immediate effect, 20 to 30, I would rather say.

Aman Vij: This you are talking about domestic business?

Deepak Joshi: No, I am talking of overall. You are talking, you asked domestic? Yes, domestic business is, I mean, that we may be slightly above that.

Aman Vij: And even for overall on this big base of say Rs. 450 odd crore sale, we are expecting to grow 20% for the full year.

Deepak Joshi: Yes, we can. Yes, from there, it will be like somewhere around 20%.

Aman Vij: If you can give rough idea in terms of how dependent are we on U.S. and China market and even Europe market? So, out of our overall sales in PPF specifically, how much does U.S., China and Europe contribute? And in which market are you seeing strong growth for this year and which market there would be weak growth?

Deepak Joshi: See, overall, our sales, as we said, 46% of our total business is coming from North America, right. So, we can't say that we are not dependent. We are definitely dependent in a big way to North America business and that includes like even IPD business contributes good there and

then CPD and , I mean , PPF and sun control all the businesses. But to be honest, we are not seeing the kind of concerns has been raised by the shareholders about special guidance to the U.S. market. We are seeing continued good momentum in that market.

China exposure if you really see, we have hardly any China exposure. Of course, we have like a big volume going to China from IPD division. But that is again, there is no decline on that. I mean, it's a steady business , which we are seeing for many years and there is hardly any, I mean, it's not percentage wise, it won't affect much to us.

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Moderator: Thank you. We move to the next question. The next question is from the line of Ankit Gupta from Bamboo Capital. Please go ahead.

Ankit Gupta: So, one question I had was on the CP D decision was that almost Rs. 1,100 crore revenue this year. So, out of that, how much is India contributing currently? And how do you see India growth over the next two to three years? We are just starting out in PPF . I think S CF also, this is the new product that we have developed for the automobile and architecture films launch. So, how much is it currently contributing India in S CF revenues, sorry CP D revenues and how do you see this segment over the next two to three years, especially for India?

Deepak Joshi: CPD in India. Just a second, I am just looking at the numbers. So, the current, if we talk, this is around 15% revenues on CP D division come from India . 85% is exported, right? However, that number, if we really see, was like much lower for India market. But again, with the outstanding growth from outside also, so actually we are growing on both ways. Like India has been outstanding, but at the same time we are seeing a continuous growth from other territories, and we have added like additional resources everywhere to increase that business.

So, we can say it will continue like 15%. Despite the good growth, it will because the other geographies also growing. So, 15% is the roughly we achieved, and it will continue to do so. And there will be a growth, definitely a big growth, but that will be offset by the growth on the rest of the world also.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. A. Venkataraman for closing comments.

A. Venkataraman: So, thank you very much for attending the call. Trust we clarified all your queries. If you have still any queries left out, please reach out to us through an email provided in the investor presentation file. Thank you very much. Have a great day.

Moderator: Thank you. On behalf of Garware Hi -Tech Films Limited, that concludes this conference. Thank you for joining us , and you may now disconnect your lines.

Call: Aug 2024

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August 12, 2024

The Compliance Manager BSE Limited Corporate Relationship Dept., Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai 400001. Scrip Code: 500655

The Manager, Listing Department

National Stock Exchange of India Ltd

Exchange Plaza, Plot No. C/1, G Block,

Bandra-Kurla Complex,

Bandra (East), Mumbai 400 051.

Trading Symbol: GRWRHITECH

Subject: Transcript of the Earnings Conference Call held on August 09, 2024 for the Financial Results of Quarter ended June 30, 2024.

Pursuant to Regulation 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call, held on August 09, 2024, at 12.00 Noon (IST).

The above information is also available on the website of the Company:

<https://www.garwarehitechfilms.com>.

This is for your information and records.

Thanking you, Yours faithfully, For Garware Hi-Tech Films Limited

Awaneesh Srivastava Company Secretary

FCS 8513

Encl.: As stated above.

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"Garware Hi -Tech Films Limited

Q1 FY '25 Investors Conference Call "

August 09, 2024

MANAGEMENT : MR. M. S. ADSUL – TECHNICAL DIRECTOR

MR. DEEPAK JOSHI – DIRECTOR , SALES AND

MARKETING

MR. PRADEEP MEHTA – CHIEF FINANCIAL OFFICER

MR. A. VENKATARAMAN – SENIOR PRESIDENT ,

CORPORATE AFFAIRS AND FINANCE

MR. SUNIL WADIKAR – PRESIDENT , CORPORATE

AFFAIRS AND FINANCE

MODERATOR : MR. VIKAS H VERMA – E&Y

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Garware Hi -Tech Films Limited

August 09, 2024

Moderator: Ladies and gentlemen, good day and welcome to Garware Hi-Tech Films Limited Q1 FY25 Investors Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need an assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vikash Verma from E & Y LLP. Thank you and over to you, Mr. Vikash.

Vikash Verma: Thank you, Manav. Good afternoon, everyone. Welcome to the Q1 FY25 Earnings Call for Garware Hi-Tech Films Limited. On behalf of the company, I would like to express our gratitude to each of you joining the call today. To discuss the performance of the company and to answer the questions we have with us from the company, Mr. M.S. Adsul, Director Technical, Mr. Deepak Joshi, Director of Sales and Marketing, Mr. Pradeep Mehta, the Chief Financial Officer, Mr. A. Venkataraman, Senior President, Corporate Affairs and Finance, and Mr. Sunil Wadikar, President of Corporate Affairs and Finance.

Before we begin, I would like to draw your attention to the fact that today's discussion may contain forward-looking statements that are subject to various risks, uncertainties and other factors which will be beyond management's control. We kindly request that you bear in mind there may be uncertainties when interpreting such statements. Please note that this conference is being recorded.

We will now start the session with opening remarks from the management team. Afterwards, we will open the floor for an interactive Q&A session.

I would now like to invite Mr. Deepak Joshi to make his opening remarks. Over to you, Deepak sir.

Dee

pak Joshi: Thank you, Vikash. Good afternoon, ladies and gentlemen. We appreciate your presence today to discuss the financial performance of Garware Hi-Tech Films Limited, GHFL, for the quarter that concluded on June 30, 2024. We are thrilled to commence the financial year 2025 with the first quarter demonstrating robust revenue growth and enhanced profitability.

The company reported highest-ever consolidated numbers on all fronts, recording the highest-ever quarterly PBT of INR117.5 crores, crossing INR100 crores threshold. We have achieved an unprecedented revenue of INR474.5 crores during the quarter with an EBITDA of INR130 crores and a historic PAT of INR88.4 crores. This impressive growth was supported by increased contribution of high-end value-added products across all segments, despite the continuing global uncertainty.

Allow me to delve into the details of our primary product lines, starting with solar control films.

In the Q1 FY25, the SCF business experienced robust revenue growth when compared with Q1 FY24. This surge in revenue is attributed to the increased sales of high-end value-added products and the expansion into new markets and new customers. ~GARWARE ~ HI-TECH FILMS

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Additionally, recent launches of cutting-edge products like Spectra Pro and DecoVista series have started getting favourable response from the market. Our proactive sales strategies, including increased participation in Trade Shows and Distributor Events, as well as a robust digital media presence, have also played a significant role. Looking forward, we expect strong and sustained demand for both automotive and architectural films worldwide.

Moving on to the Paint Protection Film, with the introduction of a full range of products including top-notch titanium series, matte, white and black series, PPF is witnessing a strong momentum, operating beyond the capacity. We anticipate continued robust demand in both international and domestic markets.

To address the anticipated demand, we announced during the last quarter earnings calls about setting up a new PPF production line with an annual capacity of 300 lakh square feet per annum, supported by a capital investment of INR125 crores. This new line is expected to begin commercial production by the second quarter of FY26.

With these capital expenditure plans, process optimizations and the launch of a wide array of products designed to meet the needs of various customers, we are well positioned to maintain the growth momentum in the PPF segment as well.

Regarding our Industrial Product Division, the IPD business observed a recovery in both the specialty and commodity sectors, registering a marginal growth in Q1 FY25. A focused approach towards premium products such as newly developed lidding films and PCR and

floatable shrink films is contributing to enhanced profit margins within this segment.

Ladies and gentlemen, at Garware Hi-Tech Films, our commitment to produce top quality products supported by vigorous R&D efforts and an expanding global distribution network remains unwavering. We are optimistic about maintaining our growth momentum and are resolute in our goal to consistently deliver robust financial performance.

With this, I now request Mr. Pradeep Mehta ; our CFO , to take us through the highlights of the financial performance. Over to you, Mr. Mehta.

Pradeep Mehta: Thank you, Deepak and good afternoon to everyone joining us today. It's a pleasure to share that this quarter we have seen a strong operational performance today. For the Q1 FY25, the revenue reached to INR 474.5 crore s, marking a significant 25% jump year -on-year and propelled by continued growth in both the SCF and PPF business.

Our value -added products have delivered outstanding results and IP D has also demonstrated encouraging progress, maintaining its posi

tive momentum from the previous quarter into this

current one. The architecture division of SCF experienced robust growth due to the rollout of new products . EBITDA stood at INR130 crore s saw an impressive year -on-year increase of 78.7% and quarter -over-quarter rise of 44.9%.

Thanks to increased sale of high -end products, P BT surpassed the INR100 crore s milestone and stood at INR117.5 crore s for the quarter. Overall, PAT saw a remarkable growth, surging by

102.2% year -over-year and 52.8% quarter -over-quarter, driven by an enhanced product mix and ~GARWARE ' ~ HI-TECH FILMS

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improved return from the specialty products. Notably, export accounted for approximately 77% of the Q1 FY25 revenue, with around 88% coming from value -added firms. This positions us for exceptional growth in the industry.

I am proud to announce that in addition to our remarkable quarterly growth, we have maintained a very strong financial position with zero net debt and a substantial cash reserve of INR493 crore s as on 30th June 2024. This solid financial foundation enables us to confidently pursue future growth opportunities, such as upcoming investment in the new PPF line. We are optimistic about maintaining this growth momentum.

With this, now I request the moderator to open the floor for question and answer session. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. We have our first question from the line of Rahul Jain from Credence Wealth. Please go ahead.

Rahul Jain: Thank you so much for the opportunity and congratulations on a great set of numbers to the entire team at Garware . So, my first question is, in your initial remarks and also in the presentation you have mentioned about high growth in the architectural segment and also the high-end value added proportion has improved. So, if you could give some details about what is the proportion of the architectural high-end and the high -end value products as on today? How has it moved in the last 2 -3 quarters? And how do you see it moving in the next few quarters to come? And also, if you could share at least the margin difference between this high -end and architectural products compared to the overall company margins or the other products?

Deepak Joshi: Thank you, Rahul for your kind words. And about the high -end products, within the Sun Control business we have a category of products, that means the products which have high IR rejection values, that is the top of the line, which we call, I mean, sun control itself is a specialty business. In that, we have categories where very high heat rejections are there and then moderate. And the products which are like general value, like safety and security. And lastly, the products which are like with the minimum criteria for sun control.

So, out of that, our sustained efforts in last couple of years towards high -end products in sun control business, because the basic end products can be produced by many manufacturers in the world, but Garware has positioned itself as a top quality producer of high IR products, which are having the best of properties. And with our sustained focus and marketing efforts towards promoting those products, we have been able to increase their sales and that's how the product mix has changed. Now, coming back to a architectural segment.

So, this segment also requires products which are having the different properties and high -end properties as compared to general product. So, on that direction, we were like 15% to 18% in the previous years. And now, we are moving towards 25% to 30% revenues from the architectural business and it's continuously growing internationally as well and domestically as well. ~GARWARE ' ~ HI-TECH FILMS

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Rahul Jain: And Deepak, give me the margin difference between this high -end value products architectural

and maybe that also includes the architectural part and your overall company margins or maybe the other product margins if you could specify.

Deepak Joshi: See, these actually for confidentiality reason, because many people, many companies, they try to simulate the performance of our company. So, we refrain from giving those exact numbers.

But definitely, they are much higher than when we talk of the company entire product portfolio. So, these products come at a very, very premium and high -end margins. I can assure you that they are even I can say 20 %-30% higher than the general product line.

Rahul Jain: So, as the proportion of these things go up, are we talking about because we have reported 60% gross margins and roughly about 27% EBITDA margin this quarter, which is a record high. So, my reasons of asking this question is basically to understand the sustainability of the gross margins and EBITDA margins.

Deepak Joshi: Yes. So, see, these gross margins or margin percentage as in general, it is dependent on the product mix. And if you really see the product, which we are selling right now, the product towards CPD division, their revenue percentage has increased, despite there is a big, there is an improvement in IPD side, industrial product side, our CPD margins, CPD revenue percentage has increased. And in that revenue, our high -end products have also increased. So, in nutshell, these margins have gone up because of that reason. But as again, I'm saying these margins are subject to the product mix.

And in the seasons, like summer seasons, there is a high demand of sun control films and high -end products. So, that's why the numbers go high. But on an annualized basis, definitely we are trying to make the numbers better than on an annualized basis. I mean, this quarter, as I said, this is a combination of the season also. There is a seasonality involved in the sun control business. So, we will see up and down in that. But overall, the company's aim is towards improving those margins.

Rahul Jain: Second question regarding this margins only related to this. So, basically, what we have observed in Cosmo Films and also SRF talking about, and the channel checks also suggests, on the commodity film segment, things have been improving. So, firstly, how much of that contribution could be there in quarter one? Maybe some of these commodity films which are making losses have turned profitable in that segment. And what is the scope for further improvement in that segment?

Deepak Joshi: See, our exposure, as you named our peers, so our exposure in commodity is pretty low. But whatever improvement happens, that helps us at least to maintain the bare minimum of margins. So, there is a slight, very small percentage which can be insignificant as compared to our sun control and PPF business.

So, that's why, that's not a number which we can say that because of that something has happened. Even if it goes better, our numbers are, as I said, our overall focus is towards consumer products has always been and will continue to do so. So, our margins will always come from there. So, IPD business, despite that doing good, it's a very small percentage of our portfolio. ~GARWARE ' ~ HI-TECH FILMS

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Rahul Jain: Sure. Last question, just two data points. One is, this time the presentation doesn't mention the revenues for SPF and PPF separately. So, if you could share that. And last thing on the data point, we had an appointed consultant with regards to domestic marketing of PPFs. And we had paid a certain amount of consultancy fees last year. So, this year also that fees will be there. That's my last question.

Deepak Joshi: Yeah. See, on the consultant, there will be much lesser than what it was last year. But we continue to engage agencies

to help us in marketing and identifying the uncharted territories for us. So, but the numbers overall, the expense on that side will go down. But at the same time, marketing expense will continue to increase because that's what the digital market, we understand the value of digital market in current scheme of things in the modern marketing things. So, such kind of initiative, like participation in the biggest shows, like SEMA show, like architectural shows, Auto Mechanica in Germany, Auto Mechanica in Delhi, and other shows that remains our very focused, I mean, plan for this year, along with high, strong digital media campaigns.

Rahul Jain: Sure. And SPF and PPF.

Moderator: Sorry to interrupt, sir. May I request you to please rejoin the queue? Sure. Thank you. We have

our next question from the line of Mahesh Bendre from LIC Mutual Funds. Please go ahead.

Mahesh Bendre: Good afternoon, sir. Thank you so much for the opportunity. Sir, during this quarter, we have reported a margins of around 25%. So, just wondering, is there any one -off in this, or is this a pure, I mean, business margin without any extraordinary?

Deepak Joshi: Yes. So, Mahesh, these margins are purely from the operations. But again, as I explained in the previous question. It is our seasonality, right, when the demand of sun control goes up, and that, so it's a combination of product mix, which we produce and sell. And they are like, we will always be between the last year's numbers versus the current year number, because earlier it used to be a little lower. So, we have moved substantially to higher numbers. And we'll try to maintain in between, depending on the product mix of the product basket, which we sell into the market.

Mahesh Bendre: So, sir, assuming that current basket remains same going forward, will we be able to maintain this kind of margins?

Deepak Joshi: If basket remains same, of course, it will. But at the same time, as I said, right now, we also work a lot on, you know, there are scientific studies about northern hemisphere and southern hemisphere, when this more of heat comes and the sale increases in that particular area. So, we typically see there is Q3, there are some concerns on sale of sun control film because of the seasonality reason.

But at the same time, that time PPF shows, I mean, we have seen in the robust growth in that segment. But ultimately, as I said, our aim is to maintain the product mix and maintain the numbers, which were like around 20% last year and around 27% this quarter. So, it will be somewhere in between that. ~GARWARE ' ~ HI-TECH FILMS

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Because we can't guarantee you these margins all the time, because there are geopolitical tensions, there are seasonality and temperature going up and down. And that affects the sale. But we are putting our all efforts to maintain and go towards the positive operating margins all the time.

Mahesh Bendre: Expanding capacity in paint production field. So, currently, what is our utilization when this capacity is going to come up? And when this capacity will be utilized, the new capacity that is coming up?

Deepak Joshi: Yes. So, we have clearly indicated that is by end of, first of all, that is running well, the expansion that is running well and expected to be completed before Q2 FY26. That is almost a year from now. So, that is on time. And till that, our plans are running at full capacity. In fact, beyond capacity, like I said in my opening address.

So, this is running beyond capacity and we are using fungible capacity whenever there is a scope or we are making PPF in those lines. But these orders what we take is like, you know, consistent supplies to the market. So, we use like wherever possibility of our five, six lines we have. There we make some of the components to fulfill the market requirements.

Mahesh Bendre: Thank y

ou so much, sir.

Deepak Joshi: Thank you.

Moderator: Thank you. We have our next question from the line of Sanjay Shah from KSA Securities Private Limited. Please go ahead.

Sanjay Shah: Good afternoon, gentlemen. Thanks for the opportunity and congrats on a great set of numbers, sir. So, my question was regarding the boiling global market, competition, raw material volatility, logistics issues. So, how do you see that panning out ahead and the way the bullish stance what we have seen in our Q1 numbers and what you have commented, what challenges you see and how we see to mitigate it and which vertical we see the growth on global market?

Deepak Joshi: Yeah. So, thank you for your kind words on our performance and see the business, of course, coming up with a lot of challenges. Number one, like you rightly said, there is US economy which has grown to the predicted numbers in first two quarters for them calendar year.

But they are expecting a little bit of deceleration and end the year with 2.2% of GDP growth. Now, our main focus is the auto industry to be number one, like, of course, auto industry and then building industry. And that is linked to the interest rates which are around 5.25 to 5.5% in USA. Right. So, if we see this auto industry growth, which is stagnant in USA, and the expectation from our peers, competitors there that there can be some challenges going forward in this quarter or the next quarter for auto sales. But our portfolio like we supply to all around the world and there are certain territories which show better results or we put a lot of effort in those territories to gain our higher business revenues from that region.

So, it's a geography mix which helps us whenever in the past we saw there is a tension between Middle East and Russia and all that time, the USA market went really well, we put a lot of ~GARWARE ' ~ HI-TECH FILMS
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efforts. And right now is the reverse. We are working very hard in Middle East, Far East and European territories.

There we have been able to make up in and do better numbers from those territories. So, that's one geographical mix helps us. Of course, there are challenges in the market, like you said, but there is no degrowth on the car sales in US. So, it is going to be maintained. So, that's what we are expecting. And we are monitoring other competitors also their performance in different markets and we are seeing neutral growth or no growth.

So, at least the maintenance of these numbers seems to be quite plausible. And another thing which we are doing like architectural segment has been a focus of area for us for last couple of years. And we are continuously growing our revenues from that segment also.

And apart from that, you know, there are territories where we were like selling but not with the full intensity. So, we have hired very senior personnel in those regions. And with the strength of our product, I mean, our product comes with a very high quality and they can be distinguished easily like this is what Garware or Global product is.

So, the real effort is towards marketing to overcome that challenge. And if we come to the domestic market, there also we have penetrated very well in terms of automotive, our Garware application studios are rocking all around. We have now penetrated to tier two cities, which are like, we can say, Agra, Jammu, Srinagar, Ajamgarh, Dehradun, Bhopal, Ahmednagar, so on, so forth, Nashik, Aurangabad.

So, like this penetration is helping us for our sales in domestic market as well. And lastly, on architectural domestic market, we have set up a full new team. And we are month on month we are participating having small, small shows with all the architects and project management companies.

And with the new set of teams, they are truly focused on architectural business. I mean, they do not sell any automotiv

e and other products. So, that focus has turned the domestic market kind of double the volumes what we were doing last year.

Sanjay Shah: So, my second question was regarding your view on demand side on that safety glazing films, which there is a shift in Indian regulation on that. Can you throw that? Do we see any good opportunity on that side?

Deepak Joshi: So, there is an opportunity and we are capitalizing on that. So, we have done that in peak summer seasons, we have achieved numbers which were really tremendous. So, that is still continuing.

But because of rainy season, there is always a drop in demand that is a season for sun control or safety glazing. But that again comes back in 2-3 months after that slowly goes up. But as we talk about the opportunity, we have like this is our registered trademark also, Garware safety glazing, and we are doing really well on those.

Sanjay Shah: So, my last question was regarding the capex, what we are doing INR125 crore s to increase our capacity, doubling our capacity to 600 LSF. So, what will be the asset turnover we can expect from this capex INR125 crore s? ~GARWARE ' ~ HI-TECH FILMS

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A. Venkataraman : So, on the asset turnover, actually in excluding the revaluation, we are at currently 2.4. So, with including revaluation, it is 1.1. So, you have to exclude the revaluation reserves, it will be around 2.5. We are continuing to maintain the same, because we are also depreciating the old assets. So, it will remain the same and our turnover also improving.

Sanjay Shah: Thank you, sir. Thank you very much.

Moderator: Thank you. The next question is from the line of Guneet Singh from CounterCycle.pms. Please go ahead.

Guneet Singh: Hi, sir. Congratulations on a great set of numbers and thank you for this opportunity. So, I would just like to understand that we are growing at a rapid pace, whereas the industries that we serve, they are not showing a similar amount of growth. So, they are going at probably 5 to 10%. And also, we have guided about INR2,500 crores of top line in FY26, which is again a 25% CAGR.

So, I mean, how are we able to achieve this growth?

Are we substituting the existing players in the market? Or, I mean, can you please help me understand the key drivers for growth?

Deepak Joshi: Yeah. Okay. So, number one, we are, see, the strength of Garware, it's a top quality product, right? So, what we are doing now, that message we are creating in advanced markets like US and all, all our marketing campaigns are towards the top quality products from Garware, that is number one. And second thing is, as per the market requirements, we are continuously you know,

launching new products. Like if we see our competitors, so our base of introducing new products are pretty high.

In last two years time, we have done many new products, I'll just name them, like when we started PPF. So, companies take a lot of time to make a standard product for a couple of years. But in a short span of the small span of time, what we have done is like our product range from the very low customer requirement, I mean, the customer having a vehicle having a lower value for that also, we have a product and we launched Plus, PPF Plus, PPF Premium, PPF Titanium, which is like top of the product range, which competes with the best of the PPF in the world. And then we introduced the Matte PPF, Black PPF and White PPF. And that PPF, a lot of new products are in the pipeline through the help of our R&D and new product development. So, our strength is the quality and the response to the market by delivering new products. And when we talk of same thing with the sun control products, we have launched Spectra Pro, that is spectrally selective films, which has got 240 layers in one film. So that product has made a big impact in our marketing campaign in Europe and U.S.

. market.

Then we have launched DecoVista, which is a film, which is kind of decorative films for the interior market, and so on, so forth. In IPD segment, we have like floatable films, floatable shrink films, which is important for the environmental sustainability. So we are going to the market with our strength of quality of the product.

At the same time, whatever is required in terms of sustainability, in terms of the new development, new product qualities, we are always first. And we are doing digital media ~GARWARE ~ HI-TECH FILMS
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campaigns for all these things, participating so many shows and present everywhere, Instagram, LinkedIn and Facebook, and of course, on other magazines like Window Film Magazine and PPF Magazine. So, that's how we are creating a different, I mean, set up for us as compared to our peers.

Guneet Singh: In these value -added new products that you mentioned, is the competition very limited?

Deepak Joshi: See, it's the -- again, competition is pretty much, the products from China, Korea and some people also try, but they are not able to reach. Again, let me go back to the n details of the why Garware quality is superior. Garware is the only company in the world which can make, which is fully backward and forward integrated, means when you talk of a Sun Control Film, so that film, the basic film is produced. What we do in that film, we produce the base film, we produce liners, we produce its adhesive, we produce its top coat, and we produce the kind of nanoparticles for that. So our film comes with a full backward integration, that's the strength of our product. And if you talk of PPF, there also almost all the products are manufactured in -house. So such kind of cost efficiency and the quality control is not possible anywhere in the world, and that wins the game for us.

Guneet Singh: All right, sir, got it. Sir, typically, the seasonality that we face quarterly over a year is probably about, say, maximum 2% variation in margins across the quarters. So, you mentioned that 25% operating margins is not one -off. So the worst case would be probably going down to 22 % or 21% margins per quarter for the coming three quarters, if you look at the historical trend. So, are these high margins only attributed to the new value -added products, or are we also seeing conducive input prices, which led to the 25% margins? And is it fair to expect the margins for the coming quarters to be about 21 %, 22% at the minimum?

Deepak Joshi: Yeah, see, I cannot directly comment on those numbers. But as I explained, like our sustained campaign toward the high -end products has helped us to achieve that, that was number one. Second thing, the high inventory situation, which has been there post -COVID, right? So most of the companies were benefited by, during COVID, because of packaging, but we had a different story. That time also, many people asked us, like the performance has been because of this one - off COVID situation. But we have always worked very differently and toward our own path. And post -COVID, there was a lot of inventory because of less production, people ordered more, and shipping line situation, if I recollect from '21 to '22, it was like 75 days from here to U.S. Now, the situation suddenly became better with 35 to 40 days transit time from here to USA. So that all was -- there was a high inventory in the pipeline, but from Q4 FY '24, like Jan to March, that situation corrected and got stabilized. And now we are seeing the normalization of that volume.

So, there are reasons, one, I explained to you that how our, like sustained campaign towards high-end products, which we are doing, because a lot of competition, like you mentioned, from the countries where there are 80 to 100 players, but they all fight in an area which is not a great quality proposition for the produc

ts like Garware . So we focus only on the high -end and top -
end, and we have been able to increase that penetration into the market. That was one. ~GARWARE ' ~ HI-TECH FILMS
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And second, inventory situation corrected. And third thing, this new line, which was commissioned in December '22, since then we are able to produce many or all new kind of products, which the market demanded. Earlier, we had a limited capacity, so we were not able to manoeuvre the way we wanted. Now, we have expanded quite big, so we are getting the results of that. So, these three are the reasons. And slight improvement is IPD, I said, but that's insignificant. So these are the reasons for how we have turned around the story.

Guneet Singh: All right, sir. Thank you very much. My last question would just be...

Moderator: Sorry to interrupt, sir. I would request you to please rejoin the queue as there are several participants waiting for their turn. Thank you. The next question is from the line of Jatin

Damania from S van Investments. Please go ahead.

Jatin Damania : Sir, in your opening remarks, you indicated that architectural films -- Sun Control Films was 15% to 18% of our revenue in FY '24. So, does this mean that 15 % to 18% of the CPD or it was only a part of Sun Control Films ?

Deepak Joshi: Only part of Sun Control Film . When we talk sale of Sun Control, that we divide between automotive and architectural segment.

Jatin Damania : So that means the last year , Sun Control Film contribution was made about 38% to overall revenue. So that means architecture was around 6%. And in this quarter, we expect it to be around 20 %-25%. Am I right?

Deepak Joshi: Yes.

Jatin Damania : And sir, in the presentation, this time you haven't mentioned what was the contribution of the overall revenue by SCF and PPF for the quarter. Can you help us with that?

Deepak Joshi: Yeah. See, the reason of that, we want to equip the investors with the real situation what is happening. So, as I said, the PPF is running more than capacity, that is running beyond capacity.

And we use some of the Sun Control Film facilities to make some components of that. So this demand is actually a cyclic. Sometimes, you know, when the peak season , Sun Control goes up, and when it goes towards little decline, that time our PPF volumes go up . We maintain the market into that way.

Now, there is no clear distinction between a PPF and Sun Control when we talk about production lines inside. So that's why we do not want to give indications like every time like why this has gone up, why this has gone down ? And added to that, I can say like PPF line is running at optimal or beyond capacity.

And since initially, like there was a euphoria about the PPF products for last year, because that was the base was almost nothing , like India was hardly sending a couple of hundred rolls, which we have moved now in India market as more than 2 ,000 to 2500 rolls, and it is continuously increasing. So because of that, and for the sake of capacity utilization, we tend to show only CPD and IPD. ~GARWARE ' ~ HI-TECH FILMS

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Jatin Damania : Yeah, so precisely I was coming to that only. So now when you are saying that it will be combined, so how shall we look at the architecture contribution? Because when you said that SCF is a seasonally -- because of season , the first quarter was strong, but architectural is a structural story. So when we say 20 %-25% of the revenue, can we combine the 20 %-25% of SCF and PPF together , or how shall one look at it?

Deepak Joshi: No, 20 %-25% we are talking only of architectural business. So Sun Control, PPF business -- I mean, there are three categories to our CPD business, that is Sun Control for automotive, Sun Control for architectural, and PPF. Since these all are r

elated to consumer products. So that's why we categorize it like that.

And in Sun Control -- actually, if you see it is Sun Control and PPF and Sun Control has two variations. Though the products are different, but still if we talk both of them together is roughly 65% in terms of revenue mix. Annually, it was that. And quarterly we have shown it has improved to 67% that we have shown in the slide. So that segment is continuously growing.

That's what we want to show.

Jatin Damania: And in Sun Control Film it will be more of an architecture which is structurally a good story, rather than a seasonal sector.

Deepak Joshi: See, Sun Control business is when we talk of 20 %-25% architectural that means 75 % to 80% business still comes from automotive which is like the company is known for its qualitative

product on automotive. So Sun Control automotive is our number one portfolio and then comes PPF and then comes architectural.

But architectural the growth has been very high and at the same time and we are also focusing on that because of the new capacity which came the idea was to penetrate the automotive full. And with the current situation when we are seeing little bottleneck in terms of car sales in America and rest of the world.

So by the time that's why we have put strong efforts to increase the architectural sales. See Sun Control has both functions like automotive or architectural with slight difference in the properties. So there we have almost hit saturation in automotive unless the car sales increase, we can only win other competitors space.

Whereas architectural lot of education is required and this is a product which can do amazing things to a consumer. Similarly, when we started PPF there was no PPF and we created the environment for PPF in India. Similarly, we are doing the same thing with architectural and we are successful and those numbers in India market, we have almost doubled what we did last year.

So now we always run a campaign towards a product to make to take it to the top level. Right now it's architectural for which we are working since last one year, one and a half year and now we are seeing the results out of it.

Jatin Damania: Appreciate that. And we are always in the industry leading in terms of launching a new product and campaigning and marketing it, but on the architecture the last question, do we expect the ~GARWARE ' ~ HI-TECH FILMS

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similar growth to continue because as you said that on the automotive, the market hasn't saturated in the time the new growth momentum kicks in.

So will this - will the growth in architecture will be able to offset the overall decline in the automotive front over a period of time?

Deepak Joshi: Yes, we are working towards that and I'm confident that we will - we will be able to do that.

Jatin Damania: So that means in terms of the current capacity I guess more of auto, we'll see more of architecture and less of automotive and the margin will continue to remain at the higher level because being value added films ?

Deepak Joshi: See margins as I've given like discussed like this quarter we achieved 27 % plus and almost it used to be a standard 20% margin average. So companies working towards to reach the aim is to reach to that level, but it will be because of the product mix it will remain good. I mean, it will remain in between because we can't give for us it is we don't want to give a number and then fight for that.

We know like this seasonal mix can change, but ultimately we are confident and we know the business like how it is moving towards. So these numbers will more or less will be in between and maintained at a high level beyond 20% territory in any case.

Jatin Damania: Sure sir. Thank you. That's all from my side and all the best.

Moderator: Thank you. We have our next question from the line

of Shrinjana Mittal from Ratnatraya Capital .

Please go ahead.

Shrinjana Mittal: Hi, thank you for the opportunity and congrats on the continued execution. I have a couple of questions on the architecture segment. So firstly, just to clarify, so broadly what was the sales number from the architecture since this year, this quarter?

Deepak Joshi: So the numbers if we talk. So I can give you in the like I said it's around 25% of total sales of. -- Yeah so it was - it was somewhere around 10% of overall sales for the company, but that number has been like increasing quarter -on-quarter basis.

Shrinjana Mittal: Understood. And on the architecture films so you mentioned about the contribution margin being higher in the consumer products as a whole. So what would be the delta, just the delta between the Sun Control Films architectural and the Sun Control Films automotive films in terms of contribution?

Deepak Joshi: I think when we talk of again this architectural products are good and they have margins, but when we talk like the margins so there are in automotive also the sale in the last quarter Q1 was overall Sun Control Film sale was really good and that reason was because of we have moved the market towards very high end products.

That means high heat rejections and all those products . So they not necessarily come from architectural they are into the automotive also. I just want to make, clarify to this forum that ~GARWARE ' ~ HI-TECH FILMS

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when we talk of Sun Control margin increase that means they have because the Sun Control business itself is very big for us and it has been continuously growing. So that business growth has been very outstanding. So those products if I categorize into four product lines in overall Sun Control that includes automotive and architectural. So the products which come at the top of the range, they are almost two times margin than the something which is at the bottom line.

So our focus is to increase the products which are on the number one category that is like up to 99% or more than 99% of more than 90% of IR rejection. We go up to 99% of IR rejection. So for those products I'm saying I think this is the story for both automotive as well as architectural films.

Shrinjana Mittal: Understood. So broadly similar for architectural films it's nothing more different. It's just a mix within the Sun Control Films that has led to higher margins?

Deepak Joshi: And that will increase so Sun Control overall portfolio will increase. So that's what how we are moving.

Shrinjana Mittal: Understood, sir. Thank you. Just one last question. So the architectural segment currently is it more domestic or more export or like what would be the - what would be the split between like just like is it more exports or domestic and how are we focused for this segment?

Deepak Joshi: Yeah. So it is more exports traditionally, but now the, with the introduction of Spectra Pro series & DecoVista series. So these two products are actually aimed only for architectural and both of them and especially they are working very good on export market and domestic market actually if you see the base in domestic market on architectural was pretty low. So there the growth percentage is higher, but overall numbers are quite high in export market. Europe is our number one market in architectural business.

Shrinjana Mittal: Understood. Thank you so much. Thank you for taking my question and all the best.

Moderator: Thank you. Thank you. We have our next question from the line of Jahnavi Dodai from Aequitas Investments. Please go ahead.

Aditya Rathi: Hi, sir. This is Aditya Rathi this side. Thank you for the opportunity. So my first question is relating to the initiative that we're taking towards IPD. So is there any initiative that we're taking?

Deepak Joshi: Yes.

On IPD the focus is on again the products which have I mean high demand in USA and European market, Western markets they are lidding films. So those are the films which are used in yogurt top lids or other different kinds of segments. So there we are seeing a good traction and the product has been developed in as per the requirement from these markets. So these are the lidding films. We are selling a lot of liner films.

And apart from that the products which go like certain films which are as per the environmental sustainability of US and Europe market. These are like films which are APR certified which is Associated Plastic Recyclers of the World. So US producers look for that. So we look for APR, ~GARWARE ~ HI-TECH FILMS

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then PCR content on these films then solid white and then the floatable films which are very important for environmental sustainability.

And lidding films is the latest entrant along with some of the liner films. So we are working very hard towards improvement of the IPD segment. So whatever happens to commodity up and down that is marginally affecting us, but our efforts towards the special business because the name Garware we always want to be associated with high quality products and that we have been able to be successful in that.

Aditya Rathi: And are we seeing traction in the special businesses that you just mentioned?

Deepak Joshi: Yes, we are seeing. So the idea is when first we start, I mean, taking customer data on that and we start producing, developing, giving samples then most of them have been commercialized in big way. So some of the good margins you see for these kind of additional products only up to around 20% I can say as we speak we have been able to make 20% margins out of total IPD business margins from these products.

Aditya Rathi: Okay. And sir second is related to the CPD.

Moderator: Sorry to interrupt sir. May we request you to please rejoin the queue as there are several participants waiting for their turn?

Aditya Rathi: Okay. Thanks.

Moderator: Thank you. The next question is from the line of Prit Nagersheth from Wealth Finvisor. Please go ahead.

Prit Nagersheth: Yes, thanks for that. I think most of my questions have been answered but there's one thing remaining, which is could you give us an update regarding any inorganic opportunity that you could be looking at or any traction on that side, so the cash balance that beyond the books can get better utilized?

Deepak Joshi: Yes, see, we have evaluated many opportunities in the past, but the company's focus is towards high end R&D products or backward and forward, I mean, fully backward integrated to Suncontrol films and PP F films. So in that line, like the first investment we did last quarter, we are looking and now you're talking of inorganic things.

So in that we evaluated many but we don't find people who are up for such kind of cooperation with us in, I mean, which are not qualitative means we are looking for the state of the art facilities, whereas whatever we have been evaluating or getting for such kind of offers are things which are like 15, 20 years old, whereas the technology has changed and we are investing everything into the latest cutting edge high end technologies.

So we are still continue to look for them and our strategic interest in the Western world because the companies really focus towards the US, Europe and all those advanced markets. So we are looking for better opportunities there. So we continue to look for if we come across any of such ~GARWARE ' ~ HI-TECH FILMS

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things, we will definitely be interested. It may be our direct business or it may be related to our aim of fully backward integration system.

Prit Nagersheth: Okay, so I get the point that this may happen may no

t happen it may take more time. But as that

keeps on going on the cash on the books will keep on increasing. So there has to be some kind of a plan to keep on addressing that cash on the books because if the business doesn't have a need for it may be better in the hands of the shareholders.

Deepak Joshi: See, I can answer that, then Mr. Venkat can comment on that. See, like I said, we are looking for those opportunities and it may happen or may not happen depending on the kind of opportunity which should fit into our scheme of things of product or the entire integration of the system. But we are also working on organic growth for some more potential growth. And there it is, this investment might come. I mean, we are evaluating all those things. And after that, Mr. Venkat, you can update us.

A. Venkataraman : So as said by Deepak, see, inorganic takes time because we are evaluating a lot of proposals it takes time. And so whatever we do strategically inorganic growth, so that we need to evaluate completely. So that is why it takes time, number one. As far as organic is concerned, if you have seen in the past three years, we have been doing a lot of organic growth -related investments. Two years back, we invested on SCF from a capacity of 2,400 to 4,200. And a year before, we repaid almost INR140 crores debt. Last quarter, we took a call of expanding the PPF second line by 300 LSF further. So these are the organic investments which we are keeping on doing it. Yes, your question is right because of profit and other things, which is moving up. But we'll take a call sooner or later.

Prit Nagersheth: Right. So the only thing I wanted to ask you, sir, is the guideline that you had mentioned about INR2,000 crore s for this year and 2,500 for next year. Is that something that you still feel is doable?

Deepak Joshi: Yes, 100 %. FY '26, right?

Prit Nagersheth: Yes, that's correct. Okay , thank you.

Moderator: Thank you. We have our next question from the line of Naitik Mohata from Sequent Investments . Please go ahead.

Naitik Mohata: Good afternoon, sir, and thank you for the opportunity. It is my understanding that the prices for the films has moved up in the past quarter for all kinds of films , BOPET , BOPP and the value added ones. So are we seeing that panning out for us?

Deepak Joshi: Not really. I mean, you're asking because of the commodity increase has helped us to improve our margins?

Naitik Mohata: Yes, kind of. ~GARWARE ' ~ HI-TECH FILMS

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Deepak Joshi: No, I explained that in detail like this was a product mix, which we have been with the sustained efforts we have been able to do. That was one. And then inventory corrections, which were due for many years because of the post -COVID situation continued till one year.

And then lastly, new line, which has helped us to make more of products which we could supply to the market, like many new products and the products which we were finding constrained in making in the old line. So because that line is very high quality, state of the art can produce various kinds of different products. So these all things were there. And when we talk of the margins of the base films they were like almost insignificant or very slight improvement for us.

Naitik Mohata: Okay , so that's very helpful. So is it safe to say that we haven't experienced any one of inventory gains during this quarter?

Deepak Joshi: No, I'm saying about the world over situation where the products were stuck and they have started moving. Not saying that we have sold both product and I mean filled the market with that. So it's not related to one time inventory.

Naitik Mohata: Okay , thank you. So that was very helpful. Congratulations on an amazing set of numbers and all the best for moving forward.

Deepak Joshi: Thank you very much.

Moderator: Thank you. We have our

next question from the line of Axay Shah from Kriis PMS . Please go ahead.

Axay Shah: Thank you for the opportunity. So , congratulations for a good set of numbers. Almost my all questions are answered. I just want to get clarity that despite the challenges, we are growing and are we confident of achieving INR2,000 crores revenue in FY '25?

Deepak Joshi: That will be kind of forward looking because that's the immediate. I cannot comment on that. But the guideline which we have given for FY '26, INR2,500 crores , we are quite confident of that.

Axay Shah: Okay, and so we are building a market for architectural segment in India as we build for P PF. So are we, how do we see architectural film segment going forward? Can it become a 20 % of overall company revenue in three to five years?

Deepak Joshi: You're talking only for India?

Axay Shah: No, overall architecture.

Deepak Joshi: Overall, on a company level, I think, ye s, it will take some time. But if you talk of Sun Control segment, it is already now we have achieved somewhere around 25 % overall. So if you talk of company revenues, overall numbers, we'll try to do that. I think that is possible with our efforts and all. When I'm talking currently, it is around 10 % of overall company numbers.

Axay Shah: Yes. So you can go forward up to 25 % that you have mentioned ? ~GARWARE ' ~ HI-TECH FILMS
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Deepak Joshi: I will. Ye s, I mean, we are putting efforts toward that. As I said, giving those guidelines because of so many uncertainties into the market. But as of now, we do not see any challenge.

Axay Shah: Yes. Thank you so much.

Deepak Joshi: Thank you.

Moderator: Thank you. We have our next question from the line of Kartik from Suyash Adviser . Please go ahead.

Kartik: Good afternoon, sir.

Moderator: Good afternoon.

Kartik: Yes, I had two questions, one related to capacity availability because your new PPF line comes on stream sometime say, 12 months later. So if you mix up, say, SCF plus PPF because you are using part of the SCF for the PPF requirements, would there be enough capacity across both these segments to meet growth requirements across sun control films or to architecture plus PPF in the interim that is to say?

Deepak Joshi: Yes. So we have planned in that way. In between, there are many things which happen behind the doors like we are upgrading some of the older or smaller lines, which are little older for us. And there we are doing de -bottlenecking. So this work is under process. And as of now, we have been able to maintain that.

And soon, these de -bottlenecks of the capacities will help us to cater the demand till the new line comes. We have planned it exactly in a way so that we do not lose any volume in the market and we continuously grow with this.

Kartik: That's great. The second thing is on PPF, sir. Globally speaking, what kind of market share can you achieve, sir? On the SCF side, you are at 8 % to 10 % globally. Could PPF give you similar opportunities? How do you think of this business, say, over a three, five -year time frame?

Deepak Joshi: Yes. See, the plan with our new line is the same. So we have like a customer base which demands such kind of requirement from the market. So as soon as this line, I mean, we expect FY '25-Q2 deadline to go on stream and immediately, sorry, FY '26-Q2 next year. So after that, I think our aim is to run the line at optimal capacity like the current line is coming. So we'll definitely be able to increase our share.

Because this is, see, what you are asking is something which is a data. For us, that is a background work, like how we have to run that line full. So we should get full orders for both the lines. So that is the outcome. What you are asking will definitely happen. So our focus is to maintain the order flow for that line.

Kartik: If I may plug i

n one quick question, sir. On the PPF line, do you intend to dedicate it for a single player? Or would it be again, a common facility across multiple players? ~GARWARE ' ~ HI-TECH FILMS
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Deepak Joshi: No, it is, it will be combination of both. Or I would say there are as we speak there are four or five big players who work with us on PPF. And definitely one of the biggest requirement is our own. Because though we are new into this business but we have created a robust infrastructure for PPF business thanks to our Sun Control, which has always been the guiding force on this because this somehow 30 %-40% of the business of Sun Control and PPF goes together. That means on the detailing studios, detailing centers. So we have a robust growth, robust network now ready for PPF as well.

So that is it. I mean, this will be a combination of many things. Because business does not work on plus and minus like 100% this or 100% not this. We have all the plans where many players, at least five big players will contribute, including us, to run that line full.

Kartik: Great. Thank you very much and very best wishes, sir.

Moderator: Thank you. Thank you. The next question is from the line of Vinay Nadkarni from Hathway Investments . Please go ahead.

Vinay Nadkarni: Yes, thanks for the opportunity. Just quick two questions. One is on the PPF line that you are putting up, it takes around 2 years to commercialize it, right? So given the demand, are you not, and you have the cash in hand, are you looking at expanding further, maybe a year later?

Deepak Joshi: See, these decisions are very strategic and we have all those numbers in our hand. Like I said, whatever we are doing, like expansions and all those things, we declare it into the market. But often we have many opportunities where we de -bottleneck our capacities, rig ht, to run the line to optimal capacity that is beyond the full utilization by utilizing, making some components from other lines, which doubles the capacity or adds it 25 %, 30% additional to the existing production capacity.

So now, with the current, I mean, next line, when we did, I think it was around 18 months timeline, which we have given for a new line. So in that line, we are working like how we should do, should we go into another kind of investment or it should be the PPF. So we are working on that.

We will continue, we will not lose market share. Our market share is continuously increasing.

That is the, I mean, it is already history now when we started in 2020, PPF in only 4 years, the line is running more than 100% and another line is coming. And then we'll continue to work towards the benefit of the company and for creating value for our shareholders.

Vinay Nadkarni: Thanks a lot. Just one last question. Can you share the volume numbers of sales in Sun Control and PPF?

Deepak Joshi: See, those numbers, actually, we have made, quite open PPT for everyone to share. Beyond that, I mean, please understand one thing, like, the company, the business and company's growth has been, it is in front of everyone. So we are finding it a lot of, the peo ple trying to enter into our confidential data through that, like how the numbers are going, how the margins are going, and that is affecting some kind of confidentiality or this avoids us because of the competitor landscape perspective. So I'm really sorr y for not having been able to answer you. ~GARWARE ' ~ HI-TECH FILMS
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Vinay Nadkarni: Then just one question, this 25% growth that you have seen in revenue, would it be coming from, how much would be volume and how much would it value? Any idea? Can you share that number?

Deepak Joshi: Actually, the growth numbers we have already shared that the major increase has been in Sun Control business. So Sun Control plus PP

F, that has shown a 65% and 35% has been IPD segment. And since this Sun Control volumes have also increased and margins have also increased because of our change in the product mix, so pushing towards the higher end products. So that's how the margin percentage have improved. And so this is the story, basically the efforts toward the CPD business is leading to that. If you really see, just going back to 2017 -18, we were just opposite, like 65% to 70% of IPD and only 30% to 35% of CPD. So we are focused towards our aim, which has been done over the 6 years , 7 years back, we are continuously in that direction.

And we are seeing the same thing, like it's going 67 %. And with the new line, you can assume that these numbers are going to continuously increase towards consumer products. And of course, we will make the backbone or strong backup from IPD business, which supports our Sun Control business and PPF business.

Vinay Nadkarni: Thank you very much. Congrats and best wishes to look forward to similar numbers in the quarters to come.

Moderator: Thank you. We have our next question from the line of Mahesh Bendre from LIC Mutual Funds. Please go ahead.

Mahesh Bendre: Sir, my questions have been answered. Thank you so much.

Moderator: Thank you. The next question is from the line of Parv Jain from Niveshaay Investment Advisory. Please go ahead.

Parv Jain: Hi, sir. Congrats on the good set of numbers. Sir, can you help me with the revenue figures for SCF and PPF line for this quarter?

Deepak Joshi: So as I just before the question, I said, we are giving combined numbers of two division that is CPD and IPD. But this if I talk of revenues, so this Sun Control is somewhere around close to 49% or 50 %. Right. And balance around roughly 20 % comes from PPF. But these numbers, I don't want to delve into more details because, as I said, like the company is working towards, I mean, betterment of everything. But at the same time, we have to maintain the confidentiality in terms of the margins and revenues and how, I mean, internal things are changing.

Parv Jain: OK, I think that helps. Sir, can you just help me with the capacity utilization levels? I think that should be.

Deepak Joshi: So capacity utilization is, I mean, it is more than 100 % or close to on 121%, 125% in PPF. In Sun Control, depending on the product mix, it is almost running 100 % in terms of product mix means, what happens is when we produce some specialty products, so they go two times in the ~GARWARE ' ~ HI-TECH FILMS

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machine and all those technical complexities. But that is running at full capacity, Sun Control as well.

Parv Jain: OK, the IPD division, that would be?

Deepak Joshi: IPD division has also been running almost 100 % in last quarter and going forward. Yes .

Parv Jain: Okay , sir...

Moderator: Sorry to interrupt, sir. May I please request you to rejoin the queue?

Parv Jain: Sure. Thank you.

Moderator: Thank you. We have our next question from the line of Sashwat from Augmenta Asset Managers . Please go ahead.

Sashwat: Hi, sir. Thank you for the opportunity. So I just have a couple of questions. I believe there's some capacity expansion in the industry taking place in the Windows Sun Films side. So if you could give any flavour on the current demand supply scenario and any impact on the production side.

Deepak Joshi: So you are talking of competitors coming into this field, right? Hello.

Sashwat: Right. Yes, sir.

Deepak Joshi: Yes. See, I can tell you one thing because we keep this all company data all around the world.

So we are like who are the manufacturers, what are their strengths and all. So we as like Garware , our quality is our, if I can tell you, there are five minimum factors which distinguish or which gives a clear advantage over any competitor in this part of the world. Number one is Garware

Films. They do not fade even in 10 years, the colour .

Number two, it is like heat rejection never drops, right? Whereas the other competitors, there are films which are made for from blue dyed or chip type technology. So there the fading happens fairly quickly and the properties of heat rejection also come down in a short span of time. Then our films are high quality, non -weatherable films. So that means their quality is, again, very different from competitors. And there are many such features and we have capabilities to make many different colors, which are very unique and running into the market. So there are 80 to 100 producers already in the world in China and Korea.

So our business, as you have seen, continuously growing with our efforts with the sustained campaigns we have been running well. So competitor as of now, we are very aware of the fact like there are so many things coming, but we continuously focus on the high end products, which are made into the market never before.

Like another example, I can give like a sunroof, moonroof films, I can give you rooftop series, like even the top of the customers from America, U .S., they really appreciate us the kind of innovations we do, because these things are never thought of in the past. So that's how we know, we are very well aware what is happening into the market. But at the same time, our focus do ~GARWARE ' ~ HI-TECH FILMS

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not change to move into continuously new, innovative products, which are actually we have a unique selling point in all those products.

Sashwat: Right. So that's, that's very encouraging to hear. Just, just another last question. So it's like a part of the products we are exporting, but is there any import substitution opportunity in India for these because of the high quality positioning of our products?

Deepak Joshi: I just want an explanation. So you are you want to know a lot of products are imported in India, in Sun Control and PPF division?

Sashwat: Yes.

Deepak Joshi: So as I said, if you go to, like, if we talk specifically of Sun Control Films, right, so our films are of high quality. And at the same time, they come with a very standard or good prices, right?

Whereas when we talk of those films, which are imported in India, they are very, very low quality, or they are sometimes the B grade material generated from those countries.

And they just, sort them out and make the required area cut to fit into the car. So that business is pretty small or very low end business, we always encourage our customers to put high quality films because those films are last only a year or so. So we do those campaigns we have run recently we had educated we have a big event in Goa where 150 channel partners visited us. And we do these kind of educated educational presentation and we continuously send them videos and all those things like the quality comparison. So any standard player would not like to buy those products. But still there is a market which is pretty low as compared to what we do. But we do continuously, you know, the campaigns where we educate people what we are and what other competitors are. And if we go to PPF, like our quality of PPF is very different versus what comes. First of all, it's a high quality aliphatic TPU based films. And then they pass all the tests of hydrophobicity and high gloss and cell filling properties. Whereas many films they come and they start turning yellow, which are imported films, they start turning yellow, or there are scratches we do not go. So ultimately, I mean, the customer has to replace them within one year or so.

So if you spend on your car, if you love your car, then you should have a very standard product like Garware. So that's what our campaign has always been. And we are, trust me, we are continuously first of all, we have created ma

rket in India for PPF. Now we are creating the customer loyalty to Garware products.

Sashwat: Thanks. Thanks a lot. So this is very encouraging. Congratulations and all the best.

Deepak Joshi: Thank you.

Moderator: Thank you. We have our next question from the line of Rohan Patel from Turtle Capital. Please go ahead.

Rohan Patel: Hello, congratulations for a great set of results. Most of my questions have been answered. I just wanted a understanding regarding the year -over-year in CPD division, we have seen growth of ~GARWARE ' ~ HI-TECH FILMS

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around 52% from say INR209 crores to INR318 crores. So out of that growth, how much we can attribute to the price? And how much can we attribute to the volume?

Deepak Joshi: Yes. So first of all, it's a no brainer that the volumes have increased because of new line have come up. Right. And second thing is on the pricing, there is, you know, the price has changed and gone up because of the movement from many general products to very high-end products. Right. So as I said, we have four categories in general for our window films, both architectural and automotive, mainly automotive. So our efforts have been towards increasing those numbers. So if you see, it's a combination of both because the volume has increased because the new line has come and it has given us liberty to produce whatever good quality demand we get from market. And of course, on the pricing, because of the movement of higher end products. So it's a mix of both.

Rohan Patel: Okay. And on the PPF side, you say that all, not just PPF, all of our capacities are optimally used and so is PPF. So are we completely using PPF for making PPF or we are also using it to cater to the architectural side or control film side?

Deepak Joshi: It's other way around. We are using 100% PPF for 100% PPF, but also using other capacities to make PPF.

Rohan Patel: Okay.

Deepak Joshi: Yes.

Rohan Patel: Okay. Yes. That was from my side.

Deepak Joshi: Thank you.

Moderator: Thank you. We have our next question from the line of Ankush Agrawal from Surge Capital. Please go ahead.

Ankush Agrawal: Hi, sir. Thank you for taking my question and congrats on a great set of numbers. So the only question that I had was on the margins. So you have discussed a lot over the last one and a half hours about it. But one thing I want to understand is, has the PPF backward integration that was taking place over the last year and a half, has that played some role during this quarter's margin expansion?

And secondly, the inventory decision that you're talking about. So was it a situation where in market, the demand was much higher than what the supply was and thus we were able to get much higher realization than we would normally get. So on these two points, how that impacted margin ?

Deepak Joshi: Yes. So you are on the first question. Yes, that has happened. But again, those things are, you know, I mean, I can talk in general, like our aim always has been to have fully backward integrated system, which we always make whatever product we make. Initially, we start with components from maybe from other places. But ultimately, the system is to develop everything on our own, which helps us in the cost competitiveness and improve margins. ~GARWARE ' ~ HI-TECH FILMS
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And second thing is the ultimate level of quality control. So these two are the aims. So you are right on the first and that will continue to grow. So that much I can say on number one. On second thing on the inventory corrections. So inventory corrections, what I meant is it was like long overdue because during COVID people bought a lot of material because of the shortage in the market.

Like if somebody used to give us 10 lakh square feet, we were able to give only 2

lakh square

feet because of high demand from the market. That time many companies shut down during COVID in 2021 mainly. Right. So that kind of situation that was that became worse because of the shipping line issues, which took around 75 days from India to US ports, right, similar to Europe because of the COVID situation.

Now, this situation suddenly got corrected in the mid of '22, which was July, August of '22. Then all the material people over ordered and plus the shipping line also went down from 75 to 35. So 35 - 40 days additional material because of shipping line plus over ordering situation. I mean, that situation was there till I would say almost '23 whole of '23 or at least nine months of '23.

This situation remained there.

Right. So this was this started slowly correcting in Q3 FY '24 and it was almost balanced in Q4 FY '24. Right. So Jan to March of this year. Now, this situation is now perfectly normal. It is not over inventory or it is not under inventory. So as we speak, the situation is very balanced. So whatever has come is the natural, I mean, outcome of such over inventory getting corrected. Now it is normal. So there is no I mean, there is nothing specific or onetime thing with that.

Ankush Agrawal: Just a clarification. So say on SCF we are 100% backward integrated. So on the relative terms, where would be in terms of ...

Moderator: May we request you to please rejoin the queue?

Deepak Joshi: Yes, since he has asked, I'll just answer the question that the see PPF we are Sun Control , we are 100% backward integrated . On PPF it is in the process. So but again, that is a very sensitive information. I can only say that we are progressing and doing well for the value creation for the company and the shareholders.

Ankush Agrawal: OK, thank you. Thank you.

Moderator: Thank you . We have a last question from the line of Parikshit Kabra from Pkeday Advisors .

Please go ahead.

Parikshit Kabra: Hi, congratulations on the fantastic result. My first question is, is there any like you mentioned in the past that SCF faces some level of seasonality through the year. In the summer it is utilized more. Is there anything similar in the PPF market?

Deepak Joshi: Not really, but people use since 40 %, 50% of the network is same. So what happens people focus much more in when it goes towards lower seasons Sun Control . That time people push for more PPF. We have seen that from our practical understanding of the business. So there is no seasonality, but people tend to use and focus more on market more of PPF in when Sun Control ~GARWARE ' ~ HI-TECH FILMS

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is little lower. But in overall scheme of things that suits us, because when we are like slightly down on Sun Control , we can make up that from PPF.

So that's how. So our strategy is always been like, you know, geographic mix all around the

world, wherever one place it goes down, we try to increase on the other round. Similarly, on Sun Control and PPF and architectural, we try to use these things to keep our lines running full. So that's it.

Parikshit Kabra: Okay. So just to follow up on that. So who are we selling to? For example, in the US, if you're seeing that the buyer for SCF, which is both architectural as well as automobile and PPF, which is automobile, is it the same buyer? Are we selling to OEMs? Are we selling to a distributor there? Who are we selling to?

Deepak Joshi: See our network base is our standard model of selling is directly to distributors in our brand like Global and Garware. But because we are world's largest facility at one location, so we have a lot of capacity and we sell to many customers directly who in turn supply to OEMs, right? OEMs or they have their own branding, right?

So we have a mix of model where we supply to our distributor, our branded material. But we also sell products which are s

old under private labels and also sold directly to the OEMs.

Parikshit Kabra: Got it. So can we get a split of our branded sales versus white label sales?

Deepak Joshi: It's typically 50 -50 for us.

Parikshit Kabra: Got it. All right. Okay. Thank you. Thanks a lot.

Deepak Joshi: Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, that would be the last question for today. And I would now like to hand the conference over to Mr. A Venkataraman, Senior President, Corporate Affairs and Finance for closing remarks. Over to you, sir.

A Venkataraman: Thank you very much for attending the call. Trust we clarified all your queries. In case if you have any additional feedback and queries left out, please reach out to us through an email provided in the investor presentation file. Thank you very much. Have a great day.

Deepak Joshi: Thank you.

Moderator: Thank you. On behalf of Garware Hi -tech Films Limited , that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Management : Thank you, sir. ~GARWARE ' ~ HI-TECH FILMS

Call: Nov 2024

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Financial Results / Business Performance of the Company for
the Quarter and Half year Ended September 30, 2024.
Pursuant to Regulation 30 and 46 of the Securities and Exchange Board of
India (Listing Obligations and Disclosure Requirements) Regulations, 2015,
please find enclosed herewith the transcript of the Earnings Conference
Call, held on, Friday, November 15, 2024, at 12:00 Noon (IST).
The aforesaid transcript is also available on the website of the Company:
<https://www.garwarehitechfilms.com> .
This is for your information and records.
Thanking you,
Yours faithfully,
For Garware Hi-Tech Films Limited

Awaneesh Srivastava
Company Secretary
FCS 8513
Encl.: As stated above.

"Garware Hi -Tech Films Limited's Q2 FY'25 Results
Conference Call"

November 15, 2024

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Moderator: Ladies and gentlemen, good day and welcome to the Garware Hi -Tech Films Limited Q2 FY'25 Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikas h Verma from EY. Thank you. And over to you, sir.

Vikas h Verma: Thank you. Good afternoon, everyone. Welcome to the Q2 FY'25 Earnings Call for Garware Hi -Tech Films Limited.

On behalf of the Company , I would like to express our gratitude to each of you joining the call today. To discuss the performance of the Company and to answer the questions, we have with us from the Company , Mr. M .S. Adsul, Director - Technical, Mr. Deepak Joshi, Director - Sales and Marketing, Mr. A Venkataraman, Senior President - Corporate Affairs and Finance, and Mr. Abhishek Agarwal, the Chief Financial Officer.

Before we begin, I would like to draw your attention to the fact that today's discussion may contain forward -looking statements that are subject to various risks, uncertainties and other factors which will be beyond management's control. We kindly request that you bear in mind that there may be uncertainties when interpreting such statements. Please note that this conference is being recorded. We will now start the session with the Opening Remarks from the Management Team, afterwards, we will open the floor for an Interactive Q&A Session. I would now like to invite Mr. Deepak Joshi to make his Opening Remarks. Over to you, sir.

Deepak Joshi: Good afternoon, ladies and gentlemen. Thank you, Vikas h, and thank you all for joining us today to review Garware Hi -Tech Films Financial Performance for the 2nd Quarter and Half Year ended FY'25 ending on September 30, 2024. We appreciate your continued interest and support.

Following a record setting 1st Quarter , I am delighted to report that GHFL has sustained its upward trajectory in Q2 FY'25, further building on the strong foundation la id earlier this year. Despite the challenging global economic environment, we have managed to achieve new heights, not only meeting, but exceeding several of our ambitious targets across key performance metrics.

We continue to carry forward the momentum from Q1 into Q2, making a steady and promising start to the financial year 2025. This quarter we achieved a new record with consolidated revenue of INR Garware Hi -Tech Films Limited

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620.6 crores, surpassing the previous quarter's results. This was supported by the ongoing operational improvements and sale of value -added products.

Additionally, for the first time, our quarterly PAT has crossed the INR 100 crores threshold reaching INR 104.3 crores. This milestone highlights our ongoing commitment to growth and operational excellence. Although marketing costs may continue in the short run to medium term, these investments are important for our growth strategy and are expected to fortify our market presence in the long run.

Now, let me give you more insights into our product divisions. Our Solar Control Films continue to show excellent performance achieving increased revenues compared to Q1. The growth is also attributed to our recent product innovations such as Spectra Pro and DecoVista Series, which have gained even wider acc eptance and popularity in Q2.

With our growing presence in the new markets and ongoing focus on digital engagement, we are broadening our reach and establishing GHFL as a leading force in the automotive and architectural film segments.

Moving to Paint Protection Films, we witnessed a strong demand momentum from our PPF products including

our Titanium, Matte, White and Black Series. This segment continues to operate at a high capacity to meet both domestic and international demand.

I am happy to announce that we have launched whole new series of Colored P PF in SEMA S how in Vegas, which got a great traction for auto and the CS .

As previously announced, our new PP F production line with an annual capacity of 300 lakh square feet is progressing as planned and we are on track to commence commercial production by Q2 FY '26. This added capacity is anticipated to strengthen our market position and revenue potential in the global PP F sector.

In our Industrial Product Division, Q2 brought a steady recovery , supported by a strong demand for Specialty Films such as Leading Films, PCR and Floatable Shrink Films. These high margin products have contributed to our profitability, allowing us to serve premium customers while maintaining operational efficiency.

Our focus on high quality sustainable solutions has positioned us well within the specialty film industry. We at Garware H i-Tech Films Limited place a strong emphasis on innovation, quality and sustainability, which serve as the foundation of our strategy.

We have continued to invest in R&D and process improvements to ensure that our product offerings remain aligned with the highest industry standards and emerging trends. Our expanding distribution

network enables us to cater to an even broader range of customer needs worldwide. Looking forward, we remain confident in our ability to sustain and expand our growth achieved thus far. Our diverse product portfolio, targeted capital investments, strategic market expansion initiatives, equip us to drive continued revenue and profitability gains in the quarters ahead. With steady market demand and our strategic initiatives in place, we are optimistic about delivering continuous performance improvements in the quarters to come.

Thank you once again for your time today and for the continuous trust in Garware Hi-Tech Films Limited. With this, I now request Mr. Abhishek Agarwal, our CFO, to take us through the Highlights of the Financial Performance. Over to you, Abhishek.

Abhishek Agarwal: Thank you, Deepak, and good afternoon to everyone on the call.

I am pleased to report that Q2 and H1 FY'25 has built further solid start to the year with improved financial performance across all metrics. In Q2, we achieved a consolidated revenue of INR 620.6 crores, reflecting year-on-year growth of 56.3% and a quarter-on-quarter growth of 30.8% driven by continued demand in our SCF and PPF segments.

The steady demand for our value-added products remains a core contributor, while IPD has also shown positive developments carrying forward the momentum from Q1 and benefiting from our focus on high margin specialty products. The focus on premium and innovative offerings has helped us to maintain a competitive edge and capture more market share.

EBITDA for Q2 reached INR 150.5 crores, representing significant year-on-year growth of 103.3% and quarter-on-quarter growth of 15.8%. This increase reflects the impact of a high-end product mix, expansion to newer geographies and ongoing process improvements that have enhanced operational efficiencies. Profit before tax for the quarter stood at INR 138.1 crores, showing an impressive growth of 127.7% year-on-year and 17.5% quarter-on-quarter.

Our PPF and SCF business maintained its growth trajectory by growing 67% and 64% year-on-year respectively. This quarter, our IPD business also showed a sharp growth and grew 30% year-on-year. Our PAT also experienced strong growth reaching INR 104.3 crores with 127.1% year-on-year and 18% quarter-on-quarter increase, benefiting from an enhanced mix of high margin products in our portfolio.

Exports continue to perform well, comprising approximately 81

.3% of Q2 revenue. With value added

products making up around 88% of the segment. Highlighting our expanding global presence, our export mix has been instrumental in sustaining this growth trajectory.

We are pleased to report that our cash reserves now stand at INR 544 crores as of September 30th, 2024, with zero net debt, positioning us well to advance our strategic projects.

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We are progressing as planned with the new PPF production line and this investment will significantly expand our capacity to meet the projected demand.

Looking forward, we remain confident that our initiatives will continue to bring measurable improvements in our financial performance.

With this, I turn the call over to the moderator for the Q&A Session. Thank you.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Priyam Khimawat from ASK Investment Managers. Please go ahead.

Priyam Khimawat: I just wanted to understand our strategy going forward on Garware Application Studios. Right now, we are at around 160 odd. What would be the strategy for the next two to three years on this part of the business?

Deepak Joshi: So, as you said, we are close to 160 as of now and our initial target was to reach to 200. But looking into the demand from our channel partners that they would like to participate in this growth strategy, so we will not stop at 200 level, because right now the PPF growth is coming from Tier-2 and Tier-3 cities also. So, the next line of growth we are seeing from these cities which are like Tier-2 and Tier-3. So, I can say that we will continue to grow in this segment of Garware Application Studios.

Priyam Khimawat: Because with the new line coming in from next year, I believe there's immense potential for us to grow this faster. And apart from that new line which is coming next year, any other expansion are we planning or any other new products which we are looking to enter into?

Deepak Joshi: See, as our focus has always been a player which is more focused on new products and qualitative output. So, as I spoke in our opening address that we have launched Colored PPF Series, the Company's target is to take the market share from companies like Tesla, who has started supplying their cyber trucks in stainless steel bodies, means there is no color in those trucks. So, we could see a lot of attraction toward our colors and that can be going forward a very different business where cars may come because this is started by Tesla, more companies can come without pain to the market, and this can be a big business for colored PPF. That's one of the strategies. Similarly, we have many more things which are in pipeline which we are going to declare as and when things

progress.

Priyam Khimawat : Lastly, we were expecting to achieve INR 2,000-odd crores revenue this year. I believe we will surpass that significantly this year itself and next year we are envisaging around INR 2,500 crores of revenue with the new line coming up. Are we sticking to that guidance or do you believe that there is significant upside risk considering the kind of demand which we are seeing in our products ?

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Deepak Joshi: We are confident that we can beat that, but there are certain geopolitical things which we are always aware in our consideration. So , that is moderate, but we would like to stick to that.

Priyam Khimawat : Should we assume a 25% EBITDA margin going forward for this business or do you believe that there's upside , downside risk to this number?

Deepak Joshi: Actually, the guideline like we gave last time , we try to maintain 25% (+/-3%) because this is the seasonal product, and the product mix makes a lot of difference. So , the number which come is usually you will see due to Q3 being a little

low season for us and Q4 being the preparation for a high season, so we'll see that product mix a little down and then go up. So, overall , we plan, or we target to be 25% plus/minus 3%, within that range.

Moderator: The next question is from the line of Ankit Gupta from Bamboo Capital. Please go ahead.

Ankit Gupta: My first question is on the Q oQ growth in revenue that we have seen from almost INR 475 crores to INR 621 crores in this quarter. I was looking at the break -up that you have given in the presentation, and I think most of the growth has come from our CPD segment, which has grown from around INR 318 crores to INR 441 crores. So, is it Sun Control Films which have driven this growth on a Q oQ basis or it's the PPF which has driven this delta of around INR 120 crores that we've seen in this quarter ?

Deepak Joshi: See, first of all , this is a good question in view that first time we have crossed 70% threshold for CPD business, Sun Control and PPF. So, that is 71% of CPD and 29% of IPD . In that particular segment , more growth I think has come from PPF , because Q2 goes towards a lower season for Sun Control but still the growth in Sun Control has also been there but more growth has come from PPF segment.

Ankit Gupta: I was also looking at the geographical breakup of our revenues and the growth is also driven more by the North American sales. So , is it more of our branded sales which has driven this delta or is it the third -party manufacturing that we do for the other players ?

Deepak Joshi: So, on North America, from 48%, we have gone up to 54.5% , close to 55% and that is very well directed. It is as per our wish we are moving higher and higher in American market because that is like we try to maintain our EBITDA margins to higher levels and this market is our premium market. So, this is a directed growth. Now , growth has come in both the segments. Primarily we are putting more efforts towards Global brand sales like a recent SEMA Show also we could see the attraction towards Global brand . So, Garware and Global brands both we are putting lot of efforts and growth is coming from that particular segment. But of course , when we are growing with this pace , so white box customers are also growing fast. So , it is coming from both the segments .

Ankit Gupta: Given Q3 and Q4 are relatively leaner quarter for Sun Control Films , do you think the P PF sales which we have done in this quarter is actually like it is possible that we can maintain this base or

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even grow from here on the P PF segment and normally a significant decline in revenues that we used to see in Q3 but in this financial year Q3 and Q4 might also see significant jump in revenues given how PPF is doing for us ?

Deepak Joshi: When we say, I mean , lean season , so actually in Q4, which is when we talk of February and March, they are pretty good season for us because then it's a preparation for the coming season. So , Q4 is definitely we always expect to be stronger , not weaker . Q3 definitely is a low season because Sun Control there is hardly any sun in our primary market. So, then we see a little drop in our sales in Q3, which is very standard phenomena, but PPF is not directly affected by that. So, I can say it will be more or less stable in Q3, but Q4 with the CPD division coming back , so we expect a strong Q4 for us. For us , it's a seasonality mainly hits Q3, not Q4.

Ankit Gupta: Because last year if I look at it, maybe we were just coming out of the issues that were there in the Sun Control Films on the inventory side because Q3 we saw Q oQ growth last year, but maybe this year the base is very high , so we might see some drop here.

Deepak Joshi: You are pretty right here , pretty direct, but since the growth has been in H1, we have shown outstanding growth. So , base is quite high. But the Company is still tar

getting further growth from

here, if not in Q3, then Q4 definitely , we are trying big sequential numbers as well.

Moderator: The next question is from the line of Vivek Gautam from GS Investment . Please go ahead.

Vivek Gautam : My question is regarding the opportunity size and the expected growth rate our Company can have in Indian and export market especially we are seeing of the auto slowdown especially in the West

and any impact it's having on it on us and growing number of Ola , Uber cars also is having any impact on our prospects ?

Deepak Joshi: So, thank you, Mr. Vivek for your kind words on our performance. Now , that is really unfortunate that in India we are seeing only 0.5% or kind of no growth in auto segment , US is exactly same , no growth 0.5% growth, which is almost nothing , and in Europe kind of d egrowth in auto sector till Q2 , another thing there is a geopolitical tension which is quite strong or prevalent in the market for first half. But despite all the challenges we have come over that and we did th is kind of performance . Going forward , the only challenge we are seeing right now is the seasonality in Q3 and rest of the things we have been telling our team if the global scenario has been that tough but we have performed so well . So, when they are conducive to us, I think we can do much better than that. So, I would like to say t his much only to this.

Vivek Gautam: And for the word on the Architectural Films in India , how is the opportunity for that. And what are the R&D initiatives you are having? And I believe R&D is our major hidden strengths, more sort of a thing which is helping us out a lot after investment of 10 years. So, congratulations to Mr. A dsul and whole team, sir .

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Deepak Joshi: So, architectural actually in the past as I have always been saying, in automotive, we are very strong , but since last 1 .5 years we a re putting lot of efforts in architectural and the example of that Spectrally Selective Film which has been the key leader in our portfolio, which is like parameter of that which I discussed in recent American visit and where it is something which is a game changer for us and that product is really doing well in Europe and it has started doing well in America , and in India also we have launched this product , and at the same time we have another series which is DecoVista Series. So, Spectra Pro and Deco Vista, these were launched last year, especially for the architectural segment . And other than that, we have Security Films which are taking interest from all around the world. So, when we talk of architectural, the complete range is there since last one year , and with sustained efforts in terms of marketing hirings, marketing initiatives in digital media and a complete product portfolio, we are doing good and I can say the internal assessment compared to year -on-year basis, we are running at 100% growth rate in architectural segment.

Vivek Gautam: Lastly, sir, on the industrial product range, I think our sector has also started doing well , all the companies like Polyplex , Jindal , etc. , also coming up with that good number. So, what changed over there and so that growth rate is also expected to help us out and expected to remain strong for how long, because that's a cyclical sort of a thing ?

Deepak Joshi: So, IPD, like we explained that it did better than last year, but another factor is that IPD used to be like more than 50% for us three, four years back and we have been continuously reducing our dependence on that. So, right now our CP D has gone to 71% and IP D is only 29%. In that 29% , definitely we are doing better ; margins have improved, but if you really see, we have always wanted to go away from commodity market , we only wanted to stick to our base strong fundamental R&D products which ar e like Shrink Films Floatable Shrink Fi

lms , APR Films and PCR Films in Shrink

Films , and then the various different kind of Lidding Films and Low Oligomer Films , which are for Electric Grade Films. So, not on the real commodity where market may go up and down , but if you really see last two, three years, the peers when we are talking, they were really, really low, some people went negative also, but we continue d to grow on that because we have always been believing that we will only be serving to specialty where we can give some special kind of a product to the market, which are delivered by our new product and R&D team. So , our focus will continue to do . We will not be disturbed by certain good market on commodity, and we rush to that. We will continue our efforts to our specialty, and we'll produc e something as a leader which people will follow , we will not follow the commodity se gment .

Moderator: The next question is from the line of Akshay Shah from Kris PMS. Please go ahead.

Axay Shah: Now I want to understand your thoughts on President Trump coming in America . How did it impact our business?

Deepak Joshi: See, today morning I came from America. So, I can understand the feeling there. More people asking the question what could be the impact of the regime change in US . We are more optimistic than any

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other country. Our biggest competitor is China . Though we do not directly compete when we talk of the triangle , we serve at the top of the top range, whereas Chinese are at the bottom . But when the regime changes, there might be more duties towards China market. That's our expectation. See, we can't comment as of now what will happen, but the chances of getting better impact than negative.

Axay Shah: He may impose 10% duty on every product from Garware . So, will it impact our demand /supply situation?

Deepak Joshi: There may be some couple of percentage here and there won't make much of a difference. Like I said, this is a very different series where margins to distributors and dealers are in a good shape, right.

So, the real impact will be the guys who are like selling at a very low prices like as I gave example of Chinese players who sell almost one-tenth or one-fifth of our prices, right? Their strategy to gain the market is the price-sensitive, means they only want to sell the low, low, low product. If their duty, which is currently 25%, goes to 50%, will affect them badly, whereas for us if it's a 2% 3%, 5% here and there, might not affect. But we don't know this is a geopolitical thing. The government to decide like how they are going ahead. We will frame our strategy based on what is the outcome. But as of now, we don't see that negative to us.

Axay Shah: And exports grew very much for us in Q2, almost 40%. So, how do we see it panning out going ahead?

Deepak Joshi: See, as I said, Q3 will definitely be a lower in terms of seasonality, right. But again, in preparation of coming season, so it will again pick up in Q4.

Moderator: The next question is from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.

Mahesh Bendre: In the last four quarters, the Paint Protection Film has become one-third of our sales, and it has come from nowhere. So, going forward, I mean, Sun Control Film and this will remain core for us. But any other new product do you think which has the potential that we plan to launch maybe over the next two, three years can become as dominant as Paint Protection Film?

Deepak Joshi: See, there are products which we are working, but that will come out once we are confident of this quality and all those things because our product life cycle, I mean, the testing of weathering and all takes long. So, they will definitely come. We select some out of many. But in paint protection film like we have come from nowhere like four years back, nobody knew about PPF in India. Now, the growth

has been pretty strong. And with the launch of like Titanium that is really doing good for us and recent launch of Colored PPF that will take the market from current 2% to maybe 10% level. So, we still see the upside of five times in PPF in India. That may take its own time, but with the growth of Garware Application Studio and the sales strategy which we have now, definitely we see a big upside in Paint Protection Films.

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Mahesh Bendre: Sir, what is the current utilization in both Sun Control Film and the Paint Protection Film?

Deepak Joshi: So, Sun Control worked almost 100% in Q2, and Paint Protection went I think 135% range. It goes up and down. I mean it cannot remain stable each month, but depending on the load on other lines on sun-control lines and PPF line we switch the fungible lines. But they were pretty much occupied and PPF was running beyond capacity.

Mahesh Bendre: Any white labeling major opportunities available, can we supply some of the products that we are manufacturing to our major global competitors maybe 3M kind of players?

Deepak Joshi: This is a strategic question. Of course, we do white labeling, and we do many different, different products, right? Of course, we can't name any of the manufacturer here because of the specific confidentiality agreement with our customers.

Moderator: The next question is from the line of Ankush Agrawal from Surge Capital. Please go ahead.

Ankush Agrawal: Firstly, sir, on the Architectural Films business, I want to understand the distribution part of it. Is it mostly like a direct sales business which is bulky in nature? And if so, would it have a much higher margin than say SCF and PPF?

Deepak Joshi: In architectural business, there are two models. One is the standard distribution model, but that model only works for a smaller scale sales like some housing and all those things. The typical nature of these products are the qualification to big architects, big brand owners, like I'll just give you example, if you want to do some airports, so you need like your qualification in Airport Authority of India. Today only, we got a very good news that one of the leading Indian hotel manufacturers qualified the product. While when we talk of qualification, that means it should have the certification required by each and every brand owner or architect or PMS. But that certification normally done by European, UK or American standard. So, after the qualification, like these project teams, they directly get quotes from the Company, right, for the project and that is how it is supplied, right? So, one model is simple like automotive, where you give your distribution, and they put some safety films or other films into any building. Another one, the bigger one, where we talk like we showed last time, the Central Bank of Brazil, we won the product against the world's best chemical company and then another peer name which somebody just thought, we won that project against those guys. So, similar big projects which like do the entire building or the chain of buildings. So, their qualification is important. That's why we have a dedicated team which works only on the architectural segment and this team was formed almost a year ago, which is performing well and the same model we are applying to European market and the US market.

Ankush Agrawal: So, generally speaking, would architecture be a higher margin business? I mean, obviously there's a host of products within, say, PPF, SCF and within architecture also there would be a different lines of products, but generally speaking is it a high?

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Deepak Joshi: See, margins are more or less similar. These products are actually expensive. If we really see because their technology is a bit different, the nature of the product because they a

re the stable buildings, they

see the sunshine all the time, so, we need a different kind of properties which help the building to run longer. So, of course, margins are slightly better, but the products are expensive also. So, that's why the higher margin means a lot big price to the customer. But definitely these are like one of the top of the top range products for us.

Ankush Agrawal: Second question that I wanted to understand was the quarterly variation in our gross margin. So, last quarter, the gross margin was 53%, this quarter 44%. You did allude last quarter is because of change in product mix between PPF and SCF. But I mean, if I look at the overall contribution of CPD business, which is higher this quarter versus say YoY also, but still the gross margins are similar at around 44%. So, wanted to understand is the product mix itself is such a big differentiator that leads to such high variation in gross margins or there is something more to it and how should one look at the stable steady state how much will you be able to do?

Deepak Joshi: Actually, it depends on the product mix and as you rightly said what happens is when it was a peak summer in Q1, then at that time, like IR products which are like the highest margin products, so their sales rises in the Q1. In Q2 we saw a big jump in the sale of PPF and there was a growth in Window Films as well. Window Film which comprises of Auto and Architectural. So, when you see the growth was definitely there in both the product lines, but there was a higher growth in PPF. So, PPF price being very high and IR product as a base being low, so we see that product mix making that change which is 27%, went down to 24.5%. But we exactly can't control month-on-month on product basis, but this is basically a direct reflection of product mix.

Ankush Agrawal: So, in that sense, Q3 would have the lowest gross margin because like the seasonally lower quarter with lower share of SCF, would likely be of understanding?

Deepak Joshi: For the year, like we have given the guideline like 25 plus/minus 3% in quarters and overall numbers I think slightly better closer to that number. But very fine management becomes difficult because the market keep on changing, like our biggest market in the US, they keep changing every quarter of the requirement and this is based on the seasonality they require different products into different seasons, right? So, overall guidelines will remain the same between the 25 plus/minus 3%. So, it will range from 22% to 28% anywhere. So, Q3 might be a little low, but again as I said, in Q4, we will get it back.

Moderator: The next question is from the line of Shrinjana Mittal from RatnaTraya. Please go ahead.

Shrinjana Mittal: Just had a couple of questions. Can you help us give some number on the Sun Control Films and the PPF Films, like what is the growth percentage year-on-year? You did mention that PPF has seen a higher growth, but can you share some number on that year-on-year or sequentially what is the growth be like?

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Deepak Joshi: So, YoY Sun Control growth has been 64% and PPF growth has been 67%.

Shrinjana Mittal: On the Architecture Films, what is the current share like as a percentage of sales?

Deepak Joshi: When we started the campaign, it was like around 15%, that it went to 20%, right now we are estimating that around 25%. I am using the word estimation because there are some products which go into both segments. It's very difficult to bifurcate them. But based on the nature of like Spectrally Selective Films and those kind of films, so we are estimating it around 25% as of now. So, from 15% it has gone to 25% now.

Shrinjana Mittal: That is as a percentage of overall sales or just the –

Deepak Joshi: It's a percentage of our Sun Control Films.

Shrinjana Mittal: Architecture currently it

's largely exports, right?

Deepak Joshi: Yes, it's largely. So, I can tell you, it's a European market than India market and then developing into U.S. market. So, it's bifurcated. In India also it is doing quite well.

Moderator: The next question is from the line of Vinay Nadkarni from Hathway Investments. Please go ahead.

Vinay Nadkarni: Just two questions. One is on the sales growth that you have achieved in this quarter, how much of it is volume-driven and how much is value?

Deepak Joshi: Because when we are seeing them, it's again depends on the product mix. So, definitely it will be more of a volume-driven, because prices only then the product mix changes, otherwise we are seeing lot of volatility into the market. So, I mean, the absolute number pricing per unit may not change.

Vinay Nadkarni: Secondly, in the Sun Control Film, since it's such a high margin business for us, is it possible to tap into the southern hemisphere for Q2 and Q3 in order to gain business or Q3 and Q4?

Deepak Joshi: See, that's perfect, but you can also see the size of the market in USA and there is hardly any southern hemisphere in USA, it's more on Latin America Australia and New Zealand business, right. We are aware of the fact, and we actually do lot of sales in those southern hemisphere during Q3. But if you see the size of market you can't compare. The number one market is in low season. Definitely, we do lot of sales during this period in ANZ and South America or to some extent in Africa.

Vinay Nadkarni: Lastly, just one is on the market share . Since your growth has come in automotive sector in PP F, then the automotive sector itself has not grown so much, so is it because it's a new product and new acceptance or is it that you have gained because there's nobody else in this business?

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Deepak Joshi: No, there is no one else is not a thing , because you see there are maybe more than 50 players in China and Korea. So , we have grown because of our quality, our consistency and our consistent marketing efforts , and in India actually we have created the market by training, the people like we have trained more than 800 applicators, then providing the place for the market, which is Garware Application Studio s and lastly, giving market the product as per the requirement which is lifetime warranty, 10-year warranty, five -year warranty and three -year warranty. So, we have captured the entire market by giving all range of products to all kind of customers , and of course. like I said, the facilitator being the applicators and the application studio s. So, it's not easy to get a new product just by selling. We need to have a proper strategy like how it will work into the market .

Vinay Nadkarni: This can also be used in the used car business ?

Deepak Joshi: Yes, there are some products which are doing for the used car market now that we will maybe launch pretty soon, which will be like a very maybe different products . We are working on many options like we take feedbacks , we have our brand ambassador s everywhere in the market like these 800 - plus applicator whom we have trained , so we are getting feedback from then, we have our sales team , then we have marketing agencies which do all those things like what should be done, how to grow into the market and what should be the pricing strategy for entire spectrum of the customer range. So, these all things we do before we take any action on that.

Moderator: The next question is from the line of Prit Nagars heth from Wealth Finvisor. Please go ahead.

Prit Nagars heth : One thing I wanted to understand was that how was the situation during the last time Trump was the President and tariffs were put in? Did you see a shift in your product improvement for you based on the theory you mentioned that the lower end Chinese products would find it hard to survive and wa

s
there an increase in business for you guys at that point in time?

Deepak Joshi: Last time actually it was much talk, but nothing actually happened on the ground. But as we are continuously growing into that market and our partners are quite strong there. If you compare to last year, then nothing changes like but we don't know because this time it is more of a serious rhetoric or I would not use the word rhetoric , I mean, serious discussions going on. So, I mean, if you really see this time, I mean , nobody knows. I mean , I spoke to many people, including the leaders in that industry, in fact , some of them have kind of representation , we are members of the top bodies there and they have a representation over there as well, because they all want a stable duty for them. Because there are a lot of talks , if their duties are increased arbitrarily, then a lot of inflation will go up, which is against the idea of ... they have announced that the primary thing would be increased tariff, reduce taxes, income tax and all , but at the same time, control the inflation right away from the taking oath on January 6th. So, if that more tariffs are there, then definitely the inflation is going to go really high for them . So, all those discussions are going on . So, we don't know what will happen, but it looks like as I said, we hope for more positive than negative because we have like industrial

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product is also doing good there and the market participants believe that it will be more good than bad to us.

Prit Nagars heth: So, just continuing on this question, when we sell in the Northern American market at a quality level, you're saying that there are people who are on par with us because they are the highest quality there, right . So, there will be some North American manufacturer who is on par or maybe better than us in quality , could that be a case here?

Deepak Joshi: There is a wide range of products . When we talk of automotive segment , then our products are considered to be on the top line. So , there is no better than that because the base what we make is very solid and our nano dispersion is also quite strong. So, our film base is are stable , this IR which really affects the heat rejection , that is also strong. So , our quality is the best quality and people are at par , of course when you talk to the Company which is a big chemical Company , so we are at par with them .

Prit Nagars heth: And at the price level are we say below them, or do we sell on similar pricing as them?

Deepak Joshi: We are little lower because they are the local player there and they have a strategy which is sometimes direct to the customers , but for us with our sales force and everything, our route is through distributor and sometimes because of the volume and the white boxes, people tend to sell little lower, but that lower means I would be around 10 -15%, I would say around 10 %.

Prit Nagars heth: The reason I was asking all of this is because if the duties come in and they are, say, 10 %, 15%, 20% or more , then would it make the local players competitive versus what we provide , right? That's the line I was trying to better understand.

Deepak Joshi: But as I said, see, the decision will happen on the larger scale where if you talk of window film

market, which is very minuscule as compared to the broader imports from China and Asia, right. So, based on that like consideration on window film is not going to be there, but if there is a structural change of 4% or 5% as I said that doesn't do much impact to us because we might gain more volumes if the duties are put to our counterparts in other countries.

Moderator: The next question is from the line of Guneet from Counter Cyclical PMS. Please go ahead.

Guneet: I would like to understand, can we consider the INR 600 crores plus quarterly revenues to be the run rate going forward

? I understand that in Q3 we might see a very downside variation of about 10 % to 15% because of seasonality, but for the rest of the quarters, can we consider this as the run rate going forward ?

Deepak Joshi: Like I said, the Q3 is a seasonality, but Q4 should be back. So, we hope that Q4 will be the similar one.

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Guneet: Sir, you mentioned that the growth in Q2 is mostly driven by increase in volumes, but in Q1 you mentioned that most of our lines were running at 100% capacity. So, I just like to understand, how were we able to increase our volume when we were already running at full capacity? Also, sir, what is our maximum revenue potential, our current capacity and with the new line coming in Q2 FY '26, what would be the additional peak revenues from that line? And also, sir, are there any SCF, PPF lines coming in, in Mexico, do you have any idea about that?

Deepak Joshi: So, I think a lot of questions there. So, if I miss anything, please ask again. So, #1 is, how we were able to do like more volumes in Q2 as compared to Q1. So, more volumes means I said it also depends on the product mix. So, if you see PPF prices are like in absolute terms, they are like 3 -4 times higher than the Sun Control lines, right? So, the growth has been slightly higher on PPF means your revenues will go up. But since when you are doing less of IR products then the margins will definitely go down. So, your questions are both answered with that way, like revenue went high because of our strong growth on PPF and I mean EBITDA margin slightly lower because of less of IR sales in Window Films. So, that's the reason of Q1 versus Q2. So, we have lot of fungible capacities which we use based on seasonality or whichever product is selling more. So, that's how we use it. Now, third question is how much is PPF going to increase. The revenue increase will be around INR 450 to 500 crores when the new line runs at full capacity, but normally we have a ramp up plan. We normally do better than that, but there will be like stepwise utilization of that line. INR 450 to 500 crores top line.

Guneet: Are there any PPF or SCF plans coming up in Mexico?

Deepak Joshi: Yes, actually I have not heard of that. We have all the data and all. But again, even if it is coming, that does not make much of difference for us, because there is no dearth of capacities in the world, like if you see China, I can easily see more than 70 players in Chinese market, right. So, the real difference comes from the quality of the product, because this product is really, really very difficult to make, right? So, we don't normally see as a challenge unless it is put by one of the top five players in the world.

Guneet: I think you're doing great with your organic growth, and I would just request you to stick to that and not do any inorganic acquisition because I think you've done a great job in this.

Moderator: The next question is from the line of Puneet Mittal from Fort Capital Advisory Limited. Please go ahead.

Puneet Mittal: I have just two questions. First question is, I am just trying to connect the dots on what you said. One is that Q3 you said Sun Control Films has lower season, but there's no seasonality in PPF. Second, you said that you are using the capacity of PPF to 125 %. And the third you said that it's all fungible. So, are you planning to move the Sun Control Films lines to PPF for Q3 if not for selling in Q3 but to cope up with the demand and create an inventory for Q4 ?

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Deepak Joshi: So, we do that, you are 100% right that we have fungible thing and plus we plan more in Q3 for Q4, but that will not come into numbers, no. So, that is definitely being done because we plan for six months ahead. So, I mean, with the forecast from customers, distributors in all, so we see

a good

forecast in the near term as well. But only thing is because of the seasonality, we can't dump the material in Q3. I'll just ask a simple question like if we go to November and December like the top of America like northern part of America is full of snow. So, hardly anybody comes out and puts us the Sun Control Films. But there are certain things where the shops are also closed. So, PPF is not a seasonal sale but still there are common people who are out of work for at least in the whole of December. But having said that, we are quite confident and our guidelines, like we have done outstanding in H1 and in H2 mostly Q4, we are expected to go back to very strong numbers and Q3 will be stable as compared to our YoY and all those things.

Puneet Mittal: Second question is, we are putting up a new capacity of PPF, which naturally takes time, and you have explained historically why it takes time to set up. At the same time, you are doing a great job of developing the market in India and just like Xpel in the US, you may have a first mover advantage here of developing this market. So, the more studios, the more applicators trained, you do get that advantage. So, would it not be strategic to develop this more aggressively, both setting up the PPF line for future development as well as setting up the gas studios?

Deepak Joshi: So, your question is putting more lines than one?

Puneet Mittal: Yes. So, you are right now plan for one line of 300 lakh PPF. You right now plan for putting up one more capacity in FY'26. But would it not be strategic to put up some more line because we do see this demand growing and the Indian market which you're doing a great job.

Deepak Joshi: See, we are prepared, like as I said, if you see the growth of world over, the penetration of PPF, if we see the China and USA, so we have a headroom available for five times of the growth which takes time, but we are growing that and the current line which I said we are already running 35%, 40% more than the capacity of 135% to 140% operating rate, so with that, I mean we are able to meet the requirements now till the new line comes. And once that is operational so it's a big headroom again available for sale in terms of productivity and at the same time we are tapping all the necessary like with the gas and others. So, we are aware of the fact that this is important and we assure you that nothing will be left like customer or without having the product from our side. So, we are working on that. But we do not want to put something which may seem to be unnecessary in future because we have a lot of other capacities which are like if I may tell you that we have like five lamination lines other than PPF lines. So, there will be like five laminations plus two PPF lines. So, that means the seven lines which act as a fungible. So, we have enough capacity available. And in fact, we can think of some other expansion in the meantime, which we will update in due course. We are working on a lot of options in that. So, we are aware we will not leave any customer as a strategy having less capacity and all.

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Moderator: The next question is from the line of Rohan Patel from Turtle Capital. Please go ahead.

Rohan Patel: My question is regarding like current quarter like Q2, PPF, we have seen that we have done top line of marginally more than INR 200 crores. So, this seems like a one-off because like this is more than what we have done like it's twice of H1 FY'24. So, can we take this as a base or we consider that there is some seasonality of front loading of some of the sales in it?

Deepak Joshi: See, exact numbers can never be told because there are a lot of things which happen in the background. There will be some material in the pipeline which goes to our subsidiaries and then sold from there. And then of course, there are some

similarities. Sometimes there are one of our major customers has OEs with them. So, they need more material all of a sudden. But overall, like as I said, it definitely will be true because natural growth is coming, we are penetrating to the market, we are creating more markets for us, and we are going to the places where we have not been in the past. So, exact numbers like cannot be set the base like that, but definitely when I mean like four years in making, then we started like first year with like 5% of the capacity only, second year it jumped to 25%, and the third year it went to 70%, 80%, and now it is running at 135%, 140%. So, the growth is very natural. That base I cannot guarantee like this has been set. It might be more than that, but it's a very dynamic in terms of the customer base in our key markets and the material which is on the waters to USA and European markets.

Rohan Patel: Looking at the growth which we have experienced in CPD division, most of that which has come from, as you mentioned, from volume growth. So, have we penetrated any new geographies apart from America and Europe that is giving us a new market which we can also penetrate further?

Deepak Joshi: What we have done is like we have like different sales division, which is like domestic sales and then U.S. sales and then rest of the world. So, in the rest of the world, we have penetrated to geographies which I don't want to name here as a confidentiality sake, but we have added key sales force in five new countries and that is like historically a place where you would hardly find our Sun Control sold, but PPF is being sold in these areas. And once we have started selling PPF, of course now Sun Control is also going. So, there are territories where definitely we have penetrated afresh.

Rohan Patel: Are these international geographies or you are talking about domestic?

Deepak Joshi: I am talking only international, because domestic growth is definitely is quite strong. We started with 0.1%, then 0.5%, now currently we are around 2% of penetration of Indian market. But as I said, we have like five times to go and I think you will appreciate the fact the car sale price in India versus the price of PPF, it's a significant cost. So, with a lot of efforts and persuasion, we have been able to reach here in PPF. So, you can assume like INR 1 lakh is the average cost for putting a PPF. But we are continuously growing, we are seeing the growth on month-on-month basis on PPF. So, international market penetration is to new geographies. India market penetration everywhere, initially

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we did in metros then we did in Tier-1 cities now in Tier-2 cities even going below them as well in India market.

Moderator: The next question is from the line of Akash Bachhawat from Narnolia Financial Services. Please go ahead.

Akash Bachhawat : So, I do have a few questions regarding capacity utilization and the opportunity in data center. So, I was reading an article that in UAE they are using films to insulate data centers from thermal lead.

So, are we into those kind of films? And on capacity utilization, that we are exceeding beyond 135% in PPF. So, how much more sales can we extract from the same capacity until new capacities come in?

M.S. Adsul: Can you just repeat? The thermal insulation on a building or -?

Akash Bachhawat : I was reading an article, in UAE, Dubai, they're using insulation films on data centers to protect them from external heat. So, are we in those kind of films? So, I just wanted to know on that thing.

Deepak Joshi: That can be a normal Sun Control film also. Like in architectural segment, there are films which the solar heat control is quite strong on that. So, if that is the glass, then we are definitely supplying those films to UAE as well to all the market. If it is like a building –

M.S. Adsul

: If that is on a terrace or a roof of the building, then those are the different things or paints.

Deepak Joshi: Yes, there are paints as well. But normally when you are talking of data centers then they are usually glass buildings because of aesthetics and there definitely these new films, like Spectrally Selective Films and Reflective Films are very popular and we are selling them in good quantities. Now on utilization, see, the thing is, it's simply a fact that maximum we can go double the capacity by using 100% of Sun Control because the maximum of a plant is like which we are doing 135% to 140% can go to 200%. That's the limit. But to have that limit, we need to have Sun Control lines free for that much of capacity and that many orders should also have. Like it's not the magic stick that wherever we go, and we get orders, there are lot of efforts, market development and all those activities are concerned. But if the question was like how much can we go before the new line can come? It can go to 200% provided we have that much orders, provided Sun Control fungibility is available to that. So, these are like notional questions but with the rider I answered your question.

Akash Bachhawat : This is just a follow up sir. So, if there is the realization in EPS is 3x to 2x of SCF and we are seeing much more traction in PPF in Q2 and even in Q1 your analysis was except in Q1, in Q2 PPF we have seen lot of traction in it. So, if we extrapolate it in Q3, will the realization help in compensate the loss of sales in SCF in Q3?

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Deepak Joshi: I think the facts are not correct here. So, PPF absolute margins are higher, but if you talk of percentage terms, Sun Control high end IR products are at the top level, right. We do not disclose them like exact number. So, the top-quality products of Sun Control in terms of percentage, they are #1 to us and PPF capacity is lower. When you make PPF, it is not at the same rate we can make Sun Control, right? So, we do all the bits and pieces. I can assure you like that we do every bit to enhance our sales and profitability. But when there is the issue of seasonality, yes, we can't do anything, right, but definitely overall the year is going to be really, really good, and the strong sales we expect right now from Q4 and Q3 is also I mean it will be decent.

Moderator: The next question is from the line of Karthi from Suyash Advisors. Please go ahead.

Karthi: I had one question and two clarifications to seek. Can you elaborate on the business development process for Colored PPF? I am not very sure whether you will go through the OEM route or will there be a different model for this. And the clarifications I just plug in immediately. One is on the India branded business. What is the current revenue and what is the target let's over a two, three-year timeframe?

Deepak Joshi: On colored PPF, it's a need of car for some particular OEs. Of course, we are not direct there because one of our big distributors is supplying to them. So, the route, the number one is to distributor who is supplying to them. And second, we will directly penetrate to the market by way of like we supply now the complete range of PPF from Titanium which is lifetime warranty to eight years warranty to five years and to three years. So, this will go with the similar route when we supply the Matte PPF and Black PPF and all those things, right? So, we already are into colors which were limited to black and white. Now, there are many colors which we have added to that portfolio. So, it will go to one route through our distributor to OE. Another route will be like to the market where it will go to different stages.

Karthi: And in India also would you follow the same route, sir as in the distributor route or for an Indian OE would you be directly -?

Deepak Joshi: In India,

we have like already a partnership with Mahindra where we supply direct to Mahindra and another two have been approved which we will inform in the due course, and of course, we will directly also supply to these guys and to the market as well. We may have certain colors which are reserved for certain OEs. That consideration will be done in due course.

Karthi: Those would be customized colors.

Deepak Joshi: Like some has special yellow or some has a cherry red specific to a OE. So, these things we will do. We are doing actually but we can't disclose, but we are doing that.

Karthi: How big could this product alone become?

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Deepak Joshi: You mean colored P PF?

Karthi: Yes, sir.

Deepak Joshi: See, as of now, we did see like we had been in the show. So, there is lot of attraction because of colors. But if you really see like it will take some time because something new nobody is doing that and people are trying to do that. So, it will take some time. But we safely assume that it might be like 10% addition or 15% addition to our sales .

Karthi: On the Garware branded products in India, sir, how big can this become, say in two, three years ?

Deepak Joshi: See, we do not give the specific number . As you may be aware that looking into the outstanding performance of Garware, there are many competitors , they are just trying to ... so I don't want to give the readymade information which people should get by way of marketing agency or something. But we are like growing at the rate of 70 % , 80% into the India market.

Moderator: The next question is from the line of Pritesh from Lucky Securities. Please go ahead.

Pritesh: I have two questions. One in your past calls , you have said that in the P PF 300,000 capacity that we had. We had invested about INR 150 crore s with full-time assets. Now when I am just trying to connect the dot, I am still clueless. What is the P PF revenue number because in one answer you said one-third, someone told 200 crore s, then you gave a utilization number. So, I am clueless on the P PF side. If you could be a little bit more clearer ? And my second question is , if you look at the margin swing in the last three quarters , the BOPP industry itself has gone through a 25% to 30% change in the gross margin number. Is it fair to assume that the 35% of your portfolio, which is ex of CPD , where there would be lower margins, which are now on a higher side. So, this 300, 400 basis points swing that we see in our last three, four quarter basis is actually to do with the industry profitability swing because even you have 35% of your business like that. So, it would be very helpful to be very clear on these two parts because the margin assumptions, etc. , everything is based on these two observations.

Deepak Joshi: But about this total revenue from PPF –

Pritesh: Because even if you take 135% of the earlier number which you have shared in the conference call of INR 150 crore s, a two time asset turn, it goes to about INR 400 crore s, then it's INR 100 crores per quarter in this , then that 30% number doesn't come.

Deepak Joshi: See, the number is 26% on revenues from PPF.

Pritesh: For this quarter ?

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Deepak Joshi: No, for H1. I hope you are clear so I hope you have an answer.

Pritesh: Capacity utilization is 100% plus , right?

Deepak Joshi: Yes.

Pritesh: My second question was on the profitability side. So, which means in your revenue number there has to be an element of higher realization?

Deepak Joshi: Yes, that's what I said. The growth has been volume driven and that volume has come from new territories and growth on the PPF.

Pritesh: There has to be an element of higher realization. Your growth is almost 56%. So , my guess is there has to be at least 20 % , 25% minimum realization like -

Abhishek Agarwal : M

r. Pritesh, if you would have gone through the earlier questions, every part has a different price point. And as we were mentioning earlier, PPF is at a higher price point as compared to IPD or SCF Films. So, what you are looking at 15 % , 20% growth in prices , is not the growth in prices, but it's a change in the mix of our products.

Pritesh: On the margin question, is my observation correct that you would have gone through 400 basis points because of the profitability of improving 35% of the same ?

Abhishek Agarwal : So, see, first , we are not in the BOPP film segment per se. When we're trying to see BOPP with Polyester Films , I don't think it is the right linkage which we are doing there.

Deepak Joshi: We do not produce BOPP . We produce Polyester Film, BOPET .

Pritesh: Even BOPET has gone through those things.

Abhishek Agarwal : But if you would look at that part of the presentation also , we are into specialty , we do not deal into commodity .

Deepak Joshi: Currently , our CPD business has been 71% of total sales and BOPET has gone only 29% . Despite the fact that it is going up now and definitely with a lot of capacities which have come in or will come, and on the BOPP side also there will be a margin erosion once again , right , on the commodity . To safeguard ourselves, we are always trying to give value products to the market which has some

kind of uniqueness in the products, and we will continue to deliver new products into that. So, that's why our share of BOPET is continuously going down; it is now only 29%. And that too, we are only catering to the segments like Shrink Films, Floatable Films, Low Oligomer Films and Leading Films and all those which are high end products.

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Moderator: The next question is from the line of Kiran D from Table tree Capital. Please go ahead.

Kiran D: I have a slightly different question zooming out of the quarter numbers. FY'23 to FY'24, all those data points are available on your FY'24 annual report, FY'23 to FY'24, there was a significant drop in the Global brand sales in the US, right, and one of our customers, I think, whom we have white labeling to is 30% of our revenues. So, two-part question is a) how do you think about Global brand sales is significantly degrowing, was it a conscious decision or it just so happened that Global brand may grew in '24 and we'll be back in '25 and to 30% of revenues is from a single customer, so is that a point of concern? The second part of the question is more operational, which is there's been a six quarter, eight quarter or maybe 12 quarter discussion around Nashik plant monetization, more dividend payout. So, if you could just tell us, are there any board discussions around that? The third part is a smaller question is do you consider the Middle East is part of the Europe because we seem to be growing well in Middle East as well. So, those are the three-part questions?

Deepak Joshi: I am not sure like how did you get the number that our global is degrowing. In fact, we are seeing a good growth in global brand. In fact, some of the places in US we saw Garware is also growing. So, we are really happy to see that there is a continuous growth momentum there, right. So, that's one part of thing. And second part, we have many customers in white label also. I'll just tell you one thing. Even in India we have challenge, right? Everybody is selling Garware now. So, you go to a place and the guy is selling Garware and next door there is a big, branded shop has come. So, he wants to sell Garware product because of the quality. But the challenge is he has spent so much on his showrooms and everything and the next door is selling Garware on the open market, right? So, how to sell to both the guys because we are not letting these places to our competitors, right? So, that's why the white box is sometime a

necessity because that gives big brand value, because they are like world leaders. You not talking of only one, but we have many such players into the market who are buying from us, right? So, there is no degrowth of Global. In fact, Global and Garware both are growing. And as talking about white labeling, we do decent numbers, because we have to continuously grow, because these guys may have like 100 salespersons and we have very limited one because our focus markets are different, right, we can't compete with everyone in each market. So, as a strategy that works well for us. And there is no price difference between white labeling and Global.

Kiran D: The other part of the question that I asked, if you could just answer, is Middle East considered as part of Europe?

Deepak Joshi: Middle East is a separate territory for us. We have shown a separate part; 3.1% sale in the Middle East. It is very clear into this thing. But when you talked about one single customer, that was Global?

Kiran D: No, in your subsidiary, so there are two bits in your annual report, sir. One is your subsidiary information which has clearly stated as Global Films, USA. So, there if you look at AOC -2 form, the Garware Hi-Tech Films Limited

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sales between FY'23 to '24 the degrowth, two, you also have to report a single largest customer more than -

Deepak Joshi: That's not a degrowth. Let me clarify to you. See, between these two years what happened, there was a lot of inventory which was lying there, which we cleared because after COVID the shipping timeline was way high, right? So, it dropped significantly after that. So, there was a lot of 30 to 40 days inventory suddenly went into our subsidiary. So, these are like operational things. There's no degrowth. It is like your inventory adjustments were there.

Moderator: The next question is from the line of Sunil Jain from Nirmal Bang Securities Private Limited. Please go ahead.

Sunil Jain: My question is related to PPF. Are we thinking of any backward integration in this particular part of business?

Deepak Joshi: Again, this is very strategic and confidential information. Unless some decision and all those things is made, it will be informed accordingly.

Sunil Jain: In India also, you sell white label or it's only pure branded sales?

Deepak Joshi: Mostly branded sales, but couple of big-branded people who sell at a very premium thing. So, we sell, but that percentage is hardly 10% of our sales. As I said, it is a necessity because otherwise we potentially lose customers.

Moderator: Due to time constraints, we will take that as the last question. I would now like to hand the conference over to the management for closing comments.

A. Venkataraman: Ladies and gentlemen, thank you for joining the call. I trust we have clarified all your queries. In case

if you have any queries further , you can write to us. We will clarify the same . And despite the holiday you have joined , thank you very much.

Deepak Joshi: Thank you, everyone.

Moderator: On behalf of Garware Hi -Tech Films Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

*Note: The above transcript has been edited for readability purposes .

Call: Feb 2025

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February 14, 2025

The Compliance Manager

BSE Limited Corporate Relationship Dept., Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai 400001.

Scrip Code: 500655

The Manager, Listing Department

National Stock Exchange of India Ltd.

Exchange Plaza, Plot No. C/1, G Block,

Bandra-Kurla Complex,

Bandra (East), Mumbai 400 051.

Trading Symbol: GRWRHITECH

Subject: Transcript of the Earnings Conference Call on Unaudited

Financial Results / Business Performance of the Company for the Quarter and Nine Months Ended December 31, 2024.

Pursuant to Regulation 30 and 46 of the Securities and Exchange Board of

India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Earnings Conference Call, held on, Monday, February 10, 2025, at 12:00 Noon (IST).

The aforesaid transcript is also being uploaded on the website of the

Company: <https://www.garwarehitechfilms.com>

This is for your information and record.

Thanking you,

Yours faithfully,

For Garware Hi-Tech Films Limited

Awaneesh Srivastava Company Secretary FCS 8513

Encl.: As stated above.

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“Garware Hi -Tech Films Limited
Q3 FY '25 Earnings Conference Call ”
February 10, 2025

MANAGEMENT : MR. M. S. ADSUL – DIRECTOR TECHNICAL

MR. DEEPAK JOSHI – DIRECTOR SALES & MARKETING

MR. A. VENKATARAMAN - SENIOR PRESIDENT ,
CORPORATE AFFAIRS & FINANCE

MR. ABHISHEK AGARWAL – CHIEF FINANCIAL OFFICER

MODERATOR : MR. VIKAS H VERMA – ERNST & YOUNG

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '25 Earnings Conference Call of Garware High -Tech Films Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vikash Verma from Ernst & Young. Thank you, and over to you, sir.

Vikash Verma : Thank you, Steve . Good afternoon, everyone. Welcome to the Quarter three and Nine month s FY '25 earnings call of Garware High -Tech Films Limited. On behalf of the company, I would like to express our gratitude to each of you joining the call today. To discuss the performance of the company and to answer the questions, we have with us from the company, Mr. M.S. Adsul, Director - Technical; Mr. Deepak Joshi , Director of Sales and Marketing; Mr. A. Venkataraman, Senior President, Corporate Affairs and Finance; and Mr. Abhishek Agarwal , the Chief Financial Officer.

Before we begin, I would like to draw your attention to the fact that today's discussion may contain forward -looking statements that are subject to various risks, uncertainties and other factors, which will be beyond management's control. We kindly request that you bear in mind there may be uncertainties when interpreting such statements. Please note that this conference is being recorded.

We will now start the session with an opening remarks from the management team. Afterwards, we will open the floor for an interactive Q&A session. I would now like to invite Mr. Deepak Joshi to make his opening remarks. Over to you, Mr. Deepak.

Deepak Joshi: Good afternoon, ladies and gentlemen and thank you, Vikash, and thank you all for participating in Garware High -Tech Films Limited earnings call for the third quarter and the nine-month period ending December 31, 2024. We appreciate your continued interest and support. Let me start by providing a brief overview of our financial standing.

As we reflect on the third quarter of FY '25, we acknowledge the resilience and strategic agility of our company. Following an outstanding performance in the first half of the year, our performance has demonstrated a stable year -over-year growth trajectory despite the anticipated seasonal softness which traditionally impacts this quarter. While we did experience a Q -o-Q decline, this was largely in line with our expectation given the lower sales of our higher -margin IR products, which are naturally affected by the seasonal fluctuations.

Nevertheless, our strategic initiatives and diversified product offerings have allowed us to navigate these seasonal factors effectively, ensuring that our financial outlook and the guidance remains unchanged. On a consolidated basis, we have reported a revenue of INR466.4 crores
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and a profit after tax of INR60.8 crores for the quarter. Our CPD segment, which is PPF plus Sun Control , saw a slight decline of 7% year -on-year basis. However, our IPD segment grew by 24% driven by increased penetration in newer markets. Let me take you through our transformation since 2018 towards a niche and value -added product portfolio. In 2018, our revenue was INR874 crores with an EBITDA margin of around 9%. We have completed and delivered 3 Capex since 2018, which has helped us to build a portfolio of newer products, which has significantly increased our revenues by approximately 2.5x and EBITDA margins at 24% based on the 9 months FY '25 on an annualized basis. The fourth capex of additional PPF line is o

n track and is expected to be completed by September

'25. Furthermore, we are pleased to announce that the Board of Directors have approved an investment of INR118 crores, which is a first -of-its-kind TPU extrusion line at our Waluj plant. The new TPU is expected to be completed within 18 months with a planned capacity of 360 LSF, lakh square feet, per annum. Production from this line is set to commence by the end of October '26, further strengthening our capabilities and expanding our product offerings. The output from this new line will support the input requirements of both of our existing and upcoming PPF production lines, ensuring seamless integration into our manufacturing process. This strategic move is expected to yield incremental advantages, including an expanded product portfolio, improved margins and enhanced operational efficiency and cost savings. This initiative not only opens up new pathways for expansion, but also diversifies our growth potential across a range of products in automotive, healthcare and architectural to name a few.

Now let me briefly explain our main product lines. Our Paint Protection Film business continues to experience strong demand from key customers in USA, Middle East and India. There is a consistent traction in this segment and we are actively enhancing our product offerings and customer experience.

We recently introduced 2 advanced PPF product variants at the Bharat Mobility Global Expo 2025 in Delhi. The first is Coloured PPF, which is a game changer for Indian auto enthusiasts, offering vibrant color options to personalize and protect vehicles like never before. The second is Headlight and Taillight Glass Protection, providing advanced solutions to safeguard the brilliance of car lighting systems.

Additionally, we have launched EMI Solution with Bajaj Finance, making premium protection films more accessible to Indian car owners through low-cost flexible financing options. We have also introduced PPF Insurance in partnership with Insurance Dekho, the first of its kind comprehensive insurance coverage for PPF in India, ensuring long-term stress-free utilization. With these developments, we continue to expand our offerings, strengthen our market presence and enhance customer satisfaction. We are quite confident of continuous growth and are making provisions accordingly by addressing certain debottlenecking measures and considering further growth plans.

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Now I would like to take you to our Sun Control Films. On SCF business, we experienced 15% year-on-year growth in revenues. This growth is attributed to the expansion of our architectural business. We expect this positive trend to continue, further supported by the introduction of innovative products for the auto sector and new grades in the architectural and decorative films segment. We continue to receive significant interest at various exports and trade shows we participated in, which indicates strong potential for both our existing and newly introduced product lines.

Now lastly, I would like to talk about the Industrial Products business. The IPD segment has grown by 24% Y-o-Y basis, supported by strong demand for specialty films such as lidding films, PCR and shrink films. We remain focused on the future of this value-added segment. We have also secured a patent for our innovative floatable shrink film, reinforcing our position as industry innovators and leaders.

Our strategy includes expanding the specialty segment, improving capacity utilization and enhancing operational efficiency. These initiatives will help us strengthen our market presence and further drive profitability for the IPD business. We actively work on expanding our team by bringing in resources from across the world, participating in key industry events and increasing our digital media presence globally.

We are also proud

to share that this quarter gone by, we were awarded the winner in packaging and allied activities by Dun & Bradstreet, further reinforcing our excellence. Looking ahead, we are confident in our ability to build on the progress we have made and we continue to uphold the forecast we previously communicated. Our surplus cash reserves are being strategically deployed to fuel the next phase of growth with our recent announced capital expenditure expected to mirror the terms of our past capital investments.

As market demand remains steady and our strategic initiatives take shape, we are buoyed by a robust product line-up, strategic investment and targeted efforts to broaden our market reach. With these elements in place, we are hopeful of realizing improved performance in the forthcoming quarters. Thank you once again for your time today and for your continued trust in Garware Hi-Tech Films Limited.

With this, I now request Mr. Abhishek Agarwal, our CFO, to take us through the highlights of the financial performance. Over to you, Abhishek.

Abhishek Agarwal: Thank you, Deepak, and good afternoon to everybody on the call. Start with our financials for Q3 FY '25. The consolidated revenue was INR466.4 crores. This is 2.8% growth over the previous year-on-year number of INR453 crores. While our 9 months ended December 31, the revenue stood at INR1,561 crores, marking a 27% year-on-year growth from INR1,230 crores for the 9 months of FY '24. This growth was attained or sustained -- was driven by sustained demand across our key business segments.

Despite industry headwinds like geopolitical tensions, supply chain disruptions, we have delivered a steady performance and a strong EBITDA for Q3 FY '25, which is now standing at Garware Hi-Tech Films Limited
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INR93.7 crores, an increase of 10.7% over INR84.6 crores of the previous year. On a 9-month basis, my EBITDA stood at INR374 crores, registering a 61.7% growth compared to INR231 crores in the 9 months of FY '24. This improvement reflects the positive impact of our high-value product mix, deeper market penetration and continued operational efficiencies. On the PBT side, the Q3 FY '25 stood at INR81 crores, again, reflecting 11% increase from INR73 crores of Q3 FY '24. While for the 9 months FY '25, PBT stood at INR336.7 crores, marking 75.2% year-on-year growth from INR192.2 crores. On PAT front, Q3 FY '25 number is at INR60.8 crores, up 8% against INR55.9 crores in Q3 FY '24. While for 9 months FY '25, PAT stood at INR253.4 crores, reflecting a 7.4% growth over INR145.4 crores in 9 months of FY '24.

Exports continue to be a strong contributor, comprising approximately 74% to our performance with value-added products comprising 85% of our product mix and playing a key role in our global expansion. Our financial position remains strong and we are pleased to report that we have a cash surplus of INR572 crores as of 31st December, 2024. We continue to remain net debt -- zero net debt, positioning us well to advance our strategic projects.

The newly announced capital expenditure for TPU extrusion line is expected to drive operational improvements and enhance our profitability indicators. And given our strong cash flows, we will fund this expansion through internal accruals. Looking ahead, we are confident that our efforts will continue to drive measurable improvements in financial performance. With this, I will turn the call over to the moderator for the Q&A session. Thank you.

Moderator: The first question is from the line of Dhwanil Desai from Turtle Capital.

Dhwanil Desai: Congratulations for a steady set of numbers. So my first question is, I think as you indicated, this was a seasonally soft quarter. But going into Q4, how do you see the demand, especially given the overhang of tariff backdrop that is happening on Sun Control side, I think February, March when

we start doing the shipments. So what are you hearing from your customers?

And has anything changed since our last interaction? And going into FY '26, I think we were looking at INR2,500 crores kind of a number. So are we still on course to do that? If you can talk a bit about that.

Deepak Joshi: Yes. So thanks for your question. Like I said in the opening remarks, the guidance for this financial year and next financial year remains unchanged. We are very confident that we are going to meet the guidance given previously. And as we speak about the tariffs, so as of now, it is like we are hearing a lot of things and we are continuously in touch with our customers. So I mean, given the government initiative to reduce the tariff for the goods like Harley-Davidson and all those things, which was actually discussed during the campaign of Mr. Trump, that has been lowered.

And we hope like upcoming visits between the countries will subside the risk. In the worst phase, if I say, like worst-case scenario, there can be a counter reciprocal tariff which does not affect

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much because it's hardly 2% to 3% difference. And I would like to reinforce one thing that the duty on the -- our neighbours China is around 35% now, vis-a-vis our duty stands at 6.6%. So we have a lot of headroom available in US market and we are treating it as an opportunity for us and our entire sales force and the team works to get the advantage of this scenario.

Dhwanil Desai: The second question is, I think we have indicated that our margins will remain 25% plus or minus 3%. I think this quarter, we are lower than that range maybe because of the seasonal fluctuation. And I also see that even on a year-on-year basis, the commodity mix has increased significantly. So anything to read into this? And as we bounce back on revenue, are we kind of on course to do that 25% plus or minus 3% range on the margin side?

Deepak Joshi: Yes. As you rightly indicated, like Q3, as we stated in our previous calls, that the highest margin product for us is Sun Control, especially Sun Control IR films, which goes to its minimum in Q3. So that's how the margins were lower in the previous quarter. But if you see 9-month numbers, we are still at 24%, which is a very healthy sign as compared to the past. And Q4, we expect to maintain these kind of numbers. So we are really well on course. I mean all the guidelines have been given, which are still valid, no change in that.

Moderator: The next question is from the line of Nikhil Kanodia from Monarch Network Capital.

Nikhil Kanodia: Congratulations on a decent set of numbers. I had a question on the TPU capex that you have announced?

Deepak Joshi: Yes, please.

Nikhil Kanodia: Sir, number one, you said it in the press release that it is to be incurred within a span of 33 months. So if you can give us some yearly guidance on the capex that will be incurred for this facility as well as the upcoming PPF facility. That's number one. And number two, so like from the understanding point of view, so this TPU will be kind of a raw material for your PPF, right?

Deepak Joshi: Yes.

Nikhil Kanodia: So how much benefit is it going to give you in terms of cost? And also like the capacity we have for PPF will be around 600 LSF and this is around 360 LSF. So what sort of ratio will we have going ahead like when it comes to raw material procurement from internal sources and from the open market?

Deepak Joshi: Yes. So first of all, on the capex, which we have announced, it is INR118 crores, that is total and to be spread over 18 months, right? So it will be more towards last 6 months because we make provisions with our LCs and all those things. So maximum spend happens in next year, right?

So now going to how it will benefit. So it is going to be the backbone of -- it is going to be the backbone

of the PPF lines which we have.

As if you see the real strength of the company is for all, it's a backward integration, right, from petrochemicals to chips to films to our nano dispersion or making our own adhesive and top - Garware Hi -Tech Films Limited

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coat. So this was the only point missing in PPF. It makes us very value proposition in the market.

And another thing, it will add a lot of innovations for the new product developments.

As the market wants continuously innovation with this, I mean, we can do all those -- our in-house testing and new product developments within 3 months in the field of PPF and some of the architectural segment. So this line, first of all, it will be a cost saving for the PPF. Second thing, it will add to R&D developments and it will open up new product portfolio for the company, which we will disclose at the coming quarters.

But right now the thing is there are like many segments which we are targeting with that because if you really see our products like we -- Garware was the first company who brought the films in India, then we were the first one to do Sun Control Films and Paint Protection Films. And now with this innovation, it will be a backbone for our PPF. At the same time, we will venture into new product portfolio with this line, right.

So I hope I have answered. If anything missed in your question, sorry, you can ask again.

Nikhil Kanodia: Yes. Sir, one thing that I asked is the capacity is around 360 LSF for this TPU Plant, right?

Deepak Joshi: Yes, yes. Yes.

Nikhil Kanodia: And the existing plus upcoming PPF facility, we have around 600 LSF capacity.

Deepak Joshi: Yes. Yes.

Nikhil Kanodia: So in that sense, like if we take like 1:1 conversion ratio, so like I just wanted some sense on the like --yes.

Deepak Joshi: So it will be sufficient, as you rightly pointed out for one line as of now. So it gives us going forward with this -- I mean, this will be sufficient for one line only. So we will use 100% capacity for that. As I said, we will keep some provision for the new product developments in the different segments.

And going forward, like if everything permits the way we are growing, I'm happy to announce here that this is fifth of its kind of announcement. We have done 4 capex till date in a short period of last 4 years from PPF Line 1 and then Sun Control and Metallizing and PPF Line 2 is still on course for September '25. And this new capex will come on October '26.

But the point here is the company has turned around its top line and bottom line significantly with the addition of capex, right. So this capex is putting us into a strong value addition for our PPF and of course, opening up new foray into different product lines. So to answer your question, yes, it will be like 50% of our existing requirement and 50%, we will continue to source.

And we'll look into further expansion depending on the situation going ahead.

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Nikhil Kanodia: Okay. Okay. And sir, with the 9 months, I guess, for the Q4, the ask rate is around at the PAT level of around INR80 crores. So we -- like while you said that at the annual level, you'll be able to do what you have guided earlier. So with INR80 crores ask for the Q4, like are we still confident in that sense?

Deepak Joshi: You mean revenue guidelines for the year?

Nikhil Kanodia: PAT. PAT.

Deepak Joshi: PAT guidelines? Yes, we are -- I mean, if you see, like we have shown a 75% growth in 9-month basis. Q3 being always, as stated, is like a lowest possible season for us. We are -- we will do definitely on course to do good in Q4. So the guidelines remain intact. We are confident of achieving that.

Moderator: The next question is from the line of Aditya Rath from Aequitas Investments.

Aditya Rath i : Sir, I wanted to know more about the impact th

at we could face because of the US tariff. I know you just mentioned it, but if you could just throw some more light on that.

Deepak Joshi: Yes. See, as I said, the tariff, first of all, the tariff which is announced has been favourable to us because it is on China, right? The 25% goes to 35%, right? Where vis -a-vis our number is quite low as we speak in the current situation. Then Government of India has already started taking proactive actions.

That means reducing the imports from USA, right? So which was like a point of very well -- I mean, this is a geopolitical discussion, but we are keeping a very close eye on that through our customers and our consultants, right? In worst -case scenario also, we seem to be benefited from this situation.

Aditya Rath i : Sir, will this lead to any margin contraction for us from the export side?

Deepak Joshi: Sir, it will depend on how much is the duty. As I said, in the worst -case scenario, it will -- it can impact 2% to 3% only. But if you see the duty put on other countries, including China and the possible talks about EU and all, they are coming ahead of -- I mean, they are in the list prior to India.

So this -- any case is going to benefit us rather than giving a negative impact to that because there may be an opportunity for price increase because right now it's uncertain, right? It can go anywhere around. If we talk of present situation, it's good fo r us. If we talk of duty, which is like tit for tat, exactly same reciprocating the duty, we are going to get benefited.

So we are very positive about that and we are working to get the maximum advantage of the situation. Despite -- I mean, it goes even the worst case, we see -- we have a strategy and we are doing good with that.

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Aditya Rath i : Okay. Okay. Sir, my second question, last question is also on the same line exports, sir, from Latin America, if you could throw some light. I think we are seeing subdued growth in that -- from that area.

Deepak Joshi: From Latin America? So Latin America, I mean, if you talk of the company's strategy, we added a resource in last quarter to fuel the growth because Latin America is a very big area where we wanted to increase the presence. Let me tell you one thing, like we have kind of growing very fast. We have been growing in USA and other parts and India.

So we have now targeted the areas where we were little lacking because of our distance and all those things at the same time of resources and different languages. So we have hired another resource in that area to fuel the growth for South American market, Latin America. So we are very cognizant of the fact that we need to grow continuously.

So all those territories where we have not been present or present lower than what we anticipated, we are doing everything to grow there.

Moderator: The next question is from the line of Naitik Mohata from Sequent Investments.

Naitik Mohata : Sir, I just want to understand what was the guidance for FY '25 and '26? Also, I mean, you did mention that the commodity mix has increased on year -on-year basis when compared to the Q3 of previous year. Is there any particular reason?

Deepak Joshi: So the guidance given for FY '26 was INR2,500 crores. That -- we maintain the same guidance. I mean, we definitely meet that. And into -- if you see the 9 -month results, we are on course to cross like I won't mention the number, but the INR2,000 crore plus guidance was more or less given. So that we are going to achieve.

Naitik Mohata : Okay, sir. And what about the commodity mix?

Deepak Joshi: Yes. So commodity, this all -- if you really see our Number 1 product and the highest revenue and profitability earner is Sun Control Films. And Q3, because of the lower demand and the seasonality, mainly because of seasonality, the other portion seems to be like Industrial Products

and Commodity seems to be up.

But we expect overall, let us look at the growth on annual basis and because this will always happen, like sometimes more inventory goes to the market and then we see a little lower in the next quarter. But if you see year -on-year basis, our guidance remai ns the same and our growth will come from Consumer Products division and we are very confident of that.

And despite the -- and having said that, on Industrial Products, we have made like significant progress towards shrink films and we just took a patent -- we got the patent for floatable shrink films. Similarly, there are more efforts being put into that di rection and Lidding being a very, very strong growth area for us, which will drive our business to North America and South America.

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So we put all the efforts to the specialty even in the Industrial Products segment. And the number which looked a little up and down for Commodities, it will -- it is only because of quarter 3 being seasonally low for Sun Control Films. That's the only reason.

Moderator: The next question is from the line of Pratham from Quantum AMC.

Pratham: First of all, congratulations on the numbers. I had a question from the competition side. So one of your competitors has introduced the PPF product in the Indian markets. So what kind of impact are we seeing on our business?

Deepak Joshi: Yes. So first of all, I mean, if you are referring to the -- I mean, that company, I can say that we have announced like we are manufacturing PPF with Line #1 and we declared when it was commissioned and growth. And now second line, which is coming on in September '25, right . So I didn't hear any such announcement that there is a manufacturing facility in India. Just please, if you are already launched, there are already 10 products launched in India, right? So -- but we need to really aware of the fact whether those who are launching are the manufacturers, right? So I'll tell only this much here.

Now if we talk of our position, we make our own PPF and we make all 4 components by ourselves. And with the announcement of TPU, we are going to go very strong in that, right? And with the launch of Coloured PPF series, Headlight, Taillight and then with Bajaj Finance and of course, with insurance, like we have been targeting the markets in a very strong way. And we are doing everything possible to remain the forefront of this. And our technical capabilities are also very strong and superior. And lastly, whoever has been doing this in India is actually our major market, 80%, 85% is export driven . And in the export market, the customers are technically very superior.

They want to know each and every component where it has been manufactured. So having all said that, I think I have been able to answer your question.

Moderator: The next question is from the line of Rahul Jain from Credence Wealth.

Rahul Jain : My first question is with regards to FY '25 numbers which you spoke. So the way -- and you have guided earlier also that quarter 3 will be a seasonally soft quarter, but we will see a good improvement from quarter 4 because of seasonality effect as well as the preparation for the coming season. So can we expect some 15% to 18% growth for this quarter, March quarter on a year-on-year or a quarter -on-quarter basis?

Deepak Joshi: Yes. I think we will do much better than that, right? On quarter -on-quarter basis, will be a very strong growth. And there will be a strong growth as Y -o-Y basis also. And we'll meet the guidance of INR2,000 -plus crores and on top line and bottom line. So we are on track. And as I said, it will be a good growth, more than what you are saying, it will be stronger than that.

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Rahul Jain : Clear, sir. And sir, secondly, with regards to the inquiries you've been

talking to customers since

our PPF line would be coming in September. And also the fact that compared to the first line, I'm sure this time in terms of quality, in terms of the initial bidding processes, which will be much lower. So how do you see this second line ramping up, in what time frame?

Deepak Joshi: Yes. So I mean, we expect this will be like running for 6 months. And within 1 or -- the timeline given for that is September '25. So it will be like very quick to adopt like high -- I mean, high - quality products that is A -grade product. But looking into -- we would like to be conservative in terms of adding their revenues. So you can say it will be utilized 50% to 75% conservatively for 6 months.

But it will in terms of technicality and all, it will be very -- I mean, it will be up and running very fast. From September '25 onwards within a month, it will be like -- I mean, it can give 100% revenues. But depending on the market and all those factors , we will be, like, able to generate more than our guidance, what we have given.

Moderator: The next question is from the line of Ankush Agarwal from Surge Capital.

Ankush Agarwal: Sir, first question is around growth. I mean, it is understandable that seasonally Q3 is a soft quarter and the seasonality in terms of inventory. But what I'm trying to understand is the growth that we have given this quarter versus the commentary that we had in Q2. So the commentary was sort of indicated in the Q2 con call was that we are looking for better sequential number. If not in Q3, then Q4 definitely we expect a large sequential growth.

But compared to that, I mean, the expectation overall was that Q3 would be previous similar quarter number compared to Q2 it was slightly lower, but it's a much larger de -growth. So just wanted to understand where the things have gone wrong versus the commentary. I mean seasonally, it is pretty understandable in the business, but I think the commentary was very

different from what you have delivered during the quarter.

Deepak Joshi: See, like we said in that, I mean, we never declared that sequentially Q3 will be better than Q2. It is -- I mean, it was never mentioned, right? It was always said that Q3 numbers because it's seasonally low, right, it will be not as great as Q2, Q1 and Q 2, right? And if you see Y-o-Y basis, we have close to 10% growth on bottom line, right?

And see, again, I will say these -- our business model is very different in terms of seasonality and the sale, right? Our real sale happens from our warehouses in USA to our customers. That comes -- that is recorded as a consolidated, right? So if you really see quarter-on-quarter variations and all those things are not really what we are looking for.

We are looking for a long-term growth. We are looking for a year-on-year growth basis and we are on course with that. I mean nobody can predict like what will happen to this month to next month because sometimes more inventory goes, then you will see the sale drop in the next month.

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So overall, if you really see, we have shown an outstanding growth. In 9 months, if you see, it's a 75% growth over last year. So just on the bottom line. So I think that's a remarkable thing what we have done. And we are giving the guidance for the whole year also similar kind of growth. So I mean, quarter-on-quarter, sometimes because when it is lean, we don't know how much lean it would be plus there are so much of, I mean, uncertainty in terms of geographical tensions despite the fact that we are quite confident and there is nothing wrong in all those things. So I mean, I can say that the growth on like annual performance and everything is going to remain robust.

Ankush Agarwal: Okay. Got it. So the second question is on the PPF business and our dependence on one of the largest customer out of US. You sort

of commented on the previous question also that you are looking to limit dependability on that customer and maybe you will not try to sell the entire second capacity to them.

And its sort of visible also in the quarterly variation that we have in the PPF. So if you can give some color how much of our business is dependent on that customer for the PPF line and also Solar Control also because I think that company has also started doing window films quite big? Deepak Joshi: See, in terms of a customer, we never discuss that thing because it is a confidentiality agreement between the companies, right? So I'm unable to comment anything on that. However, like we have given the guidance, our growth and everything is intact. If you really see -- again, we see the numbers and everything, there is no change in that. Sometimes one customer may buy more in a quarter and then he sees lower sale in automotive and all those things. It can go up and down. So I can't really comment on a particular customer, right? We have many such customers who are big enough to like go here and there. But overall, we are quite balanced portfolio. And so that's why I would not like to comment, right? But what was the second question about window films?

Ankush Agarwal: No, I think that customer has also started doing window films in the last few years and they are naturally doing very well on that as well. So I wanted to understand if we have certain dependence on SCF side also with that customer. But I can understand that it would be difficult for you to answer the question, but fine okay.

Deepak Joshi: Is it -- dependence is good or bad? I mean, it's like if some reputed customer comes to us, we take it as a pride. But we always -- see, if you really see when we talk of like we export to more than 100 countries, that means we have presence everywhere into the market, right? So we do not talk of one particular customer. I mean, if you really see internally, we have quite well-spread portfolio on window films as well and we are very strong.

In fact, I'll just give you, the forum, a number that we -- last year, we made a separate team for domestic architectural business. And I'm happy to announce that this team has performed so well because we made an entire new team with a new team leader. So it has performed in the

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architectural domestic market 2x growth as compared to last year. If we see in the 9-month data, it has grown 2.

So we understand the growth with -- in the areas where we have not grown. So nothing stops us from any customer or anybody from growing our own. So same thing we are now replicating in US market, where we have hired a very senior team leader to make the similar team what we have done in India. We will replicate the same architectural business in USA.

So we are thinking on a very different parameters than you are considering like we are growing to backward integration. We are going into new products, colors and all. We will now looking into venturing into architectural more than the polyester. We will also be doing a lot with the TPU and all.

So our vision is to grow everywhere in the world. The customers who are welcome as big customers and all. But at the same time, we have a very strong team, which is growing further to all geographies and all product portfolio.

Moderator: The next question is from the line of Mahesh Bendre from LIC Mutual Funds.

Mahesh Bendre: Sir, just wanted to know what was the contribution from Sun Control Film and PPF for the current quarter?

Deepak Joshi: Yes. So -- growth.

Abhishek Agarwal: Growth. So we had a decent growth on Sun Control as compared to the previous year, even though it was basically a market or not a great time to have it, we grew almost like 20% in the Sun Control. And PPF, we -- because of seasonal factor, there was...

Deepak Joshi

: There was a little drop on PPF and there was a 15% to 20% growth on Sun Control numbers. And those numbers are, again, because of the inventory adjustment because people carry their product in our warehouses. So the sale from warehouses expected always to be better in Q4. And of course, Q1 goes to be very stronger. So now another factor is there is some duty which is refunded to US customers.

So it usually starts picking up of -- I mean, February, second half because of those refunds. So sale from our warehouse in US, which is actually recorded as a consolidated performance, that starts picking up of second half of February onwards.

Mahesh Bendre: Okay. And sir, you spoke about the achieving INR2,500 crores of sales in FY '26, which is like a 20% kind of growth -- 20% growth over FY '25. So if we have to look for FY '27, given our second line for PPF is also coming up by this year -end, so we'll be able to continue similar performance in FY '27?

Deepak Joshi: Yes. We expect a top line growth of 20% to 25% on top line. And bottom line, as we said, like we focus on -- mainly on the operating margins, which you can see they are continuously going

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up. Like I shared the journey from 2018, where we were mostly the commoditized and our operating margin was only 9%.

As we speak, 9-month numbers are 24%, right? So these numbers, all the growth is now coming from a specialty segment, right? So with the PPF growing more and then TPU coming on stream, on a longer term also, we expect that top line growth, like I shared, 20% to 25%. On the bottom line also, we see a consistent growth with operating margin increasing slowly and slowly.

Mahesh Bendre: Sure. And sir, we are setting up a new facility for backward integration. So this add to our margins in terms of any benefit to us in terms of -- at a gross margin level?

Deepak Joshi: Yes. We expect growth of -- because PPF business as a whole will benefit in terms of profit margins. So I can say overall company level, if we talk of current revenues, like definitely, the revenues are going to go up. We expect around 1.5% to 2% improvement in the gross margin -- operating margins.

Mahesh Bendre: Okay. Okay. Okay. And sir, last question from my end is now rupee has depreciated from INR84 to INR88 almost. And our 75% export is -- I mean, 75% of our sales is exported. So will we get the benefit in terms of this rupee depreciation? Or is it that this rupee depreciation benefit is passed on to customers?

Deepak Joshi: No, definitely not. Because what happens is our -- if I say, there is a lot of imports as well, which is definitely going to go down with further backward integration, right? So balance advantage goes to company. I mean, customer -- we don't discuss that because what happens is when it appreciates, then we have to ask. So it is understood that the sale is in US dollars, so that continues to be like that.

I mean, it is not passed on because for them, it's like a US dollar purchase, which continues to be at that level. However, we gain quite strong with the exchange rate. But at the same time, sometimes we have to give some benefit to customers, not in terms of -- as a benefit pass on. But if other currency also depreciate in the similar way, then they feel a lot of pressure on prices with the competitors.

So we make minor adjustments in that case. But overall, in a nutshell, that is not passed.

Mahesh Bendre: Okay. So if I were to put these 2 things together, I mean, the backward integration benefit of 1.5% to 2% at the gross margin and plus the rupee depreciation benefit, if at all comes, so this can significantly take our margins up, maybe 25% kind of stuff?

Deepak Joshi: Yes. You are right. I mean it depends on how things unfold in future. But I mean, as a -- principally, logically, you are right. I agree with that.

Mahesh Bendre: Ye

s, because I'm leaving aside the operating leverage benefit. That is a different part.

Deepak Joshi: Yes. Yes. No, no, definitely. You're right. This is -- this happens.

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A. Venkataraman : Yes. One thing I would like to add is cost optimization benefits; we are certain because we are putting up a plant for INR118 crores. But as far as rupee depreciation, we are not sure because these are all fluctuating every month, you might be noticing. So we are not sure about at this point of time. To answer your question, definitely, the margin improvement, what we discussed about 1% to 1.5% on the cost optimization project, what we are going to put up INR118 crores, that is certain.

Moderator: The next question is from the line of Aman from Astute Investment Management.

Aman: My first question is on this SCF and PPF business. So we did quite well in Q1 and Q2. And Q3, obviously, we expected was a lean season. But do we expect that number, Q1 and Q2 sales to cross in Q4 in terms of SCF or PPF or it will cross those numbers in Q1 next year?

Deepak Joshi: See, yes, like as you mentioned, Q1 will be relative to Q1 last year because Y-o-Y is very important because of the nature of the business. So we expect a repeat performance -- better performance in going forward because if we talk of current year guidance of INR2,000 crores and next year's guidance of INR2,500 crores, so definitely, that will improve on a Y-o-Y basis, these numbers for Q1, Q2, Q3 and Q4, obviously. And going to Q4 versus last year Q4, definitely, we are going to see a strong growth over that.

Aman: Just on that part, I'm still not sure. So Q1, Q2 we know was very, very good though. So those numbers, you don't think we'll repeat in Q4, mostly we'll repeat those numbers in Q1 next year?

Deepak Joshi: I'm not saying no. I mean we will be close to those numbers. Close to those numbers.

Aman: Second question is on architectural films as well as PPF Film, which is in domestic market. So architectural film, if you can talk about the upgrade, what kind of growth are we seeing? It was very good in the 9 months. But do you expect the same growth to happen in the Q4 as well as next year, FY '26? And same, if you can talk about domestic PPF business with these new products like EMI and insurance be launched, do you see a good uptake in this? Can this become like a INR200 crores, INR300 crores business for us in next 2, 3 years, domestic PPF?

Deepak Joshi: Yes. So one by one. The first question is to architectural growth. Yes, as I said, I mean, there has been a whole new team has been set up and product portfolio has been completed to see this kind of growth, which is double in architectural in the domestic market. So this growth is going to continue because we still are talking to very big names in the industry who has started procuring our products because I would say we have created some of the market to do for the same. Like we did in PPF, we are doing in, I mean, architectural films as well. We are creating some markets. So we expect at least next 2 to 3 years, we are seeing very strong growth on architectural in India.

Now architectural in America, like I said, we have set up a similar success story of India. We are going to now test in America with the team leader has been hired from a top company in US. And he's setting up his team and he is on the ground already to take this business to next level.

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So that is, again, we are seeing quite good opportunities there and we are hopeful that we will continue to show a strong performance of architectural films, both in India and export market as well. Now secondly, on to the PPF, right? We have grown from, I mean, very low base to the numbers which we are seeing now.

And that growth will continue now with new set of initiatives

for the domestic market, where we have given an opportunity for financing their PPF.

For example, our titanium, which is priced at around INR1.5 lakh per car, right? So that can be almost at no interest cost or at a very, very low number that customers can take advantage of EMI for 15 to 18 months and then it becomes more affordable, right? So we are seeing very good growth -- I mean, very good inquiries from our customers, our Garware Application Studios to start that thing. So it is already launched and now the data is being exchanged.

So this will definitely see growth pattern in the domestic market. And with the colors and all, we are seeing a lot of opportunity where even the market, which is secondary cars and all are asking for these products in a good amount. So we expect a very good growth of PPF in the domestic market.

And domestic market, if we really see on CPD Sun Control s plus PPF, we are seeing 60% to

70% growth. On architectural, we are seeing almost 100% growth. On other part, we are expecting -- we are doing like 50% to 60% growth on the domestic market. And at least for next 2, 3 years, this will continue because, again, we are seeing a market which is close to 2% of PPF penetration, whereas we can target 10% of that.

So this all is like, again, we are not working on one particular area or one particular product. We are working as a whole to entire geographies, domestic and export market and with a very different product line, which will give us very good results in going forward in future.

Aman: Just a final suggestion given we are talking about generating INR300 crores, INR400 crores kind of cash each year now. So don't you think this is a good time for that special dividend on buyback, which we were planning because we have a lot of cash available? So what are your views on that?

Deepak Joshi: Yes. See, again, when -- let me just highlight one thing that TPU plant, which we have put, just I'm giving an example, we -- this is the fifth of its capex in last 4 years, right? So this capex is taking us to a very different route. It is a first of its kind extrusion facility in India, TPU extrusion facility. And that will open up a lot of avenues for new product lines and everything, which will add the value.

I'm again going back to the table where we said like from 2018, 9% of operating margin, we are now standing at 24%, right? And we are putting all efforts to increase that valuation to us, right? So this all the deployment will take in due course. Right now we are finding a very strong path in our growth trajectory. So we'll decide in due course. Maybe we can definitely look into like cash surplus into growth of the new product lines and new plants.

Moderator: The next question is from the line of Ankit Gupta from Bamboo Capital.

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Ankit Gupta: Sir, SCF, we have seen significant growth in this 9 months. And given we had a very high base of PPF last year, it seems that on a 9 -month basis, PPF's growth has been significantly lower. We might have actually de -grown in PPF. So if you can indicate how much has been the growth or de -growth in PPF in 9 months of this financial year?

Deepak Joshi: See, we have definitely grown in 9 months for PPF. Let me give you an example. Q2 has been the highest ever sale for PPF, right? So now for 9 months, definitely, we have grown quite big in PPF, right? So if I tell you the number, like it has grown by 20% in 9 months. I was just looking at the data, sorry. So 9 months, we have grown by 20% in PPF.

That's why you are seeing like on the bottom line, you are seeing a 75% growth, right? On the top line, we are seeing a very strong growth of the company. And that is actually led by Sun Control , PPF and of course, IPD has also contributed. So I mean, I gave you the number,

like

we have grown 20% on PPF only in 9 months.

Ankit Gupta: Okay. Okay. Okay. And sir, on the geography front, like how is India performing? Because India revenues, as you give the geographic breakup, we used to do somewhere around INR110 crores, INR120 crores on a quarterly basis. And even if I look at Q3 of last year, we did almost INR103 crores.

And compared to that, we have done almost INR82 crores of revenues in Q3. So is it the commodity side which has de -grown or we are seeing some challenges in performance on our PPF and SCF sales in the domestic market through our own studios and through other distributors as well?

Deepak Joshi: Sorry here. So the question is where the growth has come in the domestic market?

Ankit Gupta: No. Actually, domestic that there's been some de -growth, which has happened in the domestic markets. Earlier we used to do almost INR110 crores, INR116 crores we did in last quarter. And as per the presentation of Q3 last year, we did almost INR103 crores in Q3 FY '24. So compared to that, we have done almost -- we have done INR82 crores of revenue in this quarter. So is it...?

Deepak Joshi: Yes. So let me...

Ankit Gupta: Yes. So is it that the commodity that is de -grown? Yes, sure.

Deepak Joshi: No, no. It's de -grown means actually, if you see, we are putting a lot of efforts on IPD side. So IPD, if you see, they have grown. So that growth has come from the export market. So that's why we are seeing a little lower number on IPD side, where export has grown, right? So export of IPD has grown and domestic IPD has a little gone down. But as I said, on the domestic market of CPD division, we are showing overall growth of 60% to 70% on a 9 -month basis, right .

So that's why the growth on CPD has been very strong, and we are intentionally putting more efforts on IPD for export side. So that's why this mix has little changed because this is on the company level.

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Ankit Gupta: Okay. So the de -growth is on the IPD side and not on the consumer side?

Deepak Joshi: Not on -- definitely.

Ankit Gupta: Sir, on the colored PPF, if you can highlight what can be the scope of this product? And the last question is on the architectural films. How is that scaling up? So the scope of colored PPF and how is architectural films performing? And how do you see the growth in the segment?

Deepak Joshi: Yes. So -- yes, yes, good. So what is happening, we are seeing -- we have launched the colored PPF with a different vision. The vision was like if you see Tesla currently doing stainless steel bodies, right? So the colored PPF has become very popular in the US market, right? Because the kind of color you want, you are getting with that, right?

In India, we are expecting with the current geopolitical, as I said, we are taking too -- we are very positive in terms of taking advantage of the situation where we feel a lot of such vehicles may come to India, right? Because it's whatever happens in the westward in USA and all, they come to India, right?

If we see like Tesla launching Cybertruck in the stainless bodies, there are some factors behind that. That paint is one of the most hazardous compound or part in a car. So that's why they are doing a stainless steel bodies. But if you talk of the aesthetic point of view, people love color, right? So that's how the business of Tesla colored PPF has increased. So you think of any opportunity, these things coming to India, we will be the Number 1 and the market leader in providing all those things, right?

And we are doing the same thing in America also. But in India, this will go to a very different set of growth. That is number one. Number two, when you talk of colored PPF like black and all, right? So the black PPF and black matte is doing really good for us, where the quality of the car -- aesthetic value of car goes ve

ry high with colored PPF because you are putting another coloured layer on your color. So the gloss increases and the protection goes to the next level. And all the new and young generation, which are car enthusiasts, they want to do it with a 2 different color, 3 different colors, right, that attracts them. So we are trying to make that. As of now I can say that the business has not grown that much. But all the businesses which we are doing now, we have seeded that into the market. And we are expecting, I mean, steady growth into that, which will lead us to really good volumes in future.

Ankit Gupta: On architectural films, how are they doing?

Deepak Joshi: It's a very different product, I can say if you are talk of the market where people just produce transparent PPF. We are now a level of a very different color of PPF and then matte PPF and on to that, excluding our own TPU. So with that, we become a very value -added and I mean, this - - everything is a value addition to PPF business. So this will definitely drive more revenues and higher, I mean, EBITDA and bottom line for us.

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Ankit Gupta: Anything on pricing that decided for that colored PPF?

Deepak Joshi: See, colored PPF, definitely, I can give you like in a percentage terms, it is roughly 25% on transparent PPF and a ballpark figure because this pricing and all those is decided based on the market situation, competition and all those things. But in a like comparative between our products, it is 20% to 25% at a higher price because it has got a value addition in it.

Ankit Gupta: Yes. And sir, on the architectural films, if you can talk...

Deepak Joshi: Sorry, your question was to architectural business as well. So like I answered that question that the growth in India is getting very strong and that will continue for at least next 2 to 3 years because we started from a low base. But at the same time, in America, we are trying to replicate that thing. So definitely, this will add up a new brand for us.

Moderator: Mr. Ankit, please fall back in the question queue for further questions. The next question is from the line of Mihir Dhami from Sharekhan.

Mihir Dhami: Sir, in SCF business, can you help us with the growth of architectural and window films separately and also the revenue split for the current quarter?

Deepak Joshi: Sorry, I was a bit lost with the question. Can you repeat, sir?

Mihir Dhami: Yes, yes. Year -on-year growth in architectural and window films and also the revenue split for the current quarter?

Deepak Joshi: Okay. So growth has been -- Abhishek, can you just show the growth on PPF business? And PPF, as we have said, it has grown by 20% already, right? On the Sun Control , the growth has been 42%, right? On a 9 -month basis, yes...

Mihir Dhami: Sir, 3 months.

Deepak Joshi: So IPD 14%, Sun Control ...

Abhishek Agarwal: 42%. ..

Deepak Joshi: 42% and PPF 20%. Y -o-Y.

Mihir Dhami: Can you help the 3-month growth Y -o-Y growth in the third quarter?

Deepak Joshi: Third quarter, this is 9 -month data. Now third quarter, just a second because I'll just give you numbers. Yes. So that actually, normally, we are not declaring, but let me just tell you that there has been, like we said, on Sun Control , there has been a growth of 16% -- 20% growth on Sun Control on a quarterly basis, almost flat on PPF and around how much percentage in IPD, there has been minimal growth. But 9 -month basis, there has been a very strong growth, like I explained.

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Mihir Dhami: Got it. And in the PPF business, is there any reason in particular that there was a little bit decline this quarter?

Deepak Joshi: Yes, yes, definitely. There is a strong reason for that. If -- I'll tell you, in Q2, the numbers has been very, very strong. If you see the Q2

numbers where the growth has been phenomenal, right .

So when such strong dispatches happen from India, so there is always some kind of a drop in the numbers going forward because Q2, that has grown to phenomenal numbers, PPF. So that's why we saw a little low in next month onwards. But again, we are seeing t he same. It is going to grow up from Q4 onward s.

Moderator: The next question is from the line of Vinay from Hathway Investments.

Vinay: Just wanted quickly, what is the cash balance you said? Free cash available?

Deepak Joshi: INR572 crores to be precise.

Vinay: Okay. And secondly, what is the guided number for PAT percentage for F '26?

Deepak Joshi: PAT percentage. See, PAT percentage depends on the taxation and so many things. What we track is the operating margins, EBITDA percentage, right? So that we have given a guideline that is always going to remain 25% -- 25% plus/minus 3%. Though we are perfo rming around 24%, right? So we are optimistic that these numbers will be -- will remain same or grow slightly.

Vinay: Okay. Including the 2 advantages that you're going to grow in terms of backward integration and the additional PPF line, you're estimating it to remain in 25% plus/minus 3%?

Deepak Joshi: No. With this, when TPU plant comes, then we have given a general guideline another addition of 2%, right?

Vinay: Okay. Over and above that.

Deepak Joshi: Because these are estimated numbers. It will depend on the situation at that time. But if we talk of 25%, plus/minus 2%, 3%, so there will be -- definitely, it can go 23% plus/minus 3%. That's a broad guideline we'll have.

Abhishek Agarwal : And see, the TPU line will start in FY '27, which is October '26. FY '26, we cannot assume that.

Deepak Joshi: Yes. But we are thinking -- as again, we are talking here the annual continuous growth on annualized basis. And because Q1, Q2 and Q3, a little low, then Q4 goes up, Q1 always becomes stronger, Q2 even. So that's the flow. So what we are trying to say here is like year -on-year basis, there is a strong plan for the growth. There is a sales addition, there is marketing efforts continuously into that direction.

Vinay: Okay. And lastly, this employee cost, which has increased in this quarters significantly is because of your deployment in US, is it?

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Abhishek Agarwal: What's that?

Vinay: Additions.

Deepak Joshi: Additions.

Deepak Joshi: Yes, yes. See, what we are doing is, like I said, we are deploying employees, I mean, overseas and making a new team. And what we have seen, like we feel a strong need of growth in countries where we can further grow. Number one is, of course, US. And other than somebody -- some gentleman asked me about South America, there also addition has happened. So if I tell you like now we have like addition everywhere in sales and marketing.

And plus there has been a good addition on the R&D side as well because of -- this is the DNA of the company where we always try to come up with new solutions for industry, right? For that, there has been addition on R&D side as well.

Moderator: The next question is from the line of Sunil Jain from Nirmal Bang Securities.

Sunil Jain: See, my question relates to PPF, wherein you said that there is no seasonality. There is -- I think there is no seasonality in PPF. Am I correct, sir?

Deepak Joshi: Yes, yes. There is no seasonality...

Sunil Jain: So that happened just because there was an excess buying in the Q2, and that is getting normalized?

Deepak Joshi: Yes, yes. Because.. .

Sunil Jain: And how you are seeing the trend in -- already we are about 1 month 10 days in the current quarter. So are we seeing buoyant buying coming back into the -- in this year, in this quarter?

Deepak Joshi: Yes. Actually, we are not allowed to talk about the current quarter. But overall, as a guidance, yes, I me

an, things are -- again, I would request like what we are trying to do here, like month - on-month basis, it's very difficult for us to predict. But overall, like we have -- our way of working is we have very strong the order book, which comes from like USA and other parts of the world. Then it is manufactured here, then it is put on the water, it reaches to our warehouses. And from there, it is actually sale to our customers.

So -- but whatever we have on the water and on the warehouses, this is -- basically gives us the real sale going forward. So that has already happened, right? So the actual realization will come during coming months. But the sale and everything, that's why month -on-month data is really difficult for us to predict, right? But on a -- like I said, on a quarterly basis or on an annual basis, we are seeing things are going like better from here.

Sunil Jain: And sir, second question related to your tariff, you said impact of around 2%, 3%. So in that, how much tariff increase you are thinking of, how much tariff you can put on?

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Deepak Joshi: Honestly, we are not thinking of any tariff, right? So there was -- we gave you the worst -case scenario because we evaluate all those things. We are in touch with our customers. We are in touch with the customer -- our consultants. So there seems to be no -- I would say, there is no, as of now, tariff expectations for us because whenever we can make out from the discussions, there has been one mention in the past about save tariff to India and whatever they touch, like whenever they charge to us, right?

So we are just evaluating like one thing that as of now, there is nothing, right? There is nothing -- absolutely nothing because th is talk has been on the EU and all, whereas Government of India has already lowered the duties on certain items, which has been discussed by -- in the past and there is expected meeting in this week, next week between those head of states, right, head of countries, right?

So we don't expect anything, but worst -case scenario is not going to affect us because I'll give you another number like the way somebody asked me, if that happens, then a dollar may further appreciate and we can gain that advantage from there. Like we have like a full vision in our -- in front of us, like if that goes up, then there is 2%, 3%, we -- there are definitely other ways where we are going to make it from somewhere else.

So we don't feel that there is anything negative. In fact, in the current situation, we feel like because there has been an already strong duty addition to Chinese goods, so we can take advantage of that situation.

Sunil Jain: Okay. Sir, last thing about -- you last quarter indicated that Q4 can be similar to Q2. Is that possible, sir?

Deepak Joshi: See, exact number, I can't give because there are a lot of ups and downs. But definitely, as I said, it is going to be much better than Q3, right? It will be like, I can say, Q1, Q2 kind of numbers in Q4 as well.

Moderator: The next question is from the line of Ankur Kumar from Alpha Capital.

Ankur Kumar : Sir, I wanted to understand in 9 months, we have gone -- we have grown really well this year, even with a slow Q3. But given we are guiding for only INR2,500 crores, which is like -- and this year also, we were saying INR2,000 -plus crores, which would mean Q4 will not be much.

So any plans to increase this INR2,500 crore number because we're going so well, sir?

Deepak Joshi: Yes. See, better to give some guidance because that guidance was given 2 years ago, if I remember, right? So we are rushing to that with a good pace, right? So we would not like to change it. Having said that, it is our -- you have seen our performance like even the last years, I would say more than the top line, just see the bottom line. The kind of growth has been like 75% to 80% grow

th, right, 75 -plus percentage growth on the bottom line, right.

So we focus more into like value -addition products, value -added products, which gives us best margin because everyone or ourselves, we look at the operating margin, how we can make it

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better without losing, of course, any sales, right? So we'll keep the same top line number, but definitely, we'll try to improve on that. Definitely, we'll try to improve on that.

Ankur Kumar : Got it, sir. And sir, on margin side, as you say 25% plus/minus 3%. So is it like since we are focusing on more on margin side, can we get too closer to the top end number?

Deepak Joshi: Yes. See, on a 9 -month basis, we are already at 24%, right? So definitely, a year is going to end with a strong number, right? So 9 months, we have already given 24% has been the 9 -month number. So now if you really see our efforts, company efforts is towards the niche product, that is how this TPU project is going to help us, which we said definitely to improve on the cost saving and improve the operational efficiency and new product development and improving operating margins for us. So this is actually a step towards this direction on.

Moderator: The next question is from the line of Ishit Desai from FODS Family Office.

Ishit Desai : Sir, my question is on the PPF side. Since what I've been noticing is for last couple of years, both the large capex 's were announced on that side, including the TPU. So one thing I wanted to understand on the overall market size or the potential, I mean, do we -- are we strategically focusing on that as an area we think that this can be a very large enough market for, let's say, next 2, 3 years perspective?

And really want to focus on the opportunity. So just want to get a sense, given that our Sun Control Films is a largely mature market, do we see this as an area which can give us a large growth? And can this become probably large enough -- as large as Sun Control Film in the next 2, 3 years? And on the TPU side, specifically, since the -- I mean, your announcement mentioned a 33 months of payback period at INR118 crores of capex . So are we roughly looking at INR40 crores, INR45 crores of annualized savings, which will directly flow into EBITDA? So if you could just ...

Deepak Joshi: So the last -- to answer your last question is, yes, you are in the right direction. We will say INR4 crores, INR5 crores here and there, but you are bang on the numbers, right? So I support your numbers. So that is going to happen on an annualized basis, right, on the TPU side, right? So going back on to PPF, yes, PPF, if we talk the story, like we have built the market -- India market from 0.1% to right now, the market is 2% and there is a big headroom available in India itself for around 8% to 10%.

So we are working towards that. That's number one. Number two, in the colored PPF and all those things, there are a lot of opportunities coming into the US and other markets. And we study it quite well that there are very few people who are into the colored PPF. There are many people selling. But again, what we are saying is the manufacturing world, right?

So there are very few people who are manufacturing that. So you will see these advantage in going -- coming years where we will definitely have the advantage of these things. So please note the word manufacturing. So that's the capability of Garware High -Tech Films.

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With a very strong R&D, very strong new product development team, we are eyeing at a very high market of PPF with both penetration into the market and targeting newer market with different product line that is colored PPF and different matte and other sized PPF.

Ishit Desai : And my second question, I think in your comments at the beginning, you mentioned

healthcare

as one of the segment in the opportunity. So if you can elaborate a bit there?

Deepak Joshi: Yes. See, we mentioned that number with a very, very nascent these things. What we have done is like this particular line, right, is capable to supply 1 of the 2 lines. That is 50% of the capacity.

But having our DNA into strong R&D sector, we will keep some portion always available for these kind of studies. What we have done, we are doing through some consultants and all eyeing on some niche market, which we would not like to comment on the products right now because that is what we want to do with a very specialty value -added product line.

So healthcare is one of them, but it will take some time for us to disclose the products and all, right? So that can be one of the things. Another thing we also said about the architectural, we are also seeing a lot of value addition in the -- for the glass industry where this product goes as a base film. So there also, we are eyeing. These are completely new segments for us. And so we are venturing into that.

Moderator: Ladies and gentlemen, due to time constraint, this was the last question for today's conference call. I now hand the conference over to the management for their closing comments.

Deepak Joshi: Yes. Dear partners, we are really thankful for your attendance here. It has been a great pleasure to interact with you guys. And once again, we would like to thank you for the participation, giving your time. We hope that such interaction will continue and we continue to interact and the company continues to grow and create value for its shareholders. Thank you very much.

Moderator: On behalf of Garware Hi -Tech Films Limited, that concludes this conference. Thank you for

joining us and you may now disconnect your lines.

Deepak Joshi: Thank you.

Abhishek Agarwal: Thank you.

*Note : The above transcript has been edited for factual errors .

Call: May 2025

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CHHATRAPATI SAMBHAJINAGAR – 431 133 (INDIA)

May 19, 2025
The Compliance Manager
BSE Limited
Corporate Relationship Dept.,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai 400001.
Scrip Code: 500655
The Manager, Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, Plot No. C/1, G Block,
Bandra-Kurla Complex,
Bandra (East), Mumbai 400 051.
Trading Symbol: GRWRHITECH

Subject: Transcript of the Earnings Conference Call on Audited Financial
Results / Business Performance of the Company for the Quarter
and Year Ended March 31, 2025.

Pursuant to Regulation 30 and 46 of the Securities and Exchange Board of
India (Listing Obligations and Disclosure Requirements) Regulations, 2015,
please find enclosed herewith the transcript of the Earnings Conference Call,
held on Thursday, May 15, 2025 on Audited Financial Results / Business
Performance of the Company for the Quarter and Year Ended March 31,
2025.

The aforesaid transcript is also being uploaded on the website of the
Company: <https://www.garwarehitechfilms.com>.

This is for your information and record.

Thanking you,

Yours faithfully,
For Garware Hi-Tech Films Limited

Awaneesh Srivastava
Company Secretary
FCS 8513
Encl.: As stated above.

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“Garware Hi -Tech Films Limited
Q4 & FY '25 Earnings Conference Call”
May 15, 202 5

MANAGEMENT : MR. M. S. ADSUL – DIRECTOR TECHNICAL
MR. DEEPAK JOSHI – DIRECTOR SALES & MARKETING
MR. ABHISHEK AGARWAL – CHIEF FINANCIAL OFFICER

MODERATOR : MR. VIKAS H VERMA – ERNST & YOUNG

Garware Hi -Tech Films Limited
May 15, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to Garware Hi -Tech Films Limited Q4 & FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vikash Verma from E&Y. Thank you, and over to you sir. Vikash Verma: Thank you, Steve. Good morning, everyone. Welcome to the Quarter 4 and FY '25 Earnings Call of Garware Hi -Tech Films Limited. On behalf of the company, I would like to express our gratitude to each of you joining the call today. To discuss the performance of the company and to answer the questions, we have with us from the company, Mr. M.S. Adsul, Director, Technical; Mr. Deepak Joshi, Director of Sales and Marketing; and Mr. Abhishek Agarwal, the Chief Financial Officer.

Before we begin, I would like to draw your attention to the fact that today's discussion may contain forward -looking statements that are subject to various risks, uncertainties and other factors which will be beyond management's control. We kindly request that you bear in mind there may be uncertainties when interpreting such statements.

We will now start the session with opening remarks from the management team. Afterwards, we will open the floor for an interactive Q&A session. I would now like to invite Mr. Deepak Joshi to make his opening remarks. Over to you, Mr. Deepak.

Deepak Joshi : Thank you, Vikash. Good morning, everyone, and thank you for joining us today to discuss the financial and operational performance of Garware Hi -Tech Films Limited for the quarter ended and full year ended March 31, 2025. Let me begin by sharing a brief overview of our financial achievements.

We are proud to announce yet another record -breaking year for GHFL. In FY '25, our annual revenue crossed the landmark of INR 2,000 crores. We achieved the highest ever revenue of INR 2,109 crores, making a 25.8% growth year -on-year and a record high PAT of INR 331.2 crores. This performance reflects our relentless focus on growth, innovation and creating value for stakeholders. This success was driven by the strong growth in Sun Control Window films and Paint Protection Films supported by stable performance in our Industrial Product division. Let me take you through our Sun control Window Film division. This division recorded an impressive 37.6% growth for full year, driven by expanding market reach and new product introductions. This performance was further strengthened by well -developed market network, our entry into new geographies and the successful launch of innovative products such as automotive rooftop series, Spectra Pro, DecoVista and many other value -added products in the Garware Hi -Tech Films Limited

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architectural segments. We remain focused on leveraging these opportunities to drive future growth across both domestic and international markets.

We have further enhanced our global presence by actively participating in exhibitions, distributor conferences and strengthening our digital marketing efforts. In addition, we have increased our penetration in Middle East, Europe and East Africa which is opening doors to significant growth opportunities. To drive growth in the Architectural segment, we have established a dedicated business unit with specialized teams across key regions.

Furthermore, we are planning to introduce Garware Home Solutions, a one -stop solution for all film requirements for residential spaces. While this initiative is currently in its early stages,

we plan to scale it up to full capacity in the near future. Looking ahead, we expect continued strong demand globally for both automotive and architectural films.

Let me continue with the paint protection film. It continues to deliver consistent results, operating at optimal capacity. In FY '25, the PPF business achieved 25% revenue growth year-on-year, supported by increasing demand both from international and domestic markets. I'm happy to share that we launched our colored paint protection films last quarter, which has already received encouraging traction from customers and are poised for even stronger growth going forward.

We see strong potential in our newly launched products particularly colored PPF, headlight and taillight PPF and the broader PPF range as they continue to gain market acceptance. We are also pleased to report that the work on the second PPF line is progressing well and remains on track for completion by Q2 FY '26.

Last quarter, we had also announced an investment of INR 118 crores for the first of its kind TPU extrusion line at our Waluj plant. This facility with a capacity of 360 lakh square feet per annum is expected to commence production by October 2026. These investments will further enhance our product portfolio which now includes colored PPF, PPF plus, premium, titanium, matte, black and white variants allowing us to serve a wide range of customers across different market segments.

We continue to actively invest in research and development to explore new product opportunities and strengthen our offerings. With these capacity expansions and product innovations, we are confident of sustaining the growth momentum in our PPF segment.

Let me talk about Industrial Products division. The IPD division delivered a stable performance and has recorded a 15.1% increase year-on-year. The shrink film segment contributed meaningfully, driven by steady demand in specialty applications.

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We are continuously innovating -- and as mentioned last quarter, we received a patent for floatable shrink film, reflecting our focus on sustainability and technical advancement. This performance helped us offset softness in commodity packaging films. We remain committed to improving this segment through product innovation and operational efficiency.

We have a strong global distribution network and established sales channel resulting in significant growth in Europe, Middle East, and Central and South America. U.S.A. is one of the major export markets, and we are closely monitoring the evolving tariff landscape under U.S. trade policies.

However, we remain confident of growth across all geographies with our value-added differentiated products which have been recognized as the best-in-class. We leverage our state-of-the-art nano dispersion and other cutting-edge technologies to maintain our market leadership worldwide.

With this, I now request Mr. Abhishek Agarwal, our CFO, to take us through the highlights of the financial performance. Over to you, Abhishek.

Abhishek Agarwal: Thank you, Deepak. Good morning all. I'm delighted to report that this year marks the first ever highest revenue and profit after tax along with strong operational performance. For the full year FY '25, our revenue crossed INR 2,000 crores milestone and stood at INR 2,109 crores reflecting a 25.8% increase over INR 1,677 crores in FY '24.

This is in line with the guidance provided in the previous quarters. Our net PAT reached INR 331 crores, which is again the highest ever profitability as compared to INR 203 crores which we did in the previous year. This strong financial performance was driven by sustained growth momentum across our PPF, Sun control and IPD business divisions.

For the full year, EBITDA stood at INR 495.5 crores, up by 54.3% year-on-year basis. Our yearly PAT stood at historical high

of INR 331 crores. This is up by 62.9% year-on-year.

For the quarter, the revenue stood at INR 548 crores, recording a sharp increase of 22.7% year-on-year, which was backed by strong business performance across all the business segments.

For the quarter, EBITDA stood at INR 121 crores, up by 35% year-on-year and the PAT stood at INR 77.8 crores, which was a growth of 34.6% year-on-year.

Approximately 77% of our revenues in FY '25 came from export and around 87% came from value-added films. This positions us for superior growth within the industry.

I'm pleased to report that beyond our impressive quarterly growth, we have maintained an exceptionally strong financial position. Our balance sheet was zero net debt and a healthy cash reserve of INR 650 crores. The robust financial standing allows us to confidently invest in future growth opportunities.

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Furthermore, we have witnessed a significant improvement in the key financial metrics. This year, we achieved an ROCE of 27.2% and ROE of 20.6%, excluding the revaluation reserve. This figure demonstrates our efficient utilization of funds generated by our business operations. Additionally, we have also managed our working capital efficiently and have kept our collection days at just 7 days. This reflects our ongoing commitment to operational excellence and efficient cash flow management.

In conclusion, at Garware Hi-Tech Films, we are committed to offering value-added products, the customer-centric approach and a strong product line, which has driven our PAT above INR 300 crores for the year, for the very first time. We remain confident in continuing this growth momentum and dedicated to delivering value to our stakeholders.

With this, I'd like to thank you for your continued support, and we can now open the floor for questions and answers.

Moderator: First question is from the line of Mahesh from LIC Mutual Funds.

Mahesh: Sir, you mentioned that there are two expansion plans are coming up this year and next year. So based on this and market outlook, what kind of growth we are anticipating for FY '26 and '27?

Deepak Joshi: Yes. Thank you, Mahesh. So as the guidance given for FY '26, INR 2,500 crores of revenue, we are confident to achieve for FY '26. And for FY '27, we expect a growth of 20% to 25% of CAGR. Of course, this is backed by the expansion, which is starting from Q2 this year. To be precise, September 2025, the second PPF line is starting and this is on track. Everything is going well. In fact, we can start a little early also.

So the expansion is on track. And regarding the second expansion of second capex of TPU, which is expected to start in October 2026. This will be mainly for the margin improvement. There will be some revenue out of it, but mostly the margins -- I mean, operating margins will improve because this will be a full backward integration for our PPF line backed by, I mean, strong R&D and new product developments, which the TPU line will help us for that.

Mahesh: And sir, for FY '25, we reported around 21% kind of margins, slightly lower than that. So over the next 2 years, given this kind of growth of 20% CAGR, what kind of margins we are looking for next 2 years?

Deepak Joshi: On margins, we expect to remain like in the range of 23%. I mean, like we gave the guidance of 25% plus/minus 3%. This up and down depending on the seasonality will happen, but we are confident to achieve between 22% to 25% without any issue.

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Mahesh: And sir, I think 77% of revenue comes from the export side. So I think we have exposure to U.S. also. So in terms of geography diversification, any steps we are taking to reduce our dependence on any particular

country or any particular geography?

Deepak Joshi: See, we are spread all across. And of course, one of the major market or major market is U.S.A. So there are 2 things. One, the current challenges of tariff, which is 10% additional has been implemented. So with this, we don't see much of the -- I mean, challenges on that because this is somehow we have managed and it has been, I mean, taken care of. So with this, we don't see like a major challenge in achieving our top line and bottom line.

But we have strongly, like I said in my opening remarks that the efforts in key geographies other than U.S.A. are growing very fast. We have added new resources in Europe market, which is growing very fast for us.

And then Middle East is one of the area which is growing very fast, where architectural segment and automotive segment are important, and we expect to grow very high on these markets like growth -- more than 50% growth in these markets because we have added new teams there, and we are targeting the customer base of our peers, and we have been successful in doing so.

So Europe with new team there, additional team there, with Middle East, new team there and East Africa. So everywhere, we are putting a lot of efforts, adding new manpower, and that is giving us good results.

Moderator: The next question is from the line of Nikhil Kanodia from Monarch Network.

Nikhil Kanodia: Congrats on the great set of numbers. Sir, I had one follow-up question. So you mentioned about the TP capacity that is coming in by Q2 of FY '27. So what kind of margin improvement can we see from that capacity?

Deepak Joshi: So you are talking of TPU, right?

Nikhil Kanodia: Yes.

Deepak Joshi: Yes. So we expect 1.5% to 2% betterment in the margins. I mean this is a rough estimate, but 1.5% to 2% percentage margin on company level.

Nikhil Kanodia: Sir, the next question is on the U.S. side. So after this -- the 90 -day period ends in July. So what sort of strategic call are we taking? Are we looking at having some capacity in the U.S. or maybe something else, if you can throw some light on the U.S. business as it contributes around 50% of your top line?

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Deepak Joshi: Yes. On U.S.A., like I said, we expect like -- I mean, we cannot comment on the trade discussions going on, but we understand from the media that, that is going on well. But in the worst -case scenario as well, we have plans where we are working with some of the -- I mean, players in U.S.A. to counter the impact if there is any. right?

And as I said, other geographies like next to that, it's South America, then Middle East, then Europe and Africa. And we are expecting a very strong growth there this year, and we added manpower in those geographies, right? And there are many products which is exported to U.S.A., but then it goes to different geographies. And we have plans to do that directly from India.

So all those strategies are there. I mean, please be assured that we are doing every bit to have that kind of -- we have a plan of whatever -- if it is worse scenario, we have planned for that as well. Otherwise, we expect things to remain better for us, because if you talk of these kind of tariffs, so like, for example, there is a country, South Korea has had 0 tariff to U.S.

Now they are 10%. Similarly, India has 10% addition. Similarly, China, it was so unpredictable that it went -- now still it is between 30% to 35%. So if you really see the U.S. manufacturer, they import, we have studied well that their -- I mean, components or something -- some of the component has got some kind of origin, which is related, which is not in U.S.A., right? So all those factors are keeping the cost of each manufacturer to go too high to some extent.

And we being fully vertically integrated, backward integrated where we manufacture everything, we have a big advantage

of cost where we can further go down and compete in those markets. So we have like multiple -pronged strategy in terms of what our peers, competitors are doing, which countries, what kind of tariffs are there and what product line we can push more. And last and the strongest point that we are fully integrated. So we have much more leverage, which will come into play whenever such situation arises.

Nikhil Kanodia: Okay. Sir, two follow -up questions on that. So number one, are we planning to have any manufacturing capacity in the U.S.? That's number one. And number two, like from the industry point of view, other than India, which geographical regions like would be supplying to U. S., the PPF and the SCF?

Deepak Joshi: Okay. On the first one, we are working, but I can't divulge as of now. We had meetings during our recent visit to U.S.A. So these deals are under discussion and under NDA. So I mean, we cannot comment at this moment, which may happen, may not happen. So that is point number one. Point two, you said -- sorry, I didn't get the second question.

Nikhil Kanodia: So apart from India, which geographies would be supplying the PPF and the SCF in U.S., like for in U.S.

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Deepak Joshi: Yes. So only 2 countries are very strong other than India. So that is China and Korea. And both have been like there is a tariff implication from the earlier level. So there has been an increase of 10% from the past levels on both the countries.

Nikhil Kanodia: Okay. And China and Korea would be more on the economic range or the premium range?

Deepak Joshi: See, I can say with our strong product portfolio and Nano technology and everything, our product comes into a very superior range, Global brand, right? And if we talk of these players from China and Korea, they are to the lower end. They do not supply the kind of quality which we supply to U.S. market.

So the market still remains in favor of our products because they are very high -quality products, and they come with a lot of advantage and the age -- I mean, aging of these products is kind of lifetime, 10 years to lifetime. So our products are very superior as compared to the peers in China and Korea.

Nikhil Kanodia: Okay, sir. And sir, if I may squeeze in, I have one more last question. So that is like one of your competitors has also announced PPF and SCF capacity in the market. So how do you see that?

And what sort of right to win do we carry when we compare both the companies?

Deepak Joshi: Yes. So there are more than 50 producers in China and Korea who produce the products through chip dyed and glue dyed method, right? And whereas our products are deep dyed

products. So the basic difference between us and them is very big.

And since there are 50 companies, if there is a 51st comes into India or any part of the world, so there is a big -- I mean, I would say, kind of difference in the quality. So we do not see any challenge because, as I said, I mean, 50 to 60, if they are not able to -- I mean, I would say the segment is very different, what we are talking to them in Sun Control.

On PPF, as I said, we have a big advantage of like we have been there now since last 5 years.

And we have our own components other than TPU. And TPU is also being planned as a strategic benefit to the company. So we are much, much ahead than anyone who wishes to enter into this market.

Nikhil Kanodia: Okay. Because this one is a domestic player with specialization in BOPP and they have announced the premium range into PPF and SCF. So you don't foresee any challenge or change in the market dynamics, right?

Deepak Joshi: Yes, we do not see. As I said, the product quality is very different and the segments which we play and they might be playing is very different.

Moderator: The next question is from the line of Ashish Kumar from Ampersand Capital.

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Ashish Kumar: Congrats on a good set of numbers. My first question is on your product portfolio. So how would you compare your product portfolio compared to the competition in the market? Like are we the innovators in the market who are bringing new products to the market? Or are we like trying to fill up the gaps that we have in our portfolio?

And how do you see it going forward? And second question also is on the new product launches that we have done this quarter as well as what we plan ahead. How do you see these particular products like in terms of growth and margin going forward?

Deepak Joshi: So I mean, to answer the first question, if you go back like before this CapEx expansion started prior to 2020, I would say, I mean, Garware was primarily, I mean, catering to the market, which was automotive driven. That means we were very well known in India and rest of the world and U.S. market as an automotive supplier for cars and mostly into, I would say, automotive segment, right?

So -- and we had a very strong name into that. With the introduction of new product line like PPF, which is primarily driven into automotive and then the architectural segment of sun control film, which has started after the commissioning of new lamination line, right? So we are now -- I mean, we have, first of all, we have completed the product portfolio, which we were missing in the architectural segment.

I mean we had like if there are 5 main product lines supplied by the biggest peer in India from U.S.A. So we have completed the full product line, right? We made a full team for architectural products. We developed all the product lines which were required for that. With this, we have now surpassed the biggest seller into India from -- I mean, the multinational company, which is #1 in architectural segment in India.

So by volume we have become #1 in India market by surpassing them. And this has happened because of new team, new product introductions, right? So we have the complete set. But there is now the company's vision from current product portfolio to a next line is to become a solution provider rather than a film supplier, right? So these things is basically comes into architectural segment, where you need to give the full solution to the building where the glass is handled with all the applications and with your film.

In that line, we have announced Garware Home Solutions, especially for the residential segment, where we'll be catering all the requirements of the metros to start with, and then go to wherever possible. So if you talk of our company's positioning, first, we completed the product line, then we entered into the new products, which are not available with any of the multinationals, right? And now third, we are going into the territory where we will be a solution provider for the industry. So our growth from B2B to B2C now direct to customers, that's what we are planning going ahead. So we have now complete product portfolio. And we are going

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to the product portfolio, which is not even there, not only in India, for the U.S. market, we are doing all those products.

Ashish Kumar: My second question was like you have answered it partly with respect to overall growth and margins. But the new products, are they more in the premium category? So, should we expect like higher margins from them? That's what I wanted to know.

Deepak Joshi: So first of all, if you see overall company's margins, so I mean, again, I will go like 5 years back, where our industrial product was 65% of revenues and consumer product of 35% only, right? As we speak, we are around 65% to 70%, rather 70% on consumer product division, and only 30% on industrial product, right? So going forward, again, there is a big expansion, which is September coming for PPF.

This will lead towards 80% of the consumer products, only 20% for the industrial products. So, margins are anyways we are expecting to go better. I will not go into each product portfolio in consumer products, but you can imagine like a big shift towards from like 35% to now 70%, 75% in consumer products is anyways in margin-driven thing, which we have seen like we show in the slide, we were like 9% of EBITDA margin. Now we are at the level of 23%, 24%. So this is happening on a broad level. In the product lines, whatever we are adding now, they all are high-margin products. So I mean, we will continuously get into more high-driven solution - providing products. And the TPU line, which will add next year, October '26, will also add to margins. So addition, everything from here or has been in the last 4, 5 years on the products which are high margin and niche products.

Moderator: The next question is from the line of Saransh Gupta from SVAN Investments.

Saransh Gupta: Sir, I just wanted to know that how much does U.S. and other regions devote to our revenue, if you can give us a ballpark number?

Deepak Joshi: Can you just... Just a second. It is in the presentation, but I'll just explain that as well, right? So yes, so in last financial year, 48.5% came from North America, 1.1% from South America, 10.5% from Europe, 3% from Middle East, 1.3% from Africa, 23% from India and Far East and rest of Asia, 12.3%; and Australia, New Zealand, 0.2% right? So this is broad. So we are present everywhere, with like North America being 48%. But this year, we are expecting to grow in Europe, Middle East, Africa, India.

Most of the geographies, our growth will be because we have seen that trend in last 6 months, where we have added new manpower, added new products as well, new and innovative products in this season, because our product line is different from different geographies. Every geography has a different kind of requirement depending on the temperatures and climate conditions. So we are focusing more towards other geographies, and we expect to give good results in other than U.S. market as well.

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Saransh Gupta: And sir, one more thing that, as this tariff war we can see, so can we see a demand impact happening to U.S. or some other regions?

Deepak Joshi: Some other reason, definitely, demand will grow because we are growing with that. See, the only fact which I can see now this U.S.A., China thing has come to some conclusion. So otherwise, many economists were expecting a kind of recessionary trends into the world. But with this thing happening, I think that challenge will go away, right? So in that scenario, we saw a good growth in Q1 in America.

Q1 means Jan to March in calendar year in U.S. market in the auto numbers, right? So we expect that to grow. And with like a minimal tariff of 10% additional to India, it is similar to all other countries like, as I said, South Korea and China being the other 2. So we don't see much of the challenge because many U.S. producers are also using components from other countries. So there is impact to everyone, but that will be easily passed on.

Saransh Gupta: Sir, just one last thing. As you said that the TPU expansion will help us increase our margin by 150 to 200 bps. So, from the current facility, do we have any operational leverage that can have an impact on the margin?

Deepak Joshi: You mean other than TPU plant, do we have advantages on the cost?

Saransh Gupta: Yes sir

Deepak Joshi: So as we said, there are components and PPF, which we started manufacturing since 2020. But I mean, it takes time. So, 1, 1.5 years to put one component into that. So as we speak, we are almost done with all other components other than TPU. So that benefit of the cost is slowly and slowly coming into the PPF.

Moderator: The next question is from the line of Viraj from

Carnelian Capital.

Viraj: So a lot of questions have been asked about the export market, but just something about the domestic market where you've been investing on the Garware application studios. So, if you could just elaborate how the Indian market has done in terms of our CPD and IPD division for the year? And how is our investment in opening more and more studios panning out for us? If you can give a bit more elaborate on our strategy for the Indian market going for FY '26 as well?

Deepak Joshi: So I mean, I'm really happy once again to share that the domestic market has been like last

year, it has grown almost 50% revenues in the domestic market, put together for automotive and architectural and which includes window films and PPF as well. So that has been a phenomenal growth in the domestic market, given we have set a very high benchmark for ourselves in automotive industry. Right?

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So I mean, this has been a growth for last year. And going forward, in FY '26, we expect another 30%, 40% growth overall for the domestic market. And this is actually driven by the strong brand presence of Garware. So that is a very strong point. Then the digital media campaigns, then the FM campaigns and all other growth drivers.

And one of them, the biggest one is the Garware Application Studio, which is close to 200 as we speak. So you can just imagine like, I mean, every Garware application studio doing some PPF business and some safety -- sorry, some sun control business, it multiplies by -- some multiplies by 200.

So that's the strength of the penetration all across India. And we are proudly saying that even the small villages of Jammu and the interiors of Lucknow, I mean, in UP, Gorakhpur, Lucknow in MP, Chhattisgarh, Raipur. And all those, I'm talking just giving example of smaller cities where this presence is there.

So that means our presence in India is kind of every nook and corner. I mean even -- one of the growth areas has been the Northeast for us, like the Seven Sisters has also grown to this growth has contributed to this growth. This makes us really happy that we are not only growing in the metros, but also growing on the small, small cities of India.

So what is helping us, we have like many social media influencers who back us, then digital campaign has been very strong. Name brand itself was strong. But on top of that, the activities which we do all across India and number of gases has been continuous ly growing. And lastly, the campaign of training people, it's still going on. Now we have 1,000 trained PPF applicators and window film applicators in India, and that number grows. And we proudly say that they are our brand ambassador across India. See, a nybody wants to put a film on their car. So they have been framed by Garware say that is their loyalty that they propose Garware. So the plan, again, is like the growth has been around 50% last year to domestic market, and it continues to grow 30%, 40% for the next year as well. I hope I answered your question, Mr. Viraj.

Viraj: Yes, sir. Just a follow -up. Do we give some kind of data point as to how many cars on which we applied PPF maybe in '23 and '24 and '25 from our Garware application studios and how that number has been growing?

Deepak Joshi: See, on PPF, the growth has been roughly 25% as a whole in the company and similar in the domestic market as well, right? So I mean, as I bifurcated as well, that growth in PPF has been around 25% and growth in sun control window films has been around 50% to -- rather 60% growth has happened in the sun control films on automotive last year and almost 90% has grown on the architect ural segment. So I bifurcated all 3 segments for you in India. 25% for PPF, 60% for automotive window films and around 90% for architectural window.

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Viraj: And just the last question before I get in queue. Sir, I saw that we launched a headlight and a taillight protection film also this year for the automotive segment. I wanted to understand for the differentiating factor, I've been using PPF on my own car, a t least there, the film which covers my normal car body, the applicator applied the same thing for my headlight and my taillight. So is this something different compared to what the normal overall PPF is being done, if you can throw some light on th e product?

Deepak Joshi: I will request Mr. Adsul to explain that. It's very different.

M. S. Adsul : Yes. But these are two different films. So for headlight and taillight, it is light colored film. So the basic reason for applying is to protect the acrylic or polycarbonate body from yellowing. And so it has to block some visible light as well as total UV light. So these are 2 different things.

Deepak Joshi: Yes. I mean, from Garware, the name itself says a strong -- the brand where whatever we say, if we are launching a headlight and taillight, it means it's a different product. Otherwise, we would have just gone by that. And this headlight taillight, not onl y in India, and we are seeing a very strong demand from Middle East and USA, where people are, I mean, understanding it's a benefit.

It gives a great aesthetic and a protection because whenever a car runs very fast in Middle East and U.S. market in U.S. geography, then stone chip and all those things are quite fast at a very

high speed, which normally damages the outer of the headlight and taillight. And this film protects that with that and at the same time, giving a very good aesthetic look to the car.

Moderator: The next question is from the line of Manish Ostwal from Nirmal Bang.

Manish Ostwal: Most of the questions are answered. I have only one question on the Slide #11, where we have launched the portal for U.S. market, B2C. So my question is what is the size of opportunity for us? And can you paint the picture for 2 to 3 years the revenue potential for Garware Hi-Tech on that initiative?

Deepak Joshi: Yes. See, PPF being like expensive product, and it's a very high-class expensive product. And when we make the quality becomes supreme. So when the distribution network goes to like distributor and then to dealer and dealer to final consumer, so being that value-added, it's very difficult.

Everybody keeps a stock with a high value then adds margin. So to overcome this situation, we have launched our e-commerce platform where even the pricing are fixed. It's like any of a big portal where you go there and you just put the -- I mean, quantity of PPF, then price will come, you pay online and the rolls are delivered to the customer directly.

So this D2C model has like just implemented 3 months back. But we are getting very good response of that, where -- I mean, as compared to what we were doing in the past. And this is Garware Hi-Tech Films Limited

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in line with the culture of DIY in USA though it is not 100% DIY. I mean their applicators is definitely required.

But what happens is people take advantage of the brand Global and they directly order from the portal. So this cuts down the requirement of the distributor, dealer and all and gives us good margin to the company. As this is in a very nascent stages, we launched in 2, 3 months back. And now we are seeing good movement in that.

If you talk of a year from now, see, the growth of the company, like we said, we have been growing like for a CAGR of 20% to 25%. So all growth because we count, we have picked up on a specialty segment, all the products being special, and the growth has been phenomenal over the years. So all those growth like, this PPF from the U.S.A. market, architectural cement, Garware Home Solutions, everything put together, we expect INR 2,500 crores revenue guideline to

achieve INR 2,500 crores guideline in FY '25.

And similar way, similar FY'26, sorry, and similar way, this growth momentum will continue with all those efforts. If I tell you separately how much it is growing, I can say that the growth we are expecting to be very strong. But numbers as of now, I can't give, but the margins and the numbers growth is going to be really good on that.

Manish Ostwal: Okay. And sir, with your revenue guidance, so how much capex we will be doing for '26, '27 to achieve our revenue target.

Deepak Joshi: Yes. So with these current things, INR 400 crores to INR 500 crores revenue growth guidelines this year and next year. So this will be helped by the new PPF, which is coming in October, September 25. And another one we have already done for this thing of TPU, which will come on October 26. And beyond that, we are now looking into the impact.

We are now looking into -- not impact. I mean, we are now looking into the headroom available for us. Like I'll just explain to you in another way that this year, I mean, FY '25, utilized 133% of PPF, right, and around 70% of the new lamination line, right.

So when the new PPF line comes, so there will be a 70% headroom available for that line, which we will fill in 1 or 2 years, right? Then there will be some headroom available for window films because PPF goes to the PPF line because of the fungibility. So now ultimately, what will happen that October, November, December, there will be another cycle of understanding internal meetings for the growth drivers, and then we'll decide on that. But we will maintain this CAGR growth of top line 20% to 25%.

Moderator: The next question is from the line of Nitin Gandhi from Inoquest Advisors.

Nitin Gandhi: Can you share the revaluation reserve figure? That's the first question.

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Deepak Joshi : Sorry?

Nitin Gandhi: Revaluation reserve.

Deepak Joshi : Okay. Mr. Agrawal, our CFO, will answer the question.

Abhishek Agarwal: Yes. So revaluation reserve is about INR 764 crores.

Nitin Gandhi: Okay. And the second question is, what is the peak revenue at the optimal capacity after the

second line goes live?

Deepak Joshi : So after the second, as we said, that will add around INR 400 crores of revenue, but that will be step-wise. So we can say, like the 33% additional which we made this year from a fungible line of Sun Control that will now be produced after September, will be produced on the PPF line. So overall, the revenue will go to INR 450 crores, estimated, but that will be stepwise.

That's why, again, I'm maintaining that there will be, I mean, the growth drivers will be like PPF additional volume, then a architectural business in India and the U.S.A., additional business from the Middle East and Europe, right, and additional business from the D2C market of PPL.

So put together, we are targeting INR 2,500 crores this year, the FY '26 and another similar kind of growth for FY '27. So this all will be like 5 different buckets will add to this.

Nitin Gandhi: So that's the peak revenue potential from the existing capacity after the second phase also, right? That's what you are saying.

Deepak Joshi : Second phase, I think we can reach around INR 3,000 crores. That's with full utilization of the window film line, I mean, the lamination line and the second PPF line. So if we add, that will be INR 3,000 crores. And then with the TPU plant coming in, we have plans for diversified new product lines, which we are working on. We have like 4, 5 options, and we will zero in for 1 or 2 options, which will be like see, we did not just go for TPU line to be a backward integration for TPU, but there was more. I mean, we wanted to diversify into the architectural and automotive segments beyond sun control and PPF.

We are looking into new product lines from TPU, which might go into a little bit

to medical, a

little bit to automotive and a little bit to the architectural segment, where the requirement will go for other glass applications. So this is like a broad thing which I explained right now. But behind this, we are working, we are zeroing in on which product line we will go in FY'27 and FY'28. But definitely, our aim is to diversify in the businesses to sustain this growth momentum, not for 1 or 2 years, but for the coming 5 years.

Nitin Gandhi: Okay. What's the amount spent on the second line PPF?

Deepak Joshi: PPF, it was INR 130 crores.

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Moderator: The next question is from the line of Ankit Gupta from Bamboo Capital.

Ankit Gupta: Congratulations for a great set of numbers. Sir, on the new PPF line, which is coming in, in October of this financial year, have we tied up with any of our existing or have we added new customers for like licensing them some capacity?

Deepak Joshi: Yes. See, any such agreements are under a strong nondisclosure agreement, right? So I cannot comment on that. But we have put the line with some kind of forecast and agreements, something we have done. So, like one simple thing is FY '25, we ran the line, I mean, we had a production of 133% of the capacity. So that was 33% more than the line can produce. So we manufactured that with the existing capacity of window films, right, with the fungibility, right? So going forward, you can straight away think that with the natural growth, we are 50% already utilized on that line, right? Then we have like our plans and agreements, and MOUs, which will definitely be part of this thing. But we cannot, I mean, disclose the details of any of them.

Ankit Gupta : Sure, sir. Have we added any large customers on the PPF and sun control side? Post all this tariff discussion started because what we understand is the PPF being sold in the U.S. is largely imported from players like us, Chinese, as well as Korean players. So, have we added any new clients on the PPF and sun control film side, which can become big for us?

Deepak Joshi: Yes. So we have, in fact, we had like 5 new distributors who were selling the products from big companies. They were mainly doing business with China and Korea, right? So that discussion is still going on and 1 or 2 of them has already been converted and rest are being worked out. So we are working on that. And yes, we have converted a couple of them and more will follow because our efforts in U.S.A. market, like I said, we have set up a dedicated team there in U.S. market, right? And the product portfolio has also been increased. So with this, we expect more customers to come to us as compared to the previous years.

Ankit Gupta: Any large OEM which has approved this, let's say, some of competitors for which we can do white labeling?

Deepak Joshi: I'll tell you, yes, through white labeling, our couple of customers are directly tied up with OEMs, right? But if you talk of direct, direct was not possible before this year because it needs a lot of like B2C, we just started. So our model was to sell to white box and to distributors, right? So serving OEM requires your capabilities, having applicators, your capability having supplying the product from that particular location. So this -- our model was like distributor and white box driven. So our white box distributors are definitely having not one, many of the OEMs, which are like the new age companies and one of the largest companies as well, right.

So for us, this will start from now. We'll try to add OEMs. But since we're already supplying to white box and distributors who are doing really, really good, and they are continuously expanding. We only added that's why D2C, which helps each and every customer to take advantage of global brand. The rest, everything is going on t

rack and the growth is also shown to be good one.

Moderator: The next question is from the line of Ashish from InvesQ PMS.

Ashish: Yes. Thank you so much for the opportunity. Initially, I should congratulate the entire team of your company for the transition that we have seen in the last 4, 5 years. It's been kind of phenomenal actually. So congrats on that. On the question, sir, give n this tariff, so 3M probably would be the biggest company in your domain and you're a competitor to them.

So taking that as an example because the entire objective of these tariffs is to bring manufacturing as much as possible inside the U.S. and your competitors would be in the U.S. corporations also. So in that scenario, though tariffs right now, I mean, 10% is the number. How do we -- I mean, how do we live in that environment is my question because it will be detrimental to our interest if we have to pay those duties and those producing in America won't be needed to. So any perspective on this would be helpful.

Deepak Joshi: Sure, sure. So as I explained, just think of a scenario where 10% duty to India. But at the same time, South Korea also added 10%, Europe has also been added 10% and China has been 35%. Of course, they were high initially, but still there is a 10% addition to that. So in that scenario, we as a company, I mean, as a country is one thing but as a company, we have a lot of advantages of backward integration, cost controls and quality commitments, right . So in our situation, we are well positioned at this particular scenario to continue the growth momentum in U.S. market, right? In fact, we are trying hard to get more of the share from others, right, because the trade scenario still remains uncertain, right? So now with this one jerk of 1 month and 10 days, right, there has been many uncertainties towards the supply chain like what will happen to future, right, for other countries.

For us, it has been stable. So with this pitch, it's like a very strong sales pitch what we do and a strong marketing campaign, which we have now elevated. And our marketing pitch has been gone to a very different level now. And with the introduction of e-commerce and all, we are being viewed as a company which is continuously transforming itself from the days when we were like a superior quality manufacturer, but now being viewed as a superior quality manufacturer plus a dynamic company in terms of marketing and all.

So the real thing is we are bringing this benefit to each and every customer to be it like a direct customer or big dealers and distributors. We are very popular on that. So we are taking

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advantage of the situation. As I said, competitive advantage is still at a strong position. So we do not see as of now any change in that situation.

Ashish: Sir, as of now, there's no change. But hypothetically, if this duty were to go to, say, for example, 30%, so would we be any way be willing to put facilities in U.S.? And would that be a profitable proposition? Because this is very uncertain right now. And as I said, the objective of the government of U.S. seems to be to bridge their trade deficit and to bring manufacturing within U.S. So I mean, isn't it a risk to our entire proposition now?

Deepak Joshi: I got your question. We have a team working in U.S.A. and here and rest of the world. So we have evaluated the situation. But to be very honest, anybody like just go there and put the plant. I mean, we have like many options, buy the companies, do joint ve ntures with someone. We are evaluating everything.

But let me tell you one thing. that there is hardly any manpower available in the U.S. People can say anything. They will make garment, they will make this. But on the ground, right, to find people run the facility, our estimate says the current cost, whic h we have will go like 30%, 40% up in manufac

turing, right, against the tariff of total 26%, which is 10% or worst scenario, it may another 16%.

Still, the advantages which the company has in the backward integration and like quality proposition with more things to come, we are at a very strong position, right? Because we are -- if you talk of any company, I will not name anywhere in the world, the y buy, for example,

let's talk of a sun control. They buy base film from some place, then they buy adhesive from some place, they get top coat or they get it done at some factory and then bring the material back, right?

Then they do many operations here and there, whereas you think of our company as a company which buys petrochemicals, make their own resins, then make their own film, then adds make their own adhesive, top coat, nano dispersion on top of this, then all the operations are at one location.

So we -- our advantages at this position are really, really strong as compared to any such situation. Having said that, we are continuously talking like in recent visit also, we have evaluated, met many customers and peers who are willing to coordinate, participate with us. We are in discussion with them. I mean that is, again, very confidential in nature that we are doing all the things, and that may evolve in something, like some kind of cooperation. And one of the thing is that some of the products or 20%, 30% of the product, which we supply to U.S.A., they reexport it from there. So these opportunities are also we are evaluating that we do not -- I mean, this duty does not affect on those situations. So many such propositions have been worked out for the extreme thing, and it has already been actioned, I would say.

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Ashish: So I'm assuming that 3M also would be importing or getting it made from maybe China or somewhere, right? I mean mostly U.S.-based companies also would be doing that, right?

Deepak Joshi: Yes. I will not comment on any particular company, right? But there are, you can assume or you can say there are lots of companies, even the companies which people in U.S. assume that this is 100% American. Actually, he is doing the final thing in America, but key backward integrated things, they are getting it done from other countries, right? So it is 100% true what you are assuming. I would not like to comment any particular company, but there are many, many companies which we don't even believe that they do these kind of thing, but they are doing.

Moderator: The next question is from the line of Aditya from Aequitas Investments.

Aditya: Most of my question is answered. Sir, just on the geographical area, India recently, we signed trade agreement with U.K. So do we see any expansion on those side? Are we hiring another team resource? Are we going aggressive towards that geography?

Deepak Joshi: Yes. So in U.K., we already have our subsidiary. We have office and we have salespeople there, right? And -- but what we added rather, we added in the European territory more to increase our penetration in European region, right? So with the -- I mean, this trade pact, we are just seeing if there is any duty or taxation benefit to us, which is being evaluated.

But to be precise, U.K. is the kind of size revenues we are doing and the kind of PBT of INR 445 crores, what we are doing, that the sale and the total potential of that market is not that great.

But let me tell you once again that to grow from here, we are doing many bucket additions.

That's what we said, B2C in America, maybe a little bit from this trade in U.K., then a lot of additions in Middle East and Europe and then architectural sales in U.S.A. and India.

So put together, these many small buckets will get us to the desired results and desired growth what we are planning. But we are very aware of the fact of U.K., India pact, and that already being discussed and advantages are

being taken.

Aditya: Right, sir. Sir, second is just a small brief that I would need on you said, products from Korea and China are different from what we manufacture. And you mentioned some process also, sir.

If you could just share 2 lines on that. How are we different? What is the process?

Deepak Joshi: See, I'll tell you the products because there is, again, a lot of competitive analysis people do from the other -- these things. I would say the method which we make the products they last for minimum 10 years. And I would say, even lifetime warranty on Global products, right? We make them in such a way that color fading, there are three important things in a film, right, in a sun control window film. One is UV protection. Another one is your control of visual light,

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which comes from different colors, different metals and all. And lastly, and the most important, the heat control, the IR. Right.

So if we talk of ours versus the films which are manufactured from other countries is that, that our -- this fading or coloring of the film that does not happen to us. That is number one. Number two is when you talk of this capability of IR or reduction of IR cut, heat reduction, that in our cases, it is layered between two layers of film and coating, right. So it does not again fade away,

right .

So that is number two. And number three is like we have seen many vehicles in Middle East and U.S.A., where the adhesive comes out and it looks like pockets of filtration, right . So that what happens is our films even customer testimonials, they say, I'll just give you one example. It's a good point that recently, we posted in LinkedIn that a customer from Lucknow, he put Garware films in 2009 in his car, right . He came back in 2025 saying that the car -- he's changing the car, but the film, which we applied in 2009 is still intact.

So there is no other brand in the world which can do that. So we did cake cutting and put his testimonials everywhere, and he bought a new film on his new car. So such is the reputation of Global and Garware. Even we have seen some -- like some negative publicity in U.S. where people say, world, which is the world's best film technology. Even yesterday, it has come. He said it's Garware or Global in India. But these products are -- if you talk of other products, they are very cheap. So the difference between us that the methodology and manufacturing of other films is very low quality, and they do not stand up with our quality, which is like 10 to 15 years intact into that. So that is the difference.

Moderator: The next question is from the line of Aman from Astute Investment Management.

Aman: Just two questions. So last year, quarter 1 and quarter 2 were quite good because of, I think, favorable mix on the architectural film side as well as there might be some benefits of some commodity pricing also. So for this half year, do we expect similar kind of mix? Or was there any one-off some particular kind of sales, value-added sales in architectural films or anything? And if it was, do we expect this to repeat this year?

That is question one. And second question is, sir, we posted like all-time best quarter, which was September 2024 quarter, where we posted INR 100 crores plus kind of PAT, so by which quarter do you expect us to repeat that kind of like performance, INR 100 crores plus kind of PAT for the quarter? These are the two questions.

Deepak Joshi: Okay. So plain and simple that quarter 1 and quarter 2, they are the quarters where we expect seasonality to be at its peak. So this year also, either of these 2 will be the best for us, right?

Q3 normally remains subdued and Q4 will pick up to give growth for Q1 and Q2. So we can

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expect either of these 2 quarters to remain number one and number two for

or us this year as well.

And with all the efforts, we have already given the guidelines for this year, which we are saying that we will meet that one. So there will definitely be growth on both the quarters as compared to last year, right? So we expect this to remain more or less same. We cannot have a rule like exactly Q1 will be better or Q2 will be better, either of these two.

I mean, we can also say that Q1 posted 27% of operating margin, but Q2 was despite being better, the margins were around 24.5% or 25%. So this up and down in our company will always happen depending on like how the seasonality moves and sometimes people prefer to see like more, I mean, sales in that. So because our sales pattern is quite long, like we get orders, we manufacture, ship it to different worlds, which take like 25 to 45 days and then they are sold. So the cycle is quite long. So these ups and downs are quite predictable for us. I mean, quite unpredictable for us. But definitely, Q1 or Q2, either of these 2 will be the best quarter. And definitely, the guidance of INR 2,500 crores we are confident of meeting that.

Aman: Yes. Just a clarification. So commodity prices is something which nobody can control. But was there any benefit which was like, I think, in Q1, Q2 was there, which might not repeat because the cycle has not like turned back down.

Deepak Joshi: You have that particular question. So I can say on the commodity means we are talking of some products from IPD side, right? So we said like what is happening, the company has turned around from 65%, 70% of IPD to 30%. And with the new introduction of PPF line, it will go as low as 20% to 25%, right?

And out of that commodity will be like 20% of that. So the total impact is very, very minimal for us at a company level. But still on IPD side also, this is a backbone for CPD, right? We supply many of the products which are manufactured in IPD to CPD. So growth in CPD is continuously improving the performance of IPD as well, right?

So that's how we expect this momentum to continue. If there is a worse situation in the market like commodity cycle goes to its lowest, we can see a little impact, I can say, like in like INR 4 crores, INR 5 crore impact on PBT on a quarter, not more than that. So even last year, it was the real growth.

Let me tell you the growth last year, the growth of these things, like CPD has grown to its best. Sun Control has grown by around 36% right . And the real benefit to us like as compared to FY '24 in FY '25 has come because of the better sales and high product mix of Sun Control, not on

IPD changes. IPD has done a minimal stable performance.

Moderator: The next question is from the line of Pratham from Quantum AMC.

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Pratham: No questions all are answered.

Moderator: The next question is from the line of Dhwanil Desai from Turtle Capital.

Dhwanil Desai: Congrats on a very good year in a reasonably volatile situation. So 2 questions. One is that currently, we are at INR 2,100 crores, and a couple of years FY '27, we are targeting to reach around INR 3,000 crores. So this incremental INR 900 crores, how should we look at in terms of growth coming from Sun Control architecture, PPF, and window? I understand that all of them will grow, but which will garner the higher share in the packing order or in terms of number, if you can tell?

Deepak Joshi: Yes. In the last 4, 5 years, we have been growing in all segments, right? So from here, the growth, we expect the number one growth to come from architectural segment and that too from India and U.S. market. So that will be like #1. And followed by PPF growth, right. That would be number two. And third, there will be like that's as a broad, if you ask for segment, yes, it is architectural, PPF. But in architectural also, we are saying that the work has been done in terms of team

building, in terms of product portfolios, the work has been completed.

But there will be like Garware Home Solutions, which will add to that, plus a lot of products which we are adding now on also after completing the basket, the higher -end products that will also help. So architectural and PPF. Having said that, automotive segment, so this is product -wise. But if I go to geography -wise, again, we will expect a good automotive growth from Middle East and Europe. So that is growth drivers for us.

Dhwanil Desai: Okay. Got it. And second question on TPU. I think the capacity that we are putting up, it's almost half of what we will produce in the PPF. And we are also thinking about kind of doing additional products based on TPU, which is other than PPF.

So essentially, is this that we are first trying to stabilize or test this TPU line and then eventually kind of convert the entire backward integration into TPU over time? And on the TPU new products in terms of the products that you are working on for FY '27, FY '28 in terms of market size, are we looking at very niche products? Or are we looking at large scalable products like Sun Control or PPF? Some thoughts on that?

Deepak Joshi: Yes. To answer the first question on TPU. So yes, it's true. It's capable to supply one PPF line. But the idea here is to grow the product line also. We have always been trying and successfully achieved the niche products always. So with this, we are targeting some products which have got a volume, but they are not something which is very easy to produce, right? So the R&D is working on those products.

All efforts are working towards to grow that area. Before the line comes, we should have the full idea study, everything ready with roughly 25% of the products, which we are trying to

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business vertical for us. So the idea to take, like I said, not to look for like continuous, we are definitely capturing everything whatever available in automotive market now into architectural market.

Then we want to set up new business verticals because we want to create valuation at the rate of 25%, 30%, 20% to 25% CAGR. For that, we definitely meet the business verticals, which are new age, right, and TPU itself is a very new product, right. It's not something which has been there for ages and people are using because the benefits of TPU are outstanding. It's very flexible. It has high strength, and it can be used in multiple variants.

So the idea is to grow that segment. And then based on that, we'll decide like how do we go. Does it make sense just to make a backward integration for PPF. Or does it make more sense to be a new product line with a very different aspect for the company, a complete whole new vertical. And we are more focused towards to develop something new. Because TPU will add only margins to PPF business, but we have to continue the sustained growth of top line also. So this both objectives are there. And this is being worked out very closely, and we will come out with what final thing on that. We know what we are doing, but for the sake of our internal commitment and confidentiality and to avoid any information which should not be like very much into the domain. So we avoid commenting more on this.

Moderator: The next question is from the line of Vinay from Hathway Investments.

Vinay: A couple of questions. You said North America delivers around 48.5% of your total sales. How

much of it is direct to U.S.?

Deepak Joshi: You mean North America and U.S.

Vinay: No, only U.S.

Deepak Joshi: No, no. But 48% is to North America, and that's what I was saying that out of 48.5%, mostly goes to U.S.A. But there are many products which go to Canada, Mexico, yes, many of them to go Canada and Mexico as well. So I can say around 80% goes to U.S.A. of 48.5% and another 20% goes to Mexico and Canada, right?

And going forward, we will directly cater from Mexico and Canada or directly from India.

Vinay: Okay. Secondly, can I see your presence in the Southern Hemisphere is just limited to Australia, very small part and I think South America, very small part. And since Sun Control is a big chunk of your sale, wouldn't it be seasonality better to have more presence there? What is the reason why we have not grown in that area?

Deepak Joshi: See we have grown that area, but we have grown much faster in because U.S. market and European market, these are the markets which value high-end products a lot. That means the

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quality is most suitable for these markets. If you see any company, if they are good quality, high-quality manufacturer, if they are ethical in terms of their offerings, right. So they will have the maximum share in these markets because they are advanced and respecting good quality, right.

And we always give value proposition to our customers, high quality at a more suitable pricing, right. So that's how this market has been very strong for us. But we have added resources in South America to grow that, but even when you talk of the potential of these markets, so based on that potential, they can grow a little, not like what we are targeting in Middle East and Europe.

Vinay: Okay. And what is the contribution of Sun Control and PPF individually to the total sales in FY '25?

Deepak Joshi: Okay. So we have roughly 45% of Sun Control and to be precise, 26% of PPF, right. And around 30% of IPD. And forecasted numbers looks to be 45% to 50% on Sun Control this year and around 30% to PPF and around 20% to IPD. So if you see sequentially, IPD will go down, PPF will increase and Sun Control will also increase.

Moderator: The next question is from the line of Harsh from Toro Wealth Managers.

Harsh: Congratulations on great set of results. I just had one question to understand in Q4. Did we notice any stocking or some sales being prebooked due to the upcoming tariffs? Was that a possibility? And if not, then can we assume that this was entirely normal sales due to your marketing efforts?

Deepak Joshi: No, I can 100% vouch that it was normal marketing this thing. No stocking has been done. We see our stocks in U.S. are very, very normal. Nothing is increasing. From here, it goes to U.S. warehouse, and it is same there. So no change in that.

Harsh: Got it. Because during COVID times, we had some stocking then for a couple of quarters. So I was just trying to understand there is no like prebook of sales and then some destocking happening over the next few quarters. So that scenario isn't there as of now.

Deepak Joshi: It is not there. COVID has been long and painful period where people could not get material. That's why they ordered a lot. They could not get in 6 months, 8 months. Then suddenly, they ordered, and that's why it got stocked up. Here, the painful period has been very small waiting period and there is no change in our stocking pattern.

Moderator: Next question is from the line of Mihir Dhami from Sharekhan.

Mihir Dhami: Sir, because of the 10% additional tariff from U.S., how much impact would it have on our margin?

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Deepak Joshi: See, on the margins, I would say there has been a general increase from everyone into the U.S. market. Like I explained, even U.S. manufacturers, there are many of them, they import their components from other countries. So everyone has got some kind of impact of that. That's why many of the producers are contemplating like price hike to this extent, right? So we are in discussion and we'll be able to pass this on to our customers.

Mihir Dhami: Okay. And one was a bookkeeping question. What was the reason for a rise in employee expenses and other income in this quarter?

A

bhishek Agarwal: So employee expenses is on the back of our additional hiring which we had plus normal increments which come during the year. So that was again for employee expenses. And on the second question was on?

Mihir Dhami: Other income.

Abhishek Agarwal: Other income is basically from our investments which we have made. So we are getting our dividends and other things on that. So that's the reason for the other income.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question for today's conference call. I now hand the conference over to Mr. Deepak Joshi for closing comments.

Deepak Joshi : Thank you, everyone, for your time given to us today. On behalf of Garware Hi -Tech Films management, I thank you, everyone, and good luck. Thank you.

Moderator: Thank you. On behalf of Garware Hi -Tech Films Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2025

GARWARE HI-TECH FILMS LIMITED

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August 12, 2025

The Compliance Manager

BSE Limited Corporate Relationship Dept., Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai 400001.

Scrip Code: 500655

The Manager, Listing Department

National Stock Exchange of India Ltd.

Exchange Plaza, Plot No. C/1, G Block,

Bandra-Kurla Complex,

Bandra (East), Mumbai 400 051.

Trading Symbol: GRWRHITECH

Subject: Transcript of the Earnings Conference Call on Unaudited Financial Results / Business Performance of the Company for the quarter ended June 30, 2025.

Pursuant to Regulation 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Earnings Conference Call, held on Friday, August 08, 2025 on Un audited Financial Results / Business Performance of the Company for th e quarter ended June 30, 2025.

The aforesaid transcript is also bein g uploaded on the website of the Company: <https://www.garwarehitechfilms.com>.

This is for your information and record.

Thanking you,

Yours faithfully,

For Garware Hi-Tech Films Limited

Awaneesh Srivastava Company Secretary FCS 8513

Encl.: As stated above.

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“Garware Hi -Tech Films Limited
Q1 FY26 Earnings Conference Call ”
August 08, 202 5

MANAGEMENT : MR. M. S. ADSUL – DIRECTOR , TECHNICAL
MR. DEEPAK JOSHI – DIRECTOR , SALES AND
MARKETING
MR. ABHISHEK AGARWAL – CHIEF FINANCIAL
OFFICER

MODERATOR : MR. VIKASH VERMA – ERNST & YOUNG

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Moderator: Ladies and gentlemen, good day, and welcome to the Garware Hi -Tech Films Limited Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vikash Verma from Ernst & Young. Thank you, and over to you, sir.

Vikash Verma: Thank you, Muskaan. Good evening, everyone. Welcome to the Quarter 1 FY '26 Earnings Call for Garware Hi -Tech Films Limited. On behalf of the company, I would like to express our gratitude to each of you joining the call today.

To discuss the performance of the company and to answer the questions, we have with us from the company, Mr. M.S. Adsul, Director, Technical; Mr. Deepak Joshi, Director of Sales and Marketing; and Mr. Abhishek Agarwal, the Chief Financial Officer.

Before we begin, I would like to draw your attention to the fact that today's discussion may contain forward -looking statements that are subject to various risks, uncertainties and other factors, which will be beyond management's control. We kindly request that you bear in mind, there may be uncertainties when interpreting such statements. Please note that this conference is being recorded.

We will now start the session with opening remarks from the management team. Afterwards, we will open the floor for an interactive Q&A session. I would now like to invite Mr. Deepak Joshi to make his opening remarks. Over to you, sir.

Deepak Joshi: Thank you, Vikash . Good evening, everyone, and thank you for joining us today to discuss the Q1 FY '26 performance of Garware Hi -Tech Films Limited. The first quarter of FY '26 unfolded against the backdrop of a challenging external environment, both globally and domestica lly. Traditionally, a strong quarter for us. This year's performance was modest due to unusual monsoon patterns and emerging global trade uncertainties.

On the domestic front, quarter 1 is usually a strong volume driver, but the monsoon season started 30, 40 days earlier than expected in the entire country. We have seen demand disruption in end -use sectors such as automotive for Suncontrol Films, and bever age for shrink films . This seasonal shift affected our order flows in our consumer and industrial divisions, particularly for segments that are sensitive to short -term demand cycles.

In our SunControl Films business, revenue saw a year -on-year decline of approximately 7%, primarily due to early rains and temporary slowdown in demand from developed markets and sluggish growth in automotive sales.

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Our Paint Protection Films segment recorded a year -on-year growth of approximately 28%, driven by higher adoption in global markets such as North America and the Middle East, supported by improved brand awareness and the expansion of Garware Application St udios. Revenues in our Industrial Products division saw a decline of around 3% on a year -on-year basis. Our shrink films sub-segment declined by nearly 29%, influenced by the unusual monsoon patterns, leading to slowdown in beverage industry and uncertainty of tariff situation in U.S. market.

While the overall top line was impacted due to these evolving geopolitical and tariff -related concerns, we believe the fundamentals of our business remains strong. Our strong global presence, diverse product mix and a longstanding customer relationship con tinue to act as a strong lever. We have grown steadily over the last 10 years. FY '26 is likely to be a challenging year due to tariff uncertainties and geopolitical

tensions.

Until April 2025, we were paying a 6.25% tariff in U.S. market. Post that, a 10% base tariff was added, taking the total impact to 16.25%, which was absorbed in the entire value chain. An additional 15% tariff has been imposed with effect from 7th August. We are in discussion with our channel partners for an amicable solution for this. Currently, with the announcement of a further 25% tariff, we are evaluating our next steps, and we hope that this will end in a better way.

I would like to mention here that the first 10% impact could have been INR100 crores in the bottom line. That means INR33 crores for quarter 1. However, it was absorbed by all our efforts during the entire supply chain.

Our focus remains on capturing new opportunities in all business segments like automotive, architectural and shrink labels, while manufacturing products in a cost -efficient manner and improving operational efficiencies.

We are also on track with our strategic investments, including the second PPF line and the

upcoming TPU plant, both of which are expected to drive our next phase of growth. We remain committed to navigating the current environment with agility, while laying foundation for a stronger and more resilient future.

With that, I will hand over to Abhishek Agarwal to walk you through the financials. Thank you.

Abhishek Agarwal : Thank you, Deepak, and good evening, everyone. Let me take you through the financials for the Q1 of FY '26. Our consolidated revenue for the quarter stood at INR495 crores compared to INR475 crores in the Q1 of FY '25, which translates to a 4.3% growth year -on-year. This is achieved even in a very tough operating environment.

EBITDA stood at INR123 crores versus INR130 crores in the last year, while the EBITDA margin was 24.8% versus 27.4% in Q1 FY '25. The reduction was primarily on account of

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increased employee and marketing costs, which is a strategic investment towards the long -term growth of the company.

The PBT declined by 6.1% to INR110.3 crores versus INR117.5 crores in the same quarter last year. This is consistent with the revenue mix and investment -grade expansion. PAT for the quarter stood at INR83 crores compared to INR88.4 crores in Q1 FY '25. On the balance sheet front, we remain in a strong position, debt -free along with INR700-plus crores of cash and cash equivalents. This provides us ample headroom for our ongoing capex initiatives and potential strategic investments.

We continue to invest in innovation, global expansion and long -term brand building, which will position us to capitalize on growth opportunities in the coming quarters. With that, we now open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mahesh Bendre from LIC.

Mahesh Bendre: Sir, in terms of -- just trying to understand your strategy given what has happened with the tariff. So we have a very strong presence in Europe, and we're also penetrating into Middle East. So new products, new geographies. So what is the alternative strategy or geographies we're looking for the growth?

Deepak Joshi: On alternative geographies, we have like added new manpower in Europe and Middle East. Middle East, we are, in fact, growing pretty fast, and we expect around 30% to 40% growth in Middle East this year. And this is basically -- mainly this is happening into Architectural segment, because we were already pretty strong in Automotive segment in Middle East. But the growth, which was limited to earlier UAE and around the areas, now we are really penetrating well in most advanced markets like Kingdom of Saudi Arabia.

So we have added manpower. We are putting a lot of digital media and other marketing efforts in Middle East to grow the business to around 30% to 40% this year

. And in Europe, we already

added like manpower 6 months back. And there also, we are seeing quite strong growth in that region.

And of course, like you asked about the other reasons, but even in United States, we are trying to -- because we have added good new resources there as well. So to compete with the current scenario, we are working on a very strong measures, which leads to cost saving efforts.

That means we are trying to make the product with -- I mean, these are like some innovative ways, same the product, we are trying to make it with a different ways with improving our efficiencies, which gives us lot of benefit, a lot of headrooms to mitigate the impact of tariffs from U.S.

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Mahesh Bendre: And sir, I think, what I learned is that the whatever the U.S. exposure we have, I think half of the exposure is basically into our brands. I think we have three brands under which we sell the product. So in that case, the tariffs will not impact in that part of business, right?

Deepak Joshi: Tariffs will impact the overall business. But this -- what you are saying half of the business, which is through our channel partners, we will have a strong advantage there as compared to the other business. Having said that, the entire customer base, we had a discussion, and they all are aligned. They understand the situation. So I mean, we will find out a solution. But to an extent, what you are saying is correct.

Moderator: The next question is from the line of Aashish Uppanlawar from InvesQ PMS.

Aashish Uppanlawar: Yes, sir, just continuing on this very important subject of where we stand after this tariff. So I couldn't understand the -- your thinking in detail. Is it that you said Middle East, you would be,

I mean, sending the goods from there? Or I mean, very difficult to understand. So can you please clarify how are we strategizing in case the situation with tariffs maybe ends up, maybe 30%, 40%, if not 50% of tariffs, how do we maneuver the business accordingly?

Deepak Joshi: Yes. So we -- what I said is not related to where we manufacture. The first question was related to our growth in Middle East and Europe, that means alternative geographies. So I explained that we have added manpower. We have stepped up our efforts in marketing to grow those markets, because that Saudi and Middle East, entire Middle East is a very big market for cars as well as buildings. And that area is very -- it's still growing very fast in terms of real estate growth. And I mean, SunControl sales for Architectural segment is one of the key part of that growth. I mean, we are putting a lot of efforts to directly enter into contracts with those builders and companies who are doing architectural business there. So that was the first question.

But now, if you are talking of how do we maneuver if that continues. First of all, we hope like some solutions will come, we hope for that. But we are preparing for like whatever can go here. So in that way, we are reducing our cost, means the manufacturing of these products, there are various ways. We can improve a very good amount of efficiency there.

And second thing is in terms of power and other initiatives, we are taking these initiatives to reduce the cost on that. So there are many initiatives, which company is working internally. And lastly, if that remains a long-term game, we are also evaluating like what can be done for a longer term, like after the cost savings and better efficiencies and all. So that also evaluation is going on. But at this event unless it is formalized in full, I won't be able to give much light on that.

Aashish Uppanlawar: Sir, two things I wanted to understand. One is that we would be selling there directly or we are selling through some channel partners. And then, the tariff would be on the -- your bill value which goes out. But on the ultimate

price to the customer, that percentage will be lower.

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So if you could explain if things have to be passed on to the customer and to the value chain overall, how would it work? Because I think even if it is 50%, the markup would be, I mean, much lower, given your cost to the distributor and beyond that, there would be multiple in terms of pricing. That is what one thing I wanted to understand.

And secondly, is there an option of alternative manufacturing in the U.S.? Because your competitors would also be feeling the same heat, because probably U.S.-made manufacturing won't happen. It would be sourced from someone else. So how is the entire synergy panning out now?

Deepak Joshi: Yes. So the thing is, to answer the first question, like you have summarized it well that there are the cost of selling from here to USA, to your own company, and from there to the customers.

You are right. I mean, there are some benefits which company can take. But again, because of the confidentiality in nature, your direction is right, but I won't be able to tell you the exact numbers or exact thing what we are doing, because that is proprietary to the company. But definitely, your thought process is correct, right? So that is the possibility. And this kind of cost pressure can be reduced by doing such kind of things. Right? By -- I mean there is a leverage there. So that is done.

Second thing is, in terms of the current situation in the market. So let me tell you like the Korean products, first of all, Garware or Global competes with the products which are manufactured in America. They hardly compete with the products which are manufactured from China, Korea and any other country.

But when we talk of U.S. manufacturers, I won't name them, but they also have backward integration of their products. Some of them are coming from China and Korea or from any other part. And the duty impact has also hit them pretty hard. And that's why we have seen some price increase into the market to the end customers, right?

So all those being documented, properly studied, and because this is only a situation, unfortunately, changed in a day-to-day basis in last week or so. So we are still evaluating, but we are now feeling confident that something will come out. As I said, this is challenging without a doubt, but we have options where we can pull everything together and make the best solution for us.

Aashish Uppanlawar: Sir, last thing, if I can ask, how does this work? I mean, in certain industries, a 20% tariff was supposed to be not as affecting the bottom line as much, maybe a couple of percentage points on the EBITDA for -- until it gets absorbed into the market. But with cost efficiencies, people could have managed.

But in your industry or in your case, how much of a tariff is manageable? Is it maybe 20%? And beyond that, it becomes a very big hit on the profitability overall. So any metrics on that, if you can share it will be helpful for us to understand the gravity of the situation overall?

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Deepak Joshi: See, in any case, like I explained in detail that 6% and then it went to 16%, which was a comfortable situation. Another 15%, we are working, like I said. But this last 20% is still -- I mean, that's -- I can say, that is very difficult situation, it makes it more, I would say, challenging. So I mean, initial ones, like I gave you an example, 10% could have fit us on with INR100 crores on the bottom line, right? That's a big number, which is INR33 crores of the bottom line. But you saw the results, which are -- and that started from April itself. So we were hardly impacted by this, because there were some other things like monsoon and other. But we navigated. So we are confident for some other percentage can be similarly traded up. But beyond

that, it's

very difficult to say what will hit, what will not. Because definitely, it's something which is macro -- at the macro level that government has to do. But beyond a certain number, it's very difficult to absorb that. So we have to work towards that, and we are hopeful something better will come out. I can't give you a number like beyond this, we can't do.

And there is something which is for the confidentiality reason. We have lots of things where we can do, like whatever I can share in terms of operational efficiencies, power cost and alternative geographies. But beyond that, it's a little bit of confidentiality in nature where we would not like to share like what margins to our subsidiaries and selling into the market. So that's all I can say.

Moderator: The next question is from the line of Gunat from TCI.

Gunat : So I would like to understand in the U.S., I mean, in the segments that we are present in, who are our main competitors? And what is our pricing as compared to them? So do we directly compete with 3M in the segments that we are present, or the competitors imports from Korea? And what is the pricing as compared to them? So -- before the tariffs, I mean, what kind of pricing differential was there? And how will the tariffs impact our competitiveness?

Deepak Joshi: Yes. See, there are four big players in U.S. market, including us, right? You named one of them. So they are pretty strong in Architectural segment. And others, there are two more players who are strong in Automotive segment, right?

So we have also been pretty strong in Automotive, and we are now opened our good, strong ways for the Architectural segment, right? So that's how the competitor spanned out, because I won't name anyone, because of -- I mean, we can only talk to them as our peers, right?

So now if you talk about the prices, we were like, I can say, 10% to 15% lower in U.S. market for the obvious reason that we were exporting to that market, and they were manufacturing the product there itself.

Now with -- after the tariff situation, they -- everyone has got impacted. Because they all of them are doing either their direct imports from other countries or they are importing their raw materials, like they're manufacturing in U.S.A., but they are importing their raw material from other country or raw material or raw material being imported.

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So ultimately, and we have seen some price increase also from them, which we are also evaluating, which we will do. Because these things are very dynamic currently. So we don't even know the full impact, like how much peer A, B, C, D has increased. So we are studying that. And definitely, there is a scope of price increase, which we will take.

Gunat: Got it. Got it. So I mean, if we have to track, I mean what is the main country from which raw materials are imported? And what kind of tariffs do they face with respect to -- if you compare it with our tariffs? And also earlier, you had given a guidance of INR2,500 crores in FY '26.

So would you like to revise that to a lower level? Or do you think it is still possible to achieve those numbers? What should be the direct impact? And now that the tariffs have been further increased, so do you see any further impact? And if so, can you quantify it?

Deepak Joshi: Yes. So the first question is, we have like a comprehensive tracking mechanism. Our team does like, which country is facing how much tariffs and what are the impact to each individual and how are they doing the prices, increase, stable and all those things. But obviously, that's very difficult to share here, because again, for the confidentiality reason, but we have that full access and it's still dynamic. Because many people do it in a week or 15 days' time or there is a time lag before the shipment comes there in the country, right? So that was the first.

An

d second thing on the guidelines. Yes, of course, we have given the guidelines of INR2,500 crores. That was given 3 years back, and we continuously move towards that. Even the last year, we did INR2,100 crores. But in the current situation, we will definitely like not to say anything

or confirm that, because this is like something which is a very, I would say, again, something dynamic has happened, which is beyond our control. And it was -- I can understand even from the government bodies, that everybody is like, kind of, shock to all business and everyone. So we will need some time before we assess like where we can reach. So I would not -- I would like to stay away from giving any guidance right now, because this is something, even if I say something, but we don't know how much will be reversed or will happen. So in that situation, it doesn't make sense to say, like what would be the guideline. So we would like to stay away for this at this moment. We have always been very vocal and said whatever we could achieve. But right now, we would not like to say anything on that.

Gunat: Got it. My last question would be, you said that prices were 15% lower as compared to peers.

So after the -- for initial tariff implementation of first 25%, you said that the competitors also increased their prices. So was that delta of 15% still maintained till the first 25% tariffs were announced?

Deepak Joshi: Sir, the first 25% was announced 3 days back. So that's what I said. I mean, we were on -- I gave you with the timeline that it was only 10% additional from April till August 1. But the announcement was last week only. So we are evaluating that. Of course, there, the delta which we had, right, where we were a little lower, we can take advantage of that situation, right?

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And we can take corrective actions in terms of whatever we can gain from the market. Because we also -- we are working towards, like I said, on the cost-saving measures. And at the same time, we would like to retain our customer base. So that's the first priority for us going forward. So I hope I answered your question. Because it's so dynamic that it will take for us to take some time. In fact, I would say -- we don't know that something changes in the next 15, 20 days, because we understand the delegations are still happening towards the end of the month, and the negotiations are still going on. So we cannot comment at this moment on that particular situation.

Gunat: Alright sir. So when it comes to a customer base or the distributor...

Moderator: I'm sorry to interrupt, sir. I just request you to rejoin the queue for the follow-up question. The next question is from the line of Sunil Jain from Nirmal Bang Securities.

Sunil Jain: Sir, my question relates to considering, let's say, worst case scenario, and we get a 50% duty. In that case, if suppose we are not able to sell much in the U.S., whether the plant will be fully utilized? And if yes, then how the product can be diverted to other geography? And what could be the impact on the margin in that case?

Deepak Joshi: See, again, that's -- I mean, I would say it's a hypothetical question. But of course, I mean, what you say is in the current light of the situation, you are right. I mean, if you assume that, that situation remains. So in that case, I think we would -- I mean, maintain -- we would like to maintain, of course, our top line in the market. Because we never work in other markets, for example, Middle East and Europe, in light of that, what we are doing in USA, right? We have grown in all geographies.

Of course, these geographies are a little smaller than what U.S. is. But our effort is to grow on all alternative geographies, which we are already doing. Right? And our target would be to retain the customer base, whatever we are having.

And we have some ways where we can

-- as I said, there will be operational efficiencies and the power cost and some of the alternative methods where we will be able to reduce the impact of that. And we will be -- we should be able to maintain the customer line. But of course, there will be definitely some impact on the bottom line if the situation prevails.

Sunil Jain: Okay. So that's great. Second thing is about India. So you said that shrink film got impacted. And also this other Suncontrol has also got impacted. But what about PPF in India?

Deepak Joshi: Yes. So PPF has grown. Like I said, overall, PPF has grown by around 28% as compared to last year. Because it is -- it does not have seasonality impact, right? So it was unaffected. In fact, we have grown good around 28%. And that is overall number, that is export plus domestic consumption. But at the same time, in the domestic market also, it has grown around 25% to 30%. Same, I mean, around 28% overall, but it has grown to all geographies. So that business is still growing, because it does not have any impact of seasonality.

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Sunil Jain: How much it contribute to India revenue or overall revenue, India PPF?

Deepak Joshi: So, India business is roughly around 20% to 23% of PPF revenues.

Sunil Jain: Sir, last thing about studio and all. Now how many more studio you have added? And what's the

current numbers?

Deepak Joshi: So current number, we have 250 plus, and we are now targeting towards 300.

Moderator: The next question is from Shikhar Mundra from Vivog Commercial Limited.

Shikhar Mundra: Can you give a geographical split between the exports, how much we are doing from Middle East and how much from USA?

Deepak Joshi: Yes. So we are doing roughly -- just 1 sec. So we are doing roughly 45% in America, in U.S., and around, one second, let me just pull out the numbers. So it's around -- I mean, I can say, in domestic market, we are doing 23.5%, and then 12% to 13% in Europe and between 3% to 5% in Middle East. So -- but the numbers, as I said, is growing very fast in Middle East and Europe, right? And of course, in India .

Shikhar Mundra: And what was the growth rate for Middle East, you said 30%, 40%? And how about Europe?

Deepak Joshi: Europe would be around 20%. Because it's an established market. There we have to get share from other competitors. So that's why Europe, we are targeting around 20%, whereas Middle East, we have added like a good manpower, and we have done a lot of initiatives, and we are seeing the traction towards 30%, 40% growth in Middle East.

Shikhar Mundra: Right. And for this 10% tariffs in Q1, how much of a hit we had to take or how much of absorption we had to do and how much did our supply do? Or if it was entirely our supply chain which did?

Deepak Joshi: No. When I say supply chain, it means everyone, including us, because entire from us till the customer, right? The impact would have been, like I said, last year, almost INR1,000 crores in export to U.S. market was like 10%, means INR100 crores to that, which was like INR33 crores could have been in this quarter or I would say, INR25 crores, because of second half of April thing. But we got hardly, I think around INR3 crores or INR4 crores. Rest, we were able to do during -- I mean, in between our supply chain.

Shikhar Mundra: Okay. Okay. And based on your interaction with the supply chain, like how much of absorption is more possible for them like at what level, I mean, we'll have to stop supplying to the U.S.?

Deepak Joshi: As of now, we don't see that we will stop supplying. But of course, like I answered the question already that there will be -- if this situation prevails, there will be definitely impact on the bottom line, right? But we don't see the situation like that we will stop supplying there.

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erator: The next question is from the line of Parikshit Kabra from Pkeday Advisors.

Parikshit Kabra: Just one quick question. How much of this quarter's impact on revenue was because of the tariff versus because of the early monsoons? Is it possible to quantify at least directionally what is the... ?

Deepak Joshi: I think around total -- if you talk of revenue, around INR25 crores to INR30 crores, because of this rainy season. And around INR20 crores because of -- in IPD mainly because, I can tell you that in Sun Control and PPF, we did not see much of the impact. But in Industrial Products, because that's a long supply chain and low-margin products in our value chain, so that's why we saw that into our shrink business .

Parikshit Kabra: Got it, sir.

Deepak Joshi: So INR30 crores and INR20 crores, roughly.

Parikshit Kabra: Got it, sir. I was just wondering that why -- one would think that with the threat of the upcoming tariffs, there would be a fill up in the channels rather than a slowdown in the ordering, right?

Because, the tariffs hasn't been implemented yet as of the last quarter. So why was there a slowdown in anticipation?

Deepak Joshi: Yes. See, what happens is, because the situation has happened in -- towards China, that when there was announcement of 150% and all those things. These guys are noting down. And then what happened is, there were some product, and they had to pay that kind of duties. And then it was lowered, right? So people want to wait till they are in extreme urgency to get the product, maybe by air or so.

So especially, as I said, we didn't see the much. I mean, it may be 5%, 10% in PPF and Suncontrol business. But on Industrial Products business, people try to stay away because that's -- if the Industrial Product means they have the stocks and then they manufacture that it goes to label, printing and all. So it's a cycle of around 3 to 5 months, right?

So that cycle, people really feel afraid of that. Because especially the margin there are lower, pretty low as compared to other value chain. So that particular thing delays are, of course, they try to buy more and more, though they will not be pretty happy with the domestic suppliers, but they will continue -- they will buy from there. They will avoid imports from India.

Parikshit Kabra: Got it. And sir, I got a little bit confused, although you answered this question. I'm not sure I've understood the answer properly. Is that, the people you're competing with, they are not the ones -- they're the ones that are manufacturing in the U.S., but they have some supply chain coming

from China and Korea. I think that's what you tried to say. And because China and Korea are also facing tariffs, their costs have also gone up. But their costs have not gone up commensurate to our cost. Is that the fair way of looking at it?

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Deepak Joshi: Yes, yes. We -- see, what happened is, we were in a good position, prior to like the implementation of the 25%, which was announced last 10 days back, right? And Korea was 25%, that was lower to 15%. So in one, I would say, 7 to 10 days, the situation flipped, right? They were like 25% and they went down to 15%. We are at 10% and hoping for a better solution. So we went to 25%. So that's there. And China, I don't want to comment, because it's a lot up and down happening. We don't know how much is exactly, because there are so much exemption, so much inclusion, exclusion. So things are being -- that's volatile, I can say.

Parikshit Kabra: Got it. So for the Americans, the only alternative is going to be, of course, they can either go to China or Korea in case the delta is significantly lower. But is it realistic for them to manufacture in America itself? Would there ever be a possibility?

Deepak Joshi: I would -- again, this will be a little -- I mean, I can answer that. Yes, it's

difficult in U.S. But I

won't go much beyond why and all, but we feel it's not feasible. And also, I would like to tell everyone that the product, it's not very easy replacement, like, you can just not replace by our product with someone else.

Because it comes with a lot of technicalities that means the visualize, that means the color, that means of the IR rejection, which was for a particular segment of cars were, because of the laws in different states like what VLT you can put, what VLT you cannot put, and the liking of the customers, they are -- it's very important when they see the aesthetics and also see how much of heat rejection is looking for. Normally in advanced markets like U.S., they look for more than 90% of near infrared blockage.

And our products being deep-dyed with nano-dispersion facility, people like the product, and they have been using for the dealer distributor for last 20, 25 years. So -- and even the applicators, they know the quality of the product in terms of application and the ultimate performance of the product. So it's not that easy to replace the chain very quickly. So that's why I said, we will try to maintain our customer base. There will be a little up and down or up and down in the bottom line, depending on what ultimate tariff is done for us.

Moderator: The next question is from the line of Vinay Nadkarni from Hathway Investments.

Vinay Nadkarni: I wanted just two questions. One is, we had around 12% to 13% of our business coming from Asia, other than India. Is that number still valid? Or has it changed?

Deepak Joshi: Sorry, sir...

Vinay Nadkarni: And how much of it is from Japan?

Deepak Joshi: You are not audible a little bit. Can you repeat the question, please?

Vinay Nadkarni: Yes. I'm saying, out of your total business, around 12% to 13% used to come from Asia other than India, correct?

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Deepak Joshi: Right.

Vinay Nadkarni: Is that still there? And how much of it is from Japan?

Deepak Joshi: Japan is very low in the number. Because I mean, that's not a very big market. And there are some producers already have very strong presence there. So the numbers are more or less the same between 12% to 13%.

Vinay Nadkarni: Okay. And secondly, on the revenues that you gave just now, the loss of revenues because of drop in seasonal and this INR25 crores to INR30 crores drop in seasonal is only the Indian market, right?

Deepak Joshi: Yes. Yes. I'm talking only India market.

Vinay Nadkarni: And this INR20 crores IPD drop could be because of only the U.S. market?

Deepak Joshi: Yes. The drop in the delay, in the decisions and all.

Vinay Nadkarni: Yes. So total around INR45 crores. So you're comparing with your budgeted numbers for this quarter?

Deepak Joshi: Yes. So that's what if we -- had we achieved that, we could have touched around INR550 crores. So that would have been reasonable. Because the fact is, if you really see the performance of our company, FY '24 versus FY '25, and now FY '26. So '24 to '25, the bottom line has almost done the double.

If -- 88% to 90% growth has happened last year, and very good growth on the top line. So this

year, with all those factors, I mean, we expected those numbers like INR550 crores or so. So like we are on track, and we expect. I mean, we expected the similar numbers from this.

Vinay Nadkarni: Okay. And last question was on exports. How much of -- in quarter 1, '26, what is the export percentage?

Deepak Joshi: So export, again, I mean, we tried since, a little better going into the market. So the export revenue -- sorry, -- so domestic revenue increased slightly. So it was -- to be very precise, it went to 27.5% in India, and total export happened around 72.5%.

Moderator: The next question is from the line Souresh Pal from KRSP Capital Limited.

Souresh Pal: Sir, you mentioned that beyond

the point of tariff percentage you cannot manage. So what is the percentage of tariff that you can manage by improving operational efficiency and cost cutting and all those things?

Deepak Joshi: See, I mean, honestly, we are doing a lot of efforts to improve those efficiencies and other methods. But for -- I mean, please understand that, I can't give the exact number because we are

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hopeful to have something better. We assure you that like in this current scenario, we are -- we are -- we will definitely do, I mean, good in terms of our numbers, top line and bottom line. But that exact number is very difficult to give now. Because still, as I said, this dynamism though we were working on the efficiencies from war levels in April, because we expected anything might happen. But these last numbers, they came like a shock. I mean, these kind of things really need a careful consideration. As a company, we do a lot of due diligence before we can say anything into that. So I request that I have -- I mean, allow me to maintain what I said. I can't say beyond this.

Moderator: The next question is from the line of Kishan Tosniwal from Polar Ventures LLP.

Kishan Toshniwal: I have two questions basically. The business of studio that we started in India, how is that progressing? And the revenue, can you split the revenue from that as well?

Deepak Joshi: Yes. See, the thing is, this particular business is a franchisee model. So we drag the growth of them in terms of like how much total we are doing. But I can tell you, like I said, we are growing between 25% to 30% into PPF business and around 15% to 20% in Suncontrol business in India. So the primary growth, now because entire channel has been kind of, we are the major suppliers and having the market penetration of more than 60%. So now the growth is coming, mostly coming from that channel only. So we can attribute, I think, like the new growth, whatever we are having 15% to 20% in Suncontrol Films and 25% to 30% in PPF is linked to the Garware Application Studios.

Kishan Toshniwal: And how is the margin profile in that?

Deepak Joshi: So margin profile is, because what we are -- to protect them, what we are doing, we are giving them some unique products like titanium PPF is dedicated to them. Then we have also launched one more category of PPF and one or two different categories of kits. So the margin from that particular product, because we support the gas, but still, that is one of the -- we give them the best of the best products.

And their average is higher than what we do through the normal distribution channel, right? And just to mention that, since that has been a flagship studios, which are on the franchisee model, we have -- we give more facilities to them, like I said, unique products to them, which we do not sell into the market.

Then we give them the benefit of Bajaj Finance, then insurance, and then a couple of coatings, which we provide and cleaning equipment. So overall, that's a model which is franchisee-based and gives us on an average 10% to 15% better margins than, what we achieved from the market through our normal channel.

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Kishan Toshniwal: If I can squeeze in one more question. I just wanted to know that the PPF business that we are doing, what is the split between India and outside India? And how is Indian market growing?

What is the acceptance ratio in India? Or how the customers are accepting it?

Deepak Joshi: So as I indicated in my earlier question that India is around 25% of overall PPF business, right?

And that segment is continuously growing. Our overall growth has been last year to this year has been 28%. And both markets, India and export has grown almost equal numbers, 25% to 30% on an average, both. So the -- and that is also around 25% of

our total export market.

In fact, in PPF, the revenue mix is going high towards Middle East and European side. I mean, that's slowly increasing. So -- but again, -- we don't want to go much detail, because now current situation is, because of this geopolitical tariff situation, right? We are evaluating if we can further penetrate, especially the PPF business into these geographies.

Moderator: The next question is from the line of Aditi from Abakkus.

Aditi: You just mentioned that there are currently 250 studios, and you would like to reach the target of 300. Could you please clarify on the timeline for the same?

Deepak Joshi: See, we will -- since the initial growth has been very, I would say, phenomenal, so by end of this year, that is March -- 31st March 2026, we can complete those 300.

Moderator: The next question is from the line of Punit Mittal from EBISU Investments Advisors.

Punit Mittal: Just two questions. Is it fair to assume, you said there were -- can you hear me? Yes, I have two questions. One is related to -- one is related to the revenues that you deferred during Q1, because of the early monsoon onset. Do you see that revenue being pushed back to Q2 and Q3 rather than lost revenue?

Deepak Joshi: I think if the monsoon started early, and if it goes early, that means if we see good October here. So surely, it can come back. I mean, it's something -- let me tell you one straight away. It is our revenue of that particular business, label business, is directly linked to the beverage industry, right? So if it happens, like we also see, when -- that if IPL comes or something comes in the summer season, though the demand increases. That's a very direct linkage to that particular business of label, right?

So two things. One is the label business, another is Sun Control. So if we see better summer, more Sun, then definitely these two businesses in the domestic market help us. So if it happens, like if it goes in September or something and we see good sunlight in September, October, then definitely, it will come back.

Punit Mittal: Okay. And the second question, back to the U.S. where you lost about INR20 crores -- and the second question -- regarding the U.S. business, where you said you lost about INR20 crores due to tariffs. And naturally, given the uncertainty around things, I think a lot of clients are probably waiting.

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But is it fair to assume that, what will happen is if this uncertainty continues for some more time, then people would essentially defer their purchases, but essentially not -- you would not lose market share because I think pretty much all players are in the same boat. Is it fair to assume that?

Deepak Joshi: See, I was very certain on the first question. But this particular question, the situation is like if there are players which are producing the product in the nearby countries. For example, South America or -- I mean, the major competition comes from U.S. market -- U.S. producers as well, right?

So if this situation prevails, right, so we might have to talk on the, I mean, lower margins or lower prices and then compete with them, because right now, because this was a real uncertain like happened in case of China where people ordered the goods when it landed in the market and they faced a tariff, which was dropped later on, right?

So that is the uncertainty where people don't know what will happen, right, in that. Because they all knew from 1st of August or initially from 9th of July, when 3 months were over, the tariff to India was about to go to 26%. And they were expecting that this might happen in between somewhere like the trade deals or instead of 26%, it goes to 15%.

So that kind of uncertainty prevailed into the market, which last 10 days has gone to a different level. So we really don't want to give that situation, that like, I mean, this

situation where --

whatever way this changes, we will take action accordingly. Because right now, we can't tell them to buy, and we will see that because the margins on that particular segment is lower than in the Consumer Product Division. So that's the worry.

Punit Mittal: So a related question to that, and I don't know whether you'll be able to answer this. But the new tariff, which is -- related question to that, because the new tariffs were announced, but it will be implemented 21 days later. And if the goods are in transit during that period, then the new tariff is not applicable to the goods in transit. Does that mean that, because you have a subsidiary in the U.S., would you be able to stock the inventory there, then?

Deepak Joshi: Yes. So for that particular thing, we actually honestly, whatever we have, we are trying to shift the goods before it goes onboarded, before 27th of August, right? That works on the Bill of Lading. So we are working hard to supply more products before -- I mean, before the deadline of '27. So we are working on that. I mean, we are doing that rather I can say.

Moderator: Thank you. Ladies and gentlemen, due to the time constraint, we will take this as the last question. I would now hand the conference over to Mr. Deepak Joshi for closing comments.

Over to you, sir.

Deepak Joshi: On behalf of Garware Hi -Tech Films management, I would like to thank all the participants for their time to listen to us. And we would like to assure you that we will do our best to protect the interest of our investor family. Thank you very much.

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Moderator: Thank you. On behalf of Garware Hi -Tech Films Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2025

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November 18, 2025

The Compliance Manager

BSE Limited Corporate Relationship Dept., Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai 400001.

Scrip Code: 500655

The Manager, Listing Department

National Stock Exchange of India Ltd.

Exchange Plaza, Plot No. C/1, G Block,

Bandra-Kurla Complex,

Bandra (East), Mumbai 400 051.

Trading Symbol: GRWRHITECH

Subject: Transcript of the Earnings Conference Call on Unaudited

Financial Results / Business Performance of the Company for the quarter and half year ended September 30, 2025.

Pursuant to Regulation 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Earnings Conference Call, held on Friday, November 14, 2025 on Unaudited Financial Results / Business Performance of the Company for the quarter and half year ended September 30, 2025.

The aforesaid transcript is also being uploaded on the website of the Company: <https://www.garwarehitechfilms.com>.

This is for your information and record.

Thanking you,

Yours faithfully,

For Garware Hi-Tech Films Limited

Awaneesh Srivastava

Company Secretary

FCS 8513

Encl.: As stated above.

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“Garware Hi -Tech Films Limited

Q2 & H1 FY26 Earnings Conference Call ”

November 14, 2025

MANAGEMENT : MR. M. S. ADSUL – DIRECTOR , TECHNICAL –

GARWARE HI-TECH FILMS LIMITED

MR. DEEPAK JOSHI : – DIRECTOR , SALES AND

MARKETING – GARWARE HI-TECH FILMS LIMITED

MR. ABHISHEK AGARWAL – CHIEF FINANCIAL

OFFICER – GARWARE HI-TECH FILMS LIMITED

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Garware Hi -Tech Films Limited
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Moderator: Ladies and gentlemen good day, and welcome to the Garware Hi -Tech Films Q2 and H1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Garima Singla. Thank you, and over to you, ma'am.

Garima Singla : Thank you. Good morning, everyone. I'm Garima Singla, and it's my pleasure to welcome you on behalf of Garware Hi -Tech Films Limited. Thank you for joining us today for Quarter 2 and First Half of Financial Year '26 Earnings Conference Call. This call is being hosted by Go India Advisors.

Please note that today's discussion may include certain forward -looking statements. Therefore, they must be viewed in conjunction with the risks that the company faces. Today, on the call, we are joined by Mr. M.S. Adsul, Director, Technical; Mr. Deepak Jo shi, Director of Sales and Marketing; and Mr. Abhishek Agarwal, the CFO.

I now invite Mr. Deepak Joshi to present the company's business outlook and performance, after which we will open the floor for Q&A. Thank you, and over to you, sir.

Deepak Joshi: Thank you, and good morning, everyone. It gives me great pride to speak about the company that has truly stood the test of time, a fundamentally strong organization built over 90 years of innovation, integrity and resilience. Garware Hi -Tech Films Limited has consistently evolved with changing times, adapt ing to new technologies and global shifts while staying true to it

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core values of quality, trust and excellence. These pillars have enabled GHFL to not only withstand market cycles, but to emerge stronger with every challenge.

The second quarter of FY '26 once again validated the resilience and depth of our business model. The quarter unfolded amid persistent geopolitical volatility and successive tariff action by the U.S. government which posed a significant challenge for the business. Yet despite these external headwinds, GHFL not only absorbed the impact of these challenges, but continue s to create long-term value for its shareholders, a true reflection of our agility, discipline and enduring competitive strength.

During the quarter, we navigated through the impact of the revised U.S. tariff structure, which increased duties by up to 50% on all product categories, yet GHFL reported a 15% sequential growth in revenue quarter -on-quarter basis and limited the year -on-year decline marginally to 8.2%, a clear reflection of our operational agility, strong market positioning and enduring customer trust across global markets.

Our EBITDA stood at INR133 crores, lower by 11.4% year -on-year due to tariff -related impact. However, our EBITDA margins remained healthy at 23.4%, underscoring our disciplined expense management, proactive cost optimization and unwavering focus on GARWARE HI TECH FILMS

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operational excellence. Exports continue to be the cornerstone of our growth, contributing 77% of total revenues this quarter.

Our Sun Control Films segment witnessed strong demand momentum, while the architectural film business continued its rapid expansion in the U.S., Middle East and Indian markets supported by focused marketing initiatives and the launch of premium products.

A key milestone during the quarter was the doubling of our Paint Protection Films capacity to 600 LSF. This expansion removes the earlier fungibility loss with SCF lines, thereby enhancing manufacturing efficiency and unlocking additional capacity for futu re growth.

Looking ahead, our TPU manufacturing line, which is primarily backward integration for PPF on track for commissioning by October 2027, 25% of capacity is dedicated to next-generation film solutions. We are also deepening our domestic and direct-to-customer presence through our 2 strategic platforms, Garware Home Solutions and Garware Application Studios. The launch of Garware Home Solution marks a significant strategic leap forward a high-margin D2C vertical aimed at capturing the growing demand for premium architectural films in India. This initiative enables GHFL to directly engage with end consumers and premium real estate developers, thereby enhancing our brand visibility, customer reach and margin profile.

In parallel, our Garware Application Studios network, a direct-to-consumer platform for premium paint protection and glazing film continues to expand at a robust pace. We are well on track to cross 300-plus studios by the end of FY '26, strengthening our presence up to Tier 3 cities and building a strong ecosystem that connects innovation, service and brand experience directly with the consumers.

On the global front, we are diversifying, we continue to penetrate deeper into key export markets, expanding our footprint across Europe, the Middle East and South America. These regions hold immense potential and our premium product portfolio, backed by strong customer partnerships, positions us well to capture incremental market share and build long-term growth avenues.

GHFL continues to innovate, innovation is true in our DNA while continuously improving operational efficiency and expanding its leadership across product segments. Our multi-segment presence spanning automotive, architectural, industrial and specialty films provides a natural hedge against sectoral cyclicalities and enhances earnings stability.

Looking

ahead, our strategic priorities remain very clear: strengthening backward integration, accelerating innovation, expanding global reach, enhancing our B2C presence and deepening our domestic market penetration. These initiatives are well designed to deliver sustainable and profitable growth even in challenging market conditions while creating long-term value for our shareholders.

Thank you very much. I now hand it over to Mr. Abhishek Agarwal, CFO, who will be discussing the financial highlights. GARWARE

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Abhishek Agarwal: Thank you, Deepak, and good morning to everybody. Let me take you through the key financial highlights for the quarter and half year ended September 30, 2025. For quarter 2 of FY '26, our consolidated revenue stood at INR569.7 crores compared to INR620.6 crores in Q2 of FY '25, reflecting an 8.2% year-on-year decline. This was primarily due to the base effect and the tariff-related disruptions. However, on a quarter-on-quarter basis, revenue grew by 15% over Q1 of FY '26, traditionally one of our strong performing quarters backed by steady demand in our core products.

EBITDA stood at INR133.3 crores compared to INR150.5 crores in quarter 2 of FY '25, representing 11.4% decline year-on-year, while improving by 8.4% quarter-on-quarter. The EBITDA margins stood at 23.4%, driven by cost optimization initiatives and a favorable product mix.

PBT came in at INR120.4 crores, down by 12.8% year-on-year, but sequentially up by 9.1%.

PAT for the quarter was INR91.2 crores compared to INR104.3 crores in quarter 2 of FY '25 and INR83 crores in quarter 1 of FY '26, an increase of 10% quarter-on-quarter, indicating improved profitability.

On a half-yearly basis, the half year FY '26 revenue stood at INR1,065 crores, marginally lower by 2.8% year-on-year, while the EBITDA was INR256.3 crores, down by 8.6% year-on-year. On the balance sheet front, GHFL remains debt-free with a robust cash and liquid investment balance of INR697 crores as on September 30, 2025. This strong liquidity position provides ample headroom for our ongoing strategic CapEx, including the TPU line as well as future innovation and expansion initiatives.

Despite short-term headwinds, GHFL continues to maintain a strong financial foundation and steady operating cash flow generation. With new capacity additions, continued focus on value-added products and improved manufacturing efficiency, we expect to gradually enhance our revenue visibility and profitability in the coming quarters. Thank you.

I now hand it over to the moderator.

Moderator: So first question is from the line of Mahesh from LIC Mutual Fund.

Mahesh Bendre: Terrific numbers despite of the very adverse macro environment. So sir, I just want to understand how we are managing tariff issue now? Are we sharing -- I mean, what is the

arrangement as of now with the U.S. customers?

Deepak Joshi: Yes. So thank you for your kind words on the performance. So on tariff situation, so we are managing in a way like , whatever our customers can absorb , because they have to sell it to the end consumer in U.S. market. So whatever the number we are able to agree to pass it on with them, we are doing that and balance we are absorbing.

And having said that, like we explained in the last quarter conference call that aim is not to lose any customer because we have a very strong customer base in U.S. market. So we will continue to support them with whatever it takes for us. GARWARE

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But with the current situation where we are passing on some of the tariff to our customers and balance we are absorbing, but ultimate aim not to lose a single customer in the market, which have been built over 25 years of hard work in U.S. market.

Mahesh Bendre: Sir, various medi

a reports are talking about there's a possibility of deal between India and U.S.A. So if the tariffs, which is now in excess of 50% now, if it comes down to around 20%, will there be impact on -- assuming 20%, will there be impact on our margins?

Deepak Joshi: Yes. See, 20%, whatever incremental tariff comes from as compared to last year or prior to March will have an impact on the margins. But the company has taken a lot of initiatives where cost savings, energy savings and the portfolio enhancement of various products, we will ensure that we maintain the margins of 25% plus/minus 3%. That is the target guideline has been given for the EBITDA margins.

Mahesh Bendre: Sure. And sir, last question from my end. What has been the growth in terms of non -U.S. business, be it domestic or non -U.S. international business?

Deepak Joshi: Yes. So that growth has been quite strong. I mean, other than U.S. , market has grown roughly around 20%, I mean, as compared to last year.

Moderator: The next question is from the line of Viraj Parekh from Carnelian Asset Management.

Viraj Parekh: Congratulations on your results. I have a follow -up question on the previous participants. You said the non -U.S. business has grown around 20%. If I'm right, approximately 50% of our annual business last year, what we've done is coming from U.S. So we cite d 2 things for the degrowth.

One is the high tariff, second is a high base. So could you just quantify how much was the high base effect in September '24? Because given the quarterly trend, it seems like an abnormally high year. So if you can make me understand what was th e SCF, PPF and what was the percentage terms?

Deepak Joshi: Yes. See, high base, we have said because that last year, Q2 has been the highest ever for us in terms of revenue and bottom line and this year has been the second highest performance for us.

So now it's mainly the high base is a fact that was there last year, but the major impact has come from tariff only because if you really see from April onwards, we were already facing 10% higher tariff and then another 15% was added.

And then lastly, it was another 25% to make it 50% additional, right? So in Q1 also, we had a little impact. In Q1, we had quite a big impact. So this impact primarily comes from the tariff because as you understand that especially in the PPF business, where the product value is quite high, I mean, as compared to Sun Control in terms of absolute sales price, right?

So 50% impact on PPF has been very tough for us in the U.S. market. But Window Film business has grown by like last -- if we compare with last year same quarter, we had around 42% revenue share from Window Film, which has gone to 50% this year. So there is a big jump into Window Film, whereas PPF last year, the revenue was 31% from PPF. It has slightly GARWARE

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gone down to 25%. But it is up as compared to last financial year, which was 20% for PPF. So I mean, I would say this was seasonally a good good quarter for us. But at the same time, the real negative impact has come from the tariff situation.

Viraj Parekh: Sir, given we have our second line of PPF operational, I believe we were working at peak capacity for both our lines in the previous quarters. Do we see that in H2 with this line coming in, it will help us grow at an annual guidance of 20 -plus percent on the last year's base of INR2,100 crores?

Deepak Joshi: Yes, definitely. See, we were not losing -- I mean, I would say we were making the PPF before

this new line into a fungible capacity of Sun Control, which now is possible that we will make all PPF into PPF factory only. There are now 2 lines. So this will give us an operational advantage compared to previous year. And then definitely, the natural growth of around 20% would be there in PPF business.

Viraj Parekh: Just last

question before I get in queue. Based on last year's base, how much are we expecting our U.S. business to grow this year?

Deepak Joshi: You mean, this year's revenue guidance you are talking?

Viraj Parekh: Yes, purely for U.S.

Deepak Joshi: Yes. No, U.S., I think we will do -- in terms of revenues, we will do like same or slightly better than last year. But the challenge is this tariff, and we are hearing quite good news from U.S. market, including the courts and the tariff deal between India and U.S.A. So if all that happens, I mean, within this month or by December, I think we should be able to maintain the volume or I would say grow over the last year.

Viraj Parekh: Sir, last follow-up on this question. Are we seeing that customers are deferring their orders because of the tariffs? Or what is that? Is there like what's the situation on ground there? If you could help us understand because if you're saying the tariffs would be gone by December, once the clarity comes, post that, will we see order coming in?

Deepak Joshi: Yes. We are getting regular orders like we used to get. And like I said, our team, including I also personally met all the big customers there and assured that we will help in terms of mitigating the impact. That means we are absorbing the maximum portion of this tariffs because as I said, as a policy, it has been a long work of creating this customer base.

So whatever was comfortable, we have passed on balance we are absorbing, right? But we are getting orders what we normally get and in fact, some higher orders also. But we are keeping them ready in our inventory, it will not show into the sales unless it is absolutely necessary.

So in that way, I can say our customers and distributors are reducing the inventory, which used to be up to 3 months in some cases. They are going down up to 1, 1.5 months so that they do not lose the customer, but they take best the advantage of the situation where if any deal happens, so they will -- I mean, we will not have to bear that 50%. Rather, it can be like 15%, 20%, whatever the final number comes. GARWARE

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So we are managing in a way not keeping the supply chain empty. We are keeping it full, but only clearing goods when it is absolutely necessary by our customers. That's how we were able to maintain in Q2 a strong quarter and trying to do the same thing in Q3. But if any deal happens, it will be pretty good, and we will rush fast. But otherwise, we'll have to wait a bit.

So I mean, it's our patience. We are just maintaining the situation correctly.

Moderator: The next question is from the line of Akhil Parekh from B&K Securities.

Akhil Parekh: Congratulations on a good set of numbers despite the tariff headwinds. Sir, my first question is, would you be able to quantify what percentage has been absorbed by us and what is kind of passed on to the end customer?

Deepak Joshi: See, this is a bit confidential because, I mean, this is like information which there are many customers, and it depends on many factors you understand. So I mean, we can't digest that information like how much we are doing, not because that creates a conflict among our customers.

Akhil Parekh: Sure. No issues. And second, added 25% tariff, the last bit of tariff was implemented in end of August. So how is the channel inventory at the client level? Was there any kind of overstocking we saw in month of August -- the end of August basically? That's the second question.

Deepak Joshi: Yes. So this tariff, we were aware of like the first 25% that it is coming. Since April, we were preparing for that. Like there may be a situation where we'll have to go for 25%, 15% to 25%. But this 50% came as pretty quick and the time line given was also pretty short. But still, we tried to get as much as possible.

Our lines were already running

full because of the season, it was quite good season. So

whatever possible we could send the material, we could. So there, we built better inventory or higher inventory that it normally is. So that's how we got the operational benefit in that case.

Akhil Parekh: So the channel inventory is normal at the customer level or that is what you're trying to imply?

Deepak Joshi: At that time, we made it higher when the tariff was implemented. And right now, it's, I would say, it's lowest because we are trying to make it a very flexible one to take advantage. So at the time when the tariff started, it was like good inventory. They had 2, 3 months inventory.

But when ,not to everyone, I'm talking of some key customers. And as we speak right now, so we are maintaining the minimum because now everything has been flushed out of system, whatever was like earlier during lower tariff situation. So right now the customers are keeping minimum, and we are keeping good inventory.

Akhil Parekh: Sure. This is helpful. And last 2 questions. One, sir, in your opening remarks, you mentioned that the 25% of the TPU capacity will be for the new production solutions , new product solutions. Would you be able to shed more light what exactly those products would be? GARWARE HI TECH FILMS

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Deepak Joshi: Yes. See, the thing is, I think even the previous calls also when we announced, so TPU is a product which has got lots of potential, very high technology product, which goes into various segments, including architectural and some others, maybe medical and all. So we are working. But for the sake of a competitive advantage, we would not like to share the exact product names, but our R&D is working. And before the plant starts, we would be ready with that product line so that it takes minimum to penetrate the market and take advantage of that. But in very clear statements, we can say that 25% has been kept for new products, which might lead to a further expansion of this segment. 75% will be utilized for PPF and 25% for the new product. So that's the strategic call the management has taken as of now.

Akhil Parekh: Sure. And last question on the guidance, margins you have guided 22% to 25%, we are comfortable with for the FY '26. And in the PPT, you highlighted a revenue CAGR of 15%, 20% for FY '26 and beyond. So how should one read it? Like FY '26 also, we are confident of 15% given that we have marginally declined in the first half of this year? That's the last question.

Deepak Joshi: Yes. So like I said, we have been pretty clear. If you start -- I mean, last 3 years before, we have given good guidelines and always maintained that. But the current situation, it depends on the tariff. And if everything goes well in November or December. So in that case, I think we should be able to do meet the guidelines of 25% plus/minus 3% for the year. Right? And -- but as I said as of now, the situation is volatile. But the growth in terms of inventories, we have maintained and filled the supply chain so that we can take advantage of the situation if the tariff goes down. So we are prepared for that kind of situation. But ultimately, it hinges around the decision on the tariff.

Moderator: The next question is from the line of Rahul Jain from Credence Wealth.

Rahul Jain: Congratulations for entire team. Wonderful set of numbers in a very tough environment.

Deepak, Just to clarify, so the 20% to 25% margins, which you have said today and where the tariff is already at 50%. So are we saying as we speak today and with the kind of arrangements which we have already done with the buyers at 50% tariff, so you are saying that at this level, we will be able to be in that margin range of 22% to 25% if there is no change in tariffs.

Deepak Joshi: No. I mean, I said that because what happened in Q1, we had like 10% tariff more or less. In

Q2, we had like around 25% and some impact of 50%. So full impact of 50% is not seen yet. I mean we have seen in a couple of cases, but not to the full quarter, right? So if there is no deal or reduction on the tariff, then it will be really challenging to maintain that 22% to 25%, right?

But as I said, the inventory supply chain is quite strong now with a healthy inventory.

So if any situation comes where it drops in November and December, then we will be definitely be able to maintain this guideline, which we have given just now, right? Else, we have made some arrangements already where it will take maybe another quarter, let's say, by Q4. We have like we and our technical team, we have worked like how do we navigate if the 50% remains forever as a worst -case scenario. So we are prepared for that also. GARWARE HI TECH FILMS

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But as of now, if this deal happens, we are good for 20% to 25%. If that does not happen, we might have like a stop gap of Q3 where we might have to suffer a bit. But on an overall annual basis, we will be able to maintain what we have guided.

Rahul Jain: Sure. That is quite helpful. So I'm assuming that at 25% tariff, we are talking about EBITDA margins of 20% to 25%. Beyond that, it will happen, right?

Deepak Joshi: Yes.

Rahul Jain: That's really nice. Okay. Sir, within the segments, our next level of growth, when we spoke about a year back, we were talking about high growth in architecture films. Somewhere

around, we had reached last year around INR50 crores on a quarterly basis, so INR200 crores, and we were targeting in next 2, 3 years to take it to INR500 crores.

So -- and also, we had taken steps in terms of team building in U.S. apart from India. Europe is already doing well. So if you can share some more details in terms of architecture films, where we stand today? And how do we see the growth in this particular segment?

Deepak Joshi: Yes. So like you said, we have dedicated teams in U.S. market, in Europe and in India. We are taking care of the architectural business. And the growth has been really good, right? And the current status, we are on track for achieving the growth which we have predicted. And again, a slight disruption on margins, not on the sales from U.S.A. because of the tariff.

But we got good orders, and we are catering to that. This impact of the sale might come in Q4 because of this -- whatever the tariff decision comes, right? But we have -- I mean, we have been able to get good orders and good traction into that segment. And that is for the U.S.A. Europe market is growing with 20% to 25% CAGR on architectural business. And India, we are even faster. The growth has been faster. Though 3 years back, we can say the base was small, but we continuously improved that. We almost doubled last year as compared to previous year. And this year, again, we are moving with the rate of 30% to 40% in India market.

So in altogether, we are on track. And this is one of the key vertical for us because the company is working into various verticals like we have one of the strongest was PPF, then automotive window films and the IPD. These 3 are like which we're already doing. But on top of that, architectural window film is one of the fastest growing, then Garware Home Solutions will be another fast growth area. And lastly, the TPU from next year will be another one. So the company is now focusing into different verticals for the next phase of growth for it.

Rahul Jain: Sir, one question on TPU. So you have mentioned in the current PPT margins of 20% to 25% for FY '26 onwards. I understand this is as we speak today without any benefits from TPU backward integration. So what kind of benefits could accrue to us post the TPU commencement in terms of margins improvement? GARWARE

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Deepak Joshi: Yes. So we estimated that around in the current sales scenario, I mean, around between INR2,000 crores to INR2,500 crores, we estimated this EBITDA margin will improve by 1.5% to 2% average for the company.

Rahul Jain: That's quite helpful, sir. Really very decent work being done by the entire team at your end. So congratulations and best wishes. And one last suggestion, sir. Earlier, our presentation used to have much more information in terms of Sun Film contribution, PPF contribution, Shrink Film contribution and also the exports and geography -wise exports.

We used to have a map in the presentation, which was quite helpful, sir. So at least whatever data, whatever information we were giving in earlier presentations around 2, 3 quarters back, my request would be if we can start including that again, that would be really helpful.

Deepak Joshi: Yes. First of all, thank you for the encouragement in the performance. This thing is noted. The only thing we try to do is the company is growing in every segment, and there has been some competitive issues with us where the competition is also trying to map the exact same manpower, growth numbers and everything.

So that's how we have tried to make it more concise. And of course, but we will try to see what can be done on that. However, I have clearly shared the numbers segment -wise. Only country -wise, we have not shared. But like segment -wise, like I said, Window Film has grown --it is like the best ever, maybe 50% in this quarter. So I've shared all those things already in the previous questions.

Moderator: The next question is from the line of Nilabja Dey from Ashmore Research.

Nilabja Dey : Congratulations, first of all, despite all the tough time going through. Sir, my question is that in the Q4 call, you mentioned that you are -- that time, obviously, that 25% tariff was not announced, the additional. But you mentioned that in case the tariff -- that time it was 20%. Now so you mentioned that you are trying hard to manage the tariff part through some means, number one. I don't know to what extent you have -- but obviously, this additional 25% is a big low. Sir, my question is that overall, in terms of the diversification of the supply chain, what you are doing?

Because most -- a lot of Indian companies have learned from this tough time, and they are actively diversifying moving to UAE or some other countries where they have already signed a favorable deal with U.S.A. Because in times of tough global uncertainty, anything can come and your only manufacturing base and stuff is only in India.

So how you are planning for the next 3 to 5 years, like I will move away from a complete

dependence on India as a sourcing country?

Deepak Joshi: Yes. So no, we are aware of this fact, like I answered in the previous questions that we have evaluated a couple of options, right? Because the only difference between -- maybe it depends on the each -- I mean, the kind of company you are in. So in our case, our quality is the prime differentiator in the U.S. market, right? GARWARE

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So if we do some kind of arrangements with any other company, we ensure that like we maintain the , same quality. And at the same time, this confidentiality or I mean, the uniqueness, which is patented technology are maintained when we do such kind of things. So we have evaluated all those things. And there is, of course, an additional cost when we do any kind of such arrangements or anything which we do. And last and foremost is the legality, like how it is viewed by the administration in terms of when you do these kind of substantial transformation.

So we have like legal consultants, we have taken opinion. We have discussed with the companies. Everything is ready. But only thing is if there is a deal, which is we see coming in very

soon.

So before we sign any such kind of agreements, we have to be aware of the fact that we have to maintain that contract. We are a very ethical company and transparent in all those things. So if we sign some deals in, I would say, in hurry or in panic mode, then it might be not great for a company in the longer term.

Now coming back, this is like a short -term arrangement for 3 to 6 months. So we are aware, we have made all those arrangements. If 50% stays, we will have to do something, and we are ready with that. So that's one.

But at the same time, on a longer terms, yes, we are working that we are aware again that there has to be a permanent solution to, I would say, derisking this thing. So management is already working in that, and we have like some progress on that as well. But that can only be shared when something concrete happens or at least the primary agreement is signed, but we are doing that.

Moderator: The next question is from the line of Aashish from InvestQ PMS.

Aashish: Sir, just wanted to understand how much of the absorption, especially from September when the 50% tariff would have kicked in, would be done by supply chain and costing improvements? And how much is by us as a company on the top line as well as the customers that we have. So if that bifurcation is available, that would be helpful.

Deepak Joshi: As I said, see, whatever has been passed on to the customer, that is really confidential because there are many customers. And when I was in U.S. last week, so I mean, they comment on this transcript of conference call , so most of them read like what we are saying, how the company is navigating through these challenges.

So I can't give the number like that will be the breach of confidentiality with my customers because there will be some up and down with each customer.

So that's why that we will park this question as of now. But on the other issues, like there has been, I can say, 25% is kind of fully done into this quarter. So because Q1, we had an impact of 10% additional. We at that time, we said that this has been taken care of. And Q2, there

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was additional 15%. So in totality, there was 25% and some of the 50% as well, but that kicked on in September only. So not much impact has been seen till date.

So like I said, if there is a favorable deal, which is likely to happen less than 25%, so we will maintain this 22% to 25% margin and the revenue also will be in line. But if that does not happen, we will use the alternative methods, which will again add a cost of 20% to 25%, but we can post these kind of same guidelines on margins, 20% to 25%. But this will not happen in Q3 because it will take some time before we start these arrangements. So we might see a good on Q4, the same thing.

Aashish: So what you're saying, sir, is 25% is taken care of, which is absorbed. But if the additional 25% does not go off out of the 50%, so Q3 might see an impact, but due to the transition, but there are alternative ways to absorb the overall 50% and get back on track by maybe Q4 or beyond Q4?

Deepak Joshi: Yes, yes. So that's exactly what I said.

Aashish: Yes. Okay. And just to understand on this Home Solutions thing that you mentioned on the PPT, what exactly Home Solutions we would be offering?

Deepak Joshi: Yes. So Garware Home Solutions is end-to-end solution for residential consumers. So that means we have observed that many of our employees and channel partners, they get inquiries like how to cater small houses because our sales normally happens in 1 lakh square feet to our distributors and dealers. Now there are small, small requirements, which cannot be fulfilled by dealers, distributors directly, and we are also not able to do that.

So we have made a new vertical where we will provide end-to-end solution for even the smaller home

buyers, which having like 25, 50 square feet or 100 square feet windows, right?

plus there are some other PPF also, which is used in home, that is like second offering. And the third will be there are a couple of more products, which we are not announcing now, right, to stay ahead of all kind of competition.

So in all, it's an end-to-end solution provides to residential homebuyers, and it's mainly driven by, I would say, it's e-commerce-driven business.

Aashish: Okay. Okay. So there is a market already there, which some other competitors might be catering to, and we are getting fresh into this. Is it the right to read this?

Deepak Joshi: No, there is no one. We are the one who are entering, but we are partnering with many similar kind of businesses. Right? So again, I won't explain it to that degree. Maybe in next or another 2, 3 conference calls, I would be able to tell that because then it will be like a tested and proper channel for us. But right now, we are very excited about this because this is something which e-commerce is bringing to us and something tried and tested in other kind of businesses for homes. Nobody has done the similar product what we do in this segment.

So this is going to be really, I would say, from -- we can say like from a customer business to consumer business, we are like really focusing on the direct consumer business with this. GARWARE

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Aashish: Okay. Last from my side. If we can segregate the growth between at least exports and domestic, how is it? I don't think I read that number anywhere in the PPT

Deepak Joshi: Yes. What is export and domestic?

Abhishek Agarwal: Export is about 75%.

Deepak Joshi: Yes, saying around 76% is the export and 24% is the domestic.

Aashish: And what was the growth in that in Q2?

Deepak Joshi: See, in the growth, I can say the segment-wise, it's like there has been actually a lot of mix in this quarter because of this tariff. But I can say like the most -- I mean, Window Film from 42% to 50%, it has gone up.

So first time Window Film have touched a 50% I mean, share in our product portfolio. And PPF is around 25% and IPD is around 25%. And domestic and export growth, I mean, we can separately share with you. I mean you can reach out to IR. We can give you those numbers.

Moderator: The next question is from the line of Nachiket with Vervida Capital.

Nachiket: Really appreciate the company performed in turbulent times that speaks very highly of the residential economy. Sorry, my query is already got answered in the previous questions. So thanks for the opportunity.

Moderator: The next question is from the line of Ankit Gupta from Bamboo Capital.

Ankit Gupta: Congratulations for a great set of numbers in these challenging times. Sir, my first question is on the performance of Sun Control Films. So we have seen highest ever revenue in this segment during the quarter. So if you can talk about what is leading to this growth? And how much of this growth is contributed from architecture films and how much from the automotive SCF.

and which geographies have led to such significant growth in this segment? Because last -- I think as per my understanding, Q2 of last year, we did around INR239 crores, INR240 crores revenues from SCF and this year -- this quarter, we've done almost INR285 crores.

Deepak Joshi: Yes. So again, Sun Control business is our primary business and all other businesses like it's, I would say, the lead in our set of business. And like you rightly asked question about automotive and architectural, the growth on Automotive segment has happened around -- I can say around 15%, 10% to 15% growth has come from automotive whereas Architectural business has grown around 25% to 30% in this particular quarter.

And the growth, if you see one of the major factors, what is contributing this gr

owth is, first of

all, it has been a good summer season. But unfortunately, it has rained more this year than as

And in outside export market also, we didn't see a very strong summer this year. But our brand value and the penetration into channel partners and the marketing efforts altogether has really, really done well in Indian market. And one of the leading, let me tell you, which market led this growth is the Middle East market. It has really gone well into that market because for us, we are a known brand into automotive.

But over the last 3 years, we have been putting a lot of efforts in the Architectural segment. And Middle East has been a market where our name was not known. And despite being advanced market, the awareness by overall Window Film manufacturers is not that great. So we have now hired like local people in Middle East. And the entire team and the distributor are local people, like local Marathi people, right, and in Saudi as well. So these 2 markets have been like the leaders for us in Architectural segment.

So your question, where the growth has come in Architectural segment, #1 is Middle East, #2 is Europe. Then U.S. has almost a very low base. That has also done really, really well. I mean we have done a very big distributor converted to global business from one of the #1 architectural film company and of course, India is growing by the rate of 35% to 40% in architecture.

Ankit Gupta: Sure. Sir, one more question on the architecture films itself. As a segment, given the potential it has, when do you think as a company, we can reach a revenue base of around INR500 crores in this segment? Any target that you have in mind, let's say, by '27, '28, '29, we can reach those kind of number from architectural gas?

Deepak Joshi: Yes, definitely. So I mean, again, we are targeting a horizon of 3 years because wherever we have hired new resources and made entire new set of distributors or taken the existing ones. So I can say like 3 years horizon, you can take for that kind of growth of stand-alone INR500 crores -- I mean, INR500 crores alone from architectural business.

And again, I mean, we are quite confident that this will happen because in architectural segment, the real competitor is there is no one. It's more of like we have to create our own market there, especially in markets like India. And U.S., which is already advanced market, we are taking share of our peers, right?

So the strategy for each market is very different. But again, that business is really big, and there is a lot of potential, which we are realizing that will happen with a lot of awareness into the market.

Ankit Gupta: And the current contribution from this segment will be INR100 crores, INR150 crores or even lower than that architecture?

Deepak Joshi: So current contribution is like -- just a second, I'll check the number. How much? INR232 crores?

Abhishek Agarwal: Last year. GARWARE
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Deepak Joshi: Yes. So it's like around -- last year, it was more than INR200 crores. And this year, we expect somewhere around INR300 crores of that, INR250 crores to INR300 crores.

Moderator: The next question is from the line of Saransh Gupta from Svan Investments.

Saransh Gupta: Congratulations on a good set of number in such uncertain times. A lot of my questions have been answered. I just wanted to know like what was the contribution of PPF for this quarter?

Deepak Joshi: So PPF contributed roughly 25% of revenues this quarter. So you can see like out of INR500 crores.

Abhishek Agarwal: No INR570 crores.

Deepak Joshi: INR570 crores, so 25% was PPF. So again, I'll just repeat to everyone, 50% was Window Films, 25% PPF and 25% IPD.

Saransh Gupta: Okay. And did

we see an impact of the 50% tariff for the PPF segment, like as you can see, like it has gone down and SCF has contributed more towards our spending...

Deepak Joshi: So I would like to say that the maximum impact on our business vertical. PPF has hit -- I mean, it has got the maximum impact of tariff because the -- I mean, price per square feet of PPF is the highest among all other product category. So the tariff impact was also quite big on that.

Saransh Gupta: Okay. So taking an assumption like if the penalty tariff of 25% has been removed and our

second PPF coming in, like what can be the revenue growth that we can guide with?

Deepak Joshi: See, on a broad level, I mean, let's not speak on the short term for this quarter or this year.

Saransh Gupta: Yes, long term only, sir.

Deepak Joshi: Yes. For long term, like PPF will be -- I'll start with the lowest one. The IPD will go down to 20%. It used to be 30% last year, originally 70%. So now it is on around 25%. So that will go down to 20%. PPF will increase to 30% to 35% and balance will be Window Film.

So Window Film will remain 45 -50 and PPF 25%- 30% and then maybe IPD 15% to 20%. So that's growth. And we are expecting these kind of numbers every year on the growth. These will be like more or less the split between the verticals.

Saransh Gupta: Okay. And also, just one last question. Does this include contribution from our architecture films also?

Deepak Joshi: Yes. Because as I said, the Window Film, Automotive is -- we are like quite strong, but towards like -- I mean, we are having the maximum market share there. So the real growth the growth will definitely come from Automotive Window Film also, like I'm expecting 15% to 20% for sure. And PPF maybe 20% to 25%. But Architectural Window Film will grow minimum 25% to 30% or even a little higher for next 2 years, 2 to 3 years. So that is a segment which has got the highest potential. GARWARE

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Saransh Gupta: Just a follow-up on this, sir, sir, as we are guiding this growth for architectural, so from which region do we focus our growth on?

Deepak Joshi: See, we do not leave any particular geography. We have a separate team. They are not dependent on each other for U.S. architectural. So the idea to make a different team is like they do not like focus on like sometimes this interest or conflict is not there in terms of growth.

So we have like U.S. separate architectural team, Middle East separate architectural team and India separate architectural team, right? So all areas, all geographies are working towards the growth of this business. So -- but the Middle East is really growing very fast for us in this segment.

Saransh Gupta: Okay, sir. So sir, like if we blend all these regions together, obviously, the cost -- there will be some cost difference in that. But what can be the blended margin that we can make on this architectural things as we are the only sole player, as you mentioned?

Deepak Joshi: No. See, on this particular segment, it's not about -- we have to -- first of all, like I said, we have to create our own market. At the same time, compete with the glass. There are certain modification in the glass also helps these kind of benefits, but that becomes very expensive. So we have to make the product pricing in such a way that we get the maximum business out of this.

But the plain and simple thing is most of the glass is plain glass or toughened glass. There's a lot of possibility to have the Sun Control safety security and combination safety. That means if you have a simple glass, you can put a film to block your heat component by, I can say, around 50% right?

At the same time, you can control the glare and sunlight also, whatever degree you want. So ultimate, the competition is with the glass. And -- but where there is a retrofit at all things, we are

working hard to get those kind of business. So now coming back to what you asked about the margins.

Margins on the high product, we can go up to 25% -30%. But again, we would like to give the company margins more than the individual segment margins because there is very low -end films also, like they are -- we call them single fly and not much benefit to the glass and versus the very high -end IR films, which can block up to 99% of near infrared.

So the technicality is the product can be highly technical, but expensive. At the same time, it can be very -- at the price at very economical range, but it won't give you that kind of benefit.

So overall, if we talk of like the mix of architectural business, I think this will be slightly higher than the company margins, which is 22% to 25%. So we can assume 25% to 30% is the margin.

Moderator: The next question is from the line of Sunil Jain from Nirmal Bang. GARWARE

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Sunil Jain: Congrats on the results. Sir, my question relates first to India. What is the total share of the

India business? You said that it has grown very well, 30% to 40%. What is the total share of India business? And in that, how much is IPD and how much is the consumer-led business?

Deepak Joshi: Yes. So total 24% has come from India, 76% from exports, right? So that's the broad category-wise for overall company business, export and domestic. Now in that segment margins, we don't give, but just one second. Your question is how much the growth has happened into -- I mean, industrial product and consumer products, right?

Sunil Jain: Yes.

Deepak Joshi: Yes. So consumer products, there is hardly any growth. In fact, there is slightly degrowth,

Deepak Joshi: And industrial products, we have really grown well. So I can say on 2 different segments, there is a growth of 15% to 20% on automotive and 25% to 30% on architectural.

Sunil Jain: But talking about 30% to 40% growth in the domestic market. So segment has grown faster?

Deepak Joshi: Yes. So I said there is a segment which is like kind of untapped or only -- let me tell you, there are commercial buildings, which do a lot of Window films, especially for the safety films, like many of the chain, I would say, hotels and then this, I would say, the lifestyle brands and some of the brands by jewelry and all. I'm not naming them per se because we have to check the permissions from the brand owners.

So we do a lot of such business, which is quite common, right? We were already doing that business, and we are #1 in that. And we sell the highest volume in that. But the real growth is coming from like commercial other than those like hospitality and life style brands. So the next round of growth is coming from malls and all those things where we are putting a lot of efforts in architectural business.

And lastly, from the home solutions where residential buyers. So we have like good network of applicators plus architects plus the builders on that. So because this business was not being, I would say, the focus area for us or any other company.

So we have shifted the focus to area, which has got much more higher potential than the existing ones, but it needs a lot of awareness. And like I said, we don't compete with anyone. We have to create our own market. So that's why we are seeing the good growth there because we are creating that segment for us. It is taking time, but base is low. So growth is quite fast there.

Sunil Jain: But the auto business was growing at around 15%, 20%? PPF?

Deepak Joshi: Yes, that is more or less with that.

Sunil Jain: Second question related to ... GARWARE

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Moderator: Sorry to interrupt sir.

Sunil Jain: Yes.

Moderator: Sir, I would request you to kindly rejoin the queue.

Sunil Jain: Okay.

Yes.

Moderator: The next question is from the line of Mahesh from LIC Mutual Funds.

Mahesh Bendre: I have just one question. Sir, you mentioned that -- I mean, there are news reports that there is a possibility of a deal between India and U.S.A. If it happens in near future, we will benefit in Q4, right, since our inventory is very low in the system?

Deepak Joshi: Yes. We'll definitely be benefited in Q4.

Mahesh Bendre: Q4 will be very strong in that case.

Deepak Joshi: Yes.

Moderator: The next question is from the line of Ankush Agrawal from Surge Capital.

Ankush Agrawal: Sir, just one thing that I want to understand is you have given a good explanation of how you're dealing with your customers in terms of inventory and passing off, say, tariffs and all that. I wanted to understand how is that playing out in terms of your white labeling customers? We do white labeling, especially on the PPF for some of the larger customers. So in that case, what's the strategy that they are working with? Like are they diversifying their supply chain or they are still continuing to buy from us, but we are sharing a substantial portion of the tariffs? Like how is it working there?

Deepak Joshi: See, the strategy-wise it's the same for both. But yes, this -- with the tariffs because short term, I mean, both have to bear the cost because it's in PPF, the value becomes pretty big. So in that case, the impact also becomes big for both the companies. So that share -- that is being shared. But this is in expectation of something will come out else, we'll have to make arrangements.

Like I said, we are ready with alternative arrangements as well.

Ankush Agrawal: Right. And the inventory situation that you highlighted, which has gone down from, say, 3 months to 1 month, that will apply to this white labeling customers as well, right?

Deepak Joshi: Yes. That is with everyone. That's the general consensus. We have had discussions with our customers, whoever customers, maybe distributor, dealer or white label that how should we deal with the situation. So that is the consensus like how we will deal, and we are dealing according to that.

Ankush Agrawal: Okay. And lastly, sir, has there been any impact on the consumer level offtake for these products, given there would be some price increases or whatever? GARWARE

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Deepak Joshi: No, not really because the ultimate impact to consumer is either pretty low or there is no one because we are assuming -- like I said, because of the inventory, we are trying to work with the minimum one so that whatever the short-term pains are there will be there. Like I said, in Q3 will be a period where there will be a lot of adjustments, one of such kind of adjustment would be there. But on a longer run, we expect either one -- I mean, we have like a couple of solutions. There is court, there is deal and there is alternative arrangements.

So ultimately, by one way or the other way, in the longer term, we are -- our growth story is intact. So that's why we have kept consumers away from this -- all these situations because we -- the aim is not to lose a single customer. So in that way, ultimately, it has worked in this way. I mean, so that this is absorbed somewhere in the chain, not passed on to the consumer.

Moderator: Ladies and gentlemen, due to time constraint, this will be our last question. The next question is from the line of Arya Shah from White Stone PMS.

Arya Shah: So I just have a question on the architectural product side. So I just wanted to understand on the architectural front, do we make products which are like protective for a marble or we make products which will replace marble in the near future? Like it will be an effect like a wall paper or something?

Deepak Joshi: We make products which can be applied on the marble, but cannot repla

ce marble because that

segment -- our architectural segment means we focus mainly on to the safety security, like if you have a high building where high-rise building, and there is a possibility of breaking the glass, including the toughened glass also breaks and might cause injuries.

So our products are like they are the best for such kind of situation. That is number one. Then the situation is where you face a lot of heat and all. So our films can reduce the near infrared. I mean, the heat component up to 99%. So that's another way of doing like our films into architectural business.

And third thing is the surface protection, which can be applied on furnitures or any marbles, kitchen sink and all those things. These are like the examples of architectural business from our products.

Arya Shah: Okay. So we don't make the design kind of thing for the like on the furniture or something like that, right?

Deepak Joshi: No, no, we don't do.

Arya Shah: No design. Okay.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to the management for the closing comments.

Deepak Joshi: Yes. Thank you very much. On behalf of Garware Hi -Tech Films Limited management, I would like to thank you, everyone, for your time. Should you need any assistance or any questions, please write to our IR department. Thank you very much. Have a good day. Bye. GARWARE

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Moderator: On behalf of Go India Advisors LLP, that concludes this conference. Thank you for joining us. You may now disconnect your lines. GARWARE

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Call: Feb 2026

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February 06, 2026
The Compliance Manager
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Scrip Code: 500655
The Manager, Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, Plot No. C/1, G Block,
Bandra-Kurla Complex,
Bandra (East), Mumbai 400 051.
Trading Symbol: GRWRHITECH

Subject: Transcript of the Earnings Conference Call on Unaudited
Financial Results / Business Performance of the Company for
the quarter and nine months ended December 31, 2025.

Pursuant to Regulation 30 and 46 of the Securities and Exchange Board of
India (Listing Obligations and Disclosure Requirements) Regulations, 2015,
please find enclosed herewith the transcript of the Earnings Conference Call,
held on Monday, February 02, 2026 on Unaudited Financial Results /
Business Performance of the Company for the quarter and nine months
ended December 31, 2025.

The aforesaid transcript is also being uploaded on the website of the
Company: <https://www.garwarehitechfilms.com>.

This is for your information and record.

Thanking you,

Yours faithfully,
For Garware Hi-Tech Films Limited

Awaneesh Srivastava
Company Secretary
FCS 8513
Encl.: As stated above.
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“Garware Hi -Tech Films Limited
Q3 & 9 Months FY26 Earnings Conference Call ”
February 02 , 202 6

MANAGEMENT : MR. DEEPAK JOSHI – DIRECTOR OF SALES AND
MARKETING – GARWARE HI-TECH FILMS LIMITED
MR. ABHISHEK AGARWAL – CHIEF FINANCIAL
OFFICER – GARWARE HI-TECH FILMS LIMITED

MODERATOR : MS. GARIMA SINGLA – GO INDIA ADVISORS

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Moderator: Ladies and gentlemen, good day, and welcome to Garware Hi -Tech Films Limited Q3 and 9 Month FY '26 Earnings Conference Call hosted by Go India Advisors LLP. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Garima Singla from Go India Advisors LLP. Thank you, and over to you, ma'am.

Garima Singla: Thank you. Good morning, everyone. I'm Garima Singla and it's my pleasure to welcome you on behalf of Garware Hi-Tech Films Limited. Thank you for joining us today for quarter 3 and 9 Months of Financial Year '26 earnings conference call. This call is being hosted by Go India Advisors.

Please note that today's discussion may include certain forward -looking statements. Therefore, they must be viewed in conjunction with the risks that the company faces. Today, on the call, we are joined by Mr. Deepak Joshi, Director, Sales and Marketing; and Mr. Abhishek Agarwal, the CFO. I now invite Mr. Deepak Joshi to present the company's business outlook and performance, after which we will open the floor for Q&A. Thank you, and over to you, sir.

Deepak Joshi: Thank you, Garima. Good morning, everyone and thank you for joining us to discuss the performance of Garware Hi -Tech Films Limited for the third quarter of FY '26. To start with, wishing you and your loved ones a very happy New Year. Garware's business model, true to its 90 years of heritage and innovation, integrity and customer -first approach remains resilient in the face of uncertain global macro conditions. Geopolitical volatility and successive tariff actions by the U.S. administration continue to pose a challenging environment for exporters. During the quarter, we experienced the full impact of 50% tariff structure. The offtake was calibrated to maintain undisrupted supply chain. Even in this challenging environment, GHFL largely maintained its offtake. Revenue declined marginally by 1.6% Y -o-Y. Even for 9 -month FY '26, revenue decline was limited to 2.4% our order book continues to remain robust. Despite a 50% tariff, the EBITDA decline has been contained at 7.4% on Y -o-Y basis in Q3 FY '26. For 9 -month FY '26, the decline is around 8.3%, primarily on account of tariff -related cost absorption. Export continued to form a significant part of our business, contributing 74.3% of total revenues for this quarter.

Our Sun Control segment witnessed a strong demand. Our architectural film business continued to expand rapidly in all geographies, including Middle East and Indian markets, backed by focused marketing initiatives and premium product launches. Recognizing the growth potential in the Middle East market, the company has announced to establish a wholly owned subsidiary in UAE.

The new entity will manage trading and exports of films, ceramic coatings and paint protection films across the MENA region and other international markets. We also set up two of its kind
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global application studio in UAE, and we are in process of onboarding more partners across the globe to strengthen our brand equity.

This strategic step meaningfully strengthens Garware Hi -tech Films' global footprint, expand export capabilities and enhances long -term growth visibility in overseas markets. We had successfully doubled our paint protection film capacity to 600 LS F in September '25. The

capacity is ramping -up as per the plan. The expansion has enhanced manufacturing efficiencies and unlocked additional capacity headroom for our future growth.

The upcoming TPU manufacturing line, which will be commissioned by October 2026, will further strengthen our backward integration and innovation capabilities with 25% of the capacity earmarked for new generation products. In addition, we launched Garware Home Solutions, a new D2C business vertical aimed at expanding our domestic footprint and cater to unmet consumer demand in the architectural film space.

We opened our first GHS studio in Chembur in Mumbai. It is in collaboration with a local interior design firm, and we plan to follow the same approach to increase our presence to all towns in India. This platform will help GHFL directly engage with consumers and premium real estate projects, while enhancing brand visibility and driving higher margin growth.

Our Garware Application Studio network, which acts as a direct -to-consumer channel for premium PPF and glazing films continues to expand rapidly. We are targeting to cross 300 -plus studios by end of FY '26, and have already crossed 250 stores in Q3. This will strengthen our presence across Tier 1, Tier 2 and Tier 3 cities in India.

Overall, despite external challenges, this quarter reflects GHFL's resilience, adaptability and a strong operational foundation. Our continued investment in capacity expansion, product innovation and brand -building initiatives will ensure we remain well -positioned to capture emerging opportunities and deliver sustainable value to stakeholders. Thank you very much.

Now I hand over to Mr. Abhishek Agarwal, our CFO, for financial commentary.

Abhishek Agarwal: Thank you, Deepak, and good morning to everyone. Let me now take you through the key financial highlights for the quarter ended December 31, 2025. For Q3 FY '26, our consolidated revenue stood at INR459 crores compared to INR466 crores in Q3 of FY '25, reflecting a 1.6% year-on-year decline, primarily due to the tariff -related disruptions in the key export market. Despite this, exports remained stable at 74%.

EBITDA stood at INR86.7 crores compared to INR93.7 crores in Q3 of FY '25, showing a decline of 7.4% year -on-year. The EBITDA margin stood at 18.9%, down only 118 bps year -on-year, maintaining a healthy level despite tariff headwinds, which have primarily been driven by cost optimization initiatives.

PBT came in at INR73 crores, down 9.8% year -on-year while the PAT for the quarter was INR55.8 crores compared to INR60.8 crores in Q3 of FY '25. On a 9 -month basis, the 9 months of FY '26 revenue stood at INR1,523 crores, marginally lower by 2.4% year -on-year, while EBITDA was at INR343 crores, down 8.3% year -on-year, reflecting the cumulative impact of tariff volatility.

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On the balance sheet front, GHFL continues to remain debt -free with a robust cash and liquid investment balance of INR669 crores as on 31st December 2025. This strong liquidity position provides ample headroom for our ongoing strategic capex, including the TPU line as well as future innovation and expansion initiatives.

Despite short -term headwinds, GHFL continues to maintain a strong financial foundation and steady operating cash flow generation. With new capacity additions, continued focus on value -added products and improved manufacturing efficiency, we expect to gradually enhance our revenue visibility and profitability in the coming years. Thank you all. Over to Garima.

Garima Singla: Over to the moderator.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.

Mahesh Bendre: Sir, despite of -- I mean, soft quarter and the tariff issue, we were able to handle on our gross margins really well?

Moderator: Sorry to interrupt, Mahesh. Can you please speak a little louder?

Mahesh Bendre: Sir, my question is, despite of such a soft quarter,

still our gross margins were not impacted that way for the quarter?

Deepak Joshi: Yes. So normally, like you said, Q3 for us is a soft one because the seasonality, there is no sun, no sun control kind of theory we say. But we have been working on this because after the impact of tariff, which was hit full of 50% in this quarter, we managed our operational efficiencies pretty to the best of our possibilities. I mean, we went with a lot of changes for operational efficiencies. And plus, the product mix, which we try to make keep it at a very high level. That means the more of high-end products. So that's how we were able to maintain this.

Mahesh Bendre: So the tariff that we are paying now where it is booked, is it in cost or is it in sales?

Deepak Joshi: It's a mix of both. I mean we are passing some of it to our distributors, dealers, so which

ultimately goes to pass on to consumer, but a very small fraction to end consumer. But some of it is passed on to our distributors and customers. The rest we are observing with our efficiencies, operational efficiencies and product mixes.

Mahesh Bendre: No. My question is, sir, suppose we were paying INR100 last year, I mean, selling the product. Now because of the tariff, the price has gone up. So that incremental amount that we are paying as a tariff, that has gone into -- that is booked in sales or it goes into expenses?

Abhishek Agarwal: So Mahesh, it has both the impacts. The increased sales price to our dealers and distributors, it reflects into our sales numbers, while the tariffs which we are paying, that becomes part of our expenses.

Mahesh Bendre: Okay. Sure. And sir, given the current outlook, I mean, do you think -- I mean, we are trying to set up a new plant in Middle East. So when that plant will come up and that will have any impact in FY '27?

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Deepak Joshi: See, we have set up this subsidiary because our growth in Middle East, North Africa region has been phenomenal, I would say. We have doubled in 1 year, the sales to Middle East region. So we need a strong subsidiary, which can take all the contracts from big companies, local companies because especially for the architectural business, Middle East is continuously growing.

And there is a need to block the sun, the heat in many cases. So the primary objective is to cater to that reason, then the structure of duties from that subsidiary always makes it more attractive. And third is with this growth, this is the ideal location for future growth. I mean we have like multiple objectives with this particular subsidiary in UAE.

Mahesh Bendre: No. I mean when this will become functional?

Deepak Joshi: There are like many steps to that. One is like setting up, which will be completed during this quarter, that is quarter 4, right? But the full impact of that might be seen in the later half of FY '27.

Mahesh Bendre: Okay. And the tax for this will be zero like nil in Middle East?

Deepak Joshi: Yes, because this is being set up in free zone. So the tax earned by that subsidiary is almost nil.

Moderator: The next question is from the line of Rahul Jain from Credence Wealth.

Rahul Jain: Sir, congratulations to you and the entire team at Garware given the environment for the kind of numbers we have been reporting. Sir, just to add to the previous question, yes, the gross margins have remained flat and in fact, they have improved year-on-year as well as quarter-on-quarter. And you explained that some of it is due to the product mix change. Firstly, sir, this entire 50% tariff impact, has that been visible in this quarter, quarter 3? And from here on, how do you look at the gross margins going ahead?

Deepak Joshi: See, first of all, yes, we have seen almost full impact of 50% tariff. But if you really see, again, we are controlling the sales. That means only absolute necessary pr

oduct are being sold into the

market to our distributors and dealers because in any case of any favorable decision, we tend to gain that. So that's the purpose of that.

That's why we said I mean, there is inventory into the bonded warehouses, which can be at a click away whenever the need is there by our consumers. Now going forward so full impact is there in Q3. Now going forward, the margins because this is we are seeing if you see the Q3 margins versus Q4 margins, so there is a very less impact.

So we think in Q4 and Q1, the margin should remain around 20% or so depending on the product mix, but we expect to that range. But if any good things from Supreme Court of U.S.A. or any trade deal happens even to 25%, which we are hearing. This is all like all in public this thing. So there might be a removal of 25% against Russian oil or something. So that also will give us a big positive boost. And so scenarios are different. But definitely, in main season, margins will improve. And if anything goes away like 25% or so, we'll definitely grow between 20% to 25%.

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Rahul Jain: Fair enough. And sir, with regards to the inventory at the customer level, the end customer level. How is that situation currently? I understand some of the channel checks in other industries that is probably at the lowest end. So given the tariffs scenarios or let us put the tariff remains at the current level. So how do you look at the inventory at the customers' level and thereby the sales growth going ahead for us?

Deepak Joshi: See, if this remains there, so the sales volume is definitely bound to increase because still we have got very good numbers, and we are keeping the inventory in the bonded warehouse. But

now the season is coming, if you really see this quarter, it starts from the March onwards, I mean, March sale reflects the seasonality.

So sale will definitely increase, right? That goes without saying because we are not losing any sales. We have protected our consumers from any, I would say, substantial increase in the prices. So that was our end goal. If you remember our last con calls, we have always maintained that we will not lose any consumer. We will continuously grow.

So ultimately, you are right that there has been a decrease in inventory into the chain from our side between the consumer side, there has been a decrease because we are expecting any good thing. I mean, any trade deal or something will save us a good amount of money, right? So that's why we are trying to keep it at a lower level. But if it does not happen, any deal does not happen, no decision comes into favor, still the sales growth will continue.

Rahul Jain: That means this year, we can be around INR2,100 crores plus kind of turnover as what we have been targeting. And next year, can we look at 15%, 20% growth over and above INR2,100 crores at current tariff of 50%?

Deepak Joshi: See, again, for that, this -- I mean, this is a subjective question that, like, we remain at 50% tariff and what happens because we definitely expect something better or some action from our end. But definitely, these numbers, what we are seeing is almost -- we are -- sales is stable despite all those challenges in 9 months.

So we will be close to that number. In fact, this quarter can be stronger. And it all depends I mean, if we feel nothing is going to happen, we can release the goods and from U.S. bonded warehouse, which will reflect in our sales. So we can reach to the numbers what we did last year because we are already at the same number in 9 months.

Rahul Jain: And sir, last question...

Deepak Joshi: Given the scenario that nothing happens. But if you talk of the sales, definitely, it will have a 15% to 20% CAGR growth next year because this year, we have tried to curtail everything, but we'll find other ways. We have found or we are finding other

ways to continue this growth, right?

Rahul Jain: Sure. That's nice to hear, sir. And last question from my side. With regards to the new PPF unit, which has come in, so what is the current utilization? And what kind of ramp-up we see going ahead in the next two, three quarters, two to four quarters?

Deepak Joshi: Yes. So PPF also, like right now, it is running around 65% utilization rate. And going...

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Rahul Jain: Sorry, sir, this new line, I'm talking only about the new line.

Deepak Joshi: New line, I'm talking, it is running at 65% capacity. Old line is running full. But the thing is that is, again, if you really see, we are growing very strong in certain regions, that is Middle East, North Africa, India. And there is definitely PPF being a high value. If you really see the absolute price of PPF versus absolute price of sun control, PPF is at a much higher prices, right, absolute pricing. So the duty impact, tariff impact is pretty high, so we are seeing some challenges from the U.S. market. Despite that, this capacity is right currently 65% utilized.

Moderator: The next question is from the line of Viraj Parekh from Carnelian Asset Management. Please go ahead.

Viraj Parekh: So sir, first question is probably if you could give me some insight on this quarter's growth in terms of U.S. and non-U.S. and also 9 month ly for U.S. and non-U.S. growth?

Deepak Joshi: Yes. So U.S. I mean, same quarter, if you see last year, there was almost 40%, 43%-44% was sale was to U.S. I mean, this year, I mean, Q3 FY '26, it is around 40%. So there is a marginal 3% drop, but more than that is already there in the warehouses to be sold, I mean, against orders. So real sale, we'll see a 3% degrowth in U.S. market.

But in absolute terms, it has grown because we have dispatched the material against orders, but not yet. I mean, it is in the bonded warehouse and waiting to be invoiced. So that's why we have maintained, like I've been saying, we have controlled the sales to avoid any impact. So 43% and 40%. Then if you talk of other geography, like Middle East used to be around 4% last year. It has crossed 8% already in 9 months, right? And EU has been stable around 10% to 11% and India, around 25%.

Viraj Parekh: Sir, you said Middle East, EU and India numbers are for 9 months, right?

Deepak Joshi: Yes.

Viraj Parekh: So what will be the 9 months ?

Deepak Joshi: 3 months, You asked for the last quarter, so I'm giving you last quarter number.

Viraj Parekh: Right. And sir, what would be the 9-month number, if it's handy with you?

Deepak Joshi: So just a second. Yes. Numbers are similar because we have started seeing this kind of trend, if you remember, the March, this tariff thing started, so almost the same numbers.

Viraj Parekh: Got it, sir. Just a follow-up on the...

Deepak Joshi: If you want, I mean you can ask offline, but the numbers are similar. So I gave you absolute

exact numbers of Q3 versus last year.

Viraj Parekh: Sure, sir. I'll take it offline. Just a strategic understanding, if I wanted to understand on the previous participant's question, he was asking in terms of the inventory at the channel level in different geographies. Since Q3 was the first quarter with 50 % tariffs, at strategic level, how are

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we looking at production in a normal versus the tariff environment? At what kind of inventory levels are we maintaining in a normal versus tariff environment? So just wanted to understand that like what is the range between the 2? How have we pivoted to navigate the tariffs because we've been doing an exceptional job with our margins?

Deepak Joshi: Yes. So if had there been no tariffs, so our inventory levels remain roughly 1 month in U.S. and around 1 month in transit. So it's like 60 days inventory

, you can say, at our warehouses plus in transit from India, right? So this ranges between, I can say, 60 to 75 days. Right now, if you add everything, so this goes almost, I can say, around 100 days. I mean it's like you can just see 60 days versus 100 days. So there is like 30, 40 days more inventory is lying with us in the warehouse. I mean, transit remains the same, only in the warehouse inventory has been increased. And that has been done purposefully.

Viraj Parekh: Got it, sir. And how are we looking at the production levels, I mean, capacity utilization across our lines in a tariff and nontariff environment?

Deepak Joshi: Yes. So now in case of like current situation, so India, I mean, the manufacturing and everything lines are running full like we are not changing anything at the level of production because order flow is good and lines are being utilized at optimal level. However, we only control at the warehouse level in U.S.A.

As I told you, the aim was not to lose any customers. So all the orders are there. Only release of the material just to see any kind of gain in 30, 40 days will fetch us additional revenues. So that's why we are keeping it like that. So 30, 40 days more in inventory at the warehouse level. However, factory is continuously producing as per the requirement because we only produce against the orders, and we have enough orders for this quarter and going forward.

Viraj Parekh: So just a follow-up on that. Currently, our growth is a little bit muted because of the tariff situation. If we are maintaining a line at full for the, you can say, last 1.5 quarters, there would be some time where production would kind of reduce if the tariffs don't go away anytime soon over the next two quarters. So that time, would we have to revise our strategy or we continue in the same thing because your anticipated demand growth is strong. So despite 100 inventory levels, you're seeing growth at 15%, 20% for stronger Q4 and Q1?

Deepak Joshi: Yes. So like I said, there are some other alternative ways are being worked where if we can mitigate the impact of this tariff. But at the same time, even if it continues, we are maintaining the margin like this quarter, if you see being the seasonally low quarter, we have almost touched, I can say, close to 20%, right?

So given a situation like this remains and nothing else happens, of course, there will be many factors will change, geopolitical situation, tariff situation and our situation to cater the market. So there will be all 3 places, there will be definitely some changes, but let us assume nothing happens, like nothing changes.

Still we will maintain a growth of 15%, 20% because we'll not hold inventory in our warehouses. We will do whatever sales naturally happening, which is at the rate of 15% to 20% CAGR, right?

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So why do we curtail then our productivity? We'll continuously grow because we are still making margins on that.

Viraj Parekh: Right. Sir, just last question, I'll get back in queue. So for Q3, I think the CFO sir said that our margins in the range of 18%. If I just remove the other income portion and just look at EBI excluding other income, it's in the range of 15%. Just wanted to know that on the drawing board when we look at all the possible scenarios in terms of downside, do you see that if a challenging environment persists going ahead, the margins can see further decline because of stressful demand environment in especially U.S.?

Deepak Joshi: No. Because as I'm saying, this the scenario for Q3 is always different because it's seasonally low. Every year, Q3 is like that. So if we see Q1 and Q2 are strong seasonal seasons for us. So the margin will definitely improve that directly linked to more IR production or high-margin products in Q4 and Q1, right? So the margin maintenance definitely will improve.

Now the qu

estion of -- your question was like, yes, if this situation remains, we continue to produce. However, there are some strategies which are being worked out or to mitigate the impact to some extent. So that definitely will come. We I mean, we are all the time working on this situation like, how do we navigate through this situation. Though everyone of us, including our exporters thought it's a short-term phenomenon, but we are prepared for a long-term as well, like that remains, that became stable at 50%. That too will maintain 20-plus margin and with the sales growth of 15% bare minimum at CAGR level.

Moderator: Thank you. The next question is from the line of Jay from PhillipCapital. Please go ahead.

Jay: Sir, just two quick questions. One is on the product mix compared to Q2 with respect to your window films, PPF and IPD. Has that stayed stable? Or is there any change in that mix? And the second one is with respect to architectural films. How has the growth been in that area? And like what sort of revenue can we expect over the next couple of years?

Deepak Joshi: Yes. So in the question of product mix, right? So what happens is in Q3, normally the lower range of window films sell more, right? So when it goes towards high season, more IR product demand comes, which is near infrared blockage of the films. So they tend to have very special films with our nano particles into that. So that generally carries a high margin as compared to the mix.

So that's why we are talking of product mix in Q3 versus Q2 and of course, in Q4 as well. So Q4 goes better in terms of product mix. So that is a general phenomenon with us under certain variables, right? It goes up to extreme in Q1 and slightly lower in Q2, extremely low in Q3, then again goes back in Q4. So this is the phenomenon which we always track, and we are well under control for that particular thing in going ahead, right? So what was the second question, sir?

Jay: Sir, with your architectural films, I just want to understand like how has the growth been in that segment? And is there any ballpark revenue which we can expect in that segment over the next 2 or 3 years?

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Deepak Joshi: Yes. So if you see, I mean, we started this architectural journey at around 10% of our total CPD sale, right, which was roughly INR1,500 crore s last year, right? So now currently, we are at around 22%, 23% of architectural sales. But with ultimate aim is to reach around 30% of that. So from current level of INR300 crore s plus, we will reach in next by next financial year to around INR400 crore s and then INR500 crore s out of it.

Jay: Okay, sir. Got it. Thank you. I will just jump back in queue if I have any further questions. Thank you.

Moderator: Thank you. The next question is from the line of Vinay Nadkarni from Hathway Investment Private Limited. Please go ahead.

Vinay Nadkarni: Just a couple of questions on the UAE plant. You said that it will be commissioned in Q4 '26. Am I right?

Deepak Joshi: Yes, that's the subsidiary, yes.

Vinay Nadkarni: No, the plant, the manufacturing plant will be commissioned in Q4?

Deepak Joshi: We have not announced any plant in UAE, right, to be very precise. There are some plans which we are working on. But this is as of now, it's only a subsidiary, which will cater the business to MENA region and other export it to other region.

Vinay Nadkarni: This will be a trading subsidiary, if I'm right?

Deepak Joshi: Yes. As of now, to start with, it will be a trading subsidiary.

Vinay Nadkarni: Okay. Secondly, on your GAS studios, now that you have more than 250, are they operationally profitable?

Deepak Joshi: Yes.

Vinay Nadkarni: So they contribute to the bottom line?

Deepak Joshi: They are profitable, but they are not stand alone ones. They are the ones which are with other product lines like auto accessorie

s and all.

Vinay Nadkarni: But they are profitable. I mean, because in retail generally...

Deepak Joshi: Yes. In our product, it is.

Vinay Nadkarni: Okay. And as far as your U.S. tariff impact is concerned, in this quarter, did you see any prices getting dropped because you were absorbing the cost or how was it? How did you maintain the price and absorb the cost?

Deepak Joshi: See, like the tariff impact, like I said, is 50% additional. In that case, in the 50%, we absorb most part of it, but there is some portion which is being passed on to our customers, right? So we

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cannot specify the number because that a lot of questions come to us like on the parity and all those things under competition advantage, right? So one portion is passed on. Another portion is absorbed on. But we have mitigated that successfully. Again, if you see the numbers of Q3, like on the sales of that particular amount, which we sold to U.S.A., which is 40% of total sales, right? Out of that, if we add roughly 40% of the tariff, and minus whatever has been passed on.

So there has to be a INR50 crore s impact on PBT, right, which we did not see. We saw only INR7 crore s to INR8 crore s impact. So we have successfully navigated by our efficient manufacturing process and efficient product mix strategy. And some of the products which we diverted to the territory where it was going to U.S.A. then being diverted to other territories. We have really managed that well by sending it to like re-exported cargo kind of thing. So a lot of strategies has made us to navigate the impact of roughly INR40 crores for the quarter. So that's how it has gone to like a PBT level of INR73 crore s, INR74 crore s. So that's how we managed it, yes.

Vinay Nadkarni: Basically, what you're saying is there was a INR50 crore s downside, but you manage INR40 crore s from other areas to make it?

Deepak Joshi: I'm saying not yes, there was a possibility. If we really payout the duty and everything, of course, we pay the duty. But I'm saying if you see plain and simple, you have a product sale and you have this additional duty, you would have that kind of impact. But we successfully navigated through by passing on to something and then efficiency improvement, product mix change and all those and selling to the territories where earlier it was going through U.S.A., now directly going, all those strategies we have worked out to mitigate that impact.

Vinay Nadkarni: Okay. Just one last question. given the fact that this uncertainty in U.S. is going to continue for the next 2, 3 years until the time this present government is there, what are your plans to expand in other areas? Have you accelerated those? And which are the areas that you're looking at in expansion?

Deepak Joshi: So first and foremost, we have grown really well in Middle East region. So I mean, the sales, which was last year versus this year has doubled. If we see last 3 years, 2 years, where tariff was not seen, but if we compare versus 2 years to now, the growth has been almost 3x to 4x, right, in terms of sales from that particular region, from Middle East, North Africa region. So that is continuously growing.

And we are also growing in the markets like China. There are a lot of plans where there is like we are doing partnership with some top players to gain advantage of that market because our product is really good like our brand global really does well there. So that area, we expect to grow really well. And even in U.S., like I said, in terms of orders and everything, we are continuously growing.

We are taking share from top of the peers. So that growth is also there. So any moment, any positive thing from U.S.A., even if it is 25%, will really, I mean, be a great thing for us. But even

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if we assum

e that 50% is going to remain there, we are confident that we will navigate through really well in Q4 and then next year onwards because we have strategies in place, which will be announced shortly.

Vinay Nadkarni: Okay. And lastly, does this impact your white labeling business or is it impacting your brand business this year's tariff?

Deepak Joshi: See, it impacts both because the tariff is applicable for both. But if you really see on white labeling, there are possibilities because white label people sell all around the world as well. So we are directly selling them from India. So in that case, we are able to distribute this thing really well having him to go to U.S. territory.

Vinay Nadkarni: Yes. I understand. Thanks a lot. Thank you for your answers.

Deepak Joshi: Thank you.

Moderator: Thank you. The next question is from the line of Priyank Agarwal from Equirus Securities. Please go ahead.

Priyank Agarwal Sir, my question is that in Q2 we have seen revenue being stable despite that the margins have declined. So how the margin was impacted, like, because of the temporary investments in D2C subsidiary branding or it was because of the structural cost pressures? And in the coming quarters, sir, how do you see the EBITDA margins going forward?

Deepak Joshi: Yes. So see, EBITDA margin, the primary reason is, of course, tariff situation in U.S., which was 50% additional. So like I explained, had that not been there, we would have really done well. But we have to accept the fact whatever it is, it is, right? So that's number one. Number two, in Q3, our margins are usually in this range only, like 18.5%, 19%. But when the seasonal mix changes, it will improve.

It will go 20 -plus easily even with 50% tariff, right? That is number two. Number three, we are doing a lot of activities like we have opened like direct -to-customers global application studios in Middle East, 2 of them has been opened in last week. And there are more in pipeline. So that will really boost our brand image and direct-to-consumer business where margins are good with the brand visibility.

Then we are doing Garware Home Solutions in India. So we just launched one in Mumbai, but there will be many more to come. So that will again create demand in India market. Then Garware Application studios, which are 250 right now and will reach to 300. So this is again direct to sale.

And in U.S. market also, we are signing up a lot of such studios, which we are in the process of doing so. So that will also boost our sales and profitability in U.S. market when we go directly to consumer, right? So all those things, if you really see the company's focus is to become more of a consumer driven. If you see each and every steps of ours, which is Garware Application Studio, Global Application Studio, Garware Home Solutions, Global Home Solutions, we are trying to become more as a consumer brand than as a B2B kind of business.

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Priyank Agarwal And my one more question I have regarding the Garware Home Solutions. What is the revenue model here? I mean, in terms of franchisee versus company -owned? And what kind of capex we are looking at this? And open, if you want to scale the B2C over the next 2 to 3 years?

Deepak Joshi: Yes. So see, I can give you some highlights of that, that I mean, the Garware Home Solution this is like a channel, which is e-commerce-based model, right? So their consumers will directly pay to the company and the company will have those franchisee models or those, I would say, outlets where they do the work, applications and others and they will be paid accordingly.

So it is full under Garware company's control, right, right from their database till payment and everything. But it is more of a like I said, it's an e-commerce-based model because physically, it is this model cannot work because the ticket size are very small, but the number of consumers

are enormous. So that's the primary model.

And these platforms and everything have been created, but still into the testing models or testing modes. Now on capex, there is hardly any capex into that because company already does these kind of products. The main products are sun control film, surface protection film for your furniture, for your kitchen sink and etcetera.

There will be more products like switchable films. There are some coatings which are required for the home. So most of the products company already makes, but it needs a different kind of attention, which we are doing. It's mainly a selling and a branding platform for the company.

Moderator: The next question is from the line of Swechha Jain from ANS Wealth. Please go ahead.

Swechha Jain: Sir I have a couple of follow-ups actually because most of my questions have been answered.

Sir, my first question is regarding the Dubai subsidiary. I believe you said that right now, what we are looking at is mainly from a trading point of view to cater to those geographies. But I also heard you saying that we might set up a manufacturing kind of a unit somewhere down the line. So if we ever decide to set up a manufacturing plant outside India, I wanted to understand, would it be in this subsidiary or any other geography that we are looking at, sir?

Deepak Joshi: See, first of all, like the basic thing is if you really see the tax proposition and the growth into that region, so the growth has been really great. So that's why it makes a very obvious choice for us to open a subsidiary because we have tripled our numbers in 3 years and much more to come because we are signing good agreements with top companies in real estate and architectural space.

So the business is growing. Then it is like ideal for the duty structure in the free zone, right? And that's one. And there are opportunities to export from these reasons at a good thing. So these setups are being made. The details, like the subsidiary opening is pretty fast and this will happen in next 1 or 2 months.

But there are other actions on to that, like the manufacturing means what kind of manufacturing, there are a couple of options there, which are being evaluated and being worked out, right? So there is no timeline and there is no commitment from us as of now. But definitely, we are making the decision in a way to take maximum advantage of that reason plus other geographies in terms

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of like taxation and other purposes. And growth is the forefront of everything, the company growth numbers in that region, yes.

Swechha Jain: Okay. But would it also mean that once we start manufacturing here, we can also sell it to U.S.? And then would it also help us from a tariff point of view is what I wanted to understand basically?

Deepak Joshi: See, I will answer in this way. If I mean, see, Middle East is very near to us, right? So setting up a facility to sell in Middle East is maybe one of the reason. But the main thing is not like looking into the geopolitics and everything, that's like we are in India. And one thing in Middle East always makes good sense for us to reduce the geopolitical impact. So that's very important. So that's why we are working on this. But as of now, I can say this much only. We will whatever is there, we will announce properly and let you know. As of now, we are opening a subsidiary. That's very open. And we are exploring all opportunities. We have maintained like 18% to 19% EBITDA margin, which will go to 20% plus. But of course, we want to go back to the numbers where we were like 25% plus/minus 2%. So ultimate goal is that. So we have to reach there, and we will do that.

Swechha Jain: Right, And sir, this EBITDA margin, the 20 plus that you are saying, this includes the other income, right? It

is considering the other income, right, is what I want to understand?

Abhishek Agarwal: Yes.

Swechha Jain: Okay, understood.

Moderator: Sorry to interrupt Swechha, please rejoin the queue for more question.

Swechha Jain: It is my second question sorry.

Management: Okay, got it. Yes, go ahead please.

Swechha Jain: Sir my second question was sir just want to understand on the architectural side, how much we are planning to invest in this business in terms of people, in terms of the marketing. If you could just broadly help us understand our overall strategy for this business in the medium-term and also in the long-term, like what geographies and what products, what kind of revenue potential this business can have for us over 3, 4 years and margin in guidance for this business specifically?

And what kind of ROE can we get from this business, sir?

Deepak Joshi: There are seven, eight questions for me. Okay. Yes.

Swechha Jain: Sir, they only give us two questions to ask, sir, what to do?

Deepak Joshi: No problem, I'm happy to answer. So let me tell you, the journey, like we said, we started 2 years back when the total business was around 10% of total consumer products sales in architectural business, right? And right now, we are at the level of around 22% to 23%.

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So how we have grown and what are the strategies to grow faster is that architectural products are a little different in nature as compared to automotive. Garware is very strong in automotive business. But with slight change investment, which we have already done, in last 2 years in new lamination line is helping us to grow in this business.

So there were, architectural business needs many kind of products. That includes your sun control, which reduces the heat and controls the glare, reduces the ultraviolet rays (UV) rays to avoid the cancer. And then there are safety security films that means whenever you are seeing the school, colleges, banks, which are high rise, especially in the markets like U.S.A.

So there they need a very high protection from so these are safety films. This may be transparent in nature, colored in nature, but nobody should fall from that height or no even in some cases, from the distance range, nobody should get hurt if there is a shooting on such incidents like U.S.A., right?

So and one more thing is there are certain products which are decorative in nature, like interior decoration and all those things. So now so these kind of product range, like 3, 4 years, we were missing. But last year, everything has been completed. We have a complete range of products, right?

If you ask anything out of these products, they are available and manufactured by us. Because of this, we have been able to attract good distributors in U.S.A., Middle East and other regions. We were from the -- who were doing the business with the top of like our peers, right? So we have attracted them because of our entire product list.

Then our pricing because we make end-to-end product by ourselves, that means we are fully backward integrated for all those products. So we have like a competitive advantage in terms we are not far off. I'm talking of only 10% to 15% as the prices. So we have like a full range of product at the best, I would say, pricing, best distributors in Middle East, U.S.A. and India from our peers, they have moved to us.

And the last and not the least is the team, which was like earlier, there used to be only one team. Now we have like a separate architectural teams all around the world. That includes in U.S.A., we have a top person from a peer group. He has really done well and got some big distributors converted to our brand.

Same in Middle East, we are growing and one of the major growth area is architectural there. And in India, we have done almost all top hospitality hotels in India and all airports, railways

and everything we are working under this segment. And one of the most important thing, like I said, there is people, good resources from our competition. Then we have all product lines. We have good pricing. So this is working really well for us. If we see the revenue size, if we go whenever like we are targeting now around INR500 crores by FY '27. And I can say like similarly, if we talk of by FY '30, we have an aim, ambition to make it to around INR1,000 crores with Garware Home solution in it. Swechha Jain: Okay. Thank you. Sir this really helps a lot. Really appreciate this. Garware Hi -Tech Films Limited
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Moderator: Thank you. The next question is from the line of Suruchi Jain from Opportune Wealth Advisory. Please go ahead.

Suruchi Jain: I wanted to know more on ..

Moderator: Sorry to interrupt Suruchi, we are unable to hear you. Your voice is breaking.

Suruchi Jain: Ma'am I am audible now?

Moderator: Yes, please go ahead.

Suruchi Jain: Yes. In view of pricing difficulties, I wanted to know how this has impacted your working capital cycle, say, have the receivables gone up or have your payables been a problem? Any cash flow constraints or cash cycle extensions? What are you also seeing on the competitive side? While you are finding solutions at your end, what are competitors doing? As I understand, your product is of high quality and high price as well, it's a premium product. But there are always competitors looking to undercut and take away share when things like this happen. So if you could share a little bit on both these aspects, please?

Deepak Joshi: I'll explain you on the aspect of quality and what our competitors are doing, right? The other part, we'll try to answer, but the question was not clear. So let me answer you first the competitive landscape. So the product which we make, it is made out of very high base films, which is normally available with only few people in the world.

And the reason of that is this we are fully backward integrated. That means we make our own base film. We do like metallizing, we do the nano dispersion facility and some preparation on the base films, adhesives and our top coats like surface resistant coating and everything into window films, right?

All those processes have been developed in-house. And this has been a work of last 30 years, which is working very well for us. And the machines and everything has been designed by our engineers with the help of experts from big companies who give us the machinery, but not a single machinery manufacturer is there.

There are many, many involved in that. So there is a big entry barrier if somebody tries to copy, right? And there are many of them more than 10 patents are there, which are like very essential part of our manufacturing, right? So this is what we are. Now -- and that's how like many companies around the world who want to partner with us to have our basic films.

But we have chosen the path to growth by ourselves, right? So if you see the journey in last 4, 5 years, we have shown the kind of growth we can do with our products, right? And so if you really see the product comparison, if we do, it's only with some of the U.S. manufacturers. And we have partnership with many of such manufacturers as a white box in U.S.A.

So there are very limited people who make similar films like us. But fortunately for us, unfortunately for that, the growth in U.S. market for manufacturing is really challenging. They are not able to grow that fast in that market. So in terms of manufacturing capability. So there, Garware Hi -Tech Films Limited
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we are coming into picture. And we have a lot more opportunities where we are filling the gap by supplying to them or looking for opportunities where we can do some kind of partnership with them into these advanced markets.

Suruchi Jain: Okay. So sir, my first question was about how the pricing and the environment on the buyer side has changed sort of your selling power, if you say, pricing power we know about. But say, credit cycles, have they got extended at any part of your working capital is under pressure? Anything if you could share internally how this has impacted you and your negotiations, so to say, with existing or new clients?

Deepak Joshi: Yes. So actually, nothing has changed, let me tell you, because of this situation because like we said, we have managed this situation by our operational efficiencies, right? That is product mix, making the product with higher efficiencies and everything and plus only a limited tariff impact has been passed on to our customers.

Rest, we have absorbed by the way, which I just told you. So no change in terms of credit or these things have changed. We are like, the cash flow is really strong, and we don't have any such challenge with us. So we did not witness any degrowth. Whatever we are seeing here is already we have orders.

But we are keeping the material so it is like just -in-time kind of model we are working now in U.S. So no sale drop has happened. No customer has been lost, right? Only the slight impact which we are seeing on our margins, which is quite well and open. But the growth is there and will remain there. So no change in that.

Moderator: The next question is from the line of Ankit Gupta from Bamboo Capital.

Ankit Gupta: Sir, firstly, we had a sales of around INR325 crores for CPD for our consumer division. If you can give us the breakup of Sun Control Films and PPF in that for Q3 as well as 9 months?

Deepak Joshi: Yes. So it's 44% Sun Control, 26% PPF and 30% of IPD.

Ankit Gupta: Okay. And sir, the other question I wanted to ask was when you say 65% capacity utilization of the new PPF line also, this is primarily because our PPF sales have largely remained flat on a 9 - month basis. And so the SCF facility that we were utilizing for manufacturing the PPF, that would have now moved to the new PPF line, and we would have more spare capacity on the SCF side. So is that the right understanding?

Deepak Joshi: Yes. I mean whatever we were running like 130%, 140% in old line with the help of sun control line. So you are bang on that now we have moved all the product to PPF line and all the sun control is there. So both lines are growing on their own, both plants. I mean there are 5 -odd plants in sun control line and 2 plants in PPF, both are running on their own. That's why we are seeing this growth as a minimal growth or I would say.

One of the real reason is the U.S. market, the PPF prices, absolute prices are very high. So impact of tariff on PPF seems to be pretty high as compared to sun control because absolute prices of sun control are lower as compared to PPF, right? So that's why so PPF challenges are more. But

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despite that, our growth in markets like India, Middle East, Europe and other markets has been really, really good, South America for PPF, which has taken the burden or offset the difficulties of the U.S. market.

Ankit Gupta: So when we look for expansion, sir, now will we be expanding on the PPF side or SCF side for next year's expansion?

Deepak Joshi: See we will expand on the first on TPU side. So one TPU plant is coming, which is barely for PPF line. So we will be doing another , I mean, not yet announced, but we will be working once that is successfully done, the TPU line. So we can do more of those lines. But definitely, having said that, the kind of growth we are seeing despite the tariffs.

So if any situation comes, I think the next one in line may be sun control. But this all as of now, we have not decided. But since you asked what looks more plausible for us, so it looks plausible for us TPU and then sun control. And then

after that PPF. But we are on a good growth trajectory despite the tariff situation.

Moderator: The next question is from the line of Dhwanil Desai from Turtle Capital.

Dhwanil Desai: Congrats for a very good set of numbers in this environment. So Deepak, the first question is on the TPU side. I think we have reserved the 25% capacity for the new product. So I'm sure that now because next year, it will get commercialized the TPU line. If you can...

Deepak Joshi: We are commissioning in the financial year.

Dhwanil Desai: Yes. So given that, if you can talk about the kind of product slate that you have and we have a history of creating large product of the tune of INR500-odd crores, like we created PPF, then now we are creating architectural films. So do we see a product basket where one or two products can really scale to those kind of numbers in terms of potential, in terms of positioning? If you can elaborate on that, maybe without taking names or applications?

Deepak Joshi: Yes. So just you have -- we have updated in the call that October '26, this calendar year, we are starting this plant. And we have kept around 25% allocated for the new products. That has been done strategically to make products for some architectural applications, some of the medical applications. The R&D is going on.

But the idea because we just don't want to be a backward integration to PPF. Of course, PPF business is going to grow like anything with this because we are expecting by next year with these favorable trade deals with EU and other markets where the luxury car segment might see a good boost in sales, which will directly impact the numbers of PPF.

That means PPF definitely will grow because PPF sale happens more towards cars, which are I mean, luxury segment, I would say, right? So that will be a very positive impact. And at the same time, TPU will help us to make the right product without depending on external quality factors.

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So we can do a lot of products, a lot of innovative products for existing PPF line. That is one way to look at it with margin improvements. Second is 25% for making new products and doing R&D for those products, especially in the architectural building and medical segment. And third, once we are like, I think, in 3 to 6 months, when all operations are streamlined and we are on to that path, we'll look for the growth into that area. Yes, to answer your question, once again, we are aiming at a similar size of this new vertical from TPU.

Dhwanil Desai: Got it. So second question, I think you talked about India being at 25% of the overall revenue.

So if you can give some color in terms of the architecture, PPF and the IPD. And that's now a substantial number. So how do we see that growing into next couple of years from here?

Deepak Joshi: Yes. So let me give you the number. I mean, PPF is roughly, I can say, close to 20% in India market for all PPF. I'm talking of PPF in the PPF segment, right? So because this number looks bigger because IPD sale is mostly into India, right? So that's why you always see numbers 20% to 25% in India market.

But if I talk of PPF, we have never discussed that, but around close to 20% PPF sale happens in India. And as you know, we have like created this market. There was hardly any market before we entered into PPF India business. And we still see like with the current rate, it is estimated around 1.5% of total car sales are being protected with as compared to around 13% to 15% of the advanced market. So we still see a big headroom in PPF going forward.

And with antidumping investigations already reaching towards its final thing. So we expect that will help us to grow our market and margins both in India, right? And TPU will add a further thing to that. And these FTAs are going to add higher-end cars, so we eye on a long-term.

We are a player which think like what is going to happen in 3 years into PPF industry with the help of like backward integration, these FTAs, how do they play out and how do we stop, we are never averse of the competition, but we are always mindful of the people who are supplying quality products to the market.

They should not be, I would say, misled by the product, which is not in quality, but they just play on the prices. So all those things will be taken care by this. So there are strategies which we are working to have that. Main top points I have shared with you in PPF. Now if we go to sun control, our major focus area here is architectural.

Of course, automotive with given guidance by the government, we are doing really good. But on architectural segment, like all the top, I would say, this hospitality industry, then consumers, then jewelry and gems and big malls, all are being protected by our sun control. We are now certified or approved in railways, in Airport Authority of India, in most of these names, which I won't be able to take here, all the hospitality industry because what we have done is we are certified.

We are the only company in India to be certified by GreenPro which is government has given that guideline that if you have any building as per the government guidelines, so it is

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recommended to have a company associated with the GreenPro certification. So we are the only one in India, then we are GRIHA certified.

We are certified by American Cancer Foundation to avoid cancer. And we have certified all our safety films by U.K. standards, TUV standards and EN standards of America. So you see the lot of background work goes into architectural certification, product. I explained everything into my previous answer, like how did we grow into architectural business by creating a full range of products, creating full team, making awareness into the market.

So all those things will take us this architectural business to next level in India and elsewhere.

And when we talk of 25%, like you said, it is mostly like a major portion comes from IPD. But our growth engine, IPD, we strategically keep it as a stable level, but the real growth will come from architectural, PPF and Sun control business. And of course, we are working with some companies to supply the industrial products. So that will also add to this.

Moderator: Ladies and gentlemen, due to time constraints, we'll take the last question from Akhil Parekh from B&K Securities.

Akhil Parekh: Most of the questions have been answered and congratulations on the resilient performance. Just wanted to understand the impact of depreciating rupee on our business. What percentage of our sales is dollar -denominated and what percentage of raw materials are dollar denominated?

Deepak Joshi: Yes. I'll give you a ballpark number. I think we can answer that offline. But definitely, when the dollar depreciation helps us to some extent because a lot of key raw materials are based on import parity prices. So if the rupee depreciates, so we have that negative impact. But our sales are definitely mostly into U.S. dollar or even euro and pound, all those things are appreciating and rupee is depreciating. So this leads to a positive impact for us. But there is like 40% of that is taken away with our raw materials. So that is the net impact on that.

Akhil Parekh: Sorry, 40% is dollar -denominated raw material?

Deepak Joshi: Raw material, yes.

Moderator: Now I would like to hand the conference over to the management for closing comments.

Deepak Joshi: On behalf of Garware Hi -Tech Films management, I would like to thank all of you for joining us, taking your time to understand and hear out from us. We will do our best to meet your expectations. Thank you very much.

Moderator: Thank you very much. On behalf of Go India Advisors

s LLP, that concludes this conference.

Thank you all for joining us today, and you may now disconnect your lines.

Call: May 2026

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May 11, 2026
The Compliance Manager
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Scrip Code: 500655
The Manager, Listing Department
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Exchange Plaza, Plot No. C/1, G Block,
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Trading Symbol: GRWRHITECH

Subject: Transcript of the Earnings Conference Call on Audited Financial
Results / Business Performance of the Company for the Quarter
and Year Ended March 31, 2026.

Pursuant to Regulation 30 and 46 of the Securities and Exchange Board of
India (Listing Obligations and Disclosure Requirements) Regulations, 2015,
please find enclosed herewith the transcript of the Earnings Conference Call,
held on Thursday, May 07, 2026, post declaration of Audited Financial
Results / Business Performance of the Company for the Quarter and Year
Ended March 31, 2026.

The aforesaid transcript is also being uploaded on the website of the
Company: <https://www.garwarehitechfilms.com>.

This is for your information and record.

Thanking you,

Yours faithfully,
For Garware Hi-Tech Films Limited

Awaneesh Srivastava
Company Secretary
FCS 8513
Encl.: As stated above.
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"Garware Hi -Tech Films Limited
Q4 & FY26 Earnings Conference Call "
May 07, 202 6

MANAGEMENT : MR. DEEPAK JOSHI – DIRECTOR , SALES AND
MARKETING
MR. ABHISHEK AGARWAL – CHIEF FINANCIAL
OFFICER
MR. AMAR YARDI – INVESTOR RELATIONS

MODERATOR : MS. GARIMA SINGLA – GO INDIA ADVISORS

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Moderator : Ladies and gentlemen, good day, and welcome to Garware Hi -Tech Films Q4 and FY '26 Earnings Conference Call hosted by Go India Advisors. This conference call may contain forward -looking statements about the company, which are based on beliefs, opinion and expectation of the company as on date of this call. These statements are not a guarantee of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Garima. Thank you, and over to you, ma'am.

Garima Singla : Thank you. Good morning, everyone, and I'm Garima Singla, and it's my pleasure to welcome you on behalf of Garware Hi -Tech Films Limited. Thank you for joining us today for quarter 4 and full year FY '26 Earnings Conference Call. This call is being hosted by Go India Advisors. Please note that today's discussion may include certain forward -looking statements. Therefore, they must be viewed in conjunction with the risks that the company faces.

Today, on the call, we are joined by Mr. Deepak Joshi, Director, Sales and Marketing; and Mr. Abhishek Agarwal, the CFO. I now invite Mr. Deepak Joshi to present the company's business outlook and performance, after which we will open the floor for Q&A. Thank you, and over to you, sir.

Deepak Joshi: Thank you, Garima. Good morning, everyone, and thank you for joining us today. I hope you have had a chance to review the presentation that was shared earlier. Let me take a few moments to walk you through how the year unfolded for us. Garware Hi -Tech Films is at its heart, a story of trust, resilience and long -term relationships built over generations.

While we have grown into a global enterprise, what continues to guide us are the sum of core principles, innovation, integrity and a customer -first approach. FY '26 was a year that truly tested these values. The global environment remained challenging with geopolitical volatility and elevated tariff structure across key export markets. The impact was seen in FY '26 full year with most impact in the third quarter. In such a situation, our response was not reactive but measured. We calibrated our offtake to ensure supply chain continuity and more importantly, to stand by our customers and partners and that made the difference. Despite the challenging environment, we were able to maintain our market share across key geographies, reflecting the strength of our relationship and superior quality competitiveness of our products. As the year progressed, this steady and disciplined approach began to translate into stronger performance.

We concluded the year on a strong and positive note. Q1 was the highest ever profitability quarter in our history. EBITDA at INR157 crores, up 29% year -on-year basis and margins expanding to 26.2% Profit after tax stood at INR108 crores, up 39.1% year -on-year, a clear reflection of our operating leverage, improved realization and a stronger product mix.

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For the full year, despite the headwinds, we delivered our highest ever revenue and profitability with revenue at INR2,120 crores, EBITDA at INR500 crores and PAT at INR338 crores. This performance reinforces the resilience of our business model and our ability to navigate cycles with discipline. While navigating near -term challenges, we remain equally focused on building for the future. We continue to strengthen our value -added product portfolio with the launch of sustainable TPU -

based UV printable films.

PDLC specialty films, enabling privacy on demand and advanced graphic solutions. During the

year, we deepened our market presence across both international and domestic markets through strategic customer additions and channel expansion initiatives. We witnessed strong traction in the U.S. and U.K. with the onboarding of several established distributors from competition, reflecting superior quality of our products and unmatched distribution network.

In India, we further expanded our domestic footprint by onboarding 4 large OEMs in automotive segment, along with 7-plus strategic addition in our architectural business segment, supporting our continued expansion in the fast-growing B2C segment and enhancing our overall market reach. Alongside our brand-building efforts are gaining momentum with around 18 lakh annual website visits and over 8 crore impressions annually across Meta platform, strengthening our customer connect.

A key part of our journey has been getting closer to our end customers. Globally, we expanded our footprint with 11 new global application studios, including in the UAE and the U.S. In India, our Garware application studio network has grown over 250 locations, and we are on track to cross 300 shortly. In parallel, we are building our strong consumer-facing platform through Garware Home Solutions with 6 studios already operational.

We are confident of scaling this to 50 studios by the end of FY '27. On the manufacturing side, we have taken significant steps to prepare for the next phase of growth. During last few years, we have developed over INR500 crores towards capacity expansion across 2 PPF, 1 sun control, metalizer and 1 TPU and other ancillary lines entirely funded through our internal accruals, reflecting strong cash generation and disciplined capital allocation.

We announced an additional INR191 crore investment in a new sun control film line, adding around 1,200 lakh square feet capacity, supported by advanced robotics and automation. Even after these investments, our balance sheet remains strong and debt-free with a cash reserves of INR774 crores, giving us the flexibility to continue investing while maintaining financial prudence. Looking ahead, the upcoming TPU line expected to be commissioned by October 2026 will further strengthen our innovation capabilities.

We are also encouraged by the recognition we have received during the year, including the Plexcouncil highest exporter award and being recognized among India's top value creators by Dun & Bradstreet. As we look forward, the next phase of growth for Garware Hi-Tech Films will be driven by our high-value innovation-led segments, including sun control, paint protection films, Graphic Solutions, Garware Home Solutions and TPU-based new products.

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When we step back and look at the broader picture, our marketing momentum, disciplined capital allocation, expanding D2C platform, accelerating B2B growth and continued product innovation makes us well positioned for the next phase of growth. Thank you for your continued trust and support. I would like now to hand over to Mr. Abhishek Agarwal, our CFO, to take you through the financial performance in detail. Thank you.

Abhishek Agarwal : Thank you, Deepak, and good morning, everyone. Let me take you through the key financial highlights for the fourth quarter and full year ended 31st March 2026. We closed FY '26 on a strong note with Q4 emerging as one of our best performing quarters. Consolidated revenue for the quarter stood at INR597 crores, reflecting a healthy 8.9% year-on-year growth, along with a strong sequential recovery.

EBITDA for the quarter came in at INR157 crores, registering a robust 29% year-on-year growth with margins expanding to 26.2%. While the PBT stood at INR142 crores, up 31% year-on-year, while PAT i

ncreased to INR108 crores, up 39% year-on-year, reflecting the strong bottom line expansion and improved operating efficiency. For the full year 2026, we delivered a steady performance despite a challenging external environment.

Revenue stood at INR2,120 crores, demonstrating resilience in face of tariff-related disruptions in the key export markets. EBITDA for the year was INR500 crores, with margins maintained at INR23.6 crores -- 23.6%, sorry, reflecting our ability to sustain profitability across cycles.

PBT came in at INR446 crores, while PAT stood at INR338 crores, with margins improving to 16%.

Importantly, our balance sheet continues to remain a key strength. We continued to maintain a healthy debt-free balance sheet with cash and liquid investments of INR774 crores at year-end. Our disciplined capital allocation and strong balance sheet give us the confidence to pursue this growth while continuing to enhance stakeholder value.

Thank you all. I will now hand it over to Deepak.

Deepak Joshi: Over to the moderator, please.

Moderator: Thank you so much. Our first question from the line of Mahesh Bendre from LIC Mutual Fund.

Please go ahead.

Mahesh Bendre : Sir, one housekeeping question. I mean, for full year, what proportion of our revenue have come

from the sun control films, paint protection films and rest the commodity products?

Deepak Joshi: Yes. So thank you, Mahesh. So our revenues for last year, I mean, were almost 50% from sun control films and both 25% from PPF and 25% from IPDs. So that's like a breakup for last year.

Mahesh Bendre : Okay. Sure. And sir, the latest expansion that the plan we have prepared, so when this will become operational, which year it will start contributing to our sales?

Deepak Joshi: So this new sun control film expansion, commercial production will start by June 2027. So that is Q1 FY '28.

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Mahesh Bendre : Okay. So this will be -- I mean, just -- are we -- I mean, this will be carried in the existing plant or we are going to set up a new plant?

Deepak Joshi: No, no. This is entirely a new plant, at the same location, but it's a new facility. Our earlier sun control, the earlier line, it will be adjacent to that line. But this line will have more features in terms of automation and robotics to take us -- I mean, it will be a new experience for our consumers for kind of untouched material, which we are trying to make from this new line. It will improve our efficiency. It will improve our productivity. At the same time, I mean, it will be entirely new experience for our consumers as we are growing at a very fast pace in Sun Control business.

Mahesh Bendre : And this entirely will be export focused? Or is it domestic also?

Deepak Joshi: So our strategy, if we see, we focus on the both markets. I mean, both are important. But the ratios which we expect like growth all across the territories, though domestic market will also grow. But ultimately, it will be like 80%, 75 -25 or 80 -20 ratio between exports and domestic market. That ratio will continue because of the overall growth, which we are targeting for the company.

Mahesh Bendre : Sir, last question from my end. Sir, last year, our revenue was flat almost the same revenue what we reported in '25. So if we are to look out for next 2 years, what kind of growth we anticipate in terms of sales? And given the backward integration project is going to come off, what kind of improvement in margin we see in the next 2 years?

Deepak Joshi: Yes. So we expect like we have been growing at a CAGR more than 20% for last 4 years, except FY '26, which has been purely because of sudden 50% tariff and which was almost there till the whole year and around February 20, this all went off. So we didn't get enough time to recover what was done in the last year. So that's the reason because if you see 9 -mon

th performance was

around 10% below our previous year FY '25 performance.

But we did a great jump in Q4 by taking revenues and profitability to highest level for us. So that means this year, we hope that such situation is not there, right? So we expect minimum INR2,500 crores revenue for FY '27, right? And we will maintain 25% plus/minus 2% of the guidance. Earlier, we gave plus -- 25% plus/minus 3%. Now we are doing 25% plus/minus 2%. And we expect some margin improvement when TPU line comes on stream. And with the growth of the company strategy now to direct -to-consumer, D2C business. That's why we have emphasized that Garware Application Studios, Global Application Studios in U.S. and Middle East and Garware Home Solutions. These 3 are directly to the consumers.

So if you really see our strategy, D2C supported by our strong campaigns, marketing campaigns, digital campaigns, where you saw around 8 crore s impression from Meta platforms only and website visits, which used to be like 5,000, 7,000 in a month, it has gone almost close to 1.7 lakh, INR1.8 lakh a month. So our digital drive and the focus towards the consumer is the key, key focus for years to come. And direct -to-consumer is the right strategy. And another one thing we are doing, we are selling direct -to-consumer in U.S.A., PPF business also. So all those things reflects like the key strategy is D2C, supported by digital marketing.

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And third thing, with the innovative new products, like in Home Solutions, we are doing all sun control films, but at the same time, privacy on demand, which are switchable films, that means you can make your windows like fully opaque, semi-transparent and full transparent by click of a button.

So these kind of new technologies, which will -- we want to make this technology to go to every standard homes in India. And then it will go to abroad. So with all those strategies, I mean, our major focus is brand building and direct -to-consumer focus.

Moderator: Our next question comes from the line of Dikshi Jain from InCred.

Dikshi Jain : Congratulations on great numbers. My questions were mostly regarding, first, are there any

exclusive partnerships that we have done with several OEMs or brands for our PPF sales in India?

Deepak Joshi: Yes, definitely. We have 4 big partnerships with OEMs. That means direct agreement with the OEMs. So they take our material to their showrooms. We have 4 such strong partnerships and 2 are already in discussion and samples are already approved. So that is already there.

Dikshi Jain : Okay. And what are the current utilization levels at all our facilities?

Deepak Joshi: Yes. So our sun control lines are running around 75% to 80%. So with current expected CAGR of around 15%, 20% growth there, which we are expecting for this year. By next year, we will be fully utilized. So that's why we have announced this capex of INR191 crores for sun control lines. PPF, we are running at the rate of around 85% to 89% at current rate. So that also we expect to go full, and we will use some fungibility of the new sun control line and think of future expansion, if required on that. And rest TPU line is on target that is coming on October this year. So that's the operating rate for us as of now.

Dikshi Jain : Last question from my side, the antidumping duty that was supposed to come on the cheap imports that are happening from China and Korea. So any update on that?

Deepak Joshi: See, that might be a question. I mean, there may be some interest or confidentiality. But the news is that all hearing, submissions and everything happened, all visits what government officials do, that has also been done. So we expect a positive news pretty soon as fast as maybe this month or next month.

Moderator: Our next question comes from the line of Rahul Jain from Credence Wealth.

Rahul Jain : So first

of all, congratulations to the entire team of Garware Hi -Tech, to the promoters also, wonderful set of numbers and in a tough environment for the last 1 year.

Deepak Joshi: Thank you very much.

Rahul Jain : Yes. So Deepak, we have been talking in the previous 2 calls about our focus on Middle East.

So just to -- and we had formed a subsidiary, which was supposed to get completed in this quarter

4. And we had spoken that various other strategies are being put in place, including on the marketing side and also whether how this subsidiary would further be available for some other

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options, including sales across other regions as well as there was a discussion about some manufacturing plant. So first of all, if you can talk about where are we in terms of sales today in Middle East? What are the various steps being taken? And where do you see Middle East sales going up in the next 1 or 2 years?

Deepak Joshi: Yes. So see, we consider Middle East, North Africa region MENA, which is a growth -- biggest growth driver for us. As of now, let me tell you, the sale of that is roughly around \$15 million.

And we expect that a growth of around 25% to 30% CAGR for the year. So we are targeting \$20 million to \$22 million in -- during this year, right? So that's growth pattern. Now how did this happen?

Like we said, we have a separate team, which is -- which comes from the top competition and the entire team is built in the Middle East, and they are growing pretty fast. The subsidiary has already been completed. The work has been completed. Now there is some -- already some work has gone into this some kind of, I would say, manufacturing or some kind of value addition. That work is going on.

And the primary purpose of that of any kind of unforeseen situation from anywhere in the world like we faced last year, we are -- we will be well poised to cater our customers with this kind of flexibility. So that was the purpose, and we are well on track for that. So I've shared you like the targeted numbers and what we are doing there, and this work is in progress. And when there is any further update, we'll update you on that.

Rahul Jain : Sure. And sir, with regards to this capex, which we have announced, so PPF, we are already at 85%, 89% utilization as what you mentioned to the previous participant. And SCF is probably around 75%, 80%. So, with that understanding, I would have thought you must have already decided or thought about or discussing about a new PPF line.

But before a new PPF line, we are going ahead and building up a new SCF line, almost 30% capacity addition. So just to understand the scenario behind this, is it because the demand is quite robust in terms of SCF and architectural film, which is a part of SCF, which is why we have announced this SCF expansion prior to going for one more PPF line?

Deepak Joshi: Yes. See, I will tell you the growth in SCF has been pretty rapid. Of course, PPF is also growing us very fast. But next year -- see, SCF means we are a very well -known brand in India and U.S.

Global is a well -known brand for automotive. So you see that growth is always there despite like we have hit a quite strong market penetration on that. But at the same time, all architectural growth also comes from there.

And if you see our new initiative, which is -- which are coming from Garware Home Solutions,

which is like architectural is in a big demand. I can always say that the sky is the limit for architectural business because everywhere there is a glass -- a film can be put on that glass. In architectural, it is the world because if you see the normal sun control films, safety and security films, the films which are on privacy, privacy on demand.

And finally, the -- I can say the -- when you can see -- I mean, we make the products which are dual reflective or reflective. So you see options a

re unlimited in architectural segment. And we
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just started that work 2, 3 years back, right? So we are growing pretty fast there. With GHS on board and architectural other brands like we are on all airports now, railways now and big hospitality chains are already under our contract in last 1 to 2 years. This growth, we are expecting the fastest.

We might grow around 25% to 30% as well with the support of GHS and architectural business. So that's why the need for sun control film came first. And another thing is sun control capacity is bigger than the PPF when we put a new line. That means PPF line s because of its speed and microns, it produces roughly 25 lakh square feet in a month, whereas sun control film can produce 1.25 lakh square feet in a month.

So what happens is when we put sun control plant, that means fungibility wherever we are sure that PPF will also go 100% utilization by next year, but we can do the fungible business, which we have done in the past for PPF as well in sun control line. So that's the rationale behind putting a sun control line ahead of a PPF line.

Rahul Jain : Okay. I thought there is something to do with even one of our large customers who just on yesterday's call mentioned about the environment changing from demand limited to more of capacity limited. That's the statement made by one of our large customers in yesterday's call. So maybe we are trying to build capacity somewhere and keeping that in mind.

Deepak Joshi: No, that growth, I think -- let me tell you, our growth has been phenomenal. And the large customer may buy because these customers buy sun control as well, PPF as well, right? So sun control is -- see, let me tell you, I just answered the first question, like 50% of our revenues are from sun control. So anyway, sun control is our like number 1 product. And if you see the growth is also the fastest in that.

Everything is linked to that, right? And building a sun control line, anybody can say anything, but it's one of the toughest challenge that people have. And our lines, I can't tell the details, but they are so advanced that people can't compete with that kind of operations done at one go. Like they are built by our own team. There are very unique operations with all of that sun control machine, which nobody has in the world. So we know our sun control business is a unique model, which is growing very fast.

There is no stopping to that. And PPF, of course, is growing very fast for us and with -- like previous participant asked about antidumping and similar many measures are going here, Middle East and U.S.A. and especially direct -to-consumer is one of the first priority in PPF. So that growth is unmatched. I didn't say that we will not put another PPF line, but we are continuously growing in sun control, in PPF and of course, TPU as a backward integration, we will have more demand. So that will also be decided by the company where to move fast, but we are on a takeoff mode on all 3 products.

Rahul Jain : That's very heartening to know, Deepak, sir. Last thing on architecture films, you didn't mention much about our architecture. In the previous call, we had mentioned that we are about to do about INR300 crores in FY '26 and that INR300 crores moving to INR400 crores in FY '27 and further to INR500 crores in FY '28. Now given the changes which have happened in terms of
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the tariff changes and also your thrust on Middle East, do we expect this architectural films to be higher than the number which we have given in the previous call?

Deepak Joshi: See, it's very difficult to give each numbers ahead. So what I'm saying is like we are quite confident to reach INR2,500 crores for the coming year. And whatever we add into new products like graphic solutions, PDLs and printable

PPF and all those things, this will be definitely on top of that, right? So the growth which we -- and whatever happens cannot happen in a year's time. We are building the ground. That's what I said. The important thing is company's strategy for the future. Their strategy is direct -to-consumer.

Their strategy is building stronger new product developments, R&D and a channel which remains there with the help of consumers, right? All others are definitely there. We are strong in -- I mean, B2B segment. We are strong with OEs because they like the product, they like the quality and on much bigger hospitality and other industries, including railways and airport, right?

But our ultimate goal is to penetrate everywhere, but it should be -- the brand should be visible in terms of consumers. So that's the first priority with the digital penetration. So I'm giving you this number of INR2,500 crores plus, plus a growth of 20% CAGR, which we have done in last 4 years, barring last year, right? So that will include everything.

Moderator: Our next question comes from the line of Saransh Gupta from SVAN Investments.

Saransh Gupta : Yes, congratulations on a very good set of numbers. I had a few questions. So firstly, I just wanted to understand like how is the industry dynamics right now like with the war going on in the Middle East. So how has the dynamics changed if we talk about from post January and what are they currently?

Deepak Joshi: Yes. See, on the war, like somebody said, I will repeat, this is not the first war and this won't be probably the last war. The world will go like that. We -- as the company, if you really see, we have seen a COVID time when we really performed well, where shipping lines were not available, people were not available, but we performed and we guided the company to new heights.

Then came to the tariff situation. Before that, Russia was a big market, then there was a conflict. And then I said this tariff, which was the biggest like headwinds for us, right? So now this Middle East thing has come. But let me tell you one thing, the good thing about Garware is that it has got -- it supplies over 90 countries in the world. So when U.S.A. is in trouble, Europe and Eastern Europe helps us.

When there is an issue in some other part of the world, the other part helps. In the Middle East region, whenever there is a problem, we have like other areas which really perform well because I think somehow the material reaches there, but through different routes. So we have all -- and we are in touch with our customers. This -- and we are not feeling any negative impact. I mean, it's a supply chain is difficult.

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But ultimately, business is going as usual there. Again, even if there is a -- I mean, more trouble into that, but we are poised to sail through that. And in terms of like our sailings, we are -- in the past also, we have avoided Hormuz and we have also avoided Suez Canal. It takes longer route, a little more on expenses on -- I mean, logistics and all, but that is only a very small part of our sales. Like I said in our previous conference calls, when things were very, very tough due to tariff situation, I said that the company has a motto that we will not lose a single customer. whatever it takes because we know it's -- there will be a brighter time.

So we held on to that. We made our inventories to sustain in a way that whenever the opportunity comes, people can refill, the customers can refill their inventories to lead -- to sail through it successfully. Same thing with all those things, we always think for future like how we can cater that market in the best possible way. And in the current situation, we see it's not as big as like the last year, as big as trouble it was last year. So it is being handled very nicely, I can say.

Saransh Gupta : Just a follow-up on that

that in the last con call, you did mention that due to the tariff, our inventories are at the port and we are just waiting for the tariff to subside so that we can export -- we can release those inventories. So how is the situation from the supplier end right now? Like at what position we are in the inventory?

Deepak Joshi: So whatever we said, actually, that held true, and that's why we did a good job in the -- in second half of February and March. We released most of the goods, I can say. I mean, required by the consumer at that time. We still have a good, I can say, roughly, if we talk of the U.S. territory, it's around 16 million is already there in transit plus warehousing.

Plus we are making more goods for the consumer because the demand and the season is coming, and it is one of the best seasons which we have always Q1 and Q2. So I gave you the inventory numbers, and it's a good demand cycle going on. That's all I can say right now.

Saransh Gupta : And second question is, sir, as you mentioned that from 6 home studios, how many we'll get in this year. So how big of this segment can it be if I see for at least 3, 4 years, 5 years?

Deepak Joshi: Sorry, I was not able to hear. You are talking of Garware Home Solutions or Garware or Global Application Studios?

Saransh Gupta : No, no, sir. Basically I'm talking about Garware Home Solutions

Deepak Joshi: Garware Home Solutions, yes. So like we said, we opened 6 in a very quick succession and around 4 to 5 are already in pipeline due to the time schedule, we are opening them, right? So by end of this year, target is 50, right? To open the 50 studios in different parts of India, right?

And this is definitely -- the concept of this is, as our distributors, dealers are pretty big in size to cater these smaller homebuyers, we are opening these studios in every -- in neighborhood so that the small er ticket size job can be done.

Of course, it's a higher -margin job, right? And that -- the ultimate idea is direct -to-consumer strategy. That fits into our D2C model, direct -to-consumer model where most of the work will be done through, I mean, digital mode. That means the payments and ordering and all flows will be digital mode. That work is still into -- I mean, making. But the market is really responding

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well, and we are getting great responses from the homebuyers because this is something new for them.

They were never able to get these kind of small ticket supplies from us. And I'm very happy when I was in Delhi and Gurgaon and we opened there, I met many customers and they said, this small ticket size business from Garware, which is a big brand name, th is is helping us. And we are using a lot of influencers to update people about these kind of new offerings. And happy to share that we are getting outstanding response from the market on this.

Saransh Gupta : We saw during plant visit the kind of value -added products that you made. I want to understand like how big this segment can become in future like SC?

Deepak Joshi: So as I said, we just started it's in nascent stages, and it's very like a digital -driven business. So we expect like by next financial year -end, we should cross around INR200 crores from Garware Home Solutions plus other new products together because this all mostly would be part of Garware Home Solutions. And going forward, our aim is higher than that. But at least I can say for next financial year, FY '28, we should cross INR200 crores business from Garware Home Solutions and plus added new products like PDLC and others.

Moderator: Our next question comes from the line of Akhand Pratap Singh from JM Financial Mutual Fund.

Akhand Pratap Singh : Sir, my question is related to refund of tariffs from the U.S.A. government, which implemented earlier actually. So what kind of amount we are expecting?

Deepak Joshi: Se

e, this amount is definitely whatever we pay is being refunded. But -- and we are in touch with authorities also, and we have opened the account. But this is like I'm not sure like I cannot guarantee because this is a government matter. And the time it c omes, definitely, I mean, then only I can confirm about that because it's something which is accounting -related matter. But let me tell you, when from 50% tariff, we did such a great job. We only like maintai ned what we could do in FY '25.

We managed that in FY '26 as well. Without tariff, I think we have a big, I think, a big way to go, and we are targeting like 25%, 30% growth there. So on that number, I'm avoiding because it may not -- when it comes, it's like accounting. We would like to be conservative. And whatever is in our end, we are focusing on that, right? What is the strategy for the company, how big that, we are focusing on something which is in our end, we will not let that go.

Like in our end was not to lose a single customer, which we did. Now this tariff, whenever it comes, that's great. And we'll have to see like on the accounting standards, how it is to be put into our books. And some of them, we might have to give for the c onsumers also, right? So -- but definitely, there will be a positive news on that.

Akhand Pratap Singh : Okay. And sir, second question related to this input cost rise. So there is a significant increase in the raw material cost. So just wanted to know the kind of inventory gain we will be having?

Are we like reporting the better margins in the Q1 and how we will be managing this cost increase actually?

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Deepak Joshi: See, we have like very great agreements with our consumers because we are always transparent with them. Like in the -- during tariff time also, we were very transparent with them like what should be the number, how we will compete into the market. We are n ot the people like if there is a 50% tariff, we will put on our consumers and our customers and do away.

We have always been very understanding. Same way our customers are also understanding because the situation, we have a scientific method where we see the correlation between the raw materials, which is PTA and MEG versus our IPD products versus our CPD pro ducts. So in all that likelihood, we went to the market and discuss with them, and we were able to get that kind of increase from our customers in a very healthy and ethical way.

Akhand Pratap Singh : Okay. Okay, sir. And sir, in P PF business, can you tell what is the proportion between the direct -to-consumer and B2B?

Deepak Joshi: So you mean margins between D2C and the -- I mean, big customers -- distributor. That's what you are asking.

Akhand Pratap Singh : Yes. You mentioned B2B as well actually in the -- yes.

Deepak Joshi: Yes, yes. So in D2C, it is usually, I can say, 30%, 40% higher than the distributor margin. It depends case-to-case basis, how do we negotiate. But D2C is always better because then there are no distributors or dealers in between. You are directly handling those things. But in that, the real cost comes of your digital marketing and penetration. But of course, the margins are definitely 25%, 30% higher than the distributor margins.

Akhand Pratap Singh : Revenue front, what...

Moderator: I'm sorry to interrupt you, sir, but you may please rejoin the queue.

Akhand Pratap Singh : Yes. Just last question. Revenue share, I was looking for, sir, from the D2C and B2B in the PPF business?

Deepak Joshi: That is -- let me tell you, this is just -- we started this campaign maybe 2 years back with Garware Application Studios. But Global Application Studio is -- we started like 6 months back only. So as of now, I can estimate the D2C business is only 10% of overall our revenue. In India, it is like -- I can say it's like 40% as high as. But together with world ma

rket, I can say it is only 10% to

15% right now, right? But it's growing very fast, and that's the future for us.

Moderator: Our next question comes from the line of Nikhil Chaudhary from Toro Wealth managers LLP.

Nikhil Chaudhary: Congratulations on a fantastic end to the year in a despite a challenging environment. I had 2 questions. Rest of the questions have been answered. In the Q3 call, we had mentioned that we have some partnerships that are going on with the Chinese players using our global brand. Any status update on any partnership that we have signed?

And what could be the outlook with respect to these partnerships? And in the PPT, we have mentioned about 4 OEMs onboarded. Is it in the PPF business? Is it like an OEM like the Mahindra tie-up that we did? That we had a couple of quarters back?

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Deepak Joshi: So answering the second question first. So yes, it is the same tie-up which we did with Mahindra & Mahindra. Similar because I'm not naming name for the competitive safety for us. So we have now 4 in our books and another 2 are already under discussions are going on. So you are right on that. And that's how the growth into PPF is continuously happening in the domestic market. So this is your second question. And first question, yes, the discussion is still on because honestly, after tariff, the situation changed for us and the order flow increased so big. In Q3, of course, that was like somewhere in February, we updated you on that. So that discussion is still going on because some of the agreements are still being discussed because that would be a long-term partnership. We are still in discussion. And we are hopeful that, that will definitely help us in PPF business going forward. It's not yet concluded, but we are making sure that it goes in the right direction.

Nikhil Chaudhary: Got it. Got it. And what would be the U.S. share in Q4? I guess it was not mentioned in the PPT. Middle East, you mentioned in one of the answers that it is around 15 million, Middle East and North African region, which is around 6% of the revenues. What would be the U.S. share for Q4 and full year?

Deepak Joshi: Once second, what is the U.S. -- yes. So it is -- last year, it was 45%. It was -- I mean, if you talk of FY '25, it was 48%. Last year, because of tariff and all situation, it was 45%.

Moderator: Our next question comes from the line of A Sriram Palaniappan from ithoughtpms.

A Sriram Palaniappan : My first question is on one of our customers has indicated plans to move towards in-house manufacturing of PPF. So how should we think about the potential impact on our business over the medium term? And also what is our medium-term goal with Global Application Studio?

Deepak Joshi: Yes. So that -- I mean, that kind of announcement, actually, that has been discussed. I think there is no direct impact because we are not the only supplier for them. And whoever you are talking, I mean, there are others as well. So we don't see any challenge in our volumes. But at the same time, we are always working because we always want to go to the market, and that's how we are now 40% into D2C market in the domestic market and overall 10% to 15% in our portfolio for PPF.

So for us, we don't see any challenge on that. In fact, we are like we are now 85%, 89% of run ability, 85% to 89%, and we are full with order books on that. So there is no challenge which we see into that, right? Because -- and the second thing is our major market is -- major thing is sun control, which is 50% of our revenue generator. And that we are continuously growing even with the stronger with a stronger strength going forward, right?

So that is there. And when you talk about global application studio that are like in U.S.A. and Middle East. So they are continuously in -- we have a target for both the places. Like overall

I,

we should have at least -- I mean, I can say, 50% for next 1 year. That's the target which we are keeping for Garware -- Global Application Studios.

And they will be -- when we say there will be like currently 10% to 15% volumes coming from them, Garware and Global Application Studios. And we definitely would like to go 25% and Garware Hi-Tech Films Limited

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then 35% as a target going forward for our business. And that will add -- that will increase our margins. So that's the -- and second thing is the brand visibility will increase more and more.

A Sriram Palaniappan : Got it, sir. And within the SCF sales in FY '26, can we know what is the contribution of architectural...

Deepak Joshi: Okay. Architectural, it is around 25% of total sun control sales. But that is growing. I can say 25% to 30% is moving towards that.

Moderator: Our next question comes from the line of Riya Mehta from Equitas .

Riya Mehta : Congratulations on good set of numbers. Sir, my first question is in terms of you are focusing that Garware will now become more of a D2C brand, et cetera. So what kind of investments are we doing with this in terms of marketing and all ad spend, et cetera . So will our margins be lower than the B2B for some time?

Deepak Joshi: See, our strategy is not -- we are not stopping B2B to grow into D2C, right? So what is happening, this work has been -- we have been doing this work since last 1 year, right, where our D2C focus is increasing. And we already did a great marketing campaign last year, which was part of the current performance of FY '26, where our impressions were close to INR8 crores from Meta platforms only.

And apart from that, our -- we revamped all our websites and put a new effort so that everybody sees actually what we are doing into the market. And in Garware Home Solutions, we are directly building a channel, which is -- you can order online, these kind of things with the app and our website, right? These efforts, definitely, we have budgeted for this year as well. Last year, we already started spending on that. This year also, we budgeted these kind of things into our numbers already.

So I can say there is a slight increase in our marketing budget. But definitely, D2C is going to be 25% to 30% higher margin than B2C even for this year. And -- but the volumes for this year is not that great. I think the next year, it will be even bigger. But these numbers of -- will not change like the more spending on branding because we have done that as a mix of our business strategy, where OEM we are growing, right? And these hospitality industry, all big hotel chains are doing great with us. And then the airport authority, railways and all those things are helping us to grow on all around. So that's the strategy for us.

Riya Mehta : Got it. And in terms of the current results, what would be the currency appreciation in the entire result, impact?

Deepak Joshi: Sorry...

Riya Mehta : Dollar appreciation -- impact of dollar appreciation -- constant currency growth?

Deepak Joshi: See, on the currency, we definitely get advantage. I won't say no on that. But our raw materials like previously asked like the raw materials, PTA and MEG and plus some of the chemicals and raw materials, they are either imported directly or on import parity basis. So I can say 45% to Garware Hi-Tech Films Limited

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50% impact is definitely nullified with that, right? So for the balance, definitely, we get an advantage of that. Exact number, Abhishek, can we give? Do we have some kind of thing on that? I'm just asking our CFO on that. Definitely, as I said, 50% is naturally hedged because our import or import parity business is there. Balance, definitely, we get advantage of that.

Riya Mehta : Raw material availability and the pricing currently, are we able to pass on the entire incremental raw

material price hike? This is for both your traditional business of films as well as the PPF and SCF because -- basically 2 questions, availability and ability to pass on the price hike?

Deepak Joshi: Yes. I can tell you that we have been able to pass maximum of it because industrial product business is normally -- the consumer are directly affected, so we do that. So that is already passed on. In consumer, it takes time. But with the help of inventory, like everybody knows, it's no secret that the kind of inventory we get the appreciation. And by the time price increase comes, we are good with that. So I can say no negative impact of that. In fact, slight positive impact might be there because of that.

Riya Mehta : Got it. And my last question would be that with the current interest rates going up and inflation also picking up in various geographies that you cater to, or do you see any impact of demand

anywhere? Or you see people curtailing down the cost because this is not a staple cost and more of a discretionary spend?

Deepak Joshi: Sorry. Can you repeat the question, please?

Riya Mehta : With the current inflationary scenario and interest rates also hiking, do you see any impact on demand? Or do you see any kind of slowdown coming in from any places because it's a discretionary spend after all?

Deepak Joshi: I think the kind of segment we are in, it's not a commodity where people do. This is really -- I mean, if you're referring to kind of global -- you're talking about global warming and the situation?

Riya Mehta : No, no, no. I'm talking about inflation and interest rates in the current environment.

Deepak Joshi: So honestly, this -- whatever is happening is happening in the peak season, that's summer for us. And in that, like demand really remains high for us in India for like 3 months, 4 months. And in the world, it is yet to come. So people have started building their thing. So we are not seeing that kind of impact. This might be more can be visible during weak season of Q3. But fortunately, for us, all those things is happening into the peak season.

So we are not seeing the impact as of now. The demand is pretty high in this season. And in fact, unfortunately, wherever there is more buildings coming up, I can't refer directly. But if you really see, there is a lot of new construction is going on every where, including Middle East. So that's a good opportunity for the company. That's why we are focusing more into the Middle East.

Riya Mehta : Got it. And in terms of next...

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Moderator: I'm so sorry to interrupt you, Riya, please rejoin the queue. Our next question comes from the line of Nilesh Jain from Astute Investment Management Private Limited.

Nilesh Jain : My question was on the TPU line, which is going to come out in October. Broadly, I wanted to understand, largely, this is given the backward integration. Have you identified any other products for the 25% which you mentioned, we'll be using apart from the PPA?

Deepak Joshi: I mean, your question is for the new -- sorry, the question is for the TPU business, right? So like we said, it is -- it can be used 100% in the PPF for the margin improvement. But we have built a new team, R&D team, which is working on some products, and we have identified already 2 products where we will start our first foray into from the TPU business, right? One is the automotive product and on e is the architectural product.

So with that product -- with these 2 products, we are definitely -- we'll start our sales, which will be like because it's starting in the Q3 of this year. So in 3, 4 months, I think there will be a very minimal revenue, but we will set targets for the nex t year. So these 2 products, definitely, we are eyeing on from the start of the TPU business. And if that goes successful, then it will be -- I mean, a big potential.

And let me tell you about one of the product is being used widely in U.S.A.

and Europe m arket and not touched by anybody in India. So that can be a good product for us in architectural segment from TPU.

Nilesh Jain : Okay. Given -- you mentioned you're adding capacity on SCF side, what I understand, given your current utilization is 80% and it will be fully utilized for this year and the additional capacity is going to come in next year, which will be close to an addit ional 20% capacity. Don't you feel there's a constraint on capacity to grow? So you might need to add PPF line as well given -- operating at 90%?

Deepak Joshi: Like I gave you the example that the growth -- the major growth drivers are both PPF and sun control. But D2C business from Garware Home Solutions is growing very fast. And the line size of window film, this lamination line is much bigger than the PPF, rig ht? So we can use the fungibility for PPF business definitely because it will also be full. And then we will think of how the growth is going. We are conservative in that, but we are -- we kno w the right capital allocation.

So the decision was between PPF and window films, and we have taken the decision of window film lamination line because the size is much bigger. It's 4x production comes as compared to PPF, right, because of the thickness and all those things. So we'll use that fungibility to make more PPF. And here, the growth of D2C business, GHS and architectural, which is growing very fast will be catered directly from sun control line. So that's the rationale behind putting this line.

Nilesh Jain : Sure. And just last clarification...

Moderator: I'm sorry to interrupt you, Mr. Jain, but please rejoin the queue for more questions.

Nilesh Jain : I just want a clarification...

Deepak Joshi: Yes, yes, just go ahead.

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Nilesh Jain : What would be the standard tariff which we would be paying right now?

Deepak Joshi: Total tariff. So I'll explain you. The original tariff between before, I can say before this administration came was 6.26%, right? That was the standard till last year when it went added 10%, then added 25%, then added 50%. So we'll talk of additional tariffs, which is only 10% now as compared to 50% last year. So 6.26% is already there. It was always there. But 50% was on top of that, now only 10% on top of this.

Moderator: Our next question comes from the line of Sunil Jain from Nirmal Bang Securities Private Limited.

Sunil Jain : Congratulations on good numbers. Sir, my question relates to whatever the sales you are doing in your own brand, whether you are able to pass it on the whole price increase or whole cost increase because of all these raw material price increases? Or B2B, you may have some agreement, but B2C, is that happening at a stretch or it will take some time?

Deepak Joshi: No. Actually, honestly, we are able to pass that on because if you really see this -- when we talk of our product -- industrial product business, there is almost a big correlation. I can say, 45% to 50% directly into these raw materials, which is because of the crude oil jumping and all those things. There, the market reacts pretty quickly, and we were able to do that. So that was number one.

Number two, when we talk of our consumer products and PPF business, PPF business is mainly driven by TPU and adhesives and all those things. There, the increase was not that big because they are not directly linked to crude, right? So there, the increase was minimal, but still we were able to take our price increase there. Now the third factor is sun control business, which is based on polyester.

There, the impact of overall, whatever if INR100 is increased is only INR10 on the polyester film because rest of the components are high value addition on coatings, on adhesives, on nano dispersion and all those things. The

re, we have seen that correlation going to like between, I can say, approximately 10%, 12% or 15% even. And there, calibrately, we were able to take advantage of that -- sorry, we were able to take the price increase on a different, different situation from different customers.

Sunil Jain : So out of the total sales, how much is we are selling in our own brand like Garware and Global?

Deepak Joshi: So if we see roughly 55% goes into own Garware brands and -- Garware or Global, I mean, our brands and roughly 40% to 45% goes into the private labels. And that may be like direct private labels or neutral labels.

Sunil Jain : Okay. And sir, last question related to the coming quarters. See, last year, Q1 was impacted because of the seasonal rain and also duty, which came up in the U.S. Generally, you said that Q1 is a strong seasonal quarter. But if you see last year, there was a substantial decline from Q4 to Q1. So generally, Q1 is softer than Q4 or it's equal or better than Q4?

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Deepak Joshi: Sir, you answered the question. Last -- we say Q1 is the strongest because of the seasonal -- our major market is exports. So for exports, it's like June, July, August, September. These are the strongest season in U.S. and Europe, right? So in such situation, this -- I can say, April, May, that is Q1 is the right time for the ordering from us. So that's why it is always a strong season. And in India, this is like up to June is the strong season because of heat comes that season and then rain comes, right? So last year, the situation, this did not happen. There were 2 things. One, domestic market, the rain started coming in the month of April and also beginning of May. And it never stopped. It continued till the monsoon last year. And also, the tariff situation made it very uncertain in U.S. for the ordering and everything, right? So in this year, we don't see that challenge. So you answered your question, sir, on your own.

Sunil Jain : Okay. Just was confirming. So India sales...

Moderator: Sorry to interrupt you but you may please rejoin. Our next question comes from the line of Swechha Jain from ANS Wealth.

Swechha Jain : Congrats on a great set of numbers. Sir, my first question is on the SCF, the new capex. Sir, how much of this would be for the automotive part? And how much of this would be for the home solutions, the sales that you are expecting on this capex, sir? And what would be the asset turnover from this, sir?

Deepak Joshi: Okay. So on the new capex, see, Garware, let me tell you, this -- overall, this addition is roughly 30% of capacity addition, right? So if we see GHS, we don't see like from this plant, how much it will go into which product line. I'll be very honest with you. When we put the line, we put the line based on what sale increase we are seeing. That is what is the CAGR where we are going to grow and where I should need this capacity. So based on that, current 75% to 80% will almost

finish by Q2 of next year.

That was the estimate. Of course, we can do some debottlenecking on the old plants, and we will not lose any sales because of that. So that's the reason to put the new plant. Now GHS, we have a separate target where we are talking because the volumes won't be great, like imagine a home. I'll give you some numbers. Like if you really see, we -- our distributor or dealers, the second guy, distributor buys like 5 lakh, 7 lakh square feet in a month and a dealer buys maybe 50,000 square feet or 1 lakh square feet.

But a homebuyer need like 50 square feet or 70 square feet. So that demand, we can cater -- the idea to do that to reach every home means to make that even if that business goes to 20 lakh square feet, which is not even 7%, 8% of our business, but we will be catering a big part of the country and the revenue generation can happen anywhere between INR50 crores

or 1 year and

the next year around INR200 crores with all the PDLCs and everything.

So -- but that is the idea that to make the brand present everywhere and at the same time, increase the sales from different channels, right? Because if you really see the company when we were doing only IPD and CPD in sun control, sun control and IPD business, our revenues used to be INR750 crores, INR800 crores. Then we strategically increased the CPD business towards architectural business then we went to INR1,300 crores, right?

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Then we added this PPF business and along with the growth in architectural and normal sun control business, we reached a level of INR1,600 crores in FY '24, right? And then with the growth in these 2 new lines coming and everything, we reached INR2,100 crores last year. So the idea is our products, when we increase the product basket, it helps us because when we were not doing PPF, many customers were not coming only for sun control because it's a basket order. Now we are doing sun control for automotive, we are doing sun control for architectural, we are doing sun control for safety, security, decoration and dual reflection. And then we are talking of now architectural in the home solutions. Then we are adding TPU for architectural and automotive. So we are continuously increasing our segment. Each segment, even if adds INR100 crores to INR200 crores value, that will drive our next growth upto INR2,500 crores, INR3,000 crores in like this year and next year. So that's where we are moving.

Swechha Jain : Right. So sir, just a follow-up. So when you say architectural, so help me understand on the architectural side, what is the addressable market for us? I mean I'm so sure we have chalked out an internal plan for us that what is the most attractive products for us in the architectural, what geography looks most attractive for us? And help me understand, I know it's a very basic question that I'm asking, but home solution, what I understand is a subset in architectural, right?

Deepak Joshi: Yes, yes.

Swechha Jain : So what is the strategy like which geography, which product, what is the revenue potential? And what kind of margins that we have internally chalked out for us for next 2, 3 years? If you can help me understand that, sir?

Deepak Joshi: See, that will be like -- I'll answer the question in a strategic way because if I give the numbers, margins and everything, so the people who are just eyeing on these things will definitely that's -- we work -- everybody works with a strategy, right? So we have a best strategy in place. Now to answer your question, I'll give you in a broad level, like there is a big market potential in U.S.A. where we have like made a team from one of the number 1 competition in U.S.A. Second biggest market or I can say fastest-growing market, even more than U.S.A. is the Middle East because if you see it's an ideal market for sun control business because there is a lot of sun and there is hardly any -- there is no rain and there is hardly any winter, right? And the maximum development is happening. So that's why 2 years back, we took a call. We made a strong team there and the team now working, I can say that proudly that one of the segment of Dubai Mall is also done by us.

So that's the quality of our product, but it was missing the kind of the team which goes, which has got relation, which has got that kind of drive -- so we have done that. And now with that subsidiary there, which is directly working with all -- because if we are there, we can directly add value to our sales team there. I mean they can definitely take advantage of local thing, right? So that market is -- now you can see the growth, we see Middle East and North Africa region is like something a big target for us. Then coming back to India, again, we made a team, which was no focus

on to automotive. It's to fully dedicated for architectural business. Now architectural business, we already did railways, airports, all airports, railways and then best

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hospitality chains are working with us and also some OEs who make like your -- would redesign your entire home, bathrooms and everything, we have directly tied up with them, right? Now next thing is these -- how to cater to the smaller guys and make a brand, right? If you go to B2B, they will test your product, they will say, forget about it. I will make my brand, your product is outstanding. But how do I grow the business of Garware or Global to the end consumer. So that's where the Garware Home Solution and Garware and Global Application Studios come into picture.

The product is great, but the name is also great. So there, the margin will be, like I said, will be 30%, 40% higher than distributor level and the branding will be there. And at the same time, there -- the strategy works that there is a separate team. There is a -- now the question is you are talking of the TAM, right? Now the TAM in this is you can create -- I mean, we have our targets. We know what it is. But to tell you, there is like we're already catering such a big segment there and fighting with one of the like cheap imports coming from China and Korea. And at the same time, products imported from U.S.A. But again, put together, everything has not even -- it's like, I will say, tip of the iceberg because people do not know what a architectural product can do for homes and buildings, right? Even the owners of many hospitality chain, they were not aware when I explained them, their eyes were like, oh, really, that's the thing. But again, we go to the basics like we did in PPF.

When we entered into PPF market, nobody was even aware what a PPF is. We made that so popular in India, more than 50 participants are there importing product or buying from us and selling it. Same way we are doing into this architectural business via Garware Home Solutions, and we will have the same strategy, guiding people, making those campaigns, going to big buildings and putting canopies, making them explain. And this will be done all over India and in the Middle East. So that's the strategy for us.

Swechha Jain : Okay. Okay. So in products, it's not just sun control, right? There are more products?

Deepak Joshi: I'll just answer to this. Yes, there is not only sun control. There will be like surface protection films, which is for your furniture, which your kitchen sink and everything other than sun controlled and safety security film, there will be a switchable film on demand that is called a privacy on demand. You can do -- like make it opaque, transparent, semi-transparent. And so many lots of products are coming into that segment.

Swechha Jain : Okay. Sir, can I just squeeze in one very small question. I wanted to ask in last call also, if you allow me.

Deepak Joshi: Yes, please go ahead.

Swechha Jain : Okay. Sir, we were doing something with Vande Bharat. I just want to get an update on that. Are we doing something for Vande Bharat?

Deepak Joshi: We did during Kumbh Mela. Last year, we did a full train to avoid -- so you know we are doing. Thank you.

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Moderator: Our next question comes from the line of Ankit Gupta from Bamboo Capital.

Ankit Gupta : Congratulations for a great set of numbers, especially for the entire year, we have done phenomenally well. Sir, my first question is on the impact of declining....

Moderator: Ankit, I'm sorry to interrupt you, but can you be a little loud?

Ankit Gupta : Sure. Sir, my first question is on the declining U.S. automotive sales. So if you look at last quarter and even in the month of April, we have seen 5%, 6% decline in the U.S. -- new U.S. automotive sales

es. So what can be its impact on our automotive SCF sales as well as on the PPF sales because our majority of the business on the SCF as well as on the PPF side comes from U.S. So if you can elaborate on that and how it can impact us?

Deepak Joshi: See, I mean, I think that is quite understandable. When the tariff was at peak, we were able to make -- I mean, not lose the customer. But in -- at the same time, the sales were a little affected because we were not able to do it freely with 50% of the tariff, right? Now going forward, I mean, we have -- like we don't see any such challenge this year. In fact, we see a growth -- good growth potential coming from U.S. market now because the real challenge has gone from the market.

Ankit Gupta : Sure, sure. And sir, on the PPF side, we have seen a bit of decline in this financial year. And our biggest customer on the PPF is also setting up its own manufacturing plant. So how do you see our relationship with them evolving? And it's a large part of our PPF sales. So our sales will be impacted when their manufacturing plant comes online?

Deepak Joshi: No. As I said, I mean, this -- I think there is a lot of confusion on that, right? It's -- we -- PPF,

they buy from other sources as well, and they get it manufactured. Similar exercise, they might be doing in future. I'm aware of everything, but I can't say any here. But at the same time, I don't see any impact on our business because our growth has been phenomenal.

Our -- I mean, Global and Garware brand, we have doubled what we were doing last year, and we expect that to grow in a steep skyrocketing in the coming years. So we are not bothered with that, right? Because their volumes, we were not supplying 100% to them because there are a couple of more suppliers as well, right? I know some of this thing looks like that we are the only supplier or we are like too much dependent on them on PPF. That is not the case.

Ankit Gupta : But our relationship with them will continue? Even when...

Deepak Joshi: No, no, definitely. We are a big like into sun control and other business. See, it's not easy to change the product because our product has got a very unique properties in terms of sun control.

And let me tell you with -- I mean, I can tell you with great pride that the product line is very different from our other supply. The base there and nano dispersion facility and our adhesive technology is very unique and very different and it cannot be changed.

Even if a brand wants to go for manufacturing and replace it, it's not possible because it is something like a prevailing product. And we have discussed that, and we are continuing with Garware Hi -Tech Films Limited

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our relations. That's what their growth plan for the future. But of course, we have our plans, and we continue to be in great relationship with each other.

Moderator: Our next question comes from the line of Vinay Nadkarni from Hathway Investments Private Limited.

Vinay Nadkarni : Deepakji, really good set of numbers in spite of a very, very tough year. Just wanted -- 2 questions in short. One is, how do you see your April volume growth given this summer seems to be better than last year?

Deepak Joshi: See, I think that's a question related to current performance. I would like to avoid. I can only say that we have already given a guidelines for the year for INR2,500 crores. We will maintain that because we cannot answer because this is the current ongoing. It will be like beyond the scope of us talking about this right now.

Vinay Nadkarni : Fine. I understand that. The other question was, when I look at your U.S. volumes, you said around 45% of your business came from U.S. And last year, you had said that you had to absorb most of the tariffs because you couldn't pass on and you didn't want to penalize your customers. In spite of that, you have maintained your margins. So th

at -- I just wanted to understand how

could that be achieved with 450% of your business taking higher hit on margins?

Deepak Joshi: Yes. So I think we discussed that even each quarter when despite 50% of -- 50% volume coming from there, but 50% tariff, we still maintained because we grew on the other geographies quite handsomely. At the same time, we -- I mean, we restricted our sales for just to continue without losing customers. That means we held our products in certain special conditions, right? And then in -- when it was available, the tariff went low.

At that time, we cleared the goods according to the demand from the customer. So it was like a very strategically and well maintained supply chain where we were -- we did not flush the material at the highest tariff. We tried to hold and navigated it through at the right time, right?

And in fact, when this tariff was to come, we made more material and kept there to avoid the tariffs. I mean it was like prior to when we knew it is going to happen, we built up our inventory there. And at the same time, we liquidated when it was only -- I mean, it was utmost necessarily to be done. We did at that time. And it was -- it went towards the low tariff and we cleared it. So this is like the strategy which we followed, which worked for us.

Moderator: Ladies and gentlemen, due to the time constraint, that was the last question for today. I now hand the conference over to the management for the closing remarks. Over to you, team.

Deepak Joshi: Thank you. And I would like to -- on behalf of Garware Hi -Tech Films Limited management, I would like to thank all participants. And we hope -- I mean, we were able to answer all of your queries. And in case of any further explanation required, you can reach out to our IR team. And with this, thank you very much, and have -- I wish a great year ahead for everyone. Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Garware Hi -Tech Films, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.